

Tax Compliance and Planning for Individuals

Module

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NOTES

1 Equity Compensation Awards

Employees may receive compensation from their employers in the form of equity awards such as stock options, restricted stock, or stock appreciation rights (SARs). How and when employee equity compensation is taxed to the employee depends on the type of equity award.

Key dates for equity compensation awards include:

- **Grant date:** when the employee receives the award
- **Vesting date:** when the employee has the right to exercise the equity award (restrictions lapse)
- **Exercise date:** when the employee purchases stock using stock options or cashes out SARs
- **Sale date:** when the employee sells restricted stock or stock acquired using stock options
- **Expiration date:** when the rights under the equity award lapse, or expire, unused

1.1 Nonstatutory Stock Options

Corporations may grant their employees the option to purchase stock in the corporation. There are two types of employee stock options: nonstatutory and statutory. A nonstatutory option (also known as a nonqualified option) is taxed when granted if the option has a readily determinable value at the time of the grant. Because nonstatutory options often do not have a determinable value at the time of grant, the option is generally taxed when exercised.

1.1.1 Definition of Readily Determinable Value

If the option is traded on an established market, it will have a readily determinable value. Otherwise, it will only have a readily determinable value if *all* of the following conditions are met:

- The option is transferable.
- The option is exercisable immediately in full when it is granted.
- There are no conditions or restrictions that would have a significant effect on the value.
- The fair value of the option privilege can be readily determined.

1.1.2 Employee Taxation: Readily Determinable Value

- If there is a readily determinable value, the employee recognizes ordinary compensation income in that amount in the year granted. If there is a cost to the employee, then the ordinary income is the value of the option minus the cost.
- There is no taxation on the date of exercise.
- The basis of the stock is the exercise price plus any amount previously taxed on the date of grant. Any future sale of the stock could result in a capital gain or loss.
- The holding period begins with the exercise date.
- If the employee allows the options to lapse (not exercised), there is a capital loss based on the value of the options previously taxed.

1.1.3 Employee Taxation: No Readily Determinable Value

- If no readily determinable value exists, the taxable event is the exercise date, not the grant date.
- On the date of exercise, the employee recognizes ordinary compensation income equal to the "bargain element"—the difference between the fair market value of the stock and the stock option price exercised.
- The basis of the stock is the fair market value of the stock when stock option was exercised. Any future sale of the stock could result in a capital gain or loss.
- The holding period begins with the exercise date.
- If the options lapse, the employee can deduct a capital loss equal to the price, if any, that the employee paid for the options. There are no other income tax consequences.

Example 1 Nonstatutory Stock Option

Facts: On July 1, Year 10, Bob was granted a nonstatutory stock option to purchase 200 shares of his employer's stock for \$12 per share. This option was selling for \$4 per share on an established exchange. Bob exercised these options on August 7, Year 11. The stock was selling for \$18 per share on the exercise date. On November 1, Year 12, Bob sold all of the shares for \$20 per share.

Required: Determine the amount and type of income that Bob must recognize and when the income should be recognized.

Solution: Bob must report ordinary compensation income in the amount of \$800 ($\4×200 shares) on the date of the grant in Year 10 because the option has a readily determinable market value.

Bob's adjusted basis in the stock is \$3,200 ($\$2,400$ exercise price + $\$800$ recognized ordinary income). The $\$2,400$ exercise price is $200 \text{ shares} \times \12 .

Bob has a long-term capital gain in Year 12 in the amount of \$800, which is the selling price of $\$4,000$ ($200 \text{ shares} \times \20) less the adjusted basis of $\$3,200$. The holding period begins from the exercise date, which is more than one year, therefore the gain is long-term.

1.2 Statutory Stock Options

There are two types of statutory stock options, incentive stock options (ISO) and stock options granted under employee stock purchase plans (ESPP). Both types of options are eligible to receive favorable tax treatment under the internal revenue code.

1.2.1 Incentive Stock Options

An ISO is a right that's given to an employee to buy stock in the company at a discount.

The following are some key points related to an ISO:

1. The ISO must be granted under a written plan document, approved by the shareholders, that indicates the total number of shares that may be issued and the employees that are eligible to participate.
2. The employee may not own more than 10 percent of the combined voting power of the corporation, parent, or subsidiary as of the date of the grant.

3. The employee must remain an employee of the corporation from the date the option is granted until three months (one year if due to permanent and total disability) before the option is exercised.
4. The options must be exercisable within 10 years of the grant date.
5. The exercise price may not be less than the FMV of the stock at the date of the grant.
6. Once exercised, the stock must be held at least two years after the grant date *and* at least one year after the exercise date.
7. An employee may exercise up to \$100,000 of ISOs in a year. Any amount exercised that exceeds this amount will be treated as a nonstatutory option.

1.2.2 Employee Stock Purchase Plans

An ESPP is a type of plan that allows employees to purchase company stock at a discounted price. With an ESPP, participating employees contribute to the plan through payroll deductions.

The following are some key points related to an ESPP:

- The plan must be written and approved by the shareholders.
- An ESPP cannot grant options to any employee who has 5 percent or more combined voting power of the corporation, parent, or subsidiary.
- Generally, the plan must be available to all full-time employees other than highly compensated employees and those with less than two years of employment.
- The option exercise price may not be less than the *lesser* of 85 percent of the FMV of the stock when granted or exercised.
- The option cannot be exercised more than 27 months after the grant date.
- No employee can acquire the right to purchase more than \$25,000 of stock per year.
- Once exercised, the stock must be held at least two years after the grant date *and* at least one year after the exercise date.
- The employee must remain an employee of the corporation from the date the option is granted until three months before the option is exercised.



Pass Key

Two/One: Stock acquired by exercising statutory stock options must be held at least *two* years after the grant date and at least *one* year after the exercise date to receive long-term capital gain treatment.

1.2.3 Taxation of Statutory Stock Options

- Generally, there is no taxation of the option as compensation.
- The basis of the stock acquired is the exercise price plus any amount paid for the option (if any).
- Gain or loss on a subsequent sale of the stock is capital if the stock is held for at least two years after the grant date and at least one year after the exercise date.
- If the two-year/one-year holding period requirements are not satisfied, any gain is ordinary up to the amount that the stock's FMV on the exercise date exceeds the option price. Any excess gain is capital gain. Any loss is a capital loss.

- Generally, if the options lapse, no deduction is available as the option was not taxed in the first place. There may be a loss if any amount was paid for the option itself.
- An employee may exercise up to \$100,000 of ISOs in a year. Any amount exercised that exceeds this amount will be treated as a nonstatutory option.
- For an ESPP, if the option exercise price is less than the FMV of the stock on the grant date, then ordinary income is recognized when the stock is sold. The ordinary income recognized is the lesser of:
 - the difference of the FMV of the stock when sold and the exercise price; or
 - the difference between the exercise price and the FMV of the stock on the grant date.
 - This only applies to ESPPs because the exercise price may not be less than the FMV of stock at the date of grant for ISOs.
- The excess of the FMV of the stock on the exercise date over the purchase price is a preference item for alternative minimum tax.

Tax Treatment by Employees			
Key Dates	Nonstatutory Stock Options With Readily Determinable Value	Nonstatutory Stock Options Without Readily Determinable Value	Statutory Stock Options
Grant date	Ordinary income = FMV of stock options on date of grant	No tax consequences	No tax consequences
Vesting date	Same as grant date	No tax consequences	No tax consequences
Exercise date	• No taxable income • Basis in stock = exercise price + income recognized at grant date • Holding period of stock begins	• Bargain element (FMV of stock – exercise price) = ordinary income • Basis in stock = FMV of stock when stock option is exercised • Holding period of stock begins	• No taxable income • Basis in stock = exercise price • Holding period requirements: two years after grant date + one year after exercise date
Date stock is sold	Capital gain (loss); short-term or long-term depending on holding period	Capital gain (loss); short-term or long-term depending on holding period	• Two-year/one-year holding period met: Long-term capital gain (loss) • Two-year/one-year holding period not met: <i>Gain:</i> bargain element (FMV of stock when exercised – exercise price) = ordinary income; any excess gain is capital gain <i>Loss:</i> capital loss
Date options expire if not exercised	Capital loss = FMV of options previously taxed at date of grant; short-term or long-term depends on holding period	Capital loss = price paid for options (if any); short-term or long-term depends on holding period	Capital loss = price paid for options (if any); short-term or long-term depends on holding period

Example 2 Incentive Stock Option

Facts: On July 1, Year 10, Mary was granted an Incentive Stock Option (ISO) to purchase 200 shares of her employer's stock for \$120 per share. The FMV of the stock on the date of grant was \$120. Mary exercised these options on August 7, Year 11. The stock was selling for \$150 per share on the exercise date. On November 1, Year 12, Mary sold all of the shares for \$200 per share.

Required: Determine the amount and type of income that Mary must recognize and when the income should be recognized.

Solution: Mary does not recognize any ordinary income at the date of grant because this qualifies as an ISO.

Mary's adjusted basis in the stock is the exercise price of \$24,000 (200 shares $\times$ \$120).

Mary has a long-term capital gain in Year 12 in the amount of \$16,000, which is the selling price of \$40,000 (200 shares $\times$ \$200) less the adjusted basis of \$24,000. The long-term holding period requirement of more than one year has been met.

Mary also has an AMT preference item in Year 11 of \$6,000. The FMV of stock on the date of exercise was \$150, and the purchase price was \$120, so the excess of the FMV over the purchase price is \$30. $\$30 \text{ excess} \times 200 \text{ shares} = \$6,000$.

1.3 Restricted Stock

With a restricted stock award, an employee receives actual shares of the employer's stock, rather than an option to purchase the employer's stock at a discounted rate. For restricted stock shares, the employee is restricted from selling the stock until the vesting date when the restrictions lapse.

1.3.1 Employee Taxation

The employee recognizes ordinary compensation income for the FMV of the stock on the day it vests and the restrictions lapse. The employee's basis in the stock is the FMV on the vesting date, and the employee's holding period for the stock begins on the vesting date.

An employee may elect to recognize ordinary compensation income for the FMV of the stock on the grant date. The election must be made within 30 days of the date the restricted stock award is granted and is irrevocable.

1.3.2 Restricted Stock Units (RSUs)

RSUs are not actual shares of employer stock; they are a promise to give an employee a specified number of unrestricted shares of employer stock on the vesting date. As with restricted stock awards, employees recognize ordinary compensation income for the FMV of the stock on the vesting date. However, there is no election allowed to recognize income on the grant date rather than the vesting date like there is for restricted stock.

Example 3 Restricted Stock Award

Facts: On July 1, Year 10, Agnes was granted 200 shares of restricted stock. The FMV of the stock on the date of grant was \$100/share. The stock vested, and the restrictions lapsed, on August 7, Year 11, when the stock was selling for \$110/share. Agnes sold the stock on November 1, Year 12, for \$125/share.

Required: What is the amount and character of Agnes' taxable income in Years 10, 11, and 12 related to the restricted stock award?

Solution:

Year 10: \$0 taxable income

Agnes does not recognize any income when the restricted stock is granted.

Year 11: \$22,000 ordinary compensation income

The employee recognizes the FMV of the stock on the vesting date as ordinary compensation income. $\$110 \times 200 \text{ shares} = \$22,000$.

Year 12: \$3,000 long-term capital gain

The employee's basis in the 200 shares of stock is the FMV on the vesting date, which is \$22,000. The selling price of the stock is \$25,000 ($\$125 \times 200 \text{ shares}$), so Agnes has a \$3,000 capital gain ($\$25,000 \text{ selling price} - \$22,000 \text{ basis}$).

The holding period for the stock begins on the August 7, Year 11, vesting date. Since Agnes sold the stock on November 1, Year 12, the holding period was more than one year, which is long-term.

1.4 Stock Appreciation Rights

With stock appreciation rights (SARs), employees do not receive actual shares of employer stock. When an employee exercises a SAR, the employee receives a payment equal to the difference between the FMV of the stock on the exercise date and the FMV on the date the SAR was granted by the employer. The employee recognizes ordinary compensation income for the amount of the cash payment when the SAR is exercised.

2 Imputed Interest on Below-Market-Rate Loans

If a taxpayer makes a below-market-rate loan, the taxpayer must report any foregone interest from that loan as interest income. If a taxpayer receives a below-market loan, the taxpayer may be able to deduct the foregone interest, unless it is personal interest.

2.1 Foregone Interest

Foregone interest on a loan is the excess of:

- interest based on the applicable federal rate (AFR) published regularly by the IRS; over
- any interest actually payable on the loan.

2.2 Loans Subject to Imputed Interest Rules

- **Gift Loans:** between individuals (friends and family members)
- **Compensation-Related Loans:** between employer and employee, or independent contractor and person for whom the contractor provides services
- **Corporation-Shareholder Loans:** between a corporation and a shareholder of the corporation
- **Tax-Avoidance Loans:** a below-market loan where the avoidance of federal tax is a main purpose of the interest arrangement
- **Loans to Qualified Continuing Care Facilities:** any loan to any qualified continuing care facility, pursuant to a continuing care contract where lender (or lender's spouse) is age 65 or older at the end of the year

Example 4

Imputed Interest on a Below-Market-Rate Loan

Facts: Pat is in a financial bind and has asked Robert for a \$20,000 loan. Because of the financial difficulties Pat is experiencing, Robert has made the loan to Pat at an annual interest rate of one percent. The current AFR is three percent.

Required: Determine the imputed interest income that must be reported by Robert for the below-market-rate loan to Pat.

Solution: Imputed interest is \$400, calculated as follows:

- Minimum interest required by the AFR: \$600 ($\$20,000 \times 3\% = \600)
- Interest payable under the loan (and reported as interest income by Robert): \$200 ($\$20,000 \times 1\% = \200)
- \$600 minimum interest required by the AFR – \$200 interest payable under the loan = \$400

2.3 De Minimis Exceptions for Loans of \$10,000 or Less

The imputed interest rules for below-market loans do not apply to any day on which the total outstanding amount of loans between the borrower and lender is \$10,000 or less for the following types of loans:

- **Gift Loans between individuals:** as long as the funds are not used to purchase income producing assets.
- **Compensation-Related and Corporate-Shareholder Loans:** if avoidance of federal tax is not a principal purpose of the interest arrangement.

2.4 Exception for Loans Without Significant Tax Effect

In addition to the de minimis exceptions, there are general exceptions for below-market loans if their interest arrangements do not have a significant effect on the federal tax liability of the borrower or lender. These include:

- Government-subsidized loans, such as student loans;
- Loans provided by a lender to the general public that are consistent with the lender's normal business practices, such as no-interest financing on an automobile or a zero-interest period on a credit card;

- Loans to assist an employee with work relocation;
- Certain loans to/from a foreign person; and
- Gift loans to a Section 501(c)(3) charitable organization, if total outstanding loans between the borrower and lender is no more than \$250,000 at all times during the year.

2.5 Gift Loans of \$100,000 or Less

For gift loans between individuals, if the outstanding loans between the lender and borrower total \$100,000 or less, the foregone interest included in the lender's income and deducted by the borrower is limited to the amount of the borrower's net investment income for the year.

- If the borrower's net investment income is \$1,000 or less, the foregone interest is treated as zero.
- The foregone interest limitation does not apply if avoidance of federal tax is one of the main purposes of the interest arrangement.

3 Compensation Earned While Employed Outside the U.S.

A taxpayer may exclude from U.S. gross income up to \$120,000 (2023) of income earned while residing in a foreign country. This exclusion from gross income is significant. For an individual filing single:

- At the lowest 24 percent marginal rate at this income level, the income tax savings is \$28,800.
- At the highest 37 percent marginal rate, the income tax savings is \$44,400.

3.1 Foreign-Earned Income

Foreign-earned income includes the following income items:

- Bonuses
- Commissions
- Professional fees
- Salaries and wages
- Tips

3.2 Qualifications for the Foreign-Earned Income Exclusion

In order to qualify for the exclusion, a taxpayer must satisfy one of the following two tests:

1. **Bona Fide Residence Test:** The taxpayer must have been a bona fide resident of a foreign country, or countries, for an uninterrupted period that includes the entire taxable year.
2. **Physical Presence Test:** The physical presence test requires that the taxpayer be physically present in a foreign country, or countries, for 330 full days during any 12-consecutive-month period, although the 330 days do not need to be consecutive.

Example 5 Compensation Earned While Employed Outside the U.S.

Facts: Thomas Peters, a single U.S. citizen, has found a job working as a tour guide and interpreter in Israel and moved there 12 months ago. Since that time, he has only been home to Idaho once to visit his parents for two weeks.

Required: Does the income earned by Thomas qualify for the foreign-earned income exclusion?

Solution: Yes, the income Thomas earns while working in Israel qualifies because he was physically present in a foreign country for 351 days (365 – 14).

4 Timing of Income and Expenses

Understanding the implications of the timing of income and deductions is an effective tool for maximizing the after-tax wealth of a taxpayer. Using the time value of money principles, a taxpayer can evaluate the effect of the timing of a tax decision. The two basic tax strategies, assuming that the taxpayer's tax rate remains constant, are to:

1. Defer taxable income
2. Accelerate tax deductions

However, important tax factors may change from year to year in a dynamic tax environment. These changes may be a result of a change in tax law or a change in the taxpayer's personal situation, such as retirement or opening a new business. Therefore, many other factors must be considered for tax planning. These include:

- Type of income
- Changing tax rates
- Type of entity
- Taxpayer's filing status

Example 6 Timing of Income (With Constant Tax Rates)

Facts: Jill Jones owns a small retail business. Jill is a cash-basis, calendar-year taxpayer. She reports her income and expenses related to the business on Schedule C. Jill has the opportunity to make an unusually large sale in the amount of \$100,000 and is trying to determine the best tax strategy regarding the timing of the sale. She can finalize the sale and receive payment on either December 31 of the current year or January 1 of next year. Jill's marginal tax rate is 32 percent in both tax years. (For all examples that follow, assume an after-tax rate of return on investments of 10 percent for present value analysis. The present value factor for one year at 10 percent is 0.909.)

Required: Advise Jill on whether it is optimal for the sale to be made in the current year on December 31 or next year on January 1.

Solution: If Jill finalizes the sale and receives payment on December 31 of this year, she will have to report the \$100,000 of income on this year's tax return. However, if she waits to finalize the sale on January 1, then she will have income one year later on next year's tax return.

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Compare the after-tax effect of Jill's \$100,000 sale:

	Option A: \$100,000 Income This Year	Option B: \$100,000 Income Next Year
Income	\$100,000	\$100,000
Marginal tax rate	× 32%	× 32%
Tax on income	32,000	32,000
Discount factor	× 1	× 0.909
Present value of tax	\$ 32,000	\$ 29,088
Income after tax:		
Before-tax income	\$100,000	\$100,000
Less: Present value of tax	<u>(32,000)</u>	<u>(29,088)</u>
Income after tax	<u>\$ 68,000</u>	<u>\$ 70,912</u>

Option B to defer the \$100,000 income to next year results in \$2,912 in additional income after tax, considering the time value of money since the present value of tax paid one year later is lower than if the tax is paid in the current year.

Example 7 Timing of Income (With Increasing Tax Rates)

Facts: Using the example above, assume that Jill's marginal tax rate is 32 percent this year but will increase to 35 percent next year.

Required: Advise Jill on whether it is optimal for the sale to be made in the current year on December 31 or next year on January 1.

Solution:

	Option A: \$100,000 Income This Year	Option B: \$100,000 Income Next Year
Income	\$100,000	\$100,000
Marginal tax rate	× 32%	× 35%
Tax on income	32,000	35,000
Discount factor	× 1	× 0.909
Present value of tax savings	\$ 32,000	\$ 31,815
Income after tax:		
Before-tax income	\$100,000	\$100,000
Less: Present value of tax	<u>(32,000)</u>	<u>(31,815)</u>
Income after tax	<u>\$ 68,000</u>	<u>\$ 68,185</u>

Although Option B is still more attractive, the increase in taxable income is only \$185. A taxpayer must evaluate the specific facts and circumstances in his or her tax situation to effectively understand the timing effects of taxable income.

Example 8 Timing of Deductions (With Constant Tax Rates)

Facts: Jill is planning to purchase new equipment for her retail business that costs \$20,000. Jill is considering whether to purchase the equipment this year and therefore deduct the cost of the equipment on this year's tax return or purchase the equipment next year and deduct the cost of the equipment on next year's tax return. Jill's marginal tax rate is 32 percent.

Required: Determine which year Jill should purchase the equipment to provide the lowest after-tax cost.

Solution:

	Option A: Purchase \$20,000 Equipment This Year	Option B: Purchase \$20,000 Equipment Next Year
Tax deduction	\$20,000	\$20,000
Marginal tax rate	$\times \quad 32\%$	$\times \quad 32\%$
Tax savings	6,400	6,400
Discount factor	$\times \quad 1$	$\times \quad 0.909$
Present value of tax savings	\$6,400	\$5,818
After-tax cost of equipment:		
Before-tax cost	\$20,000	\$20,000
Less: Present value of tax	<u>(6,400)</u>	<u>(5,818)</u>
After-tax cost	<u>\$13,600</u>	<u>\$14,182</u>

Option A offers Jill the lowest after-tax cost of the equipment.

Example 9 Timing of Deductions (With Increasing Tax Rates)

Facts: Use the same facts as above, but now assume that Jill expects that her business income will rise with the use of the new equipment. Therefore, her marginal tax rate will increase from 32 percent in the current year to 35 percent next year.

Required: Determine which year Jill should purchase the equipment to provide the lowest after-tax cost.

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Solution:

	Option A: Purchase \$20,000 Equipment This Year	Option B: Purchase \$20,000 Equipment Next Year
Tax deduction	\$20,000	\$20,000
Marginal tax rate	× 32%	× 35%
Tax savings	6,400	7,000
Discount factor	× 1	× .909
Present value of tax savings	\$ 6,400	\$ 6,363
After-tax cost of equipment:		
Before-tax cost	\$20,000	\$20,000
Less: present value of tax	<u>(6,400)</u>	<u>(6,363)</u>
After-tax cost	<u>\$13,600</u>	<u>\$13,637</u>

With an increased tax rate next year, Option A is still more attractive, but only slightly so (\$37).

Many factors must be considered in determining the timing of income and deductions for a taxpayer. In a changing tax environment, the facts and circumstances unique to the taxpayer must be evaluated. The examples above illustrate the effect of properly timing income and deductions to increase the after-tax wealth of a taxpayer.

5 Alternative Minimum Taxable Income

The alternative minimum tax (AMT) system was implemented to ensure that individual taxpayers, particularly those with high income who use certain tax breaks under the tax law in order to significantly reduce their tax liability, pay at least some minimum amount of income tax.

Under the AMT system, taxpayers perform an alternative calculation of tax liability based on AMT income and AMT rates, and pay the AMT amount if it is more than the taxpayer's regular tax amount.

Alternative minimum taxable income (AMTI) more closely represents a taxpayer's economic income than does regular taxable income. It is calculated by increasing or decreasing regular taxable income for specific adjustment and tax preference items.

$$\begin{array}{r}
 \text{Regular taxable income} \\
 \pm \text{Adjustments} \\
 + \text{Tax preferences} \\
 \hline
 \text{Alternative minimum taxable income}
 \end{array}$$

5.1 Adjustments (Adds or Subtracts)

Adjustments are defined in the tax code as specific items that may increase or decrease AMT, because the treatment of the item for AMT purposes is different from that for regular tax purposes. Examples of common adjustments are listed below. Items 1–5 are "timing differences" that may increase or decrease AMTI. Items 6–7 are items that may be included in deductions for regular tax purposes, but not for AMT purposes, and will only increase AMTI.

1. **Passive** activity losses are added back, or recalculated.
2. **Accelerated** depreciation:
 - On real property, this is the difference between regular tax depreciation and straight-line using a 40-year life for property placed in service after 1986.
 - On personal property, this is the difference between regular tax depreciation and 150 percent declining balance (with switch to straight-line). (If a taxpayer elects 150 percent declining-balance depreciation for regular tax purposes, there will be no AMT depreciation adjustment of 200 percent declining-balance eligible property.)
 - No adjustment is required for property expensed under Section 179.
3. **Net** operating loss of the individual taxpayer must be recomputed.
4. **Installment** method may not be used by a dealer for property sales.
5. **Contracts** (long term): The difference between the percentage-of-completion method and completed-contract method or any other method of accounting is an adjustment.
6. **Taxes**: itemized deduction, net of taxable tax refunds (if refunds meet the tax benefit rule) are added back.
7. **Standard deduction**, if claimed, is added back.

5.2 Other AMT Adjustments

- Incentive stock options exercised
- Recalculate gain or loss on sale of depreciable assets
- Pollution control facilities amortization deductions
- Mining exploration and development costs
- Circulation expenses
- Research and experimental expenditures
- (Passive) tax shelter farm activities

5.3 Tax Preference Items (Always "Adds" to Regular Taxable Income)

By definition in the tax code, tax preference items are always add-backs. These items will result in more income or fewer deductions being recognized for AMT versus regular tax. Examples of common tax preference items include:

1. **Private** activity bond tax-exempt interest income (on certain bonds)
2. **"Percentage** depletion" deduction (excess over adjusted basis of property)
3. **Pre**-1987 accelerated depreciation on real property and leased personal property (excess over straight-line for property placed in service before 1987)

Illustration 1 Adjustment Related to Contracts

Mary has a long-term construction contract in Year 1 and uses the completed-contract method for regular tax purposes. She reports income for regular tax of \$20,000 in Year 4, the year the contract is completed. AMT requires the use of the percentage-of-completion method. Under this method, income would be reported as follows: \$2,000 in Year 1; \$5,000 in Year 2; \$5,000 in Year 3; and \$8,000 in Year 4.

Mary has an AMT adjustment in the amounts of \$2,000 in Year 1, and \$5,000 each in Years 2 and 3. These adjustments will increase AMTI because more income is being recognized for AMT purposes than for regular tax purposes. In Year 4, Mary has an adjustment of \$12,000 that will decrease AMTI in Year 4. This is because regular tax recognized the entire \$20,000 income in Year 4, but AMT only recognized \$8,000 under percentage of completion. Because AMT recognized less income in the final year of the contract, the adjustment is a decrease to AMTI.

Illustration 2 AMT Adjustments

In Year 2, Janet has various itemized deductions. They include interest on acquisition indebtedness on her home of \$11,200; state income tax deductions of \$9,200; and charitable contributions of \$3,000. Her total adjustments for AMT purposes are \$9,200 (state income tax deductions).

These adjustments increase AMTI because they are the disallowance of deductions that are allowed for regular tax purposes. Note that the charitable contributions and acquisition indebtedness are not adjustments for purposes of AMT.

Illustration 3 Tax-Exempt Interest Preference Item

In Year 2, Janet has total tax-exempt interest of \$15,000. Of this tax-exempt interest, \$1,300 is deemed to be from private-activity bonds. Her total preference add-back for AMT purposes is \$1,300.

The result here is that \$15,000 tax-exempt interest is exempt from regular tax, but \$1,300 of that amount must be recognized for AMT. Therefore, only \$13,700 is exempt for AMT purposes (\$15,000 – \$1,300).

Illustration 4 AMTI Calculation

Continuing with the illustrations for Janet from above: Assume that In Year 2, Janet has regular taxable income of \$60,000. From the above illustrations, her adjustments are \$9,200 and her preference items are \$1,300. These are both added back to taxable income to arrive at alternative minimum taxable income (AMTI) of \$70,500.

Regular taxable income	\$60,000
AMT adjustments	9,200
AMT preference items	<u>1,300</u>
AMTI	<u>\$70,500</u>

As indicated in the previous illustrations, these items will both increase AMTI because they are eliminating deductions from the regular taxable income and adding income to the regular taxable income.

6 Kiddie Tax

The net unearned income of a dependent child under 18 years of age (or a child age 18 to under 24 who does not provide over half of his/her own support and is a full-time student) is taxed at the parent's rate. Net unearned income is calculated by taking the child's total unearned income (from dividends, interest, rents, royalties, etc.) and subtracting \$2,500: the child's allowable 2023 standard deduction of \$1,250 plus an additional \$1,250 (which is taxed at the child's regular income tax rate). If the child also has earned income of more than \$1,250, the standard deduction is earned income plus \$400 (maximum of \$13,850, the 2023 single standard deduction amount).

Parents may elect to include on their own return the unearned income of the applicable child provided that the income is between \$1,250 and \$12,500 and consists solely of interest, dividends, and capital gains distributions.

2023 Child's Unearned Income	Tax Rate
\$0-\$1,250	0%
\$1,251-\$2,500	Child's rate
Over \$2,500	Parent's rate

Example 10**Kiddie Tax**

Facts: Max is 15 years old and lives with his parents. His only taxable income for the current year is corporate bond interest income of \$5,000. Max is in the 10 percent tax bracket and his parents are in the 22 percent tax bracket.

Required: Calculate Max's federal income tax liability for the current year.

Solution: Max's federal income tax liability for the current year is \$675.

Adjusted gross income	\$5,000
Standard deduction	<u>(1,250)</u>
Taxable income	\$3,750
Income taxed at Max's rate	$\$1,250 \times 10\% = \125
Income taxed at parents' rate	$\$2,500 \times 22\% = \underline{\underline{550}}$
Total income tax liability	<u><u>\$675</u></u>

7 Flexible Spending Accounts and Health Savings Accounts

7.1 Flexible Spending Accounts (FSAs)

A flexible spending account, or flexible spending arrangement (FSA), allows an employee to receive a pretax reimbursement for qualified medical expenses and/or qualified dependent care expenses.

7.1.1 Funding

FSAs are typically funded through a voluntary salary reduction agreement with an employer (2023 maximum contribution of \$3,050). If additional requirements are met, an employer may contribute to the plan on behalf of the employee as well.

- Contributions are excluded from your gross income.
- No employment or federal income taxes are deducted from the contributions.
- Reimbursements may be tax free if used for qualified expenses.

7.1.2 Forfeitures

Generally, an employee must use the money in an FSA within the plan year. If money is left in an employee's account at the end of the plan year, an employer may offer one of two options:

- 2½ month grace period to spend the funds for qualified expenses; or
- Carry over up to \$610 (2023) to use in the following year.

7.2 Health Savings Accounts (HSAs)

A health savings account (HSA) is a type of tax-deferred savings account, very much like an individual retirement account (IRA), that allows a taxpayer to set aside money on a pre-tax basis to pay for qualified medical expenses. Unlike an FSA, HSA funds that are not spent continue to accumulate. Maximum pretax contributions to an HSA for 2023 are:

- Individual \$3,850
- Family \$7,750
- Increased by \$1,000 for taxpayers aged 55 or older

7.2.1 High-Deductible Plan

Taxpayers may only contribute to an HSA if they are insured under a high-deductible health plan (HDHP). The minimum deductible for an HDHP is \$1,500 for self-only coverage and \$3,000 for family coverage (2023). Additionally, there is an annual limit on out-of-pocket expenses paid under the plan. Out-of-pocket expenses include co-payments, deductibles, and other amounts (other than premiums) that must be paid for by the insured. The 2023 limits are:

- \$7,500 for self-only coverage
- \$15,000 for family coverage

7.2.2 Withdrawals

Amounts withdrawn from an HSA to pay for qualified medical expenses of an account beneficiary are not includable in the beneficiary's gross income. Prior to age 65, withdrawals from an HSA that are not used to pay qualified medical expenses are includable in gross income and are subject to an additional 20 percent tax in addition to income tax.

Once the taxpayer reaches age 65, withdrawals that are not used to pay qualified medical expenses are still included in the taxpayer's gross income, but the 20 percent tax no longer applies. Withdrawals used to pay for qualified medical expenses; Medicare Parts A, B, and D premiums; and long-term care insurance premiums continue to be tax-free.

If a taxpayer has Medicare premiums automatically deducted from their Social Security retirement benefits, the taxpayer can reimburse themselves by withdrawing the equivalent amount from their HSA.

Illustration 5 FSA/HSA

Pat and Roger Martin, a married couple, are ages 65 and 66 respectively. They are very healthy and their only health care expenses are:

- Medicare Part B and Part D premiums: \$4,000
- Qualified long-term care insurance premiums: \$5,000

Pat and Roger take the standard deduction because it is more than the total of their allowable itemized deductions. Their marginal tax rate is 22 percent. They are looking for a way to increase their spendable income and minimize their income taxes. They each have an HSA.

Solution: Pat and Roger should pay their annual health care expenses with withdrawals from their HSAs. This strategy will allow the distributions (\$9,000) from the HSAs to be received tax free. This tax-free distribution for qualified medical expenses will yield the Martin family an additional \$1,980 ($\$9,000 \times 0.22$) per year of spendable income.

8 Itemized Deductions or Standard Deduction

8.1 Standard Deduction

Taxpayers who do not have enough qualified expenses to itemize their deductions will take a standard deduction. The standard deduction amounts for the current year are:

2023	
Single	\$13,850
Head of household	20,800
Married filing jointly or surviving spouse	27,700
Married filing separately*	13,850
*Available only if both taxpayer and spouse do not itemize.	

8.1.1 Additional Standard Deduction for Age 65 or Older and/or Blindness

The standard deduction for a taxpayer who is age 65 or over or blind is increased by an additional amount.

2023		
	<i>Unmarried</i>	<i>Married</i>
One Qualified Taxpayer		
65 or blind	\$1,850	\$1,500
Both 65 and blind	3,700	3,000
Two Qualified Taxpayers		
Each 65 or blind		\$3,000
Both 65 and blind		6,000

8.2 Itemized Deductions

A taxpayer will choose to itemize deductions when the total of their allowable deductions is higher than the standard deduction. Itemized deductions include the following:

- Medical expenses (in excess of 7.5 percent of AGI)
- Taxes—state/local (limited to \$10,000)
- Interest expense (home mortgage and investment)
- Charitable contributions
- Casualty/theft loss attributable to federal disaster (in excess of \$100 per casualty and aggregate of the losses exceeds 10 percent of AGI)

Indications that a taxpayer may benefit by itemizing deductions would be, but are not limited to, any of the following:

- Large contributions to qualified charities
- Large uninsured medical and dental expenses
- Mortgage interest and property taxes on a home
- Significant uninsured casualty or theft losses

8.3 Bunching Itemized Deductions

One tax planning strategy that individual taxpayers can use is bunching itemized deductions into a single year. This can be advantageous for taxpayers with itemized deductions that are close to, but not quite as much as, the standard deduction amount. Without bunching, the taxpayer would use the standard deduction amount. By bunching itemized deductions such as charitable contributions or medical expenses into a single year, the taxpayer can take the higher itemized deduction in the bunching year, then take the standard deduction the next year when their itemized deductions are much lower.

This strategy could also be used with the payment of property taxes. Depending on the amount of the taxpayer's total state and local property taxes, bunching may also be a way to avoid the \$10,000 limitation in one of the two years.

Example 11 Bunching Itemized Deductions

Facts: Elizabeth Roberts is a 64-year-old single taxpayer. She is not claimed as a dependent on another taxpayer's return. She has the following potential itemized deductions this year and expects these to be approximately the same next year:

State and local taxes	\$ 7,500
Interest expense (on home mortgage)	3,000
Charitable contribution (church)	<u>2,500</u>
Total	<u>\$13,000</u>

Elizabeth is trying to decide when she should make the charitable contributions to her church for this year and next year. (Although the standard deduction amounts are indexed for inflation annually, assume for the purposes of this example that the amounts are the same for Year 1 and Year 2.)

Required: Determine when Elizabeth should make the two \$2,500 charitable contributions to her church to achieve the greatest tax benefits:

- *Option 1:* \$2,500 in Year 1 and \$2,500 in Year 2
- *Option 2:* \$5,000 in Year 1
- *Option 3:* \$5,000 in Year 2

(continued)

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Solution: Elizabeth would be better off with option 2, making both charitable contributions, all \$5,000, in Year 1.

The standard deduction amount for single taxpayers is \$13,850. Because Elizabeth turns age 65 next year, she will receive an additional standard deduction in Year 2 of \$1,850, so her total Year 2 standard deduction amount is \$15,700 (\$13,850 + \$1,850).

If Elizabeth contributes \$2,500 to her church in Year 1 and \$2,500 in Year 2 (option 1), her total qualified deductions of \$13,000 (\$7,500 + \$3,000 + \$2,500) is less than her standard deduction amount each year, so she will just get the standard deduction both years.

If Elizabeth contributes all \$5,000 to her church in Year 2 (option 3), her total qualified deductions in Year 1 are \$10,500 (\$7,500 + \$3,000) and \$15,500 (\$7,500 + \$3,000 + \$5,000) in Year 2. Both of these amounts are less than her standard deduction amount for the year (\$13,850 in Year 1, \$15,700 in Year 2), so again she will just get the standard deduction both years.

If Elizabeth contributes all \$5,000 to her church in Year 1 (option 2), she will be able to itemize deductions in Year 1 and take the standard deduction in Year 2 when she gets the additional amount for age 65. Her total Year 1 qualified deductions are \$15,500 (\$7,500 + \$3,000 + \$5,000), which is \$1,650 more than her Year 1 standard deduction of \$13,850. Her total Year 2 qualified deductions are \$10,500 (\$7,500 + \$3,000), which is much lower than her Year 2 standard deduction of \$15,700. With the additional standard deduction for age 65, she is better off with the standard deduction next year anyway. By paying both charitable contributions in Year 1, Elizabeth is able to itemize deductions in one year and reduce her taxable income by an additional \$1,650.

9 Estimated Tax Payments and Underpayment Penalties

9.1 General

Taxpayers who expect to owe tax of \$1,000 or more must pay estimated taxes in a timely manner as income is earned or received throughout the year. In addition to income tax, estimated tax is required for other taxes such as self-employment tax. The IRS imposes penalties for failure to pay sufficient estimated tax, as well as failure to make tax payments when due throughout the course of the year. These penalties will be assessed even if the taxpayer is due a refund.

9.2 Tax Payments

Estimated tax payments are typically based on the prior year's tax return, or anticipated income for the current year. Estimated taxes are typically made in quarterly payments. For the purpose of estimated tax payments, the year is divided into four periods. Each quarterly estimate has a specific payment due date. If sufficient tax is not paid by the due date of each of the payment periods, the taxpayer may be assessed a penalty. Estimated tax payments are due as follows:

- January 1 to March 31: due April 15
- April 1 to May 31: due June 15
- June 1 to August 31: due September 15
- September 1 to December 31: due January 15 of the following year

9.3 Penalty for Failure to Make Sufficient Estimated Tax Payments

If sufficient tax is not paid throughout the year through withholding and/or timely estimated tax payments, the taxpayer may be assessed a penalty for underpayment of the estimated tax. The amount of the penalty for underpayment of estimated taxes is based on:

- Amount of the underpayment
- Period when the underpayment was due and underpaid
- Interest rate for underpayments published by the IRS

The penalty may be avoided if:

- The taxpayer's filed tax return shows less than \$1,000 in tax owed; or
- The taxpayer paid the lesser of:
 - 90 percent of the current year's tax; or
 - 100 percent of the prior year's tax (110 percent if prior year's AGI > \$150,000).

The Internal Revenue Service (IRS) may waive the penalty if the failure to pay was the result of casualty, disaster, illness, or death of the taxpayer.

9.4 Failure-to-Pay Penalty

The penalty for failure to pay tax owed is one-half of one percent per month (or partial month) up to a maximum of 25 percent of the unpaid tax. The penalty is not assessed if at least 90 percent of the tax due is paid by the unextended due date of the tax return; and the balance is paid by the extended due date of the tax return.

Example 12 Underpayment Penalties

Facts: Sarah Wilson owns an apple orchard. She filed timely quarterly estimated tax payments of \$23,500. When she filed her current year tax return, Sarah's tax liability was \$25,000, and her tax due was \$1,500.

Required: Will Sarah Wilson be subject to the failure to make sufficient estimated tax payments or failure-to-pay penalties?

Solution: No, Sarah is not subject to any underpayment penalties because she prepaid over 90 percent of her current year tax liability ($\$25,000 \times 90\% = \$22,500$).

10 Year-End Tax Planning

Both changes in the tax law and changes in a taxpayer's personal or financial situation can provide opportunities for year-end tax planning. Changes in a taxpayer's personal situation include changes in:

- Filing status
- Dependents
- Home ownership
- Employment
- Higher education

Often tax planning is about the timing of income or expenses to reduce taxable income or maximize tax credits. The following is a comprehensive example that includes several of the year-end tax planning opportunities discussed in this unit.

Example 13 Year-End Tax Planning

Facts: Rob Johnson, age 48, is single and a key employee of a publicly traded company. His salary for the current year is \$180,000 and he has total itemized deductions of \$13,750. Rob's withholdings for the current year are \$32,000. The amount of tax reported on his Form 1040 in the previous year was \$31,516.

Rob wants to sell some employer stock that he obtained three years ago by exercising an incentive stock option (ISO) before the end of the current year. The anticipated taxable gain on the sale of the stock is \$20,000. Rob is concerned about having to pay estimated tax payments or a penalty for underpayment of tax due to the taxable gain, so he is exploring other actions to take to offset any additional taxes.

First, Rob is considering giving \$5,000 of the sales proceeds to a local charity. He is also considering enrolling in a qualified health savings account (HSA) high-deductible health plan with his employer and contributing the maximum allowable amount for the current year.

Required:

1. Provide Rob with recommendations regarding the proposed sale of stock obtained with ISOs, the HSA contribution, and the charitable gift.
2. Calculate Rob's taxable income and tax liability before and after the proposed charitable gift and HSA contribution.
3. Determine whether Rob must pay estimated tax payments or is subject to penalties for underpayment of tax.

Solution:

1. Recommended actions:
 - Sell the employer stock obtained through the ISO. This strategy would allow Rob to secure long-term capital gain tax treatment on an employer compensation arrangement (Two-year/one-year holding period requirement for qualified stock options met).
 - Enroll in the high-deductible health plan with his employer in order to contribute to the HSA. This strategy would allow Rob to make contributions of up to \$3,850 (2023 maximum HSA contribution for individuals with self-only coverage) to a health plan to help cover health care costs. The pretax contributions will decrease his taxable earnings and AGI, reducing his current tax liability.
 - Choose to itemize deductions to obtain the benefit of the charitable deduction. This strategy would allow Rob to reduce his current tax liability by itemizing deductions in the amount of \$18,750 (\$13,750 original deductions plus \$5,000 gift to charity) rather than using the standard deduction of \$13,850.

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2. Current year tax return before and after charitable gift and HSA contribution:

	Before	After
Income	\$180,000	\$180,000
Contribution to HSA		<u>(3,850)</u>
AGI	\$180,000	\$176,150
Standard deduction	(13,850)	
Itemized deductions		<u>(18,750)</u>
Ordinary taxable income (taxed at ordinary tax rates)	<u>\$166,150</u>	<u>\$157,400</u>
LTCG from sale of ISO stock (taxed at preferential tax rates)	<u>\$ 20,000</u>	<u>\$ 20,000</u>
Ordinary income tax*	\$ 33,276	\$ 31,176
Preferential income tax on LTCG (\$20,000 × 15%)	<u>3,000</u>	<u>3,000</u>
Total Income tax	\$ 36,276	\$ 34,176
Tax savings (\$36,276 – \$34,176)		\$ 2,100

Implementing these planning recommendations resulted in Rob utilizing a \$5,000 deduction from making a charitable gift, increasing his tax-deductible savings (from his HSA contribution) by \$3,850 and saving \$2,100 in taxes overall.

3. Estimated tax payments and penalties for underpayment of tax:

To determine whether Rob will have to pay estimated tax payments or penalties for underpayment of tax by implementing these tax planning strategies, we will need to compare 110 percent of the prior year tax paid or 90 percent of the current year tax due against Rob's current year withholdings.

- Prior year tax paid of $\$31,516 \times 110\% = \$34,668$
- Current year tax due $\$34,176 \times 90\% = \$30,758$
- Lesser of 110% of prior year tax (\$34,668) and 90% of current year tax due (\$30,758) = \$30,758
- Current year withholdings = \$32,000

Because Rob's current year withholdings are greater than 90 percent of the current year tax, Rob will not need to pay estimated tax payments or be subject to an underpayment penalty if the recommended actions are implemented.

If Rob does *not* implement the recommended tax planning strategies, he would need to make an estimated tax payment or be subject to underpayment penalties:

- Prior year tax paid of $\$31,516 \times 110\% = \$34,668$
- Current year tax due $\$36,276 \times 90\% = \$32,648$
- Current year withholdings = \$32,000

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Because Rob's current year withholdings are less than both of these amounts, he would be subject to an underpayment penalty if he does not make an estimated tax payment of \$648 (\$32,648 current year tax due – \$32,000 withholdings). If possible, Rob could instead increase his current year withholdings by \$648 to avoid an underpayment penalty.

*Tax is computed utilizing the single ordinary tax rates for 2023, as provided in the rate table below:

Taxable Income	Tax Due
Not over \$11,000	10% of taxable income
Over \$11,000 but not over \$44,725	\$1,100 plus 12% of the excess over \$11,000
Over \$44,725 but not over \$95,375	\$5,147 plus 22% of the excess over \$44,725
Over \$95,375 but not over \$182,100	\$16,290 plus 24% of the excess over \$95,375
Over \$182,100 but not over \$231,250	\$37,104 plus 32% of the excess over \$182,100
Over \$231,250 but not over \$578,125	\$52,832 plus 35% of the excess over \$231,250
Over \$578,125	\$174,238.25 plus 37% of the excess over \$578,125

Tax liability on \$166,150 ordinary income before recommended actions:

- \$16,290 plus 24% of the excess over \$95,375
- $\$166,150 - \$95,375 = \$70,775$
- $\$70,775 \times 24\% = \$16,986$
- $\$16,290 + \$16,986 = \$33,276$

Tax liability on \$157,400 ordinary income after recommended actions:

- \$16,290 plus 24% of the excess over \$95,375
- $\$157,400 - \$95,375 = \$62,025$
- $\$62,025 \times 24\% = \$14,886$
- $\$16,290 + \$14,886 = \$31,176$

1 Overview

There are four main limitations, or hurdles, on the ability of individual taxpayers to deduct losses from business activities. These limitations are:

- Tax basis limitation
- At-risk limitation
- Passive activity loss (PAL) limitation
- Excess business loss limitation

The tax basis and at-risk basis limitations apply to flow-through entities at the entity level, and limit the ability of owners (partners in a partnership and S corporation shareholders) to pass through losses to their individual income tax return for deduction. The PAL and excess business loss limitations apply at the individual income tax return level.

These rules apply sequentially (in the order above) and represent hurdles to individuals intending to use losses from flow-through entities or other activities.

2 Tax Basis Limitation

A taxpayer's tax basis in his or her ownership interest in a flow-through entity is basically the investment in the ownership interest, adjusted for items such as income, deductions, distributions, and, in some cases, debt.

A loss can only be flowed through to the owner's individual income tax return and deducted to the extent of the owner's tax basis. A loss in excess of the owner's tax basis is suspended until tax basis is reinstated in future years, and is carried forward indefinitely.

Any suspended losses due to insufficient tax basis remaining when the owner disposes of his or her interest in the flow-through entity are lost.

The tax basis limitation applies to all activities, regardless of material participation.

3 At-Risk Limitation

A loss can only be flowed through to the owner's individual income tax return and deducted to the extent that the owner is "at risk." The amount that a taxpayer is "at risk" represents the taxpayer's economic risk in the activity. The at-risk amount is typically the same as the owner's tax basis, but excludes the owner's share of nonrecourse debt other than qualified nonrecourse financing (such as a real estate mortgage from an unrelated commercial lender). Nonrecourse debt is debt for which the partners bear no personal liability, meaning they are not personally at-risk to pay back the debt in the event the partnership is unable to pay.

A loss in excess of the owner's at-risk basis is suspended until at-risk basis is reinstated in future years, and is carried forward indefinitely. Any suspended losses due to insufficient at-risk basis remaining when the owner disposes of his or her interest in the flow-through entity can be offset against any gain from selling the interest. The at-risk basis limitation applies to all activities, regardless of material participation.

4 Passive Activity Loss (PAL) Limitation

Losses that clear the tax basis and at-risk hurdles are flowed through to the owner's individual income tax return. However, the ability to deduct the loss may be limited by the passive activity loss (PAL) limitation.

4.1 Categories of Income (Loss)

Under the passive activity loss rules, all income and loss items are sorted into three categories.

1. Active

- Salaries and wages
- Guaranteed payments for services
- Business income or loss from activities in which the taxpayer materially participates
- Other taxable income that does not fall into one of the other two categories

2. Passive

- Business income or loss from activities in which the taxpayer does not materially participate
- Rental real estate is automatically considered a passive activity unless an exception applies
- Income or loss for a limited partner from a limited partnership interest is automatically considered passive

3. Portfolio

- Interest
- Dividends
- Annuities
- Royalties
- Capital gains and losses

4.2 Material Participation

A trade or business activity is considered a passive activity if the taxpayer does not materially participate in the operations of the business. A taxpayer is considered to be a material participant only if the taxpayer is involved in the operations of the activity on a regular, continuous, and substantial basis. The most common test for material participation is that the taxpayer participates in the activity more than 500 hours during the tax year.

4.3 Deduction of Passive Activity Loss

A passive activity loss (PAL) can only be offset against passive activity income. A PAL cannot be offset against active or portfolio income. If an individual taxpayer has multiple passive activity income and losses for the year, PALs are offset against passive activity income pro rata.

A net PAL for the year is suspended, and carried forward indefinitely to offset future passive activity income. Any suspended PALs remaining when the owner disposes of the activity can be offset against active, passive, or portfolio income.

4.4 Mom-and-Pop Exception to Passive Activity Loss Limitation

An individual taxpayer may deduct up to \$25,000 of net passive activity losses attributable to rental real estate if the taxpayer:

- actively participates in the rental real estate activity; and
- owns at least 10 percent of the rental real estate activity.

The \$25,000 allowance is reduced by 50 percent of the excess of the taxpayer's AGI (excluding the rental activity) over \$100,000. The allowance is eliminated completely when AGI exceeds \$150,000.

4.5 Real Estate Professional

If the taxpayer is a real estate professional, rental real estate activities are considered to be active, rather than passive, and the PAL limitation does not apply. A taxpayer is a real estate professional if:

- more than 50 percent of the taxpayer's personal services during the year are performed in real estate businesses; and
- the taxpayer performs more than 750 hours of services in real estate businesses during the year.

5 Excess Business Loss Limitation

Taxpayers are not allowed to deduct an overall "excess business loss" for the year. This limitation is applied after the passive activity loss limitations.

An excess business loss for the year is the excess of aggregate business deductions for the year over the sum of aggregate business income for the year plus a threshold amount. For 2023, the threshold amount is \$578,000 (married filing jointly) and \$289,000 (all other taxpayers). The combined business loss for the year in excess of the threshold amount is carried forward as a net operating loss (NOL). The excess business loss limitation applies to all types of business income, active or passive.

6 Loss Carryforward Summary

Suspended loss due to insufficient tax basis	- Carryforward to offset future income when tax basis is reinstated - Suspended losses disappear when dispose of partnership interest
Suspended loss due to insufficient at-risk basis	- Carryforward to offset future income when at-risk basis is reinstated - Use to reduce gain from sale when dispose of partnership interest
Suspended passive activity loss	- Carryforward to offset future passive activity income - Use to offset other sources of income when dispose of passive activity
Excess business loss	- Carryforward as an NOL to offset future income - Subject to 80 percent of future taxable income limitation

Example 1 Classification of Income

Facts: Michael, a single taxpayer, has a \$30,000 tax basis in a limited partnership interest. Michael's at-risk amount is \$25,000. Michael is a 10 percent investment partner only and has no management responsibilities in the partnership, M. Green & Sons. Michael does not materially participate in M. Green & Sons. This year, M. Green & Sons experienced a \$400,000 loss. Michael's share of the partnership loss is \$40,000 (10 percent). Michael's other sources of income for the year include: \$75,000 in wages; \$6,000 income from a 5 percent investment in Morris & Stubbs (a different partnership in which he does not materially participate); \$3,000 in long-term capital gains; and \$12,000 in dividend income.

Required: Classify Michael's income items into the three categories of income: active, passive, and portfolio.

Solution:

Income Items	
Active	\$75,000 wages
Passive	\$6,000 income from Morris & Stubbs
Portfolio	\$12,000 dividend income
Portfolio	\$3,000 long-term capital gain

Example 2 Loss Limitations

Facts: Same facts as in Example 1.

Required: How much of Michael's \$40,000 loss in M. Green & Sons is deductible in the current year?

Solution: The four factors limiting business losses—tax basis, at-risk basis, passive activity loss limitation, and excess business loss limitation—must be considered.

- **Tax Basis:** Michael has a \$30,000 tax basis in M. Green & Sons. His loss flow-through is limited to the amount of his tax basis, \$30,000. The \$10,000 loss in excess of his tax basis is suspended.
- **At-Risk:** After considering tax basis, Michael must then consider his at-risk basis in M. Green & Sons, which is \$25,000. As a result of the at-risk basis, Michael can only flow through \$25,000 of the \$30,000 loss available after considering tax basis. The additional \$5,000 loss in excess of his at-risk basis is suspended.
- **Passive Activity Loss (PAL) Limitation:** Because Michael does not actively participate in the M. Green & Sons partnership, this investment is a passive activity for him. Passive losses can only be used to offset passive income. His investment in the Morris & Stubbs partnership is also a passive activity in which he has \$6,000 of passive income. He can only deduct \$6,000 of the passive loss to offset the \$6,000 passive income. The remaining \$19,000 of the \$25,000 flowed through from M. Green & Sons is suspended and carried forward to offset future passive income.

Summary Treatment of \$40,000 Passive Loss From M. Green & Sons	
Deductible in the current year	\$ 6,000
Tax basis: Suspended loss carryforward	\$10,000
At-risk: Suspended loss carryforward	\$ 5,000
Passive: Suspended loss carryforward	\$19,000

- **Excess business loss limitation:** No limitation applies, as the deductible loss of \$6,000 is well under the threshold amount of \$289,000.

Example 3 Use of Losses When Investment Is Sold

Facts: Assume that Michael sells his interest in M. Green & Sons in the following year for a \$20,000 gain.

Required: Determine how the suspended losses due to tax basis, at-risk, and passive activity loss (PAL) limitations are treated.

Solution: The \$10,000 suspended loss due to insufficient tax basis is lost. The \$5,000 at-risk suspended loss can be deducted against the \$20,000 gain on sale of the partnership interest. The \$19,000 suspended PAL is fully deductible against non-passive income in the year of disposal.

Example 4**Tax Basis, Calculation of At-Risk Amount, and Loss Limitations With Passive Activity**

Facts: Rachel, a single taxpayer, created a limited liability company (LLC), which she elected to have taxed as a partnership, to sell rental real estate. Rachel is not an active participant in the business. Rachel has no other active or passive business activities.

Rachel had an initial cash contribution to the business of \$100,000. Additionally, Rachel was allocated \$20,000 of recourse debt that she had personally guaranteed and \$30,000 of nonrecourse debt (not qualified nonrecourse financing). In the first year of operation, Rachel was allocated \$50,000 of ordinary business loss from the LLC.

Required: Calculate Rachel's tax basis and "at-risk" amount in the LLC. Calculate how much of the loss from the LLC she can deduct on her individual income tax return considering all four of the business loss limitations.

Solution: Rachel's tax basis in the LLC is \$150,000 (\$100,000 cash contribution + \$20,000 recourse debt + \$30,000 nonrecourse debt). Rachel's at-risk amount is \$120,000 (\$100,000 cash contribution + \$20,000 recourse debt).

When considering whether she can deduct her \$50,000 loss from the partnership on her individual tax return, she easily clears the tax basis and at-risk hurdles. However, because the activity is passive and Rachel has no passive income from other sources, she is not able to deduct any of the \$50,000 loss. The passive activity loss is suspended and carried forward until she generates passive income or until she sells the LLC that has generated the loss. Because the entire loss is suspended due to the PAL limitation, the excess business loss limitation does not come into play.

Example 5**Excess Business Loss Limitation**

Facts: Assume instead that Michael has a cumulative suspended passive activity loss (PAL) of \$350,000 for M. Green & Sons when he sold the limited partnership interest in the following year. Also assume that Michael has \$20,000 of passive activity income from Morris & Stubbs, \$80,000 in wages, and \$400,000 in taxable gambling winnings.

Required: What amount of the \$350,000 M. Green & Sons cumulative suspended passive activity loss is Michael allowed to deduct in the year he disposes of the partnership interest?

Solution: Michael can deduct \$309,000 of the suspended passive activity loss. Cumulative suspended PALs are treated as nonpassive in the year the taxpayer disposes of the passive activity, and can therefore be offset against other nonpassive income. However, because they are business losses, they are still subject to the overall excess business loss limitation, which applies to both active and passive business activities.

Michael's combined business loss is \$330,000 (Morris & Stubbs \$20,000 income less M. Green & Sons \$350,000 loss). Michael is single, so his combined business loss deduction is limited to \$289,000. He can use \$20,000 of the \$350,000 M. Green & Sons loss to offset the Morris & Stubbs business income and deduct another \$289,000 against his other nonbusiness income, for a total of \$309,000. The remaining excess business loss of \$41,000 (\$350,000 – \$309,000) is carried forward as a net operating loss (NOL).

1 Unified Transfer Tax System: Gift Taxation

1.1 Unified Transfer Tax System

In the United States, federal gift tax (on taxable transfers of property during lifetime) and estate tax (on taxable transfers of property at death) are merged into one unified transfer tax. The tax is based on an individual's cumulative taxable gifts made to others during their lifetime (inter vivos transfers) and transfers of property at death (testamentary transfers).

A unified credit, or applicable credit, against the tax is available to each individual based on cumulative taxable transfers of \$12,920,000 (2023).

1.2 Taxable Gifts

Every transfer of money or property, whether real or personal, tangible or intangible, for less than adequate or full consideration in money is a gift.

1.2.1 Annual, Inflation-Adjusted Exclusion

In determining the amount of gifts made in a calendar year, the donor may exclude the first \$17,000 (2023) of gifts made to each donee. This annual exclusion is not available for a gift of a future interest (i.e., a gift that can only be enjoyed by the donee at some future date), even if the donee does receive a current ownership interest in the gift. A gift by either spouse may be treated as made one-half by each. This gift splitting creates a \$34,000 exclusion per donee.

1.2.2 Unlimited Exclusion

The following transfers have an unlimited gift tax exclusion:

- **Payments Made Directly to an Educational Institution**

Amounts paid on behalf of a donee for tuition paid directly to an educational organization are allowed an unlimited exclusion from gift tax.

- **Payments Made Directly to a Health Care Provider for Medical Care**

Fees paid directly to a health care provider for medical care of the donee are allowed an unlimited exclusion from gift tax.

■ Charitable Gifts

■ Marital Deduction

Transfers between spouses are allowed an unlimited exclusion from gift tax known as the marital deduction. In order to qualify for a marital deduction, there may not be a terminable interest in the property unless the property qualifies as qualified terminable interest property (QTIP). In order to qualify as QTIP:

- the donee spouse must be entitled to all income from the property for his or her lifetime;
- no one other than the donee spouse may receive any distributions of income or principal from the property for his or her lifetime;
- the donee spouse must have the right to require that the subject property be made productive; and
- the property must be subject to payment of its pro rata share of estate taxes upon the death of the surviving spouse.

Example 1

Marital Deduction

Facts: When Casey and Pat became engaged in April Year 1, Casey gave Pat a ring that had a fair market value of \$50,000. After their wedding in July Year 1, Casey gave Pat \$75,000 in cash so that Pat could have an individual bank account. Both Casey and Pat are U.S. citizens.

Required: What was the amount of Casey's Year 1 marital deduction?

Solution: \$75,000 was Casey's marital deduction for Year 1.

Rule: Transfers between spouses are not subject to taxation for gift tax or income tax purposes. The \$75,000 transfer was after the date of marriage and would be eligible for the unlimited marital deduction. The \$50,000 transfer prior to marriage was not eligible for the marital deduction. It would, however, be eligible for the annual gift tax exclusion.

1.3 Gifts: Present vs. Future Interest

1.3.1 Interest

The postponement of a right to use, possess, or enjoy the property distinguishes a future interest from a present interest.

- A present interest qualifies for the annual exclusion and in most instances would be removed from the estate.
- A future interest (or a present interest without ascertainable value) does not qualify for the annual exclusion. Because a gift of a future interest does not qualify for the annual exclusion, the donee is generally required to file a gift tax return regardless of the amount of the future interest.

1.3.2 Future Interest Gifts

Examples of future interest gifts include:

- reversions (gifting assets and later getting the property back);
- remainders (distributed at some future time);

- trust income interests where accumulation of income by a trustee is mandatory and accumulations are distributed at some future time at the discretion of the trustee; and
- present interests without ascertainable value.

1.3.3 Present Interest Gifts

Examples of present interest gifts include:

- outright gifts of cash or property;
- trust income interests where annual or more frequent distribution is mandatory;
- life estates (ownership of the right to use property presently but not ownership of the property itself);
- estates for a term certain;
- bonds or notes (even though interest is not payable until maturity); and
- unrestricted transfers of life insurance policies.

1.4 Gifts: Complete vs. Incomplete Gifts

Only complete gifts are subject to gift tax and qualify for the annual gift tax exclusion.

1.4.1 Complete Gifts

A gift is considered complete (and is subject to gift tax):

- even though the donee is not yet born, provided his identity can later be ascertained.
- despite the possibility that the property may revert to the donor at some future time.

1.4.2 Incomplete Gifts

A gift is not considered complete (and is not subject to the gift tax) if it is conditional or revocable.

1.4.3 Conditional Gifts

A gift is conditional if it is subject to conditions precedent and will not be provided until the conditions have been met (e.g., a recipient will not get the gift unless he graduates from a four-year accredited college).

1.4.4 Revocable Gifts

A gift is revocable if the donor reserves the right to revoke the gift or change the beneficiaries. The gift is complete when those rights terminate by reason other than the donor's death.

1.5 Recipients: Nontaxable

The recipient of a gift pays no gift tax, and the gift does not represent taxable income to the recipient. (The general rule for the basis of gifts received is that the basis to the recipient equals the donor's basis plus gift tax paid due to the appreciation in value inherent in the gift.)

1.6 Calculating Taxable Gifts

The taxable gifts for the year equal the aggregate value of all gifts made during the calendar year less the applicable annual \$17,000 (\$34,000 if married and gift splitting) exclusion per donee (2023). The amount of any gifts of noncash property is the fair market value (FMV) of the gift.

Example 2 Calculating Taxable Gifts

Facts: Between January 1, 2023, and March 31, 2023, Jack Smith made the following gifts during the current year: \$20,000 in cash to Adele; a sculpture valued at \$4,000 to Barry; and 100 shares of common stock valued at \$400 per share in Zorro Corp., a publicly held corporation, to Christine. Jack bought the sculpture three years ago for \$2,500, and the Zorro Corp. stock six months ago for \$425 per share. Smith made no other gifts during the year.

Required: Calculate Jack's total taxable gifts for the year, assuming Jack is a single taxpayer.

Solution: The total amount of \$26,000 in taxable gifts is calculated as shown in the following chart.

Donee	Value of Gift	Available Exclusion	Taxable Amount of Gift
Adele	\$20,000	\$17,000	\$ 3,000
Barry	4,000	4,000	0
Christine	40,000	17,000	<u>23,000</u>
			<u>\$26,000</u>

Jack would owe gift tax only if the amount of Jack's cumulative (all years) taxable gifts exceeds \$12,920,000 (2023). However, Jack must file a gift tax return because the value of at least one of his gifts exceeds the annual per donee exclusion amount.

Required: Calculate Jack's total taxable gifts for the year assuming Jack is married and Jack and his spouse elect to split gifts.

Solution: The total amount of Jack's taxable gifts for the year is \$6,000 as shown in the following chart:

Donee	Value of Gift	Available Exclusion	Taxable Amount of Gift
Adele	\$20,000	\$34,000	\$ 0
Barry	4,000	4,000	0
Christine	40,000	34,000	<u>6,000</u>
			<u>\$6,000</u>

Example 3 Taxable Gifts and Exclusions

Facts: Jill, a single taxpayer, made gifts totaling \$100,000 during the current year:

- \$20,000 to the library building fund for City Community College, a public charity
- \$20,000 to City Community College for her granddaughter Izzy's tuition
- \$20,000 to her granddaughter Izzy to help pay her living expenses while she attends college
- \$20,000 to City Hospital to help pay for her friend Jack's surgery
- \$20,000 to her friend Jack to help him pay for home care after his surgery

Required: Calculate the amount of Jill's taxable gifts for the current year.

Solution: The total amount of Jill's taxable gifts for the current year is \$6,000.

The two \$20,000 payments made directly to City College, the charitable gift and the tuition payment, are allowed an unlimited exclusion. The \$20,000 direct payment to the hospital for Jack's surgery is also allowed an unlimited exclusion.

The \$20,000 payments to Izzy and Jack are taxable gifts, but each gift is entitled to the annual \$17,000 per donee exclusion, so only \$3,000 of each gift is subject to gift tax: $\$20,000 - \$17,000 \text{ exclusion} = \$3,000 \times 2 = \$6,000$.



Pass Key

In order to apply the annual exclusion to a gift, the gift must be all of the following:

- A present interest
- Complete
- Under \$17,000/\$34,000 (2023) per donee (unless paid directly for medical expenses and/or education expenses and/or paid to charities)

The tax due on current gifts is determined as follows:

Gross Gifts in a Calendar Year (at FMV)	
	Less: exclusion per donee per year
	Less: unlimited marital deduction of gift to donor's spouse
	Less: charitable gifts
	= Taxable gifts this year
	Plus: taxable gifts of prior years
	= Cumulative lifetime gifts

Tax on Cumulative Lifetime Gifts (Calculate)	
	Less: gift tax paid on prior gifts
	Less: \$5,113,800 applicable credit based on \$12,920,000 lifetime exclusion (2023)
	= Tax due on current gifts

2 Gifts of Noncash Property to Minimize the Donor's Future Estate

2.1 Lifetime Gifts: Annual Exclusion

One advantage of transferring cash and noncash property to other individuals as gifts during your lifetime, rather than at death, is the annual per donee gift tax exclusion (\$17,000 in 2023). Gifts of noncash property are valued at the FMV of the property at the date of the gift. Therefore, up to \$17,000 per year, or \$34,000 for married couples splitting gifts, is excluded from any transfer tax. This annual per donee exclusion is not available for property transferred at death.

2.2 Recipient's Basis in Gifted or Inherited Property

Another advantage of gifting appreciated noncash property, rather than transferring the property at death, is that the transfer tax on any further appreciation of the property after it is gifted is avoided. However, the recipient of the gifted property may owe additional income taxes when the property is sold in the future because of the lower basis in the gifted property.

For gifted property that has appreciated in value, the donee-recipient's basis is the same as the donor's basis, so recognition of gain on appreciated property is deferred until the property is later sold by the donee. For inherited property, the recipient's basis is the FMV of the property at the date of death (or alternate valuation date if elected). This means that the appreciation in value of the property in the hands of the decedent is never taxed if the property is transferred at death.

3 Charitable Donations of Noncash Property

3.1 Qualified Charity

To receive a deduction for a donation of noncash property to a charitable organization, the organization must be recognized by the IRS as a Section 501(c)(3) organization. Section 501(c)(3) organizations include public charities and private foundations.

3.2 Contribution of Ordinary Income Property

The amount of the deduction for ordinary income property is the lesser of the property's adjusted basis or its fair market value (FMV) at the time it is contributed. Ordinary income property includes:

- Inventory
- Short-term assets (held for one year or less)
- Investment or personal-use assets that have depreciated in value
- Depreciation recapture on long-term, business-use assets

3.3 Contribution of Long-Term Capital Gain (LTCG) Property

The amount of the deduction for LTCG property is its FMV at the time of the contribution. LTCG property is appreciated capital gain property that has been held for more than one year and includes:

- Investment assets
- Personal-use assets
- Gain in excess of ordinary income depreciation recapture for long-term, business-use assets

3.4 Tangible Personal Property Put to Unrelated Use

The donor's deduction for a contribution of LTCG property to a charitable organization is limited to the adjusted basis of the property if:

- the property is tangible personal property; and
- the organization uses the property for some purpose that is not related to its charitable purpose (such as selling or auctioning off the property).

3.5 Donation of Qualified Vehicle Sold by Charitable Organization

A personal-use vehicle has typically depreciated in value ($FMV < \text{adjusted basis}$) by the time it is contributed to a charitable organization, therefore the donor's deduction will fall under the ordinary income property rules. For a qualified vehicle, which includes a car, truck, boat, or airplane, that is subsequently sold by the charitable organization, the donor's deduction is further limited.

If the FMV at the date of the contribution is more than \$500, the deduction is limited to the lesser of:

- the gross proceeds from the sale of the vehicle; or
- the FMV on the date of contribution (assuming the FMV is less than the adjusted basis of the vehicle).

If the charitable organization sells the vehicle for \$500 or less, the deduction is limited to the lesser of:

- \$500; or
- the FMV on the date of contribution (assuming the FMV is less than the adjusted basis of the vehicle).

Example 4

Donations of Noncash Property

Facts: Bill Sanders purchased an oil painting depicting the first settlement of the town he lives in. The purchase price of the painting was \$25,000. Five years later, the museum in the town where Bill lives has expressed an interest in obtaining the painting for display in its main lobby. Bill has secured a qualified appraisal of the painting to determine its current fair market value (FMV).

Required: If Bill donates the painting to the museum, determine the amount of Bill's charitable contribution deduction, ignoring any charitable contribution limitation and assuming the current FMV is: (1) \$20,000, or (2) \$30,000.

Solution:

1. If the current FMV is \$20,000, the charitable contribution deduction will be \$20,000.

The painting is a capital asset that has been held for more than one year, but it has depreciated in value (\$20,000 FMV – \$25,000 purchase price), so it is considered ordinary income property. The amount of the deduction is the lesser of the property's adjusted basis (\$25,000) or its FMV at the time it is contributed (\$20,000).

2. If the current FMV is \$30,000, the charitable contribution deduction will be \$30,000.

The painting is a capital asset that has been held for more than one year and has appreciated in value (\$30,000 FMV – \$25,000 purchase price), so it is considered appreciated LTCG property. The deduction will be the \$30,000 FMV at the time of the contribution.

Note: If the museum instead sold the painting, rather than displaying it in the front lobby of the museum, Bill's deduction would be limited to his \$25,000 adjusted basis in the painting.

3.6 AGI Limitations on Amount of Deduction

The maximum allowable deduction for charitable contributions depends on the type of property contributed and the type of charity to which the contribution was made.

	Public Charities	Private Operating Foundations	Private Nonoperating Foundations
Cash	60% of AGI	60% of AGI	30% of AGI
Ordinary income property	50% of AGI	50% of AGI	30% of AGI
Long-term capital gain property	30% of AGI	30% of AGI	20% of AGI

A private operating foundation actively conducts charitable activities and distributes funds to its own charitable programs. A private nonoperating foundation distributes funds to other charitable organizations.

When a taxpayer has charitable contributions that are subject to different AGI limitations, the AGI limitations are applied first to cash (60% AGI limit), then ordinary income property (50% AGI limit), then LTCG property (30% AGI limit).

3.7 Carryover of Excess Charitable Contributions (Five Years)

All charitable contribution carryovers are applied on a first-in, first-out basis, after current year contributions are deducted, subject to the percentage of income limitations.

Example 5 Charitable Contribution Deduction

Facts: Joe Kelly itemizes deductions and made the following charitable contributions during the year:

- **United Way:** Cash \$15,000
- **Goodwill:** Personal furniture (cost \$25,000 three years ago, FMV at date of contribution \$10,000)
- **Art Museum:** Sculpture (cost \$20,000 five years ago, FMV at date of contribution \$30,000)

Kelly's adjusted gross income (AGI) for the year is \$100,000.

Required: Calculate the taxpayer's charitable contributions deduction for the year.

Solution:

Cash: The \$15,000 cash contribution to United Way, a public charity, is subject to the 60 percent of AGI limitation.

1.	Limitation for contributions subject to 60% limit (AGI \$100,000 × 60%)	\$60,000
2.	Cash contribution to United Way	15,000
3.	Allowable deduction for cash contribution (<i>lesser of 1 or 2</i>)	15,000

Ordinary Income Property: The personal furniture contributed to Goodwill, a **public charity**, **has depreciated in value, so it is ordinary income property and is subject** to the 50 percent of AGI limitation. The amount of the contribution is the lesser of the cost basis or the FMV at the date of contribution, which is \$10,000.

4.	Limitation for contributions subject to 50% limit: AGI \$100,000 × 50%	\$50,000
	Less: cash contribution allowed (<i>line 3</i>)	<u>(15,000)</u> \$35,000
5.	Contribution of ordinary income property to Goodwill (FMV)	10,000
6.	Allowable deduction for ordinary income property contribution (<i>lesser of 4 or 5</i>)	10,000

(continued)

(continued)

LTCG Property: The sculpture contributed to the Art Museum, a public charity, is a long-term investment or personal-use asset that has appreciated in value, so it is long-term capital gain (LTCG) property and is subject to the 30 percent of AGI limitation. The amount of the contribution is the FMV at the date of contribution, which is \$30,000.

7. Limitation for contributions subject to 30% limit:			
Lesser of:			
• AGI \$100,000 × 30%		\$30,000 (a)	
• AGI \$100,000 × 50%	\$50,000		
Less: cash contribution allowed (line 3)	(15,000)		
Less: ordinary income property contribution allowed (line 6)	<u>(10,000)</u>	25,000 (b)	
8. Limitation of deduction (lesser of a or b)			\$25,000
9. Contribution of LTCG property to Art Museum (FMV)			30,000
10. Allowable deduction for LTCG property contribution (lesser of 7 or 8)			\$25,000
11. Total charitable contributions deduction:			
Cash			\$15,000
Ordinary income property			10,000
LTCG property			<u>25,000</u>
Total charitable contribution deduction			<u>\$50,000</u>
12. Charitable contribution carryforward:			
LTCG property contribution (FMV)		\$30,000	
Less: amount deducted in current year		<u>(25,000)</u>	
LTCG property contribution carryforward		<u>\$ 5,000</u>	

3.8 Substantiation Requirements

For contributions of more than \$500 of noncash property, the taxpayer must file Form 8283, giving certain information. In addition, taxpayers claiming more than \$5,000 for any one item or group of similar items, such as a stamp collection, need a written appraisal for each such item or group donated, except that no appraisal is needed for publicly traded securities.

1 Advantages and Disadvantages of Different Qualified Retirement Plans

1.1 Overview

Depending on the type of plan, tax qualified retirement plans offer many advantages to taxpayers, including:

- Pretax contributions
- Tax-deductible contributions
- Tax-deferred accumulation of earnings
- Asset protection from the claims of a taxpayer's creditors
- Avoidance of probate when the retirement plan is part of a trust arrangement or insurance contract. Probate is a formal legal process to administer an estate and distribute assets to the intended beneficiaries.

In exchange for these advantages, the taxpayer must be willing to accept the disadvantages that accompany these plans. For example, income from retirement plans is taxed as ordinary income and not long-term capital gain. Additionally, assets are not liquid and are subject to penalties for premature distributions prior to a specified age (however, there are a few exceptions).

There are more than two dozen types of qualified retirement plans in the United States. Four of the most commonly known plans are:

- Employer-sponsored Section 401(k) plans
- Traditional IRAs
- Roth IRAs
- Annuity contracts

1.2 Employer-Sponsored Retirement Plans

Employer-sponsored retirement plans fall into two broad groups: defined benefit and defined contribution. Employer-sponsored retirement plans can be funded solely with employer contributions, solely with employee contributions, or with a combination of employer and employee contributions.

1.2.1 Defined Benefit Plans

A defined benefit plan, or pension plan, promises employees a specified monthly benefit at normal retirement age. The promised retirement benefit may be a fixed dollar amount or may depend on a defined formula that considers factors such as age, salary, and years of service. The employer sponsors the defined benefit plan and typically will engage investment managers to manage the defined benefit plan's investments. Because the benefit is defined by contract (plan trust agreement) the employer bears the investment risk. If sufficient funds are not available to meet the promised retirement benefit, the employer will have to utilize company earnings to fulfill the promised benefits.

1.2.2 Defined Contribution Plan

A defined contribution plan does not promise a specific benefit payment to an employee upon retirement. Instead, these plans have individual accounts to which the employee and/or the employer contribute. The amount that can be contributed to an employee's account is defined, rather than the amount of the benefit. Unlike the defined benefit plan, the employee bears the investment risk in a defined contribution plan, and the value of the account fluctuates due to changes in the capital markets (investments). The retirement benefit is solely the balance in the employee's account. The balance of the account is comprised of contributions plus (or minus) investment gains (or losses). The most common type of employer-sponsored defined contribution plan is a Section 401(k) plan.

1.3 Section 401(k) Plans

With an employer-sponsored Section 401(k) retirement plan, employees can contribute part of their salary or wages to the plan. Employers often match employee contributions at different rates, based on the terms of the plan. The tax treatment of the contributions and distributions depend on whether the 401(k) plan is a traditional 401(k) or a Roth 401(k).

1.3.1 401(k) Contribution Limits

The maximum amount that an employee can elect to contribute to a 401(k) account is \$22,500 in 2023 (\$30,000 if the employee is age 50 or older). The employee's contribution is limited to the employee's compensation for the year.

The maximum amount that the employee and employer combined can contribute to an employee's 401(k) account is \$66,000 in 2023 (\$73,500 if the employee is age 50 or older).

1.3.2 Traditional vs. Roth 401(k) Contributions

Employees do not pay income tax on wages they elect to contribute to a traditional 401(k), although the wages are still subject to FICA and FUTA taxes. Wages that an employee elects to contribute to a Roth 401(k) are still fully taxable.

If an employer-sponsored 401(k) plan allows, an employee can elect to designate certain employer contributions as Roth, rather than traditional contributions. Employer contributions to an employee's traditional 401(k) account are not taxable income to the employee. However, employer contributions to Roth 401(k) accounts are taxable income to the employee at the time of contribution.

1.3.3 Traditional vs. Roth 401(k) Distributions

Distributions from a traditional 401(k) plan are fully taxable as ordinary income. For Roth 401(k) plans, distributions of principal (contributions) are never taxable, and distributions of earnings are only taxable if it is a nonqualified Roth distribution.

Requirements for a qualified Roth distribution include:

- Taxpayer is age 59 ½ or older; and
- Roth 401(k) has been open for at least five years (from first day of the year of initial contribution).

A nonqualified Roth 401(k) distribution is allocated pro rata between principal (contributions) and earnings based on relative amounts in the account at the time of the distribution.

1.3.4 Penalty for Premature Distributions

There is a 10 percent additional penalty tax on taxable distributions an employee receives before age 59 ½ (or age 55 if he or she is no longer an employee of the 401(k) plan sponsor).

There is no penalty if the premature distribution is for one of the following purposes:

- Medical expenses in excess of percentage of AGI floor
- Adoption or birth of a child within the first year after birth or adoption (\$5,000 maximum)
- Disability (total and permanent disability)
- Divorce: division of account assets under a Qualified Domestic Relations Order (QDRO)
- Death or terminal illness of account owner.
- Disaster: federally declared natural disaster (\$22,000 maximum)

Note that the penalty exceptions for premature distributions from an employer-sponsored retirement plan differ somewhat from those for premature distributions from IRAs.

1.3.5 Rollover of Lump-Sum Distributions

An employee may receive a lump-sum distribution from a 401(k) account when they terminate employment with that employer. If the distribution is rolled over into another qualified retirement plan within 60 days, the employee can avoid paying income tax on the distribution, as well as the 10 percent penalty tax if they are under age 55.

1.3.6 Required Minimum Distributions (RMDs)

Taxpayers are required to start taking required minimum distributions (RMDs) by April 1 of the year after the later of:

- The year the employee reaches age 73
- The year the employee terminates employment with the plan sponsor

The penalty for failure to take RMDs is 25 percent. The penalty amount is reduced to 10 percent if the failure to take the RMD is corrected in a timely manner.

1.4 Individual Retirement Accounts (IRAs)

An Individual Retirement Account (IRA) is a long-term tax advantaged savings account that individual taxpayers (not businesses) fund with earned income. Accumulations in an IRA grow tax deferred, and contributions may be deductible.

1.4.1 IRA Contribution Limits

The annual maximum contribution to IRAs is limited to the lesser of:

2023	Under Age 50	Age 50 and Over
Unmarried	\$6,500 <i>Or</i> Earned income	\$7,500 <i>Or</i> Earned income
Married	\$13,000 (\$6,500 each) <i>Or</i> Earned income of married couple	\$15,000 (\$7,500 each) <i>Or</i> Earned income of married couple

The annual limits apply to the sum of a taxpayer's contributions to traditional and Roth IRAs.

■ **Earned Income Includes:**

- Salary and wages
- Commissions
- Bonuses
- Alimony (for divorce or separation agreements executed before December 31, 2018)
- Net earnings from self-employment
- Non-tuition fellowship and stipend payments treated as taxable compensation

■ **Earned Income Does Not Include:**

- Interest and dividends
- Annuity income
- Pensions
- Alimony (for divorce agreements executed after December 31, 2018)

1.4.2 Deduction of Traditional IRA Contributions

Contributions to traditional IRAs may or may not be deductible. Traditional IRA deductions are deductible from gross income to arrive at adjusted gross income. The adjustment is allowed for a year only if the contribution is made by the due date of the tax return for individuals, which is April 15 (filing extensions are not considered).

A taxpayer's deduction for a traditional IRA contribution is limited if the taxpayer or spouse participates in an employer-sponsored plan.

- **Participation in Employer-Sponsored Retirement Plans:** If a taxpayer participates in an employer-sponsored retirement plan, AGI limitations apply to the deduction allowed for the contribution made to the traditional IRA. The allowed deductible contribution phases out proportionately within the following ranges:

Filing Status	2023 AGI Phase-out
Unmarried	\$73,000–\$83,000
Married filing jointly	\$116,000–\$136,000

- **Special Rule:** If a married taxpayer is not an active participant in an employer's retirement plan, but the spouse is, the deduction for the spouse who is not an active participant is phased out based on the following AGI limitations:

Filing Status	2023 AGI Phase-out
Married filing jointly	\$218,000–\$228,000 (couple's AGI)
Married filing separately	\$0–\$10,000 (each spouse is subject to this limitation—both the participant and the nonparticipant)

Traditional IRA Income Phase-Out Ranges for Married Individuals			
2023 Modified AGI Phase-out	Spouse 1 has earned income		If Spouse 2 has no earned income
	In ESRP?	Can IRA be deducted?	Can IRA be deducted?
N/A	No	Yes	Yes
<\$116,000	Yes	Yes	Yes
\$116,000–\$136,000	Yes	Yes*	Yes
\$136,001–\$217,999	Yes	No	Yes
\$218,000–\$228,000	Yes	No	Yes**
>\$228,000***	Yes	No	No

Note: If Spouse 2 has earned income, follow the same rules as Spouse 1.

ESRP = Employer Sponsored Retirement Plan

*The IRA deduction for the *working* spouse is phased out.

**The IRA deduction for the *nonworking* spouse is phased out.

***At modified AGI of more than \$228,000, neither the working spouse nor the nonworking spouse can deduct their traditional IRA.

Example 1 Phase-out of Traditional IRA Deduction

Facts: Kristi, a 40-year-old single taxpayer, is an active participant in her employer's retirement plan. Kristi's 2023 AGI is \$75,000.

Required: Calculate Kristi's maximum IRA deduction.

Solution: Kristi's maximum 2023 IRA deduction is \$5,200, calculated as follows:

2023 AGI	\$ 75,000
Less phase-out threshold	<u>(73,000)</u>
Excess over phase-out threshold	2,000
Divided by \$10,000 phase-out range	<u>÷ 10,000</u>
Phase-out percentage	20%
× maximum IRA deduction allowed	<u>6,500</u>
Phase-out amount	<u>1,300</u>
2023 allowable IRA deduction	<u>\$ 5,200</u>

Question: What is Kristi's maximum IRA deduction if she does not participate in an employer-sponsored retirement plan?

Answer: \$6,500. She would not be subject to the AGI limitations if she did not participate in an employer-sponsored retirement plan.

1.4.3 Roth IRA Contributions

Contributions to a Roth IRA are not deductible when made. The tax benefits of a Roth IRA occur later, when amounts are distributed.

The ability to contribute to a Roth IRA is limited by modified AGI.

Filing Status	2023 MAGI Phase-out
Unmarried	\$138,000–\$153,000
Married filing jointly	\$218,000–\$228,000
Married filing separately	\$0–\$10,000

1.4.4 IRA Distributions

Distributions for IRAs consist of principal (contributions) and earnings. The tax treatment of a distribution depends on whether the distribution is from a traditional IRA or a Roth IRA.

Any taxable distributions from IRAs are taxed as ordinary income regardless of the type of income, such as capital gain, that was earned while the funds were invested.

1.4.5 Distributions From Traditional IRAs

- Distributions of principal (contributions) are taxable if the taxpayer took a deduction for the contribution when made.
- Distributions of earnings are always taxable, whether or not the taxpayer deducted the contribution when made.
- A distribution from a nondeductible, traditional IRA is allocated between principal (contributions) and earnings pro rata based on relative amounts in the IRA account at the time of the distribution.
- Taxpayers are required to start taking required minimum distributions (RMDs) by April 1 of the year following the year in which the taxpayer reaches age 73.

1.4.6 Distributions From Roth IRAs

- Distributions of principal (contributions) from a Roth IRA are never taxable because taxpayers are not allowed to deduct contributions to a Roth IRA.
- Distributions of earnings from a Roth IRA are only taxable if the distribution is a nonqualified Roth distribution.
- A *qualified distribution* is a distribution from a Roth IRA that:
 1. Is made at least five years after the first day of the year in which the taxpayer made his or her first contribution to the Roth IRA, and
 2. Meets one of the following requirements:
 - taxpayer is age 59½ or older;
 - taxpayer is disabled;
 - taxpayer is a *first-time* homebuyer (has not owned a home for two years) and uses the distribution to purchase a home (maximum \$10,000); or
 - distribution is made to a beneficiary after the taxpayer's death.
- Distributions from Roth IRAs are considered to first come from principal (contributions), then earnings.

Type of Distribution	Principal (Contributions)	Earnings
Nondeductible traditional IRA distribution	Nontaxable	Taxable
Deductible traditional IRA distribution	Taxable	Taxable
Qualified Roth IRA distribution	Nontaxable	Nontaxable
Nonqualified Roth IRA distribution	Nontaxable	Taxable

Example 2 IRA Distribution

Facts: Sally opened an IRA when she was 55 years old and contributed \$5,000. Several years later, when the account had grown to \$8,000, she withdrew \$6,000 to pay for a three-week European vacation.

Required: Determine the amount of Sally's taxable ordinary income from the IRA distribution under four different assumptions:

1. Traditional IRA, deduction was taken for the contribution
2. Traditional IRA, deduction was not taken for the contribution
3. Roth IRA, amount was withdrawn four years after the contribution
4. Roth IRA, amount was withdrawn six years after the contribution

Solution:

1. \$6,000 taxable ordinary income

Traditional IRA and Sally deducted the contribution, so both distribution of principal (contribution) and earnings are taxable. A distribution of any amount is 100 percent taxable.

2. \$2,250 taxable ordinary income

Traditional IRA and Sally did not deduct the contribution, so the distribution of principal (contribution) is not taxable. Distribution of earnings for a traditional IRA are always taxable. The \$8,000 account balance consists of 62.5 percent principal (5,000 contribution / 8,000 total) and 37.5 percent earnings (3,000 earnings / 8,000 total), so 37.5 percent of the distribution is taxable. \$6,000 distribution $\times$ 37.5% taxable portion = \$2,250.

3. \$1,000 taxable ordinary income

The Roth IRA distribution was made before the account had been open for five years, so it is a nonqualified distribution. Distribution of principal (contribution) is not taxable but the earnings are taxable. A distribution from a Roth IRA is considered to come first from principal (contribution), then earnings, so the \$6,000 distribution consists of \$5,000 nontaxable principal and \$1,000 taxable earnings.

4. \$0 taxable ordinary income

The Roth IRA has been open for at least five years and Sally is at least 59½ (55 years old at contribution + Withdrawal six years later = 61 years old at time of distribution). The distribution is a qualified Roth distribution and neither the principal (contribution) nor the earnings are taxed.

1.4.7 Penalty for Premature Distributions

Generally, a premature distribution before age 59½ is subject to a 10 percent penalty tax (in addition to regular income tax) if the individual has not met an exception.

There is no penalty if the premature distribution was used to pay:

- **Homebuyer** (first time): Distribution used toward the purchase of a first home within 120 days of distribution (\$10,000 maximum exclusion)
- **Insurance** (health): If unemployed with 12 consecutive weeks of unemployment compensation
- **Medical** expenses in excess of percentage of AGI floor
- **Disability** (permanent or indefinite disability, but not temporary disability)
- **Education**: College tuition, books, fees, etc.
- **Adoption or birth** of child made within one year from the date of birth or adoption (\$5,000 maximum exclusion)
- **Death** or terminal illness of account owner
- **Disaster**: federally declared natural disaster (\$22,000 maximum exclusion)

1.4.8 Required Minimum Distributions (RMDs)

Taxpayers are required to start taking required minimum distributions (RMDs) from traditional IRAs by April 1 of the year following the year the taxpayer reaches age 73. The RMD requirements for traditional IRAs do not apply to Roth IRAs.

The penalty for failure to take RMDs is 25 percent. The penalty amount is reduced to 10 percent if the failure to take the RMD is corrected in a timely manner.

1.5 Self-Employed Retirement Plans

Self-employed taxpayers are allowed to deduct contributions made to qualified self-employed retirement plans as an above-the-line deduction (adjustment) for AGI. As with employer-sponsored plans, the earnings are not taxed until they are distributed. Distributions from the plan are fully taxable as ordinary income and are subject to the same early and late distribution penalties as other retirement plans. Beginning in 2023, qualified self-employed retirement plans can be designated as Roth plans. Like Roth IRAs, contributions are not deductible and qualified distributions are nontaxable.

The maximum amount that a self-employed taxpayer can contribute to a self-employed retirement plan each year depends on the type of plan. The most common self-employed retirement plans are simplified employee pension (SEP) IRAs, savings incentive match plan for employees (SIMPLE) IRAs, and Solo 401(k)s.

1.5.1 SEP IRA

The 2023 maximum contribution to a SEP IRA is the lesser of:

- 20 percent of self-employment net income reduced by one-half of self-employment tax deduction; or
- \$66,000 (\$73,500 for taxpayers age 50 or older).

1.5.2 SIMPLE IRA

The 2023 maximum contribution to a SIMPLE IRA is the lesser of:

- 100 percent of self-employment net income reduced by one-half of self-employment tax deduction; or
- \$15,500 (\$19,000 for taxpayers age 50 and older).

1.5.3 Solo 401(k)

The 2023 maximum contribution to an individual 401(k) is the lesser of:

- 20 percent of self-employment net income reduced by one-half of self-employment tax deduction; or
- \$66,000 (\$73,500 for taxpayers age 50 or older).

1.6 Roth Conversions

Taxpayers are allowed to convert funds from a traditional 401(k) or IRA to a Roth 401(k) or IRA, either by a direct transfer or a rollover. With a rollover, the taxpayer receives a distribution from a traditional account and must contribute it into a Roth account within 60 days. The 60-day requirement does not apply to direct transfers by a plan administrator from a traditional to a Roth account.

The total amount transferred from the traditional account is taxed as ordinary income. A direct transfer is not subject to the 10 percent premature distribution penalty, but a rollover may be subject to the penalty if the amount is not contributed to a Roth account within 60 days.

Unlike direct contributions to a Roth IRA, Roth IRA conversions are not subject to an annual cap or AGI restrictions.

1.7 Annuities

An annuity, like an IRA, is a long-term tax-advantaged account. The earnings in the annuity contract accumulate on a tax-deferred basis. The parties to the contract are the taxpayer and an insurance company. There are two types of annuity contracts: immediate and deferred.

1.7.1 Immediate Annuity

An immediate annuity is purchased with a single payment, and in exchange for that payment, the taxpayer receives income payments for a fixed period of time, or a lifetime. Immediate annuities do not have an accumulation phase and begin payouts immediately (meaning the payments typically start within 30 days or at least within one year).

1.7.2 Deferred Annuity

A deferred annuity, like an IRA, receives a series of payments (deposits) over time in exchange for a promised future benefit of income payments.

A deferred annuity contract has two phases: the accumulation phase and the payout phase. The accumulation phase is when premiums are paid into the contract and have the potential to grow on a tax-deferred basis. The second phase of an annuity contract is the distribution or payout phase.

A deferred annuity contract may be identified as fixed, variable, or an equity-indexed deferred contract. The variable and equity-indexed deferred annuity contracts fluctuate in value based on the performance of the underlying securities or a securities index. The returns for a fixed deferred annuity contract are guaranteed by the insurance company and are not subject to market volatility. *Note:* fixed and equity-index deferred annuity contracts are general account insurance products and, as such, are subject to the claims of creditors of the insurance company.

1.7.3 Annuity Payments

Each annuity payment received by the taxpayer consists of return of investment (contributions), which are nontaxable, and earnings, which are taxed as ordinary income. How much of each annuity payment is nontaxable return of investment and how much is taxable earnings depends on whether the annuity is a fixed period annuity or a life annuity.

■ Fixed Period Annuity Payments

The annuity exclusion ratio, which is the portion of each annuity payment that is a nontaxable return of investment, is the original investment divided by the expected value of the annuity. For a fixed period annuity, the expected value of the annuity is the amount of each payment times the number of payments.

Example 3 Fixed Period Annuity

Facts: Zoe purchased an annuity for \$60,000 that would pay her \$750 per month for 120 months (10 years).

Required: Calculate the amount of the taxable portion of each annuity payment received.

Solution:

Expected value of the annuity = \$750 monthly annuity payment × 120 months = \$90,000

Annuity exclusion ratio = \$60,000 original investment / \$90,000 expected value = 66.7% return of capital

Taxable portion of each annuity payment = 100% – 66.7% = 33.3% × \$750 monthly payment = **\$249.75**

■ Life Annuity Payments

For a life annuity, the number of annuity payments to be received is unknown, so taxpayers must use IRS life expectancy tables to determine the portion of each annuity payment that is a nontaxable return of investment. The original investment is divided by the appropriate factor from the IRS tables. The IRS factor represents the taxpayer's life expectancy at the time he or she starts receiving the annuity payments. The factor ranges from 360 months for taxpayers age 55 or under to 160 months for taxpayers age 71 or older. The portion of each annuity payment that is a nontaxable return of investment is the original investment divided by the IRS life expectancy factor.

If a taxpayer lives longer than the IRS estimated life expectancy, the entire amount of any additional payments received are taxable. If the taxpayer dies before receiving the expected number of payments, the remaining unrecovered investment is deducted on the taxpayer's final income tax return.

Example 4 Life Annuity

Facts: John purchased an annuity for \$60,000 that would pay him \$600 per month for the rest of his life. John is 64 years old at the annuity start date, so the IRS life expectancy factor is 260 months.

Required: Calculate the amount of the taxable portion of each annuity payment received.

Solution:

Nontaxable return of capital = \$60,000 original investment / 260 months = \$230.77

Taxable portion of each monthly annuity payment = \$600.00 – \$230.77 = **\$369.23**

What if John lived for 270 months? The last ten \$600 monthly payments would be fully taxable because he has recovered all of his original investment over the first 260 months.

What if John died after 250 months? The remaining unrecovered investment of \$2,307.70 (\$230.77 × 10 months) is deducted on John's final income tax return.

1.8 Summary of Most Common Retirement Plans

	Traditional IRA	Roth IRA	Traditional 401(k)	Roth 401(k)	Annuity Contract
Age that distributions can be taken without penalty	59½	59½	59½ (55 if separated from service)	59½ (55 if separated from service)	59½
Pretax contributions	Yes	No	Yes	No	No
After-tax contributions	Yes	Yes	No	Yes	Yes
Required minimum distributions	Yes	No	Yes	Yes	No
Employer contributions	No	No	Yes	Yes	No
Distribution of contributions subject to income tax	Yes	No	Yes	No	No
Distribution of earnings subject to income tax	Yes	No (qualified Roth distribution)	Yes	No (qualified Roth distribution)	Yes

1.9 Selecting a Retirement Plan

An advantage that employer-sponsored 401(k) plans may have over other retirement plan options is that many plans provide for matching contributions to be made by the employer. For example, a plan may provide that an employer will match employee contributions dollar for dollar up to a certain amount, such as \$10,000. Whenever possible, an employee should contribute enough to take full advantage of the employer match.

One consideration in deciding between contributing to a traditional 401(k) or IRA and contributing to a Roth 401(k) or IRA is the individual's current and expected future marginal income tax rates. In general, the tax savings for traditional retirement accounts are up front, through pre-tax contributions, and the tax savings for Roth retirement accounts are at the end, through qualified Roth distributions of tax-free earnings. Generally, taxpayers will be better off contributing to a:

- **Traditional account:** when current marginal tax rate > expected future marginal tax rate.
- **Roth account:** when current marginal tax rate < expected future marginal tax rate.

One additional advantage that a Roth IRA has over other retirement accounts is that a Roth IRA is the only type of retirement account that doesn't require RMDs, so taxpayers can leave the funds in the account for continued tax-free growth.

Example 5 Selection of Retirement Plan

Facts: Paul Smith, a single 55-year-old taxpayer, wants to contribute \$15,000 into his retirement accounts for the current year. Paul is eligible to contribute to either a Roth or traditional 401(k) through his employer, who provides a dollar-for-dollar matching contribution up to \$10,000. Paul's current year AGI is above the AGI limits for making contributions to a Roth IRA and for deducting traditional IRA contributions.

Current income tax rates are at historic lows and are generally expected to increase in the near future. Paul is currently in a 21 percent marginal tax bracket and expects to be in a much higher tax bracket in the future when he starts taking distributions from his retirement accounts.

Required: How much of Paul's \$15,000 contribution amount should be contributed to each of the retirement plan options he has available?

Solution: All \$15,000 should be contributed to Paul's Roth 401(k). Because Paul's employer will match his contributions dollar-for-dollar up to \$10,000, Paul should contribute at least \$10,000 to a Roth 401(k) through his employer to take full advantage of the employer match. Paul is not eligible to make any contributions to a Roth IRA in the current year because of his high AGI. However, he is allowed to contribute up to \$30,000 to his 401(k) account (2023), so he can contribute the remaining \$5,000 to his Roth 401(k) as well.

Paul should contribute to the Roth 401(k), rather than a traditional plan because Paul is currently in a lower tax bracket and expects to be in a higher tax bracket when he starts taking distributions. Because he expects to start taking distributions ten years from now, the five-year and age 59½ requirements for a qualified Roth distribution will be met and the entire distribution (contributions plus earnings) will be tax-free.

If instead Paul contributed to the traditional 401(k), he would reduce his current year AGI by \$15,000, but the tax savings would only be 21 percent and he would have to pay tax on 100 percent of the distribution (contributions plus earnings) later, when he expects to be at a higher marginal tax rate. Paul could also contribute up to \$7,500 to a traditional IRA, but his AGI is too high for him to deduct the contribution, so he would receive no current tax benefit and subsequent distributions of earnings would be taxable.

2 Risks Associated With Investment Options

2.1 Risk

All investments have risk. The level of risk inherent in any given investment dictates the potential return an investor may realize from the investment. The greater the risk, the greater the potential return. Conversely, the lower the risk, the lower the potential return. Quantifying risk for any given investment is essential to the investment planning process. Investment professionals identify two primary types of investment risk:

2.1.1 Nonsystematic Risk

Nonsystematic risk is risk that is unique to a certain industry or company. It is also referred to as business risk. Nonsystematic is risk that does not affect an entire "system"; therefore, an investor can protect against nonsystematic risk by diversifying investments.

Examples of this type of risk include:

- Default risk is the risk that the issuer of a bond will fail to make interest payments or to repay principal when your bond matures.
- Management risk is the risk inherent in any company's day-to-day operations such as discontinuation of sales of a major product or the loss of a key executive.

2.1.2 Systematic Risk

Systematic risk is risk that affects the entire system such as the capital markets or the economy as a whole. Some of the more familiar examples of systematic risk would be:

- **Currency Risk:** the risk that a change in the exchange rate between two relevant currencies can increase or reduce investment return. A large U.S. company with significant foreign sales is exposed to currency risk.
- **Inflation Risk:** also referred to as purchasing power risk, inflation risk is the risk that the general increase in the prices of goods and services will reduce the purchasing power of money and negatively affect the value of investments.
- **Sociopolitical Risk:** the risk that political and social events could negatively affect financial markets and investor attitudes, resulting in system-wide impact on stock prices.

Systematic risk cannot be mitigated through diversification. One way to control systematic risk is to invest in derivatives that provide gains to the investor when the market declines. Short selling (selling an investment in the hopes of buying it back at a lower price later) is another strategy that provides returns when the market declines.

2.2 Equity Securities

Equity securities generally refer to stocks. When investors purchase shares of stock in a corporation, they are purchasing an ownership interest in the issuing corporation. Ownership of stock entitles the shareholder to a portion of the corporation's assets and profits (dividends) equal to the percentage of stock owned. An investor has the potential to lose their entire investment in a company if it should fail. Conversely, an investor has the potential to participate in the growth of a company should it be successful.

2.3 Bonds

In the most basic of terms, a bond is a loan made by an investor to a borrower. A bond has a certificate of indenture which defines the terms of the loan such as the interest rate and maturity date. Bonds may be issued by corporations, municipalities, states and territories, and sovereign governments. Bonds are issued for a variety of reasons, most commonly to finance projects and operations. An owner of a bond is a debtholder, or creditor, of the issuer of the bond. There are dozens of different types of bonds. The two primary types are:

- **Corporate Bonds:** A company will issue a bond rather than seek bank loans for debt financing. Bonds offer a more favorable interest rate with the capital market without a bank acting as an intermediary. The interest on a corporate bond is subject to both federal income tax and state income tax. For exam purposes, US Bonds, or federal bonds, are taxed the same as corporate bonds.
- **Municipal Bonds:** States and municipalities issue municipal bonds to finance the construction of specific projects such as bridges, highways, or schools. The primary differences between municipal bonds and corporate bonds are:
 - Municipal bonds are exempt from federal and most state and local taxes (for residents of the jurisdiction), which makes them attractive to higher income taxpayers.
 - Municipal bonds are considered "safer" than corporate bonds because the municipality has the ability to wage and levy taxes to fulfill its pledge under the bond indenture, whereas a corporation does not.

If a business borrows money to purchase corporate or U.S. bonds, the income generated is taxable; therefore, the interest expense is also deductible. However, if a business borrows money to purchase municipal or state bonds, because the income generated on municipal and state bonds is not taxable, interest expense is not deductible.

3 Planning for Funding Post-Secondary Education

3.1 Funding Post-Secondary Education

There are many tax-efficient education vehicles in the tax law to encourage parents to plan for their children's post-secondary education such as: Section 529 qualified tuition programs, Coverdell education savings accounts, U.S. Series EE savings bonds, and Uniform Gift to Minors Act (UGMA)/Uniform Transfer to Minors Act (UTMA) custodial accounts. For parents who have not funded education accounts (or even for those who have, but their accounts do not cover all the anticipated costs of their children's education), there are other funding avenues available, such as financial aid, Pell grants, federal grants, scholarships, and a variety of other loans.

3.2 Section 529 Qualified Tuition Programs

Section 529 qualified tuition programs (QTPs) are programs established by a state, or eligible educational institution, that allow taxpayers to contribute to an account that prepays qualified educational expenses (prepaid tuition plan) or to a savings account (educational savings plan). The earnings in QTPs grow tax-deferred and qualified distributions from the program are income tax-free. Specific details of QTPs vary significantly between states and institutions. Some states offer a full income tax deduction for contributions while other states only offer a partial income tax deduction.

3.2.1 Prepaid Tuition Plan

A prepaid tuition plan is guaranteed to increase in value at the same rate as college tuition increases. What is being purchased is a semester, a quarter, or some other unit of measure of college tuition. From an investment perspective, the plan is a low-risk, tax-advantaged investment vehicle, with earnings matching the average increase in tuition. The hypothetical earning potential is greater than the interest earned from a savings account or a certificate of deposit because inflation rates for education tend to exceed historical earnings for bank deposits.

Prepaid tuition plans are exempt from federal income tax and may be exempt from state and local income taxes. Typically, the plan is guaranteed by the full faith and credit of the state. The risk to the owner of a prepaid tuition plan is the potential that the beneficiary may choose a school in a state other than the one from which the plan was purchased. The plan may still be used; however, the full cost of tuition in an out-of-state school may not be covered.

3.2.2 Educational Savings Plan

An educational savings plan, unlike a prepaid tuition plan, has no guaranteed benefit. The plan is invested in the stock market and is subject to market conditions. As a result, the amount of savings may not be sufficient to cover all the education costs; however, the funds accumulated may exceed the cost of education, depending on the investment returns.

The assets in an educational savings plan are controlled by the account owner and not the beneficiary (child). Regardless of whether the beneficiary chooses to attend college or is unable to attend, the beneficiary does not have access to the funds.

3.2.3 Funding

A Section 529 QTP is funded by making gifts and is limited to the annual gift tax exclusion amount. Presently, the annual exclusion amount is \$17,000 (2023). However, Section 529 plans allow for an individual to gift up to five years of the annual exclusion amount at one time when contributing to a QTP, which is \$85,000 ($\$17,000 \times 5$ years). With the use of split gifts, a married couple can defer up to \$170,000 per child ($\$17,000 \times 2 = \$34,000 \times 5$ years). The IRS considers the lump-sum gift the equivalent of five years of \$17,000 (or \$34,000) gifts. No additional gifts are allowed for the five-year period following the lump-sum gift.

3.2.4 Qualified Higher Education Expenses

- Tuition, fees, books, supplies, and equipment required for enrollment or attendance at an eligible postsecondary educational institution.
- Room and board for students enrolled at least half-time.

3.2.5 Taxable Portion of Distributions

Distribution of amounts contributed are a non-taxable return of investment in the plan. Distribution of earnings may be taxable if the total distribution for the year is more than the qualified education expenses reduced by tax-free educational assistance (e.g., scholarships, fellowships, grants).

Example 6**Taxable Section 529 QTP Distribution**

Facts: Joe's parents had contributed \$20,000 to a QTP educational savings plan for him before he started college. In August of the current year, when the account balance was \$30,000, Joe began his first year as a full-time college student. He had \$9,000 of qualified education expenses for the year and received \$6,000 as a tax-exempt scholarship. He also received \$5,000 as a QTP distribution, which consisted of \$4,000 of principal (contributions) and \$1,000 of earnings.

Required: Calculate the amount of Joe's taxable QTP distribution for the current year.

Solution: \$400 of Joe's QTP distribution is taxable

Qualified education expenses	\$9,000
Less: tax-free education assistance	<u>(6,000)</u>
Adjusted qualified education expenses (AQEE)	<u>\$3,000</u>

Joe's adjusted expenses of \$3,000 are less than the \$5,000 QTP distribution, so part of the earnings are taxable.

$\$1,000 \text{ earnings} \times (\$3,000 \text{ AQEE} / \$5,000 \text{ QTP distribution}) = \$600 \text{ tax-exempt earnings}$

$\$1,000 \text{ total earnings} - \$600 \text{ tax-exempt earnings} = \$400 \text{ taxable earnings.}$

3.2.6 Additional 10 Percent Penalty Tax

A taxable distribution is subject to a 10 percent penalty tax in addition to ordinary income tax unless one of the following exceptions applies:

- Distribution was paid to beneficiary upon designated beneficiary's death.
- Distribution was made because the designated beneficiary is disabled.
- Distribution was included in taxable income because the designated beneficiary received tax-free educational assistance.
- Distribution was made on account of the attendance of the designated beneficiary at a U.S. military academy.

3.3 Coverdell Education Savings Accounts

A separate education savings account may be set up to pay the qualified education expenses of a designated beneficiary.

- Contributions are nondeductible; maximum contribution per beneficiary is \$2,000 annually.
- The designated beneficiary may be any child under age 18. There is no limit to the number of beneficiaries (each beneficiary has a separate account).
- The maximum allowable contribution amount is phased out for taxpayers with modified adjusted gross income between these amounts:

AGI Phase-out Ranges

Unmarried	\$95,000–\$110,000
Married	\$190,000–\$220,000

- Earnings accumulate tax-free while in an education savings account.
- Distributions, both of principal and interest, are tax-free to the extent that they are used for qualified elementary, secondary, or higher education expenses of the designated beneficiary. The earnings portion of excess distributions is taxable income to the beneficiary.
- Qualified education expenses include tuition, fees, tutoring, books, room and board, supplies, and equipment.
- Any amounts remaining when the beneficiary reaches 30 years of age must be distributed (except in the case of a special needs beneficiary). If the distribution is made directly to the beneficiary, the distributed amount is taxable to the beneficiary and subject to a 10 percent penalty (similar to Section 529 qualified tuition programs (QTPs)). Alternatively, the balance can be rolled over tax free to another family member of the taxpayer with no penalty.
- A taxpayer can claim the American opportunity tax credit or lifetime learning credit for a tax year and exclude from gross income amounts distributed from a Coverdell education savings account. However, the distribution cannot be used for the same educational expenses for which either the American opportunity tax credit or the lifetime learning credit was claimed.

3.4 U.S. Series EE Savings Bonds

Interest income from U.S. Series EE savings bonds issued after 1989 is tax-exempt if used to pay for qualified higher education expenses (reduced by tax-free educational assistance) of the taxpayer, spouse, or dependents. Qualified higher education expenses include tuition and fees, contributions to a qualified tuition program (QTP), and contributions to a Coverdell education savings account. The interest exclusion is proportionally phased out for taxpayers with modified AGI of \$91,850–\$106,850 (\$137,800–\$167,800 MFJ).

3.5 Student Loans

Another very popular mechanism students use to help pay college tuition is a student loan. Unlike other types of financial aid, loans need to be repaid. As a result, special care and planning needs to be made to ensure that any loans taken out can be repaid in the future. Loans for federal student aid must be repaid even if the student does not graduate from the program. The loan may be forgiven, cancelled, or discharged under certain circumstances.

3.5.1 Stafford Loans

Stafford loans are for undergraduate and graduate students who can show financial need after aid from other sources is subtracted from the cost of attendance. The loan is made by the U.S. Department of Education and offers flexible repayment options. There are two types of Federal Stafford loans: subsidized and unsubsidized.

- Subsidized Stafford loans are need-based. The federal government pays the loan interest while the student is attending school, in deferment, or during the grace period before repayment begins.
- Unsubsidized Stafford loans are not need-based, and eligibility is determined by the student's year in school, other financial aid awards, and the estimated cost of attendance. Students who borrow unsubsidized Stafford loans are responsible for all interest that accumulates while they are in school, in deferment, and during the grace period.
- A student may be eligible for one or both types of Stafford loans.

3.5.2 Parent Loans for Undergraduate Students

Parent loans for undergraduate students (PLUS) are federal student loan programs available to the parents of dependent undergraduate students. Parents may borrow up to the cost of attendance minus any other aid through this credit-based loan program each academic year. The PLUS program is not need-based. The parent must meet federal standards of creditworthiness and is responsible for repaying the loan.

3.5.3 Student Loan Interest Expense

The adjustment for education loan interest is limited to \$2,500.

- All interest payments qualify for the adjustment.
- It is phased out for AGI between:

2023	
Unmarried	\$75,000–\$90,000
MFJ	\$155,000–\$185,000

- Deduction is completely phased out at AGI equal to or more than \$90,000 (2023) for unmarried taxpayers (single or head of household) and \$185,000 (2023) for married taxpayers filing jointly. Married taxpayers must file jointly to claim the adjustment.
- A dependent may not claim the adjustment.
- The taxpayer must be legally obligated to pay the loan (e.g., interest paid by a parent on a child's student loan will not qualify for the adjustment).
- Interest is only deductible on loans incurred by a taxpayer solely to pay for qualified education expenses (e.g., general loans such as a home equity line of credit would not qualify).

3.6 Grants

3.6.1 Federal Pell Grant

Federal Pell grants are based on financial need and are awarded to undergraduate students who have not yet earned a bachelor's or professional degree and are enrolled in an eligible degree or certificate program. Amounts for Pell grants change annually. The amount received by a student will depend on cost of attendance for a particular school, a student's financial need, full- or part-time student status, and whether schooling will be for a full academic year or less. Federal Pell grants do not have to be paid back and there is no interest due because it is a grant and not a loan.

3.6.2 Federal Supplemental Educational Opportunity Grant

Federal Supplemental Educational Opportunity grants (FSEOG) provide grants to low-income undergraduate students to finance the costs of post-secondary education. The program is administered directly by the college or university's financial aid office and is "campus-based"—not all schools participate in the program. Participating institutions apply each year for the FSEOG allocation by applying to the Department of Education (DOE). Based on a statutory formula, the DOE awards funds based on the specific institution's previous funding level and the aggregate need of eligible students in attendance in the prior year. The college or university must contribute 25 percent of the award amounts. FSEOGs do not have to be paid back and there is no interest due because it is a grant and not a loan.

3.7 Scholarships and Fellowships

3.7.1 Requirements for Funds to Be Tax-Exempt

Scholarships and fellowships are tax-exempt if:

- The student is pursuing a degree;
- The funds are not payment for services provided; and
- The funds are spent on qualified higher education expenses, such as tuition, fees, books, and supplies but not room and board.

3.7.2 Tuition Reductions

- Undergraduate tuition reduction is tax-exempt if the student is an active or retired employee, spouse, or dependent child of an employee working at the educational institution.
- Graduate teaching assistants and research assistants who receive tuition reductions are taxed on the reduction if it is their only compensation, but not if the reduction is in addition to other taxable compensation.

4 Insurance: Risk Mitigation

4.1 Overview of Risk Mitigation

Risk is pervasive and takes on many forms: exposure to viruses in the air while visiting a friend in the hospital; starting a business; activities that may result in injury, such as downhill skiing; and even owning real estate, such as a personal residence. Risk can be defined as a condition with a possibility of loss or a situation in which an exposure to loss exists. The objective of risk mitigation is not necessarily to eliminate risk, rather it is to effectively choose among the various methods of addressing risk to avoid a catastrophic financial loss.

4.1.1 Methods to Control Risk

- **Avoidance:** Action is taken to remove the risk. Avoidance is appropriate when an entity cannot devise a risk response that will mitigate the risk.
 - If a person wanted to spend time near the beach, instead of purchasing a beach residence, rent one to avoid the risk associated with ownership of a beach house, such as the high maintenance costs and the potential destruction due to severe weather.
 - Instead of purchasing a residence with a swimming pool, purchase a residence with a community pool to avoid the risk of liabilities due to drownings or injuries.
- **Reduction:** Action is taken to reduce the severity of the risk to an acceptable amount.
 - Reduce the risk of a house burning down by installing a fire sprinkler system on the property.
 - Reduce the risk of break-ins and theft of property by installing a security system for the residence.
- **Retention:** Action is taken to absorb all risk internally and not transfer any risk to an insurance company. The entity will not have to pay for insurance but must have a plan to pay for any issues that arise.
 - In industries with a high cost of insurance, self-insurance is a prime example of risk retention.

- **Transfer:** Action is taken to reduce the severity of the risk by transferring, or sharing, risk (usually with an insurance company).
 - Purchase an insurance contract (transferred risk is net of any deductible or coinsurance amounts).
 - Hold harmless agreement (assumption of risk).
 - Incorporation of a business (limits liability).

4.1.2 Guidelines for Risk Management Methods

- For risks that involve high loss severity and high loss frequency, the most suitable technique is avoidance. Insurance premiums on a vacation home in an area prone to flooding could be cost prohibitive. Instead of owning the vacation home, renting the vacation home would avoid the risk.
- For risks that involve low loss severity and high loss frequency, the most suitable technique is reduction. Installing security cameras often discourages thieves and reduces the risks associated with theft.
- For risks that involve high loss severity and low loss frequency, the most suitable technique is risk transfer (insurance). The insured shares the risk with the insurance company and the retained portion has low financial impact.
- For risks that involve low loss severity and low loss frequency, the most suitable technique is retention. These risks rarely occur, and if they occur, their financial impact is inconsequential.

	Low Frequency	High Frequency
Low severity	Risk retention	Risk reduction
High severity	Risk transfer	Risk avoidance

4.2 Life Insurance

Life insurance protects against the economic loss created by death. This type of economic loss is referred to as mortality risk. Life insurance provides income to surviving dependents, satisfies outstanding debts, and pays for funeral expenses and sometimes children's college costs.

A client's insurability is an important aspect of their personal financial plan. Should a client need life insurance for any of a myriad of reasons, the client's insurability will be vital. All life insurance contracts go through an underwriting process before they can be offered to an individual. Additionally, there are numerous riders available for life insurance contracts. There are two main types of contracts: term life insurance and permanent (or "whole") life insurance.

4.2.1 Term Life Insurance

The purchase of a term life insurance contract is analogous to renting an apartment. No ownership is vested in the property, and at the end of the period, the renter is left without a home and faces the prospect of increased rent payments for the current or new apartment. Term insurance works in much the same fashion. If the insured dies prior to the end of the term, the death benefit of the insurance contract is paid to the named beneficiary. If the insured lives beyond the term of the life insurance contract, the insured is faced with higher premium payments should they desire to continue coverage; or worse, they may end up without insurance if the premiums become too expensive.

Term life insurance provides protection for a definite, but limited, period of time. A term life insurance policy is appropriate when there is a limited time need for the protection (such as coverage for children's education needs or a home mortgage) and there are limited funds available for coverage. It is also used to cover the home mortgage (if the main income producer dies).

4.2.2 Permanent Life Insurance

Permanent life insurance is an alternative to term life insurance. Unlike term insurance, permanent life insurance accumulates cash value; and at some point, the accumulated value, and/or current dividends (if a whole life insurance contract), are sufficient to make the premium payments. An analogy may be made to home ownership; at some point in time, the mortgage is paid off and the property is owned free and clear and no additional mortgage payments need to be made.

When the contract's values are used to make premium payments, the life insurance contract is said to be in premium offset. Note: premium offset cannot be guaranteed and is contingent on the insurance company's dividends and earnings within the life insurance contract.

The permanent life insurance contract's accumulated values grow on a tax-deferred basis. Dividends paid by the contract, if applicable, are income tax free, and the accumulated values of the contract may be accessed on a first-in-first-out accounting basis. Additionally, contract values may be accessed through contract loans, with the insurance company using the contract's accumulated value as security for the loan.

Permanent life insurance contracts are often a vital piece of the portfolio of a high-net-worth individual who will be subject to the estate tax. These insurance proceeds are often used to pay the estate tax and give the taxpayer the ability to leave their entire estate to their heirs.

4.3 Long-Term Care Insurance

Long-term care insurance provides a benefit to individuals who are either cognitively impaired or who are unable to perform two of the activities of daily living: eating, bathing, dressing, toileting, transferring (walking), and continence. Health insurance contracts (both group and individual) exclude coverage for the costs of long-term care. A long-term care insurance contract pays the insured a specific daily amount (based on scheduled limits) for services to assist with the activities of daily living. While long-term care benefits are available under Medicare, they are inadequate due to limitations on benefits, as well as eligibility requirements.

4.3.1 Medicare Limitations

The purchase of a long-term care insurance contract should not be considered without an adequate understanding of benefits provided by Medicare. It may be said that long-term care insurance picks up where Medicare leaves off. To qualify for benefits in a skilled nursing facility under Medicare Part A (Hospital Insurance), the patient must meet the following conditions:

- The patient's condition requires skilled nursing care.
- The patient has been in a hospital for at least three days in a row before admission to a participating skilled nursing facility.
- The patient is admitted to the skilled nursing facility within a short period of time after leaving the hospital (within 30 days).
- The patient's care in the skilled nursing facility is for a condition that was treated in the hospital.
- A medical professional certifies that the patient needs and is receiving skilled nursing care.

The first 20 days of a skilled nursing facility care are paid in full by Medicare. For days 21–100, a daily coinsurance payment is required by Medicare. After 100 days of coverage, the patient must pay the full cost of care in a skilled nursing facility. To qualify for a skilled nursing facility, care reimbursement under Medicare, the patient's condition must be expected to improve within a predictable time. Alzheimer's coverage, and other forms of dementia, for which there is no known cure, are specifically excluded.

4.3.2 Benefit Triggers and Activities of Daily Living

The Health Insurance Portability and Accountability Act (HIPAA) defines the six activities of daily living (ADLs): eating, bathing, dressing, transferring from a bed to chair, using the toilet, and maintaining continence. If a person is unable to perform, without substantial assistance from another person, at least two activities of daily living (ADLs) for a period of at least 90 days, they are considered chronically ill. Additionally, if substantial services are required to protect an individual from threats to health and safety due to substantial cognitive impairment (Alzheimer's disease, strokes, or other brain damage) they are considered chronically ill. Both categories, activities of daily living and cognitive impairment, trigger benefits under a long-term care insurance contract.

4.4 Umbrella Contracts

Umbrella insurance contracts provide benefits for a liability claim, as opposed to a benefit for a property claim. A liability claim arises from an injury or damage to another person's property (not the insured). The umbrella contract also provides benefits for the economic risk associated with legal liability. Oftentimes, legal liability is imposed on the insured for injury or for damage to others' property.

The umbrella insurance contract requires the insured (policy owner) to maintain specific underlying liability coverage of specified minimum amounts in their underlying insurance contracts (homeowner's, automobile, etc.). For example, an excess liability insurance contract may mandate that the underlying homeowner's insurance contract have \$500,000 of liability coverage.

If a claim is made under one or more of the underlying insurance contracts, the umbrella insurance contract will provide a benefit only after the limits of the underlying insurance contract are exhausted. An umbrella insurance contract superimposes an "umbrella" of protection over the top of the underlying insurance contract. If the underlying contract does not fully cover a casualty loss, the umbrella policy will provide additional coverage for the loss.

There are exclusions in personal umbrella policies. These exclusions can be divided into three categories: personal, criminal, and business exclusions.

- A personal umbrella policy does not cover your own injuries or damage to your personal property.
- Intentional acts or criminal behaviors (any act committed with the intent to cause personal injury or property damage) are not covered under personal umbrella policies.
- Personal umbrella insurance will not cover damage caused while you are performing business activities, such as any activity as a director or officer of a corporation, any business pursuits, the rendering of, or failure to render, professional services, or workers' compensation obligations.

5 After-Tax Return on Investment

One of the most fundamental tools used by investment professionals is the return on investment (ROI) calculation, which determines the basic return of an investment. It is a ratio that simply compares the gain or loss from an investment relative to its cost but does not take into consideration the length of time an investment is owned by the investor. The formula for ROI is:

$$\text{Return on Investment (ROI)} = \frac{\text{Investment sales price} - \text{Cost of investment}}{\text{Cost of investment}}$$

The return on an investment cannot be viewed in isolation and should be adjusted for taxes. The after-tax rate of return (ATRR) on an investment reflects an investment's return after taking income taxes into account. It is a more accurate measure of an investor's return on investment. The formula is:

$$\text{After-tax rate of return (ATRR)} = \text{Return on Investment (ROI)} \times (1 - \text{Tax rate})$$

Example 7 After-Tax Return on Investment

Facts: Alice Peters, age 57, is an attorney and partner at Warner, Pullman & Gross, LLP. Alice is married, and her spouse Robert is an orthopedic surgeon at Grace Hospital. Their annual household income exceeds \$500,000. Their federal income tax rate is 35 percent, and their state income tax rate is 6 percent. They also have to pay the net investment income (NII) tax of 3.8 percent on unearned income.

Robert was approached by a colleague at work about an investment. Grace Hospital is expanding and is considering the purchase of real estate surrounding the current hospital campus. Several of the physicians are forming an LLC to purchase real estate in anticipation of future real estate purchases by the hospital. This is a risky venture, and the sale of the real estate to the hospital is by no means guaranteed. The initial financial pro forma indicates an investment of \$100,000 from Robert would yield \$125,000 should the hospital purchase the real estate from the physicians group.

Required:

- What is the rate of return on this potential investment?
- What is the after-tax rate of return on this potential investment?

Solution:

Step 1: Calculate the return on investment (ROI):

$$\frac{\$125,000 \text{ Investment sales price} - \$100,000 \text{ Cost of investment}}{\$100,000 \text{ Cost of investment}} = 25\%$$

Step 2: Calculate the after-tax rate of return (ATRR):

$$0.25 \text{ (ROI)} \times (1 - 0.448 \text{ Tax rate}^*) = 13.8\%$$

*35% Federal rate + 6% State rate + 3.8% Tax on NII

6 Planning for Estates and their Beneficiaries

For estate planning purposes, determination of legal ownership of assets and beneficiary designations on those assets can have financial implications. Probate fees, which include court costs, attorney costs, and accountant costs, can be expensive and reduce the amount of the gross estate able to be distributed to the heirs of the estate.

Wills create a plan for the distribution of the estate assets following the death of the person. However, beneficiary designations on assets, such as life insurance policies, retirement accounts, brokerage accounts, bank accounts, and other assets, take precedence over wills. Although the testator owned all these assets, some of these assets may not be part of the probate estate.

Any asset that the decedent owned at the time of death is part of the decedent's estate. The probate estate includes all the assets in the decedent's estate that are not excluded from the probate estate. Assets that are excluded from the probate estate are assets with beneficiary designations, assets that transfer automatically upon death such as POD (pay on death) and TOD (transfer on death), assets titled as joint tenants with rights of survivorship, and assets owned by a decedent's living trust. Reducing the amount of assets in the probate estate is a useful financial planning strategy and needs to be completed prior to the person's death.

There are strategic ways to avoid probate costs and ensure that the assets flow to the proper beneficiaries. Creating a trust, creating POD and TOD accounts, designating beneficiaries on life insurance policies and other financial assets, and titling a property jointly are good ways to avoid the costs of probate and transfer assets to the beneficiaries in a quick and efficient manner.

6.1 Living Trust

A living trust is a legal document used in estate planning that designates a trustee and provides instructions for the distribution of assets after the death of the person. The living trust bypasses the probate process and makes the transfer of assets to the beneficiaries a smoother process. Assets must be assigned to a living trust to be covered by its terms. That means they are re-titled (during the lifetime of the person) to indicate ownership by the trust. Retirement accounts should not be put into a living trust (due to possible complications with early withdrawal penalties), but most other assets would be suitable. Upon death, the trustee of the trust will distribute the assets according to the instructions in the trust agreement.

6.2 Automatic Transfer of Assets

Assets that are designated payable on death (POD) or transfer on death (TOD) automatically transfer to a named beneficiary upon death of the person. POD designations are typically used for bank accounts and certificate of deposits, while TOD designations are typically used for stocks, bonds, deeds, and other similar assets. POD and TOD designations can be used for single or multiple beneficiaries. If more than one primary beneficiary is named, then the person must indicate the percentage each is to receive.

6.3 Beneficiary Designations

Beneficiary designations are designed to ensure that the person has the ultimate say over who will get their assets following their death. Beneficiary designations allow the person to transfer their assets directly to individuals, regardless of the terms of the will. A beneficiary designation can be an individual or multiple individuals. If more than one primary beneficiary is named, then the person must indicate the percentage each is to receive. Beneficiary designations can be made on life insurance policies, retirement accounts, brokerage accounts, bank accounts, and other assets.

6.4 Joint Tenancy With Right of Survivorship

Unlike sole ownership, property held in joint tenancy with the right of survivorship is shared by several owners. The automatic survivorship feature of joint tenancy means that the subject property is not controlled by the terms of an owner's will. Upon death, the property passes automatically to the surviving joint tenant(s) and passes outside the terms of a deceased owner's will or trust.

NOTES

Tax Compliance and Planning for Corporations

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NOTES

Utilizing NOLs and Capital Loss Limitations

1 Net Operating Losses

Corporations are entitled to the same net operating loss (NOL) rules as individuals. NOLs that arise in tax years beginning after December 31, 2017, and before January 1, 2021, can be carried back five years and carried forward indefinitely. An NOL is carried back to the oldest year in the carryback period first. A taxpayer can elect not to carry back and just carry forward. NOLs arising in 2021 and beyond cannot be carried back but can be carried forward indefinitely.

NOL carryforwards from pre-2018 tax years can offset 100 percent of a future year's taxable income. NOL carryforwards from post-2017 tax years can offset 100 percent of taxable income in 2018, 2019, and 2020. Starting in 2021, any NOL carryforwards from post-2017 tax years can only offset 80 percent of the future year's taxable income after deducting any pre-2018 NOL carryforwards.

The following additional points should be noted when calculating the corporate NOL:

1. No charitable contribution deduction is allowed in calculating the NOL.
2. The taxable income limitation normally imposed on the dividends-received deduction does not apply if, after taking into account the full dividends-received deduction, the corporation has an NOL for the year.
3. The NOL deduction for an NOL carryover from another year is not allowed in determining a current year NOL.
4. A corporation may deduct a capital loss carryover from a current year capital gain in calculating an NOL, yet it cannot deduct a capital loss carryback against a net capital gain in determining a current year NOL.



Pass Key

	Offset Other Income	Carryback	Carryforward
Net operating loss (for tax years ending on or before December 31, 2017)	N/A	2	20
Net operating loss (for tax years ending after December 31, 2017, and on or before December 31, 2020)	N/A	5	Indefinitely*
Net operating loss (for tax years ending after December 31, 2020)	N/A	0	Indefinitely*
Corporate net capital loss	-0-	3	5
Individual net capital loss	\$3,000 maximum	0	Indefinitely

*NOLs that are being carried forward can offset 100 percent of taxable income in 2018–2020, and 80 percent of taxable income for 2021 and later.

Example 1 NOL Carryback and Carryforward

Facts: Johnson Corp. is a calendar year C corporation that began doing business in 2017. Johnson Corp. had a 2020 NOL of \$40,000. The company's taxable income in 2017 through 2023 was \$10,000 each year. Johnson Corp.'s marginal tax rate was 34 percent in 2017 and 21 percent in 2018 to 2023.

Required:

1. Calculate the amount of Johnson Corp.'s tax refund from its NOL carryback to 2017, 2018, and 2019.
2. Calculate the amount of the company's NOL carryforward to 2021, 2022, and 2023.
3. Calculate the amount of the company's NOL deduction in 2021, 2022, and 2023.

Solution:

1. The tax refund from Johnson Corp.'s NOL carryback is \$7,600.
2. The amount of the NOL carryforward is \$10,000 in 2021, \$2,000 in 2022, and zero in 2023.
3. The NOL deduction is \$8,000 in 2021, \$2,000 in 2022, and zero in 2023.

	Income (Loss)		Tax Rate		Refund
2020 NOL	\$40,000				
Carryback to 2017	(10,000)	×	34%	=	\$3,400
Carryback to 2018	(10,000)	×	21%	=	2,100
Carryback to 2019	<u>(10,000)</u>	×	21%	=	<u>2,100</u>
NOL carryforward to 2021	\$10,000				
Total refund from carryback					\$7,600
NOL deduction in 2021	<u>(8,000)*</u>				
NOL carryforward to 2022	2,000				
NOL deduction in 2022	<u>(2,000)**</u>				
NOL carryforward to 2023	<u>\$ 0</u>				

*Deduction of NOL carryforward in 2021 and 2022 is limited to 80 percent of that future year's taxable income ($\$10,000 \times 80\% = \$8,000$).

**Because the available carryforward of \$2,000 is less than the maximum allowable deduction of \$8,000 ($\$10,000 \times 80\%$), the entire remaining amount of the \$2,000 NOL can be deducted in 2022.

1.1 Limitations on NOL Carryforwards Following an Ownership Change

When an ownership change occurs with respect to an acquired corporation operating at a loss ("loss corporation" as defined in IRC Section 382), the amount of taxable income that may be offset by the net operating losses of the loss corporation arising before the ownership change is limited. Congress enacted Section 382 to prevent a corporation with a large amount of taxable income from purchasing a company with net operating loss (NOL) carryforwards and using those "acquired" NOLs to offset income.

1.1.1 Section 382 Ownership Change

The Section 382 loss limitations are triggered by an "ownership change." An ownership change under Section 382 occurs when one or more "5-percent shareholders" increase their aggregate ownership of the loss corporation's stock by more than 50 percent over the lowest stock percentage owned by those shareholders during the testing period.

- A "5-percent shareholder" for purposes of this test is any shareholder who owns 5 percent or more of the loss corporation's stock at any time during the testing period.
- The testing period is typically the three-year period ending on, but including, the date of the change in ownership.

Example 2

Section 382 Ownership Change

Facts: ABC Corp. is a loss corporation. On January 1, Year 4, three individuals—X, Y, and Z—each acquired 20 percent of ABC Corp.'s stock. X had acquired 5 percent of ABC Corp.'s stock on January 1, Year 2, so he now owns 25 percent of the stock. Y and Z did not previously own any ABC Corp. stock.

Required: Determine whether a Section 382 ownership change has occurred with the acquisition of ABC Corp.'s stock that triggers the Section 382 loss limitations.

Solution: Yes, a Section 382 ownership change has occurred because the aggregate ownership by 5-percent shareholders increased by more than 50 percent.

1. X, Y, and Z are all "5-percent shareholders" because they all owned at least 5 percent of ABC Corp.'s stock during the testing period, which includes the date they acquired the stock.
2. Increase in stock ownership for all 5-percent shareholders:

	Ending Ownership %		Beginning Ownership %		Increase in Ownership %
Shareholder X	25%	–	5%	=	20%
Shareholder Y	20%	–	0%	=	20%
Shareholder Z	20%	–	0%	=	<u>20%</u>
Aggregate increase					60% > 50%

Notes:

If all the facts were the same, but X owned 5 percent at one point and 10 percent at another point in the three-year window, the answer would remain unchanged because the lowest percentage of ownership would be used to measure the increase in ownership in the three-year window.

1.1.2 Section 382 Limitation

When a Section 382 ownership change occurs, the deduction of pre-change loss corporation NOLs against taxable income each year after the ownership change is limited to the Section 382 limitation amount. If the limitation amount is greater than the taxable income amount for the year, any unused Section 382 limitation is carried forward and increases the next year's limitation amount.

The annual Section 382 limitation amount is equal to the fair market value of the loss corporation's stock immediately before the ownership change multiplied by the federal long-term, tax-exempt rate (a rate published periodically in the Internal Revenue Bulletin).

Example 3 Section 382 Limitation

Facts: ABC Corp., a calendar year C corporation, had \$1 million of NOL carryforwards on January 1, Year 4, when an ownership change of more than 50 percent occurred. The value of the corporation on January 1, Year 4, was \$3 million. The highest federal long-term, tax-exempt interest rate in the three-month period prior to the ownership change was 2 percent.

Required: Calculate the amount of ABC Corp.'s Section 382 limitation.

Solution: The Section 382 limitation amount is calculated as follows:

- $\$3,000,000 \times 2\% = \$60,000$

The amount of taxable income in each post-ownership change year, which may be offset by pre-change NOLs, cannot exceed the \$60,000 Section 382 limitation.

2 Capital Losses

The \$3,000 deduction for net capital losses available to individuals is not allowed to corporations. Thus, a corporation can only use capital losses to offset capital gains.

- **Capital Loss Carryover:** Net capital losses are carried back three years and forward five years. They are carried over as short-term capital losses and are applied only against capital gains.

Example 4 Capital Loss Carryover With NOL

Facts: Lane Corp. has gross income of \$400,000 (including a \$150,000 capital gain) and operating expenses of \$500,000. Lane Corp. has an unexpired capital loss carryover of \$20,000.

Required: Determine Lane Corp.'s NOL.

Solution: Lane Corp. is able to offset its capital gain of \$150,000 by the capital loss carryover of \$20,000. Gross income after deducting the capital loss carryover will now be \$380,000. The current year NOL is calculated as \$380,000 of gross income less operating expenses of \$500,000, which is (\$120,000). Effectively, the capital loss carryover increased the current year NOL.

Illustration 1 **Net Operating Loss Calculation, Utilization of NOL, and Capital Loss Carryforwards**

Loss Co., a calendar year C corporation, had the following items of income and deductions for the current year, 2023:

Gross income from operations	\$250,000
Dividends received (from 40% owned company)	50,000
Capital gains	10,000
Other deductions (not including dividends-received deduction)	280,000

In addition, Loss Co. has the following capital loss carryforward and NOL carryforward schedules:

Capital Loss

Tax Year Generated	Amount	Utilized	Carryforward
3 years ago (2020)	\$ 8,000	\$6,000	\$ 2,000
Prior year (2022)	<u>10,000</u>	<u> </u>	<u>10,000</u>
Total	<u>\$18,000</u>	<u>\$6,000</u>	<u>\$12,000</u>

Net Operating Loss

Tax Year Generated	Amount	Utilized	Carryforward
19 years ago (2004)	\$ 60,000	\$40,000	\$20,000
4 years ago (2019)	<u>80,000</u>	<u>30,000</u>	<u>50,000</u>
Total	<u>\$140,000</u>	<u>\$70,000</u>	<u>\$70,000</u>

The net operating loss for 2023 is calculated as follows:

Calculate taxable income (loss) before the DRD:

Gross income from operations	\$ 250,000
Dividends received (from 40% owned company)	50,000
Capital gains	10,000
Capital loss carryforward*	(10,000)
Other deductions (not including dividends-received deduction)	<u>(280,000)</u>
Taxable income before DRD	<u>\$ 20,000</u>

*Because capital losses can be carried forward five years, the entire amount is available, as none have expired.

Calculate the dividends-received deduction:

Tentative DRD (65% × \$50,000)	\$32,500
DRD taxable income limitation (65% × \$20,000)	\$13,000

(continued)

(continued)

In this case, the DRD is not limited to taxable income since the entire DRD creates an NOL [$\$20,000 - \$32,500 = (\$12,500)$]

Calculate the net operating loss:

Taxable income before DRD	\$ 20,000
Tentative DRD ($65\% \times \$50,000$)	<u>(32,500)</u>
2023 net operating loss**	<u><u>\$ (12,500)</u></u>

**Note that no NOL carryforwards from prior years were used (even though they were available), as an NOL deduction from a prior year is not allowed in the calculation of the current year NOL.

The capital loss carryforward and NOL schedules should now be updated as follows:

Capital Loss

Tax Year Generated	Amount	Utilized	Expired	Carryforward
3 years ago (2020)	\$ 8,000	\$ 8,000		\$ 0
Prior year (2022)	<u>10,000</u>	<u>8,000</u>	\$0	<u>2,000</u>
Total	<u><u>\$18,000</u></u>	<u><u>\$16,000</u></u>		<u><u>\$2,000</u></u>

Net Operating Loss

Tax Year Generated	Amount	Utilized	Expired	Carryforward
19 years ago (2004)	\$ 60,000	\$40,000	\$0	\$20,000
4 years ago (2019)	80,000	30,000	\$0	50,000
Current year (2023)	<u>12,500</u>	<u> </u>		<u>12,500</u>
Total	<u><u>\$152,500</u></u>	<u><u>\$70,000</u></u>		<u><u>\$82,500</u></u>

If next year, 2024, Loss Co. has taxable net income, it would deduct the 2004 NOL first. The 2004 NOL will expire after 20 years (in 2025). Because the NOL was generated before 2018, it can offset 100 percent of 2024 taxable income.

The 2019 NOL would be deducted next, then the 2023 NOL. These post-2017 NOLs are carried forward indefinitely, but can only offset 80 percent of post-2020 taxable income (after deduction of any pre-2018 NOLs).

1 Formation of C Corporations

Formation of a corporation is generally not a taxable event as long as the requirements of IRC Section 351 are met.

1.1 Corporation Tax Consequences

There is no gain or loss recognized by the corporation issuing stock in exchange for property in the following transactions:

- Formation—issuance of common stock
- Reacquisition—purchase of treasury stock
- Resale—sale of treasury stock

1.1.1 Basis of Property Corporation Receives

The general rule is that the *basis of the property* received by a corporation from the transferor/shareholder is the greater of:

1. The transferor/shareholder's adjusted basis (net book value) of the property (plus any gain recognized by the transferor/shareholder); or
2. The debt assumed by a corporation (however, the transferor may recognize gain to prevent a negative basis in stock received in exchange for the property).

If the aggregate adjusted basis of property contributed to a corporation by each transferor/shareholder in a tax-free incorporation exceeds the aggregate fair market value of the property transferred, the corporation's basis in the property is limited to the aggregate fair market value of the property. (This prevents the transfer of property with *built-in losses* to the corporation.)

1.2 Shareholder Tax Consequences

1.2.1 Gain or Loss Realized

The realized gain or loss to the shareholder when property is contributed to a corporation in exchange for stock is calculated as follows:

$$\begin{array}{c}
 \text{FMV of stock received} \\
 \text{Liabilities assumed by the corporation} \\
 \text{FMV of boot (nonqualified property) received by shareholder} \\
 < \text{Basis in property contributed by shareholder} > \\
 \hline
 \text{Realized gain/loss on formation of corporation}
 \end{array}$$

1.2.2 Gain or Loss Recognized

The shareholder contributing property in exchange for corporation common stock does not recognize any gain or loss realized if the following two conditions of IRC Section 351 have been met:

- 1. 80 Percent Control:** Immediately after the transaction, those transferors/shareholders contributing property (control group) must own at least 80 percent of the voting stock and at least 80 percent of the nonvoting stock.
- 2. No Receipt of Boot:** Transfer of property must be solely in exchange for stock.

1.2.3 Recognition of Gain From Boot Received

The following items represent boot (taxable) and will trigger gain recognition (limited to the lesser of the transferor/shareholder's realized gain or fair market value of boot received) by the transferor/shareholder:

- Cash withdrawn
- Receipt of debt securities (e.g., bonds)

1.2.4 Liabilities in Excess of Basis

The amount of liabilities assumed by the corporation that exceeds the adjusted basis of the total assets transferred to the corporation is not boot (per se) but does generate gain. The recognized gain increases stock basis to prevent negative basis.

$$\begin{array}{r} \text{Adjusted basis (NBV) of assets} \\ < \text{Liabilities assumed} > \\ \hline \text{Excess liability} = \text{Gain} \end{array}$$

1.2.5 Contribution of Services: Fair Market Value (Taxable)

Ordinary income (taxable): The shareholder receiving common stock for services rendered must recognize the fair market value as ordinary income.

A shareholder who contributes only services is not counted as part of the control group for purposes of the 80 percent control requirement.

1.3 Shareholder's Basis in Common Stock

The shareholder's basis in common stock received from the corporation is calculated as follows:

$$\begin{array}{r}
 \text{Cash contributed} \\
 \text{FMV of services contributed} \\
 \text{Adjusted basis (NBV) of noncash property contributed} \\
 \text{Gain recognized by the shareholder (for boot received or} \\
 \text{contributed liabilities in excess of basis)} \\
 < \text{FMV of boot received by shareholder} > \\
 < \text{Liabilities assumed by the corporation} > \\
 \hline
 \text{Shareholder's basis in common stock} \\
 \hline
 \hline
 \end{array}$$



Pass Key

General Rule: Income and Basis

The general rule for taxable and nontaxable events and basis applies to shareholder contributions of property to corporations:

Event	Income	Basis
Taxable	FMV	FMV
Nontaxable	None	NBV

Illustration 1 Illustration of Liabilities in Excess of Basis

The ABC Company admits Tim as a one-third shareholder. Tim contributes a building that is worth \$500,000 but has a basis of \$100,000. There is a mortgage of \$225,000 on the building, assumed by the corporation.

		Original cost: \$100,000
		FMV today: \$500,000
		Mortgage: \$225,000
Basis		
\$	<	>
\$		
\$		
\$		"Rollover" cost basis
\$		Liabilities assumed by corporation
\$		"Net basis" (if below zero, gain)
\$		Gain—taxable to shareholder Tim
\$		Basis—of shareholder Tim's common stock
\$		Basis—corporation has in asset



Illustration 2 Shareholder and Corporate Consequences at Formation

Olinto forms a corporation and contributes the following property:

	Adjusted Basis	Fair Market Value
Equipment	\$ 40,000	\$120,000
Building	20,000	40,000
Inventory	<u>80,000</u>	<u>100,000</u>
	<u>\$140,000</u>	<u>\$260,000</u>

Olinto receives 100 shares of stock:

1. Gain realized by Olinto

Amount realized	\$260,000
Adjusted basis	<u>(140,000)</u>
Gain realized	<u>\$120,000</u>

2. Gain recognized by Olinto

0

3. Olinto's stock basis

Old basis	\$140,000
Less: boot	0
Add: recognized gain	<u>0</u>
New basis of stock	<u>\$140,000</u>

4. Basis to corporation

Transferor's basis	\$140,000
Add: gain recognized	<u>0</u>
Basis of assets	<u>\$140,000</u>

Illustration 3 Corporation Formation With Contribution of Liability

Gearty forms a corporation and contributes property with a basis of \$140,000 subject to a \$60,000 mortgage, as shown below:

	Adjusted Basis	Fair Market Value
Assets with \$60,000 mortgage	\$140,000	\$260,000

Gearty received 100 shares of stock with the following results:

1. Gain realized by Gearty

Amount realized	\$260,000
Adjusted basis	<u>(140,000)</u>
Gain realized	<u>\$120,000</u>

2. No gain recognized—no boot received/liabilities do not exceed basis.

3. Gearty's stock basis

Old basis	\$140,000
Less: liability assumed by corporation	(60,000)
Add: recognized gain	<u>0</u>
New basis of stock	<u>\$ 80,000</u>

4. Basis to corporation

Transferor's basis	\$140,000
Add: gain recognized	<u>0</u>
Basis of assets	<u>\$140,000</u>

2 Corporate Distributions

Distributions from corporations to shareholders are taxable to such shareholders if the distributions are classified as dividends.

2.1 Dividends Defined

A dividend is defined by the Internal Revenue Code as a distribution of property by a corporation out of its earnings and profits (E&P).

2.1.1 General Netting Rules

The general rule is that current and accumulated E&P are not netted (see exception in the fourth bullet below). Dividends come from current E&P first, then from accumulated E&P.

- Both current and accumulated E&P are positive: there are no issues; distributions are dividends to the extent of the current and accumulated E&P.
- Both current and accumulated E&P are negative: distributions are not dividends.
- Current E&P is positive and accumulated E&P is negative: distributions are dividends to the extent of current E&P only.
- Current E&P is negative and accumulated E&P is positive: the two amounts are netted, and distributions are dividends if the net amount is positive.

2.1.2 Dividends to Preferred vs. Common Shareholders

A dividend to a preferred shareholder is based on that shareholder's fixed percentage at purchase. Preferred shareholders are not common equity owners of a corporation, and they only get paid based on their preferred percentage; therefore, any dividend payments to a preferred shareholder are considered dividend income to the shareholder. Preferred shareholders are paid in full before common shareholders receive dividends. Common shareholders are residual owners of a corporation and share in the earnings and profits of the corporation as well as the net assets.

2.2 Source of Distributions

2.2.1 Order of Distribution Allocation

Distributions are deemed to come from current E&P first and then from accumulated E&P. Any distribution in excess of both current and accumulated E&P is treated as a nontaxable return of capital that reduces the shareholder's basis in the stock.

Distributions from a corporation are applied in the following order and have the following effects on shareholder income, corporate E&P, and shareholder stock basis:

Source (in Order)	Income to Shareholder	Effect on Shareholder Stock Basis
1. Current earnings and profits	Taxable dividend	None
2. Accumulated earnings and profits	Taxable dividend	None
3. Stock basis	None	Reduction
4. Distributions in excess of E&P and stock basis	Taxable capital gain	None (basis is \$0)

Illustration 4 Distribution Allocation

At December 31, Year 1, the Julie Corporation had \$20,000 of accumulated E&P. For the taxable year, Year 1, Julie had current E&P (before distributions) of \$25,000.

- If Julie makes distributions in Year 2 of \$25,000 or less, the distribution would be a dividend out of current E&P.
- If the distribution is greater than \$25,000, but less than or equal to \$45,000, the distribution would be a dividend as follows: \$25,000 out of current E&P and up to \$20,000 out of accumulated E&P.
- If the distribution is greater than \$45,000, the distribution would be a dividend of \$45,000 (to the extent of current and accumulated E&P), and the excess over \$45,000 is a nontaxable return of capital to the extent of stock basis. If the distribution exceeds the stock basis, any excess is capital gain.

2.2.2 Matching Cash Dividends to Source

It is sometimes necessary to allocate separate cash dividends paid during the year between current and accumulated earnings and profits in order to determine the taxable income for each payment. When dividends are in excess of earnings and profits, the following allocation applies:

- **Current Earnings and Profits**

Current earnings and profits are allocated on a pro rata basis to each distribution, regardless of the actual date of the distributions.

- **Accumulated Earnings and Profits**

Accumulated earnings and profits are applied in chronological order, beginning with the earliest distribution.

Illustration 5 Multiple Distributions in a Year

In Year 1, Linda Corp., a calendar year C corporation, had current earnings and profits of \$15,000 and accumulated earnings and profits of \$10,000. It paid four cash dividends, in February, April, August, and November, of \$7,500 each for a total of \$30,000. Half of each dividend (\$3,750) will be treated as having been made from current earnings and profits taxable to the shareholder to that extent. The remaining \$3,750 of each dividend will be taxable as follows:

February and April: Paid from accumulated earnings and profits (taxable dividend).

August: \$2,500 paid from accumulated earnings and profits (taxable dividend); \$1,250 return of capital.

November: Entire amount is a nontaxable return of capital (up to basis of stock; amount in excess of stock basis will be taxed as capital gain).

2.3 Constructive Dividends

Some transactions, although not in the form of dividends, are treated as such when the payments are not in proportion to stock ownership. Examples include:

- Excessive salaries paid to shareholder employees (unreasonable compensation).
- Excessive rents and royalties.
- "Loans" to shareholders where there is no intent to repay.
- Sale of assets below fair market value.

Note: Corporations may have an incentive to not classify these as dividends since the transactions listed above could create a deductible expense or a loss, while a dividend payment is not a deduction to the corporation. The IRS may reclassify these as dividends to avoid giving the deduction to the corporation and to treat them as income to the recipients.

2.4 Stock Dividends

- **Definition**

A stock dividend is a distribution by a corporation of its own stock to its shareholders.

- **Generally Not Taxable**

Stock dividends are generally not taxable unless the shareholder has a choice of receiving cash or other property.

- **Determination of Value**

The value of the taxable stock dividend is the fair market value on the distribution date.

- **Allocation of Basis**

The basis of a nontaxable stock dividend, where old and new shares are identical, is determined by dividing the basis of the old stock by the number of old and new shares.

Illustration 6 Basis Allocation After Stock Dividend

In Year 1, Linda purchased 100 shares of Conduf stock for \$18,000 (\$180 per share). In Year 2, the corporation declared a 50 percent stock dividend and Linda received 50 new shares. After the stock dividend, the basis of each new share is \$120 ($\$18,000 \div 150$ shares).

2.5 Shareholder Taxable Amount and Basis in Distributed Property

The taxable amount of a dividend from a corporation's earnings and profits depends on what type of entity the shareholder is.

2.5.1 Individual Shareholder

- **Cash Dividends:** amount received
- **Property Dividends:** FMV of property received

2.5.2 Corporate Shareholders (Eligible for the Dividends-Received Deduction)

- **Cash Dividends:** amount received
- **Property Dividends:** FMV of property received

2.6 Corporation Paying Dividend: Taxable Amount

2.6.1 General Rule

The *general rule* is the payment of a dividend does not create a taxable event. A dividend is a reduction of earnings and profits (retained earnings).

2.6.2 Property Dividends

- Distribution of appreciated property:
 - The corporation recognizes gain as if the property had been sold.

$$\frac{\text{FMV of property} - \text{Adjusted basis (NBV)}}{\text{Corp. gain}}$$

- The recipient shareholder includes the FMV of property in income as a dividend (to the extent of E&P).
- Shareholder's basis in property received is the FMV of property.
- Distribution of depreciated property:
 - The corporation cannot recognize a loss.
 - The dividend is taxable income to the shareholder.
 - The basis in the property distributed is the FMV of property.



Pass Key

When the CPA Examination has tested on tax issues related to corporations paying property dividends, it normally involves the following sequence of events:

1. Corporation has no E&P (dividend would not be taxable income).
2. Corporation distributes appreciated property as a dividend.
3. Corporation has a recognized gain (on property dividend).
4. Corporate gain increases/creates corporate E&P.
5. Dividend to shareholder is now taxable income (to extent of E&P).

2.7 Stock Redemption

Stock redemptions occur when a corporation buys back stock from its stockholders. If the stock redemption qualifies for sale or exchange treatment, gain or loss is recognized by the shareholder. If not, the redemption is treated as a dividend to the extent of the corporation's E&P. The corporation can recognize gain (but not loss) on any appreciated property distributed as though it had sold the property for its fair market value.

- **Proportional:** Taxable dividend income (ordinary income to shareholder). Generally, the corporation either redeems or cancels the stock pro rata for all shareholders.
- **Disproportional (Substantially Disproportionate):** Sale by shareholder treated as taxable capital gain/loss to shareholder. Disproportional means that there has been a meaningful reduction in the shareholder's ownership interest. The percentage ownership after the redemption must be less than 50 percent and must be less than 80 percent of the percentage ownership before the redemption. Percentage ownership includes what is owned by certain family members (only spouse, children, grandchildren, and parents). Regardless of family ownership, a complete 100 percent termination of shareholder's interest is considered disproportional.
- **Partial Liquidation of Corporation (Stock Held by a Noncorporate Shareholder):** Treated as an exchange of stock, not as a dividend.
- **Complete Buyout of Shareholder:** Shareholder's entire interest is redeemed, and the transaction is treated as an exchange of stock.
- **Redemption Not Essentially Equivalent to a Dividend:** Treated as an exchange of stock.
- **Redemption to Pay Estate Taxes or Expenses:** Treated as an exchange when the corporation redeems stock that has been included in the decedent's gross estate (subject to dollar and time limitations).

3 Corporation Liquidation

If a corporation is liquidated, the transaction is subject to double taxation (that is, the corporation and the shareholders must generally recognize gain or loss). Note that the corporation generally deducts its liquidation expenses (e.g., filing fees and professional fees) on its final tax return. Corporation liquidation takes two general forms: Either the corporation sells the assets and distributes the cash to the shareholders or distributes the assets to the shareholders.

3.1 Corporation Sells Assets and Distributes Cash to Shareholders

The result of this transaction is:

1. Corporation recognizes gain or loss (as normal) on the sale of the assets; and

$$\begin{array}{r} \text{Sale price} \\ < \text{Basis} > \\ \hline \text{Taxable gain/loss} \\ \hline \hline \end{array}$$

2. Shareholders recognize gain or loss to the extent that cash exceeds adjusted basis of stock.

$$\begin{array}{r} \text{Proceeds} \\ < \text{Stock basis} > \\ \hline \text{Taxable gain/loss} \\ \hline \hline \end{array}$$

3.2 Corporation Distributes Assets to Shareholders

The result of this transaction is:

1. Corporation recognizes gain or loss as if it sold the assets for FMV.

$$\begin{array}{r} \text{FMV} \\ < \text{Basis} > \\ \hline \text{Taxable gain/loss} \\ \hline \hline \end{array}$$

2. Shareholders recognize gain or loss to the extent that the FMV of assets received exceeds the adjusted basis of stock.

$$\frac{\text{FMV}}{\text{< Stock basis >}} \\ \text{Taxable gain/loss}$$

The recognition of gain to the extent of FMV in the case of corporation liquidations to shareholders most often means that the shareholder's basis in distributed property is the FMV of the property.

3.3 Tax-Free Reorganizations

3.3.1 Reorganization Defined

Reorganization includes the following:

- Mergers or consolidations (Type A).
- The acquisition by one corporation of another corporation's stock, stock for stock (Type B).
- The acquisition by one corporation of another corporation's assets, stock for assets (Type C).
- Dividing of the corporation into separate operating corporations (Type D).
- Recapitalizations (Type E).
- A mere change in identity, form, or place of organization (Type F).

3.3.2 Parent/Subsidiary Liquidation

No gain or loss is recognized by either the parent corporation or the subsidiary corporation when the parent, who owns at least 80 percent, liquidates its subsidiary. The parent assumes the basis of the subsidiary's assets as well as any unused NOL or capital loss or charitable contribution carryovers.

3.3.3 Nontaxable Event

- **Corporation: Nontaxable**
 - The reorganization is a nontaxable transaction.
 - All tax attributes remain.
- **Shareholder: Nontaxable**
 - The reorganization is a nontaxable transaction.
 - The shareholder continues to retain his or her original basis.
 - The shareholder recognizes gain to the extent that he or she receives boot (cash) in the reorganization.



Pass Key

The general rule for taxable events and basis applies to reorganizations:

Taxpayer	Event	Income	Basis	Tax Attributes
Corporation	Nontaxable	None	NBV	No Change
Shareholder	Nontaxable	None	NBV	No Change

3.3.4 Continuity of Business

A reorganization is treated as a nontaxable transaction because it results in the continuation of a business in a modified form. In order to meet the "continuity requirement," the acquiring corporation must continue the business of the old entity (or entities) or use a significant portion of the old corporation's assets.

3.3.5 Control Requirement

In addition to the continuity requirement, there is a control test. Control is defined as at least 80 percent of the total voting power of all classes of stock and at least 80 percent of all other classes of stock. This is the same requirement as that of a tax-free incorporation.

3.3.6 Tax Status of Reorganizations

Reorganizations are nontaxable (except to the extent of boot received) because the shareholders have not liquidated their investment but have continued operations in a modified form.



Pass Key

To distinguish the liquidation and reorganization rules, review the following:

	Business Activity	Corporate Consequence	Shareholder Consequence
Liquidation	Completely ceases	Taxable	Taxable
Reorganization	Continues	Nontaxable	Nontaxable

3.4 Section 1244 Small Business Stock: Ordinary Loss

When a corporation's stock is sold or becomes worthless, an original stockholder can be treated as having an ordinary loss (fully tax deductible) instead of a capital loss, up to \$50,000 (\$100,000 if married filing jointly). Any loss in excess of this amount would be a capital loss, which would offset capital gains, and then a maximum \$3,000 (\$1,500 if MFS) per year would be deductible.

- **Maximum Ordinary Loss Deduction**

- Married filing jointly: \$100,000
- All other individual filers: \$50,000

- **Qualifications**

- Cash or property paid to the corporation in exchange for its first \$1,000,000 of capital stock.
- The stock must have been issued to an individual stockholder (or a partnership) for money or other property, but not stock or securities or services rendered.

3.5 Qualified Small Business Stock: Exclusion of Gain

3.5.1 Exclusion Amount

A noncorporate shareholder, who holds qualified small business stock (QSBS) for more than five years, may generally exclude 100 percent of the gain on the sale or exchange of the stock.

Maximum exclusion per qualifying shareholder is limited to 100 percent of the greater of:

- 10 times the taxpayer's basis in the stock; or
- \$10 million (\$5 million if MFS).

3.5.2 Qualifications

Qualified corporation and must have the following:

- Stock issued after August 10, 1993.
- Acquired at the original issuance.
- C corporation only (not an S corporation).
- Less than \$50 million of capital as of the date of stock issuance.
- 80 percent (or more) of the value of the corporation's assets used in the active conduct of one or more qualified trades or businesses.

3.5.3 Taxable Portion

The includable portion of the gain is taxed at regular tax rates.

4 Loans Between C Corporation and Shareholders

4.1 Overview

While the most common forms of shareholder-corporation transactions occur in the form of equity transactions (either contributions to the corporation or distributions from the corporation), corporations also commonly engage in debt-based transactions with shareholders. In these types of transactions, the key issues are that the transactions are well-documented and that the interest rates owed from the shareholder to the corporation, or the corporation to the shareholder, are at or above the market interest rate, which is the applicable federal rate (AFR). If the loan is made at any interest rate lower than the AFR, imputed interest rules may apply.

4.2 Imputed Interest

The most important issue that must be considered when loans between C corporations and shareholders are made at interest rates below the AFR is imputed interest. Imputed interest is the difference between the market interest rate (AFR) and the actual rate charged on the below-market loan. For example, assuming an AFR of 3 percent on a loan of \$100,000, a zero-percent interest loan between a C corporation and a shareholder would generate \$3,000 of imputed interest income to the lender and imputed interest expense to the borrower annually $(3\% - 0\%) \times \$100,000$.

4.3 Imputed Income to Shareholder-Borrower

For below-market loans from a corporation to a shareholder, the imputed interest is often treated as a dividend if the shareholder is not also an employee. To the extent of corporate earnings and profits, the imputed interest would also constitute taxable dividend income for the shareholder. If the shareholder is also an employee, the imputed interest is normally treated as a dividend if the employee owns more than a "de minimis" amount of stock. However, if the loan was made solely in connection with the performance of services, it may be treated as compensation even when the employee owns a substantial amount of stock.

NOTES

1 Filing a Consolidated Tax Return

1.1 Overview of Filing a Consolidated Return

Filing a consolidated return is a privilege afforded to affiliated groups of corporations, and it can only be filed if all of the affiliated corporations consent to such a filing. Not all corporations are allowed the privilege of filing a consolidated return. Examples of those *denied* the privilege include S corporations, foreign corporations, most real estate investment trusts (REITs), some insurance companies, and most exempt organizations.

1.2 Initial Requirements

To be entitled to file a consolidated return, all the corporations in the group must meet the following requirements:

1. Be members of an affiliated group at some time during the tax year; and
2. Each member of the group must file a consent on Form 1122 (Authorization and Consent of Subsidiary Corporation to Be Included in a Consolidated Income Tax Return).
 - Note that the act of filing a consolidated tax return by all the affiliated corporations will satisfy the consent requirement.
 - The election to consolidate (which includes filing the consolidated tax return and attaching Form 1122) must be made no later than the extended due date of the parent corporation's tax return for the year.

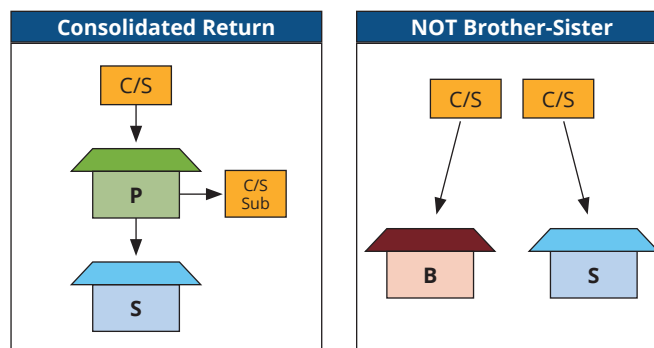
1.3 Affiliated Group Defined

An affiliated group means that a common parent directly owns:

- 80 percent or more of the voting power of all outstanding stock; and
- 80 percent or more of the value of all outstanding stock of each corporation.

1.4 Brother-Sister Corporations

Corporations in which an individual (not a corporation) owns 80 percent or more of the stock of two or more corporations may not file consolidated returns.



1.5 Advantages of Filing a Consolidated Return

Among the advantages of filing a consolidated return are:

- Capital losses of one corporation offset capital gains of another corporation.
- Operating losses of one corporation offset the operating profits of another corporation.
- Dividends received are 100 percent eliminated in consolidation because they are intercompany dividends.
- Certain tax deductions and tax credits may be better utilized when subject to the limitations of the overall consolidated group rather than individual members.
- A corporation's NOL carryover may be applied against the income of the consolidated group.
- Income from certain intercompany sales may be deferred.

1.6 Disadvantages of Filing a Consolidated Return

The disadvantages of filing a consolidated return include:

- Mandatory compliance with complex regulations.
- In the initial consolidated tax return year, a double counting of inventory can occur if group members had intercompany transactions.
- Losses from certain intercompany transactions may be deferred.
- Each member of the group must change its tax year to the same year as the parent corporation. A corporation joining the consolidated group may have to file a short year tax return in addition to its inclusion in the consolidated filing in the same tax year when adopting the parent corporation's tax year.
- Tax credits may be limited by operating losses of other members.
- The election to file consolidated returns is binding for future years and may only be terminated by disbanding the group or seeking permission of the Internal Revenue Service.
- Many states do not allow for the filing of consolidated tax returns, thus companies discover that they file consolidated for federal income tax purposes but must file as a separate company for state income tax purposes resulting in additional tax preparation time and expense.

Illustration 1 Eligibility to File Consolidated

1. Olinto, an individual, owns 100 percent of both corporations A and B. There is no common ownership between corporations A and B. Corporations A and B would not qualify to file consolidated returns since neither corporation is 80 percent or more owned by another corporation.
2. Corporation A owns 100 percent of corporations B and C. Corporations B and C own 60 percent and 40 percent of Corporation D respectively. A, B, C, and D could file consolidated returns. Corporation A would be considered the common parent.

1.7 Consolidated Taxable Income Calculation

Consolidated taxable income is determined using the following steps:

1. Calculate the stand-alone taxable income of each member of the group, as if the member were filing its own separate tax return.
2. Adjustments are made to each member's taxable income to remove the effects of transactions between members of the consolidated group. These include adjustments for the following:
 - Gains and losses that are deferred on intercompany sales between group members. In the year the asset is sold outside the group, a subsequent adjustment will need to be made.
 - Inventory adjustments may be required for intercompany sales.
 - Dividends received by one member from another member are excluded.
3. Gains, losses, and deductions that are required to be determined at the consolidated level are removed from each member's taxable income. This includes the following:
 - Capital gains and losses
 - Section 1231 gains and losses
 - Net operating loss (NOL)
 - Charitable contribution deduction (10% of adjusted taxable income limitation)
 - Dividends-received deduction (ownership: < 20% = 50% deduction; 20–80% = 60% deduction; > 80% = 100% deduction)
4. Each member's resulting taxable income from the previous steps is combined to create the group's combined taxable income.
5. The group's combined taxable income is then adjusted for the items that are required to be determined at the consolidated level (see items from step 3).

Illustration 2 Calculation of Consolidated Taxable Income

A, B, and C corporations file a consolidated tax return for Year 6. (B and C Corporations are wholly owned subsidiaries of A Corporation). Consolidated taxable income is determined as follows (see chart below):

Step 1: Calculate each member's taxable income.

Step 2: Make adjustments to eliminate intercompany transactions.

During the year, the group had the following intercompany activity that requires adjustments:

- B and C paid dividends to A of \$60,000 and \$30,000, respectively.
- B sold inventory to A and recorded a \$50,000 intercompany profit, which needs to be excluded from B's gross receipts and deferred (until the inventory is sold to an outside party).
- C sold a piece of equipment to B and recorded a \$10,000 Section 1231 gain on sale.

(continued)

(continued)

Step 3: Remove the gains, losses, and deductions that should be determined at the consolidated level.

- C's charitable contributions deduction: During the year, C paid \$40,000 in contributions but was limited to \$30,500 at the stand-alone level (10 percent of C's taxable income before the contributions deduction and other special deductions).
- A's dividends-received deduction: \$90,000 of dividends received from B and C at 100 percent deduction; \$110,000 from 30 percent owned domestic company at 65 percent deduction.

Step 4: Calculate the group's combined taxable income.

Step 5: Apply adjustments for items determined at the consolidated level.

- Charitable contributions: At the consolidated level, the contributions limitation is now \$95,700 (10 percent of taxable income of \$957,000), so the group may take the full \$40,000 contributions deduction.
- Dividends-received deduction: The DRD is now applied on the \$110,000 of dividends from the 30 percent owned corporation ($\$110,000 \times 65\% = \$71,500$).

	Step 1			Step 2	Step 3	Step 4	Step 5	
	A	B	C	Adjustments	Eliminations	Combined	Cons. Adj.	Consolidated
Gross receipts	\$1,500,000	\$2,000,000	\$1,000,000	\$ (50,000)		\$4,450,000		\$4,450,000
Cost of goods sold	(750,000)	(1,500,000)	(650,000)	-0-	-0-	(2,900,000)	-0-	(2,900,000)
Gross profit	750,000	500,000	350,000	(50,000)		1,550,000		1,550,000
Dividends	200,000			(90,000)		110,000		110,000
Sec. 1231 gain/(loss)			10,000	(10,000)				
Other income	5,000	1,000	2,000	-0-	-0-	8,000	-0-	8,000
Total income	955,000	501,000	362,000	(150,000)		1,668,000		1,668,000
Salaries/wages	100,000	350,000	50,000			500,000		500,000
Taxes	10,000	15,000	5,000			30,000		30,000
Charitable contributions			30,500		(30,500)		40,000	40,000
Depreciation	5,000	20,000				25,000		25,000
Other deductions	4,000	150,000	2,000	-0-	-0-	156,000	-0-	156,000
Total deductions	119,000	535,000	87,500	-0-	(30,500)	711,000	40,000	751,000
Taxable Income before NOL and special deductions	836,000	(34,000)	274,500	(150,000)	30,500	957,000	(40,000)	917,000
Special deductions (dividends-received deduction)	(161,500)	-0-	-0-	-0-	161,500	-0-	(71,500)	(71,500)
Taxable Income	\$ 674,500	\$ (34,000)	\$ 274,500	\$(150,000)	\$192,000	\$ 957,000	\$(111,500)	\$ 845,500

1.8 Tax Compliance Requirements

Although supplementary attachments and schedules are required, consolidated tax returns are filed using the same Form 1120 as single filing corporations and by checking the box on page 1 indicating that the 1120 is being filed on a consolidated basis.

1.9 Tax Accounting Methods and Periods

Members of the consolidated tax group are generally permitted to continue to use the same accounting methods that were in place prior to filing as a consolidated group. An exception is certain methods which use threshold limitations applied on a consolidated basis, such as the determination of whether a corporation can use the cash method of accounting. Each member of the consolidated tax group must use the parent's tax year.

1.10 Liability for Taxes and Estimated Tax Payments

Each member of the consolidated group is jointly and severally liable for the entire consolidated tax liability, tax penalties, and interest. Estimated tax payments must be made on a consolidated basis starting with the third consolidated tax return year. Prior to the third consolidated return year, estimated tax payments can be computed and paid on either a separate or a consolidated basis.

NOTES

1 Affiliated Groups and Transfer Pricing

An affiliated group of businesses having operations in several countries and conducting sales between affiliates could have a pricing structure that (i) intentionally or unintentionally understates income in some or all of those countries, including the United States; and (ii) results in some countries not receiving as much income tax.

Illustration 1 Sales Between Affiliates

Holding Company, a U.S.-based company, owns 100 percent of the stock of three subsidiaries, each in a different country:

- M Company, a manufacturer in Country M having an income tax rate of 10 percent
- W Company, a wholesaler and distributor in Country W having an income tax rate of 20 percent
- R Company, a retailer in the U.S. having an income tax rate of 30 percent

Facts:

1. Country M and Country W use the U.S. dollar for their currencies.
2. M Company manufactures and sells widgets both to W Company and to unrelated parties. W Company sells those widgets at wholesale to unrelated parties. W Company also sells those widgets to R Company. R Company sells the widgets at retail to unrelated parties for \$9 per widget.
3. M Company's cost of goods sold is \$1 per widget.

Assumptions: For purposes of this example (and to simplify this example), assume the following:

1. None of the subsidiaries has any selling, general, or administrative expenses.
2. Countries M and W do not impose any withholding on dividends paid by companies in those countries to shareholders in other countries.
3. There is no income tax on dividends received.

Set forth below is how Holding Company, in order to minimize income taxes, would ideally want to structure each sale between the subsidiaries:

	M Company	W Company	R Company	Consolidated Corporate Group
<i>Tax rate:</i>	10%	20%	30%	
Sales	\$9.00	\$9.00	\$9.00	\$9.00
COGS	(1.00)	(9.00)	(9.00)	(1.00)
EBT	\$8.00	\$0	\$0	\$8.00
Tax	(0.80)	0	0	(0.80)
N.I.	\$7.20	\$0	\$0	\$7.20

(continued)

(continued)

Although Country M's taxing authorities would not be displeased with this pricing structure (as the corporate group's entire profit is subject to Country M's income tax), the IRS (and the taxing authorities in Country W) would not be pleased with this pricing structure because the corporate group is not paying any income tax to the United States (or to Country W).

To address this situation, the Internal Revenue Code (Sections 482 and 6662(e)(3)) provides the IRS with the authority (i) to adjust the income and deductions (including COGS) of M Company, W Company, and R Company to prevent evasion of taxes or to clearly reflect income; and (ii) to impose penalties with respect to those adjustments. As a result, with respect to R Company's sales of widgets, the IRS would most likely reduce R Company's COGS, and R Company would then pay income tax to the U.S. Treasury.

Additional Explanatory Note: The corporate group knows that every widget that the group (via R Company) sells to end users/customers will bring the group \$9. So, if we ignore IRC Section 482, the group wants to set up an intercompany pricing arrangement that will minimize the group's income taxes due, per sale, to all countries. The best way to do so is to have M sell to W at \$9; next W sells to R at \$9; and then R sells to the end customer at \$9. In this manner, the entire profit of the corporate group is reported by M, the company subject to the lowest income tax rate.

1.1 Definitions

- A "controlled taxpayer" is any one of two or more taxpayers owned or controlled directly or indirectly by the same interests, and the definition includes a taxpayer that owns or controls the other taxpayers.
- "Uncontrolled taxpayer" means any one of two or more taxpayers not owned or controlled directly or indirectly by the same interests.
- "Controlled" includes any kind of control, direct or indirect, whether legally enforceable or not, and however exercisable or exercised, including control resulting from the actions of two or more taxpayers acting in concert or with a common goal or purpose. A presumption of control arises if income or deductions have been arbitrarily shifted.
- For purposes of the IRS's authority to make these adjustments with respect to controlled transactions, "taxpayer" means any person, organization, or business, whether or not subject to any tax imposed by the IRC.
- "Controlled transaction" or "controlled transfer" means any transaction or transfer between two or more members of the same group of controlled taxpayers.
- "Uncontrolled transaction" means any transaction between two or more taxpayers that are not members of the same group of controlled taxpayers.
- "Uncontrolled comparable" means the uncontrolled transaction or uncontrolled taxpayer that is compared, under any applicable pricing methodology, with a controlled transaction or with a controlled taxpayer. (Example: Under the comparable profits method, an uncontrolled comparable is any uncontrolled taxpayer from which data are used to establish a comparable operating profit.)

1.2 IRS Distribution/Apportionment/Allocation

To prevent the evasion of taxes or to clearly reflect the income of two or more organizations, trades, or businesses that are directly or indirectly owned by the same interests, the Internal Revenue Code (IRC) authorizes the IRS to adjust (the IRC uses "distribute, apportion, or allocate") upward or downward the gross income, deductions, credits, and allowances between or among such organizations, trades, or businesses.

These organizations, trades, or businesses need not be incorporated, organized in the United States, or affiliated. The IRS's authority to make these adjustments also extends to members of an affiliated group that file a consolidated U.S. income tax return.

1.3 Arm's-Length Standard

The IRS adjustments, necessary to determine "true taxable income" (as opposed to the taxable income that the taxpayer reported on the taxpayer's income tax return), apply to controlled transactions and controlled transfers. The purpose of these adjustments is to assure that reported prices (as adjusted per this authority given to the IRS) that one affiliate ("controlled taxpayer") charges to another affiliate yield results that are consistent with the results that would have been realized if uncontrolled taxpayers had engaged in the same transaction under the same circumstances (the "arm's-length" standard).

1.3.1 Consistent Results

A controlled transaction or controlled transfer meets the arm's-length standard if the results of the transaction or the transfer are consistent with the results that would have been realized if uncontrolled taxpayers had engaged in the same transaction or transfer under the same circumstances (the "arm's-length" result).

1.3.2 Comparable Transactions and Standards of Comparability

Because identical transactions can rarely be located, whether a transaction produces an arm's-length result generally will be determined by reference to the results of comparable transactions. Various standards of comparability (applicable pricing methodologies) are allowable and are set forth in U.S. Treasury regulations. The most common pricing methods are listed below.

- **Comparable Uncontrolled Price (CUP):** Only for tangible property (sales, purchases, and leases).
 - CUP based upon reference to published market data.
- **Comparable Uncontrolled Transaction (CUT):** Only for intangible property (regarding royalty payments).
- **Resale Price:** Tangible property only.
- **Cost Plus:** Tangible property only.
- **Comparable Profits Method:** Based upon operating margin, gross margin, return on assets, or return on capital.

1.4 Transfer Pricing Issues

The IRS often makes adjustments when there are transfer pricing issues. Transfer pricing issues exist under the following circumstances:

- A U.S.-based taxpayer transfers, sells, purchases, or leases tangible property or intangible property to or from an affiliate that either:
 - is not subject to U.S. income tax; or
 - does not file a consolidated income tax return with the U.S.-based taxpayer.
- A U.S.-based taxpayer enters into loan agreements or service contracts with an affiliate that either:
 - is not subject to U.S. income tax; or
 - does not file a consolidated income tax return with the U.S.-based taxpayer.
- A U.S.-based taxpayer shares costs with an affiliate that either:
 - is not subject to U.S. income tax; or
 - does not file a consolidated income tax return with the U.S.-based taxpayer.

1.5 IRS Options

These adjustments include the ability of the IRS to do the following:

- Modify the basis of assets; and
- Require the taxpayer to recognize income with respect to an otherwise tax-free transaction (such as a tax-free, like-kind exchange or a tax-free incorporation of a business).

1.6 Authority of the IRS to Make Adjustments

The IRS's authority to make these adjustments extends to any case in which, either by inadvertence or design, the taxable income of a controlled taxpayer is other than what the taxable income would have been if the taxpayer had been dealing at arm's-length with an uncontrolled taxpayer.

- This authority is not limited to cases of improper accounting, fraud, sham transactions, or devices and schemes designed to reduce or avoid tax by shifting or distorting income, deductions, credits, or allowances.
- However, the courts will reverse such adjustments if the controlled taxpayer shows that the results of its transactions are within an arm's-length range established by two or more uncontrolled comparable transactions based upon a single pricing method.

1.7 Limited Right of a Controlled Taxpayer to Make Adjustments

A controlled taxpayer has a limited right to make these same adjustments.

- If necessary to reflect arm's-length pricing, in a timely filed income tax return, a controlled taxpayer may report the result of controlled transactions and of controlled transfers based upon prices different from those actually charged.
- With respect to (i) untimely filed income tax returns, and (ii) amended income tax returns, the taxpayer cannot make any such adjustments which result in decreasing taxable income.

1.8 Avoidance of Penalties

A taxpayer may owe additional federal income tax due to IRS adjustments with respect to controlled transactions and controlled transfers. The taxpayer can generally avoid the "substantial valuation misstatement" penalty and the "gross valuation misstatement" penalty if any one or more of the following circumstances apply:

1.8.1 Section 482 Study Based on Allowable Pricing Methods

The taxpayer may prepare and document a "Section 482 study" based upon allowable pricing methods set forth in the U.S. Treasury regulations.

- The taxpayer must determine that the prices for controlled transactions and controlled transfers are in accordance with the allowable pricing methods set forth in the U.S. Treasury regulations and that the taxpayer's use of such method was reasonable.
- The documented study must be completed no later than the date the taxpayer files the federal income tax return.

1.8.2 Section 482 Study Not Based on Allowable Pricing Methods

The taxpayer may prepare and document a "Section 482 study" that is not based upon allowable pricing methods set forth in the U.S. Treasury regulations.

- The taxpayer must establish that none of such pricing methods was likely to result in a price that would clearly reflect income, that the taxpayer used another pricing method to determine such price, and that such other pricing method was likely to result in a price that would clearly reflect income.
- The documented study must be completed no later than the date the taxpayer files the federal income tax return.

1.8.3 Transactions Solely Between Foreign Corporations

Penalties may be avoided if any portion of such net increase in federal income tax is attributable to any transaction solely between foreign corporations unless, in the case of any such corporations, the treatment of such transaction affects the determination of income from sources within the United States or taxable income effectively connected with the conduct of a trade or business within the United States.

1.9 Competent Authority

- In certain circumstances, the taxpayer can request that the IRS and the taxing officials in the other country or countries together ascertain the appropriate transfer price so that the taxpayer group is not taxed twice on the same income.
- Such a request is a "request for competent authority," and the taxpayer may make this request any time after an IRS action results in taxation that is inconsistent with the provisions of any applicable treaty.

1.10 Advance Pricing Agreement Program

The IRS website states:

In early 2012, the Advance Pricing Agreement (APA) Program merged with that portion of the Office of the U.S. Competent Authority (USCA) that resolves transfer pricing cases under the mutual agreement procedures of the United States' bilateral income tax conventions to form the Advance Pricing and Mutual Agreement (APMA) Program. APMA's mission is to resolve actual or potential transfer pricing disputes in a timely, principled, and cooperative manner. (<https://www.irs.gov/Businesses/Corporations/APMA>, accessed May 2016.)

- An APA normally requires agreement on the following issues:
 - Choosing a transfer pricing method (TPM).
 - Selecting comparable uncontrolled companies or transactions (comparables).
 - Deciding on the years over which comparables' results are analyzed.
 - Adjusting the comparables' results because of differences with the tested party.
 - Constructing a range of arm's-length results.
 - Testing the results during the APA period.
 - Agreeing on critical assumptions.
- Often two or more approaches to certain issues are possible, and there may be no clear basis for preferring one approach over another. In such situations, the IRS may give the taxpayer the taxpayer's preferred treatment of some issues if the taxpayer agrees to the IRS using its preferred treatment of other issues.

2 Entity Classification and Sourcing of Income

When a corporation has a place of business that generates revenue in a country that is not its home country, the concept of permanent establishment applies.

Permanent establishment applies when the corporation:

- conducts business in a foreign country on a regular basis;
- has a permanent location in a foreign country; and
- operates the corporation's business through the foreign location.

These rules apply to most businesses that operate a foreign branch or foreign subsidiary outside of their home country. A fixed place of business often includes the following activities:

- Foreign branches
- Foreign subsidiaries

Permanent establishment may also include situations where the corporation has a virtual economic presence in another country. The specific rules surrounding what constitutes a permanent establishment may vary based on the specific applicable treaty.

2.1 Entity Classification

A foreign entity is generally classified as either a foreign branch or a foreign subsidiary:

- **Foreign Branch:** This is an unincorporated foreign entity that is viewed as an extension of the domestic corporation. It is not a separate legal entity; however, earnings from the branch are generally taxed by the foreign host country as well. Federal tax consequences related to a foreign branch are:
 - Profits (or losses) earned by the branch are treated as being earned directly by the domestic corporation and are accordingly taxed in full when earned. This allows any losses incurred by the foreign branch to offset domestic income earned by the U.S. company.
 - A credit against taxes is allowed for the lesser of foreign tax imposed by the branch's host country or the foreign tax credit limitation.
 - Remittance of branch profits back to the domestic corporation is generally not a taxable event for federal tax purposes, as the profits are taxed when earned (one exception would be any related foreign currency exchange gains or losses that occur upon repatriation). However, the foreign host country may impose a branch profits tax, which is basically a withholding tax on branch income remitted back to the domestic corporation.
- **Foreign Subsidiary:** This is a separate legal entity, incorporated under the laws of the foreign host country. Accordingly, the subsidiary profits are taxed by the host country. Federal tax consequences related to the foreign subsidiary are:
 - Income earned by the subsidiary is not taxed until the earnings are brought back to the United States in the form of a dividend. In this way, the U.S. company has control over when foreign profits are recognized.
 - Certain types of income earned are not allowed to be deferred and are subject to immediate taxation (e.g., passive investment income).
 - Because the foreign subsidiary is a separate legal entity and taxation on profits may be deferred, it is important that transactions between the U.S. parent and foreign subsidiary follow the rules of transfer pricing, or penalties will be imposed.

2.2 Sourcing of Income

2.2.1 Sourcing Rules for Gross Income and Deductions

Sourcing rules determine whether income and deductions are generated from sources within or outside the United States. For non-U.S. persons, the sourcing rules help to provide limitations on the income that is subject to U.S. taxation. For U.S. persons, the sourcing rules help to determine the income that is included in the numerator as foreign taxable income.

The IRC identifies nine items of income that should be treated as sources of income from within the United States:

1. **Interest:** Interest from the United States or the District of Columbia and interest on bonds, notes, or other interest-bearing obligations of noncorporate residents or domestic corporations.
2. **Dividends:** The source of dividends is generally determined by the residence of the corporation paying the dividend.

- 3. Personal Services:** Compensation for labor or personal services performed in the United States; there is a special exception for individuals temporarily performing services in the U.S. They must meet the following requirements:
- The labor or services are performed by a nonresident alien individual temporarily present in the United States for a period or periods not exceeding a total of 90 days during the taxable year;
 - Such compensation does not exceed \$3,000 in the aggregate; and
 - The compensation is for labor or services performed as an employee of or under a contract with:
 - a nonresident alien, foreign partnership, or foreign corporation, not engaged in trade or business within the United States; or
 - an individual who is a citizen or resident of the United States, a domestic partnership, or a domestic corporation, if such labor or services are performed for an office or place of business maintained in a foreign country or in a possession of the United States by such individual, partnership, or corporation.
- 4. Rents and Royalties:** Rentals or royalties from property located in the United States or from any interest in such property, including rentals or royalties for the use of or for the privilege of using in the United States patents, copyrights, secret processes and formulas, goodwill, trademarks, trade brands, franchises, and other like property.
- 5. Disposition of U.S. Real Property Interest:** Gains, profits, and income from the disposition of a United States real property interest.
- 6. Sale or Exchange of Inventory Property:** Gains, profits, and income derived from the purchase of inventory property outside the United States (other than within a possession of the United States) and its sale or exchange within the United States.
- 7. Underwriting Income:** Amounts received as underwriting income (as defined in Section 832(b)(3)) derived from the issuing (or reinsuring) of any insurance or annuity contract.
- 8. Social Security Benefits**
- 9. Guarantees:** Amounts received, directly or indirectly, from:
- a noncorporate resident or domestic corporation for the provision of a guarantee of any indebtedness of such resident or corporation, or
 - any foreign person for the provision of a guarantee of any indebtedness of such person, if such amount is connected with income which is effectively connected (or treated as effectively connected) with the conduct of a trade or business in the United States.

After the determination of the source of the income (U.S. or foreign), a taxpayer may be required to allocate and apportion allowable deductions to determine U.S. taxable income and foreign source taxable income. The foreign source taxable income will be used to calculate the foreign tax credit limitation.

Illustration 2 Sourcing Rules for Gross Income and Deductions

Facts: MNE Corp. is a U.S. corporation, with operations in the United States and France. MNE has the following sources of income this year:

- \$5,000 in dividend income from B Corp., a U.S. corporation.
- \$10,000 in interest income from a loan to F Corp., a French subsidiary of MNE Corp.
- \$17,000 in interest income from a loan to U Corp., a U.S. subsidiary of MNE Corp.
- \$29,000 in rental income for use of commercial property in South Carolina paid by its French subsidiary, F Corp.
- \$36,000 in rental income for use of commercial property in Nice, France, paid by its U.S. subsidiary, U. Corp.
- \$43,000 in royalty income paid by its French subsidiary, F Corp., for use of a patent in France.

Required:

1. What is MNE Corp.'s U.S.-source income for the year from these transactions?
2. What is MNE Corp.'s foreign-source income for the year from these transactions?

Solution:

1. **U.S.-source income:** \$51,000 (\$5,000 dividend income + \$17,000 interest income + \$29,000 rental income).
2. **Foreign-source income:** \$89,000 (\$10,000 dividend income + \$36,000 interest income + \$43,000 royalty income).

Dividend Income: Dividend income is sourced to the location of the entity paying the dividend, which is the United States in this situation, making \$5,000 U.S.-source income.

Interest Income: Interest income is sourced to the location of the entity paying the interest. For the \$10,000 of interest income, the payer is in France, which makes this income foreign source. For the \$17,000 of interest income, the payer is in the United States, which makes this income U.S.-source income.

Rental and Royalty Income: Rental and royalty income is sourced either to where the underlying property is located (in the case of tangible property) or where the property is used (in the case of intangible property). This means that the location of the entity making the payment does not typically matter for rental income, but it does matter for royalty income for intangibles.

In this problem, the \$29,000 of rental income for the South Carolina property is U.S.-source income, even though the paying entity is foreign. The \$36,000 of rental income for the French property is foreign-source income because the underlying property is foreign, even though the paying entity is domestic. Because the \$43,000 of royalties are for patents used in France, they are foreign-source income (i.e., sourced to where the intangible property is used).

3 U.S. Taxation of Foreign Transactions

3.1 Worldwide Tax System

The U.S. tax system is classified as a worldwide tax system because citizens and residents are generally subject to tax on their worldwide income. Some provisions, however, allow for the exemption of certain foreign income, which instead follows a territorial-style approach (described below).

3.2 Territorial Tax System

Under a territorial tax system, a nation only taxes its citizens and residents on income earned inside its borders. Income earned outside the country's borders is not subject to tax.

Taxation is based on whether a person is actually present in the country and deriving income from within its borders. This is referred to as source-country taxation.

Most countries that are members of the Organization for Economic Cooperation and Development (OECD) employ a territorial-style tax system.

In December 2017, the U.S. government passed the Tax Cuts and Jobs Act (TCJA). The act allows certain U.S. corporations earning dividend income outside U.S. borders to take a 100 percent dividends-received deduction against such income, thereby exempting the income from U.S. taxation. This deduction applies to amounts received from certain foreign corporations and reduces the effective tax rate to zero on this type of income.

3.3 Taxation of Noncitizens and Nonresidents

Taxation of noncitizens and nonresidents generally requires a connection or nexus to the country. Most nations have rules that define "substantial presence" within the country and rules that determine when income is treated as "effectively connected" to the country. The rules provide thresholds for triggering the taxation of foreign persons.

4 Foreign Tax Credit

Under a worldwide tax system, the primary mechanism for mitigating double taxation is the foreign tax credit. The United States allows U.S. taxpayers to take a foreign tax credit for income taxes paid to a foreign government.

4.1 Foreign Tax Credit Limitation

If a U.S. taxpayer earns income in a foreign jurisdiction with a higher tax rate than the United States, no residual taxes will be paid to the U.S. government, but the foreign tax credit will be limited to the amount of U.S. taxes attributable to the foreign-source income. This helps ensure that the U.S. tax liability tied to income earned in the United States is not offset by an unlimited foreign tax credit.

The limitation calculation is as follows:

$$\text{Pre-credit U.S. tax on total taxable income} \times \frac{\text{Foreign source income}}{\text{Total taxable income}^*}$$

* Total taxable income includes both foreign source income and all other taxable income, including domestic income.

4.2 Separate Limitation Calculations

Foreign income is sourced into separate categories to prevent a company from using excess credits from high-tax foreign business profits to offset low-taxed passive investment income. The foreign tax credit limitation must be applied separately to each of the following categories of income:

- Passive category income (dividends, interest, rents, royalties)
- General category income (active business income)
- Foreign branch income
- Global intangible low-taxed income

4.3 Calculating the Foreign Tax Credit Limitation by Category

Once the income is sourced, the company applies a separate foreign tax credit (FTC) limitation to each category of income. The formula for computing the separate category limitations is the same as that for computing the overall limitation, except the numerator is now the separate category of income:

$$\text{Pre-credit U.S. tax on total taxable income} \times \frac{\text{Separate category foreign income}}{\text{Total taxable income}^*}$$

* Total taxable income includes all taxable income from all foreign categories as well as all other taxable income, including domestic income.

- The foreign tax credit is allowed for a foreign tax that the U.S. deems to be an income tax (or tax "in lieu of" income tax). This generally includes taxes on wages, interest, dividends, and royalties. It does not typically include sales taxes, value added taxes, property taxes, or customs taxes.
- The credit allowed for that category is the lesser of the limitation for that category or the foreign taxes related to that category. The total FTC is then the sum of the credits allowed for all categories.
- A corporation calculates and reports its foreign tax credit on Form 1118 Foreign Tax Credit—Corporations, and individuals, estates, and trusts use Form 1116 Foreign Tax Credit (Individual, Estate, and Trust).
- Taxpayers can elect to deduct foreign taxes rather than claim the credit, which can be a good decision if the taxpayer does not expect to utilize the credit in the 10-year carryforward period.

5 Participation Exemption or Dividends-Received Deduction

Under a territorial tax system, the primary mechanism for mitigating double taxation is a participation exemption or dividends-received deduction.

- A participation exemption allows the taxpayer to exempt foreign income from taxation.
- A dividends-received deduction (DRD) allows the taxpayer to offset dividend income from foreign sources with a deduction.
- Unlike a worldwide tax system, no residual taxes are imposed on a taxpayer earning income in a low-tax jurisdiction, meaning the taxpayer is subject to the same rate of tax as other persons operating in the foreign jurisdiction.

A U.S. corporation is allowed to exempt foreign-source dividend payments from U.S. taxation by taking a 100 percent dividends-received deduction against such income if it owns 10 percent or more of the dividend-paying foreign corporation.

- No residual tax is imposed on dividend repatriations from foreign jurisdictions and the U.S. government will not collect taxes on the foreign income.
- A 10 percent shareholder that is not a U.S. corporation is not eligible for the DRD.

5.1 Special Rules

- No foreign tax credit or deduction is allowed on dividends that benefit from the 100 percent dividends-received deduction.
- The deduction is subject to a holding period requirement, which requires that the U.S. corporation hold the foreign corporation stock for more than 365 days during the 731-day period beginning 365 days before the ex-dividend date.
- Certain income is not eligible for the 100 percent dividends-received deduction:
 - Subpart F income
 - Global intangible low-taxed income
 - Income invested in U.S. property
 - Income subject to the transition tax

6 Foreign Activities of U.S. Persons (Outbound Transactions)

When a U.S. person invests abroad, it is considered an outbound transaction. The income earned outside U.S. borders is generally referred to as foreign-source income.

The definition of a U.S. person includes:

- U.S. citizen
- U.S. resident alien
- U.S. partnership
- U.S. corporation
- U.S. trusts and estates

U.S. persons can generally defer U.S. taxes on foreign-source income until such income is repatriated to the United States (e.g., in the form of a dividend). The benefit of deferral usually applies to income earned abroad through active operations.

6.1 Anti-deferral Rules

The United States has two anti-deferral regimes that result in the current taxation of foreign-source income:

- Passive foreign investment company regime
- Controlled foreign corporation rules/Subpart F regime

6.1.1 Passive Foreign Investment Company (PFIC)

A foreign entity is a PFIC if it meets a gross income or asset test:

- The income test classifies an entity as a PFIC if 75 percent or more of the foreign corporation's gross income is passive (e.g., dividends, interests, rents, royalties).
- The asset test classifies an entity as a PFIC if at least 50 percent of the foreign corporation's total assets are passive assets (e.g., assets that produce passive income).

Direct and indirect U.S. shareholders of a PFIC are subject to PFIC rules, and PFIC undistributed earnings are subject to U.S. taxation under one of three methods (designed to eliminate benefit of deferral):

1. Qualified electing fund
2. Mark-to-market method
3. Excess distribution method

6.1.2 Subpart F Income

The United States generally does not tax foreign business profits earned through a foreign subsidiary until the subsidiary repatriates those earnings as a dividend.

- For taxable years beginning before December 31, 2017, the deferral of such income allowed U.S. companies to compete in foreign markets without being subject to U.S. residual taxes until the time of repatriation.
- For taxable years beginning after December 31, 2017, U.S. corporations receive a 100 percent dividends-received deduction for foreign-source dividends paid by a controlled foreign corporation.

The benefits of deferral and the exemption of foreign-source dividends create opportunities for shifting income to low-tax jurisdictions to avoid U.S. taxes. The controlled foreign corporation rules (Subpart F) are intended to curb this behavior. The rules include the following:

- A foreign corporation is considered a controlled foreign corporation (CFC) if more than 50 percent of its stock is owned by U.S. shareholders.
- A U.S. shareholder is any U.S. person owning at least 10 percent of the foreign corporation's stock (vote or value). Constructive rules apply in this determination.
- Subpart F only applies to a foreign corporation that qualifies as a CFC.
- When both the PFIC and Subpart F rules apply, the Subpart F rules supersede the PFIC rules.

Example 1

Overlap Between PFIC Rules and Subpart F Rules

Facts: Company ABC (a U.S. company) is a 12 percent owner in a foreign corporation, D, whose primary source of income is investments (80 percent of gross income). The other shareholders of D include six U.S. persons each owning 10 percent (60 percent total) and a foreign person who owns 28 percent.

Required: Determine the tax treatment of ABC's investment in D.

Solution: In this scenario, D qualifies as both a CFC (owned 72 percent by 10 percent U.S. shareholders) and a PFIC (with 80 percent passive gross income). Because the Subpart F rules supersede PFIC rules, D will be treated as a CFC instead of a PFIC and ABC's income from D will be subject to Subpart F rules, resulting in immediate income recognition of D's Subpart F income.

6.1.3 Foreign Base Company Income

The main purpose of Subpart F is to discourage taxpayers from using foreign corporations to defer U.S. taxes by accumulating income in foreign "base" companies located in low-tax jurisdictions. The rules define this "bad income" as foreign base company income.

Foreign base company income includes passive income (i.e., highly mobile investment-type income that can easily be shifted to a low-tax jurisdiction) or active income tied to a related party.

A U.S. shareholder of a controlled foreign corporation generating foreign base company income is taxed on a current basis (no deferral and no DRD) with respect to the shareholder's pro rata share of such income.

6.2 Global Intangible Low-Taxed Income Tax

The Tax Cuts and Jobs Act created a new tax on global intangible low-taxed income (GILTI), and it applies to taxable years beginning after December 31, 2017.

The GILTI tax is a minimum tax imposed on certain low-taxed income that is intended to reduce the incentive to relocate CFCs to low-tax jurisdictions.

After determining a CFC's Subpart F income, U.S. shareholders must determine whether they are subject to tax on the CFC's global intangible low-taxed income (GILTI). U.S. shareholders are taxed in a manner similar to Subpart F inclusions and U.S. corporations are allowed a special deduction.

6.2.1 Deduction Amount

For 2018–2025, the deduction amount is 50 percent of GILTI (37.5 percent for 2026 and later). The taxpayer is also allowed to take a foreign tax credit for up to 80 percent of the foreign taxes deemed paid. This deduction generally results in an effective tax rate of 10.5 percent (13.125 percent beginning in 2026) on GILTI inclusions, as it halves the statutory corporate tax rate of 21 percent.

6.2.2 Inclusion Amount

The GILTI inclusion is equal to the U.S. shareholder's share of the CFC's net income, reduced by the excess of: (i) 10 percent of the CFC's aggregate adjusted basis in depreciable tangible property used in its trade or business, over (ii) the CFC's net interest expense.

The CFC's aggregate adjusted basis in depreciable, tangible property is measured using the average amount determined at the close of each quarter.

Example 2

Global Intangible Low-Taxed Income Inclusion and Deduction

Facts: Hughes Corp. (a U.S. corporation) owns 15 percent of EKM Corp. (a CFC). EKM's net income for Year 1 is \$1,500,000 and the adjusted basis of its tangible property at the end of each quarter is \$1,000,000 (first quarter), \$1,250,000 (second quarter), \$1,225,000 (third quarter), and \$1,150,000 (fourth quarter).

Required: Determine Hughes Corp.'s GILTI inclusion and deduction.

Solution: EKM Corp.'s GILTI income is its net income (\$1,500,000) less 10 percent of its average adjusted basis of depreciable tangible property: $10\% \times [(\$1,000,000 + \$1,250,000 + \$1,225,000 + \$1,150,000)/4] = \$115,625$. EKM Corp.'s GILTI income is \$1,384,375, which is \$1,500,000 less \$115,625.

Because Hughes Corp. is a 15 percent U.S. shareholder, it will include 15 percent of EKM Corp.'s GILTI income, $15\% \times \$1,384,375 = \$207,656$.

Hughes Corp. is eligible for a 50 percent GILTI deduction because it is a corporate shareholder. Its GILTI deduction is \$103,828, which is $\$207,656 \times 50\%$.

6.3 Earnings Invested in U.S. Property

Each U.S. shareholder of a CFC must include in income their pro rata share of:

1. Subpart F income; and
2. earnings invested in U.S. property.

These provisions were enacted to deter U.S. taxpayers from repatriating non-Subpart F earnings from a CFC through loans and other investments in U.S. property in a tax-free manner.

- The impact of these rules is that a U.S. shareholder is taxed on the pro rata share of any increase in the earnings of the CFC invested in U.S. property.
- The term "U.S. property" includes tangible property located in the United States, stock of a domestic corporation, an obligation of a U.S. person, or any right to use a patent or copyright in the United States.
- The calculation compares average adjusted basis of such property for the tax year with adjusted basis at the end of the previous year and uses the close of each quarter as a measuring date.

Example 3

Earnings Invested in U.S. Property

Facts: Blue Corp., a CFC with no prior U.S. property investments, makes a \$1 million loan to its U.S. parent in the second quarter of Year 1. The loan remains outstanding at the end of Year 1.

Required: Determine Blue Corp.'s increase in earnings invested in U.S. property in Year 1.

Solution: Blue Corp. has an increase of \$750,000 invested in U.S. property.

$$\begin{array}{r}
 \$0 \text{ million} = \text{First quarter} \\
 \$1 \text{ million} = \text{Second quarter} \\
 \$1 \text{ million} = \text{Third quarter} \\
 \$1 \text{ million} = \text{Fourth quarter} \\
 \hline
 \$3 \text{ million} / 4 \text{ quarters} = \$750,000
 \end{array}$$

Each U.S. shareholder would be taxed currently on their pro rata share of Blue Corp.'s increased investment in U.S. property during the taxable year.

6.4 Previously Taxed Income

The current taxation of a CFC's undistributed earnings is coordinated with both the taxation of actual dividend distributions made by the CFC and the taxation of dispositions of the CFC's stock.

A U.S. shareholder can exclude distributions of a CFC's earnings and profits that were previously taxed income (PTI) to U.S. shareholders as a result of a Subpart F inclusion, GILTI inclusion, or an investment in U.S. property.

6.5 Transition Tax

The Tax Cuts and Jobs Act created a territorial-style system for certain U.S. corporations by allowing a 100 percent dividends-received deduction for foreign-source dividends from controlled foreign corporations (CFCs).

- The transition to this new system requires all U.S. shareholders to pay a one-time tax on the CFC's previously untaxed foreign earnings.
- For the last taxable year beginning before January 1, 2018, a one-time deemed repatriation tax is imposed on accumulated, untaxed earnings of foreign corporations and is taken into account by all U.S. shareholders who own 10 percent or more of the CFC.
- An exception permits S corporations to defer the tax until the S corporation liquidates, ceases doing business, or the stock of the S corporation is transferred.

6.5.1 Classification of Untaxed Earnings

The CFC's untaxed earnings are divided into two groups:

1. Cash/cash equivalents, which are taxed at 15.5 percent.
2. All other earnings, which are taxed at 8.0 percent.

6.5.2 Tax Payments

U.S. shareholders can elect to pay the transition tax in eight installments over eight years, pursuant to a specified schedule.

Transition Tax Installment Period	Tax Liability Due
Year 1	8%
Year 2	8%
Year 3	8%
Year 4	8%
Year 5	8%
Year 6	15%
Year 7	20%
Year 8	25%
	100%

6.6 Base Erosion and Anti-Abuse Tax (BEAT)

The Tax Cuts and Jobs Act created the base erosion and anti-abuse tax (BEAT) to impose a minimum tax on large U.S. corporations (average annual gross receipts of at least \$500 million for the three-year taxable period ending with the preceding taxable year) with a significant amount of deductible payments to related foreign affiliates because such deductions reduce the U.S. tax base. The BEAT is effective for taxable years beginning after December 31, 2017, and is imposed on a U.S. corporation's modified taxable income.

Modified taxable income is regular taxable income calculated without:

- the "base erosion percentage" of any net operating losses (NOLs);
- the allowance of deductions for amounts paid or accrued to related foreign persons; or
- depreciation or amortization deductions with respect to property acquired from related foreign persons.

The following rules also apply:

- Deductible payments to a CFC are added back in calculating a taxpayer's modified taxable income even if they are included in the taxpayer's income as Subpart F income.
- The tax rate is 5 percent for taxable years beginning in 2018, 10 percent for taxable years beginning in 2019–2025, and 12.5 percent for years beginning in 2026 or later.
- The BEAT does not apply to individuals, S corporations, regulated investment companies (RICs), or real estate investment trusts (REITs).
- In general, the 10 percent BEAT tax will begin to apply when payments to foreign affiliates exceed taxable income by more than 10 percent. The BEAT applies to the extent that it exceeds the regular tax liability (reduced by most credits).
- A de minimis exception is provided for companies whose foreign related party payments are low relative to overall deductions (only a base erosion percentage of 3 percent or higher for most companies).
- The BEAT regulations provide three anti-abuse rules that permit the IRS to disregard a transaction, plan, or arrangement that has the principal purpose of avoiding the BEAT.

6.7 Foreign-Derived Intangible Income Deduction

The Tax Cuts and Jobs Act created a new deduction for certain export activities. Under the new provision, a U.S. corporation can get a deduction for a portion of its foreign-derived intangible income (FDII). FDII is income from transactions involving non-U.S. persons located outside the U.S., including:

- the sale of property sold by the taxpayer to any person who is not a U.S. person and is for foreign use;
- services provided by the taxpayer to any person or with respect to property, not located within the U.S. (including some electronic services); and
- property sold to a related party who is not a U.S. person, provided the property is ultimately sold by the related party to an unrelated party who is not a U.S. person, and the property is used outside the U.S.

The deduction amount is 37.5 percent for years beginning before 2026 (reduced to 21.875 percent for years after 2026). The deduction for FDII is available only to C corporations that are not RICs or REITs.

6.8 Interest Charge Domestic International Sales Corporation (IC-DISC)

For domestic corporations that manufacture or distribute U.S. goods to export internationally, an interest charge domestic international sales corporation (IC-DISC) may be beneficial to consider implementing. An IC-DISC is a tax-exempt entity that works as follows:

- The U.S.-based corporation (exporting company) pays a commission to the IC-DISC, which generates a deduction for the U.S.-based corporation.
- The IC-DISC receives the commission income from the U.S.-based corporation, but because the IC-DISC is tax-exempt, no tax liability is generated.
- The IC-DISC distributes the commission to shareholders, which is taxed at preferential rates to the shareholders (qualified dividend/long-term capital gain rates).

Collectively, the IC-DISC allows an exporter corporation to avoid corporate tax on the commission paid to the IC-DISC. However, there are limits to the commission that can be paid to an IC-DISC. The maximum commission that can be paid to an IC-DISC is the greater of 50 percent of net sales of export property or 4 percent of gross revenue from sales of export property. Export property must be certain qualified property.

6.9 Summary of International Tax Provisions

The table below summarizes the special provisions relating to international tax issues:

Provision	Application
Anti-deferral rules	These provisions include PFICs, subpart F income (CFCs), and foreign base company income rules to discourage taxpayers from engaging in activities that would allow deferral of recognition of foreign income.
Global intangible low-taxed income (GILTI) tax	A minimum tax imposed on certain low-taxed income that is intended to reduce the incentive to relocate CFCs to low-tax jurisdictions.
Earnings invested in U.S. property	Provisions applicable to U.S. shareholders intended to deter U.S. taxpayers from repatriating non-subpart F earnings from a CFC through loans and other investments in U.S. property in a tax-free manner.
Transition tax	A one-time tax on the previously untaxed foreign earnings of a CFC, consistent with the TCJA's change to a territorial-based tax system.
Base erosion and anti-abuse tax (BEAT)	A minimum tax on large U.S. corporations with a significant amount of deductible payments to related foreign affiliates. This provision is a means to eliminate the tax advantage that would result from these payments, as they reduce the U.S. tax base.
Interest charge domestic international sales corporation (IC-DISC)	A set of provisions that enables domestic manufacturing corporations that export goods to reduce their tax liability by permitting a tax-deductible commission to be paid to an IC-DISC. Since the IC-DISC is tax-exempt, no income is recognized on these commissions, thereby reducing the tax liability of the corporation as a whole.

7 U.S. Activities of Foreign Persons (Inbound Transactions)

A foreign person's investment in the United States is considered an inbound transaction. The United States taxes foreign persons on income derived in the United States, which is referred to as U.S.-source income.

The definition of a foreign person includes:

- Nonresident alien individuals
- Foreign corporations
- Foreign partnerships
- Foreign trusts
- Foreign estates
- Any other person who does not meet the definition of a U.S. person

A foreign person's U.S.-source income falls into one of two categories—business income or nonbusiness income.

7.1 Business Income

A foreign person engaged in a U.S. trade or business is subject to U.S. taxation on income effectively connected with the U.S. trade or business. Business income is taxed on a net basis (gross income less allowed deductions and expenses) at U.S. graduated rates.

A foreign person with a U.S. trade or business must file Form 1120-F U.S. Income Tax Return of a Foreign Corporation to report the income earned by the U.S. branch.

If a foreign person organizes U.S. business activities under a U.S. subsidiary, instead of a branch, then the U.S. subsidiary will be taxed as a U.S. corporation reporting all its income on Form 1120 U.S. Corporation Income Tax Return.

Example 4

Taxation of Foreign Person Business Income

Facts: British Bunting Inc., a British company, has a U.S. branch in Austin, Texas. The branch makes routine sales to U.S. customers. The gross profits of the U.S. branch are \$100 and the cost of goods sold are \$40.

Required: Determine British Bunting's U.S. taxable income.

Solution: British Bunting's U.S. taxable income is \$60 (\$100 gross profit less \$40 cost of goods sold), which will be taxed at U.S. graduated tax rates.

7.2 Nonbusiness Income

Nonbusiness income (investment-type income, such as dividends and interest) is taxed on a gross basis (deductions and expenses are prohibited) at a 30 percent statutory withholding rate. Withholding rates may be reduced by income tax treaties.

A foreign person's nonbusiness income is subject to U.S. withholding taxes under one of two regimes.

7.2.1 U.S. Withholding Tax Regimes for Nonbusiness Income

There are two types of withholding tax regimes for nonbusiness income:

1. Fixed, Determinable, Annual, or Periodic Income (FDAP)
2. Foreign Account Tax Compliance Act of 2010 (FATCA)

FDAP deals with the withholding on foreign persons' investment-type income (e.g., dividends, interest, royalties):

- FDAP income includes dividends, interest, royalties, and compensation from personal services. Such income is taxed on a gross basis at a statutory rate of 30 percent.
- Withholding ensures the collection of taxes from foreign persons, over whom the IRS would typically not have the jurisdiction to tax.
- The U.S. person controlling the payment of U.S.-source income to the foreign person is responsible for withholding the appropriate amount of tax on such payment.

FATCA deals with withholding tax on foreign entities for failure to provide information to U.S. recipients:

- The purpose of FATCA is to help combat tax evasion tied to U.S. persons investing in foreign entities (e.g., deposits in foreign banks).
- FATCA imposes a 30 percent withholding tax on foreign entities that do not provide information about U.S. persons on Form 8966 FATCA Report.
- FATCA applies to foreign financial institutions and nonfinancial foreign entities but does not apply to payments made to nonresident aliens (i.e., foreign individuals), foreign governments, international organizations, and certain retirement funds.

7.3 Foreign Person Treated as U.S. Resident

Foreign persons are usually only taxed on their U.S.-source income. However, a foreign individual may be treated as a U.S. resident, which means the individual is subject to U.S. taxation on worldwide income.

7.3.1 Green Card Test

A foreign individual is considered a resident of the United States if he or she is a lawful, permanent resident of the United States in accordance with U.S. immigration laws.

7.3.2 Substantial Presence Test

A foreign individual is considered a resident of the United States if he or she is substantially present in the United States for:

- at least 31 days during the current year; and
- at least 183 days for a three-year period, applying a weighted average:
 - Days in current year $\times 1$
 - Days in immediate preceding year $\times (\frac{1}{3})$
 - Days in next preceding year $\times (\frac{1}{6})$

Example 5

Substantial Presence Test

Facts: Esther, a citizen of the United Kingdom, stayed in the United States for 122 days in each of the last three years: Year 1, Year 2, and Year 3.

Required: Determine whether Esther is treated as a U.S. resident for Year 3.

Solution: Esther is treated as a U.S. resident because she is present in the United States for more than 31 days during Year 3, and she is present for at least 183 days for the three-year period beginning in Year 1, after applying a weighted average:

Year 3:	$122 \text{ days} \times 1$	=	122 days
Year 2:	$122 \text{ days} \times (\frac{1}{3})$	=	40.67 days
Year 1:	$122 \text{ days} \times (\frac{1}{6})$	=	20.33 days
Total:			183 days

7.3.3 First-Year Election

A foreign person is considered a resident of the United States if the individual elects to be treated as a U.S. resident and meets the following requirements:

- Present for 31 consecutive days in the current year;
- Present 75 percent of the days in the current year (beginning day 1 of the 31 consecutive days); and
- Meets substantial presence test for the succeeding year.

The election is made by filing an extension for the first year or by filing an amended return for the first year.

8 Expatriation

8.1 Mark-to-Market Regime for Individuals

The mark-to-market tax regime is imposed on covered expatriates who renounce their U.S. citizenship and satisfy one of the following three tests:

1. **Tax Liability Test:** Average annual net income tax liability for five preceding taxable years exceeds indexed threshold (\$190,000 for 2023).
2. **Net Worth Test:** Net worth of \$2 million or more on date of expatriation.
3. **Compliance Test:** The individual failed to comply with U.S. federal tax obligations for five preceding taxable years.

8.1.1 Calculation of Tax

- All property of the "covered expatriate" is treated as sold on the day before the expatriation date with any gain arising from the deemed sale taken into account in the taxable year of the deemed sale.
- A \$821,000 exclusion (2023) is allowed.
- A taxpayer may elect to defer payment of tax attributable to property deemed sold [Section 877A(b)].

Example 6

Exit Tax

Facts: Cathleen is a U.S. citizen who has lived in the United States her entire life. She is the founder of Cupcakes Inc., a U.S. company. Her stock in the company is worth \$7 million and her basis in the stock is \$250,000. In 2023, Cathleen renounces her citizenship and moves to Bermuda. Assume that the gain exclusion for 2023 is \$821,000.

Required: Determine Cathleen's U.S. tax consequences of this action.

Solution: Cathleen qualifies as a covered expatriate because her net worth exceeds \$2 million. She will be treated as if she sold her stock at fair market value the day before her expatriation. Cathleen's long-term capital gain is \$5,929,000 (\$7,000,000 FMV – \$250,000 stock basis – \$821,000 exclusion).

8.2 Expatriated Entity Rules for Corporations

When a U.S. company decides to reorganize its operations under a foreign parent to reduce its U.S. tax obligations, it is considered an expatriated entity.

Expatriated entities fall into one of two categories for U.S. tax purposes:

1. Continue to be treated as U.S. corporations if former U.S. shareholders own 80 percent or more of interests in the new foreign parent; or
2. Denied certain tax attributes such as net operating losses and foreign tax credits to offset "inversion gain" if former U.S. shareholders own 60 percent but less than 80 percent of interests in the new foreign parent.

The TCJA also includes provisions to reduce a U.S. company's incentive to expatriate:

- Dividends received by a U.S. corporation from a surrogate foreign corporation are not eligible for the 100 percent dividends-received deduction.
- Any individual shareholder who receives a dividend from a corporation that is a surrogate foreign corporation is not entitled to the lower rates on qualified dividends.

9 Tax Treaties

Tax treaties are bilateral income tax conventions entered into by the United States and a foreign country.

- Tax treaties carry the same weight as domestic law and often modify otherwise applicable U.S. tax rules.
- Tax treaties modify the rules for investment-type income by reducing the withholding rate below 30 percent.
- Tax treaties also modify statutory rules related to business income, residency, and source-of-income rules.
- The U.S. treaty network includes income tax conventions with approximately 60 countries. Most of these countries have a comprehensive income tax system in place.

1 Tax Planning Strategies Overview

Corporations, like other taxable entities, often seek to minimize the tax paid to governments in order to retain that cash for internal investment, shareholder payout, debt payments, or other purposes. In doing so, corporations ultimately attempt to reduce their tax liability by utilizing tax planning strategies. Corporations commonly employ the following strategies as categorized below:

- **Timing:** When is income or loss recognized?
- **Income-Shifting:** To whom/where is income or loss allocated?
- **Estimated Payments and the Avoidance of Underpayment Penalties:** Eliminating unnecessary penalty payments

In addition to these strategies, corporations must be aware of limitations generated by nontax business conditions as well as certain judicial doctrines in order to implement the most effective tax-planning practices.

2 Timing Strategies (When)

Timing strategies are a type of tax planning that pertains to when income must be recognized, when a deduction or loss can be taken, or when a tax credit is allowed. To be effective, the corporation must have the ability to influence the timing of income, loss, deduction, or credit items. Timing strategies work by moving the recognition of an income, loss, deduction, or credit between two or more tax years, by shifting it to an earlier or later period.

The idea behind timing strategies relies heavily on the concept of the time value of money (i.e., a dollar now is worth more than a dollar in the future). In line with the time value of money, timing strategies work to maximize the after-tax cash inflows (income) or minimize the after-tax cash outflows (deductions) associated with a decision. With timing strategies, it is particularly important to first recognize whether the strategy involved income or deductions because the tax strategies are different in each situation.

Before Tax	–	Tax	=	After Tax
Before tax income	–	Tax costs	=	After-tax income
Before tax deduction	–	Tax savings	=	After-tax deduction

Where:

$$\text{Tax costs (savings)} \times \frac{\text{Before tax income (deduction)}}{\text{Marginal tax rate}} = \text{Marginal tax rate}$$

In each of these equations, effective tax planning works by maximizing after-tax income or minimizing after-tax deductions. The tax costs (savings) are determined by multiplying the associated income (deduction) item by the corporation's marginal tax rate. In order to maximize after-tax cash inflows (income) and minimize after-tax cash outflows (deductions), effective tax planning involves the following:

- Minimizing tax costs (as a means to increase after-tax income)
- Maximizing tax savings (as a means to decrease after-tax deductions)

Tax credits reduce tax liability dollar-for-dollar. Therefore, corporations should typically seek to use as much value in tax credits as soon as they become available in order to reduce tax liability more quickly.

When considering timing strategies, the three most relevant variables are the amount of the income/deduction, the applicable marginal tax rate, and the discount factor. These factors fit together in the following form to arrive at the present value of tax costs/savings:

Pretax income	×	Marginal tax rate	=	Tax costs	×	Discount factor	=	Present value of tax costs
Pretax deduction	×	Marginal tax rate	=	Tax savings	×	Discount factor	=	Present value of tax savings

The discount factor formula is below, however, discount factors are normally provided.

$$\text{Discount factor} = \frac{1}{(1 + r)^n}$$

r = rate of return on other investments
 n = number of periods in years

The goal of tax planning is to minimize the present value of tax costs (which maximizes after-tax income) and to maximize the present value of tax savings (which minimizes after-tax expense). Assuming the firm has a positive rate of return on investments, the discount factor is always less than one, meaning that it reduces the present value. Many tax-planning strategies relate to the timing between one year and the next, which means the number of periods, "n," is often one.

2.1 Utilization of Net Operating Loss and Capital Loss Carryovers

A common application of timing strategies involves utilizing net operating loss (NOL) and capital loss carryovers as soon as possible to maximize the present value of those carryovers.

2.1.1 Capital Losses

To maximize the tax savings associated with capital losses, corporations should opt to receive an immediate refund for any capital loss that can be carried back and then carry forward any remainder. Capital losses can be carried back three years and carried forward five years.

Illustration 1 Utilization of a Capital Loss

Bennett Corp. had taxable income of \$100,000 in Year 4. Bennett sold securities at a loss, which generated capital losses of \$20,000 in the same year. Bennett generated the following capital gains in prior years: Year 1: \$5,000; Year 2: \$2,000; Year 3: \$4,000. The corporate tax rate in all years involved is 21 percent.

Bennett Corp. can realize current tax savings by choosing to carry back the capital losses to produce an immediate tax refund. Bennett must first carry back the full \$20,000 loss and then progress any remaining loss forward as follows:

	Year 1	Year 2	Year 3	Amount Utilized
Capital gains	\$5,000	\$2,000	\$4,000	
Year 4 capital loss utilized	(\$5,000)	(\$2,000)	(\$4,000)	(\$11,000)
Total capital loss carryover				<u>\$20,000</u>
Remaining Year 4 capital loss carried forward to Year 5				<u>(\$9,000)</u>

By carrying back the capital loss to Year 1, Year 2, and Year 3, Bennett can recognize \$11,000 ($5,000 + 2,000 + 4,000$) of the \$20,000 capital loss, which generates \$2,310 in immediate tax savings ($\$11,000 \times 21\%$ corporate tax rate). The remaining \$9,000 capital loss will remain available to offset future capital gains for the next five years.

In certain cases, the availability of capital loss carryovers can produce unique tax-planning incentives to generate income in a subsequent year. Because capital loss carryforwards expire after five years, corporations may wish to recognize capital gains to ensure those carryforwards do not expire.

Illustration 2 Utilization of a Capital Loss Carryforward

Assume that Bennett Corp. did not have any capital gain or loss transactions from Year 5 through Year 8. In Year 9, Bennett has unrealized gains on investment securities of \$50,000. Because capital loss carryforwards expire after five years, Bennett should realize and recognize \$9,000 of the unrealized gains on investment securities in Year 9 in order to utilize the available capital loss carryforward from Year 4 before it expires, even if Bennett immediately repurchases the same securities. This transaction would not generate any tax liability in Year 9 because the \$9,000 realized capital gain would be offset by the Year 4 capital loss carryforward. Bennett would only need to pay tax on \$41,000 of the remaining unrealized gain (\$50,000 unrealized gain less \$9,000 of realized gain) if sold at some point in the future. In this case, Bennett would have efficiently utilized the available capital loss carryover that would have otherwise expired to offset part of the gain.

2.1.2 Net Operating Loss Carryovers

The tax treatment of net operating loss (NOL) carryovers depends on the tax year the NOL was generated and the tax year the NOL is utilized (deducted).

- NOLs generated in tax years ending before January 1, 2018: Can carryforward 20 years and offset 100 percent of a future year's taxable income.
- NOLs generated in tax years ending after December 31, 2017: Can carryforward indefinitely but can only offset up to 80 percent of taxable income in future years (after deduction of pre-2018 NOLs).

When more than one NOL is being carried forward to a future year with taxable income, the oldest NOL is utilized first.

Example 1 Net Operating Loss Carryforward

Facts: Ace Corp., a calendar year C corporation, has two NOL carryovers from prior years:

- **2017:** \$40,000
- **2022:** \$70,000

Ace Corp.'s current year taxable income is \$100,000.

Required: What is the amount of Ace Corp.'s NOL deduction in the current year, and NOL carryforwards to future years?

Solution: NOL deduction \$88,000; 2017 NOL carryover \$0; 2022 NOL carryover \$22,000

Current year taxable income	\$100,000
2017 NOL deduction	<u>(40,000)</u>
Taxable income after pre-2018 NOL	60,000 × 80% = \$48,000 limit for post-2017 NOLs
2022 NOL deduction (limited)	<u>(48,000)</u>
Current year taxable income after NOL deductions	<u>\$ 12,000</u>

Total NOL deduction in current year = \$40,000 + \$48,000 = \$88,000

NOL carryforwards:

2017 NOL: \$40,000 – \$40,000 deducted current year = \$0 carryforward

2022 NOL: \$70,000 – \$48,000 deducted current year = \$22,000 carryforward

2.2 Changing Legislation

Timing tax-planning strategies can also involve changes in legislation. New legislation could create new limitations on deductions or change how certain income items are taxed or loss or expense items are deducted. Net operating losses are a good example of this. A new tax law passed in late 2017 changed the tax treatment of NOLs generated after 2017 by expanding the carryforward period from 20 years to indefinite. It also created a limitation on the amount of a future year's taxable income that could be offset by an NOL carryover from 100 percent of future income to 80 percent. These changes provided taxpayers with planning opportunities related to the timing of income and deductions at the end of the tax year when the tax law change took place.

2.3 Changing Tax Rates

While corporations typically enjoy a flat tax rate on income, legislation or other forces may change the applicable marginal tax rate, which also can alter tax-planning strategies. When tax rates are constant or decreasing, corporations will choose to accelerate deductions into earlier years and defer income into later years. However, when tax rates increase, corporations must consider the fact that deductions in later years will increase the tax savings. On the other hand, income in future years will be used to decrease tax costs. Depending on the discount factor the corporation uses, this feature could mean that the corporation chooses the opposite of the constant or decreasing tax scenario.

Although corporations have a flat tax rate of 21 percent for federal tax purposes, legislation can change the corporate tax rate, and corporations must be aware of pending legislation that could change the marginal tax rate. In addition, state tax law changes can often significantly impact a corporation's marginal tax rate from year to year.

When tax rates decrease or remain constant:

			<i><u>Same or Lower in Future Years</u></i>				<i><u>Lower in Future Years</u></i>			<i><u>Lower in Future Years</u></i>
Pretax income	×	Marginal tax rate	=	Tax costs	×	Discount factor	=	Present value of tax costs		
Pretax deduction	×	Marginal tax rate	=	Tax savings	×	Discount factor	=	Present value of tax savings		

When tax rates are increasing, the present value of deferring tax costs (savings) is not always less than the present value of immediately recognizing tax costs (savings). This means that we must always consider whether the effect of the higher tax rate outweighs the effect of the discount factor, or vice-versa.

When tax rates increase:

			<i><u>Higher in Future Years</u></i>				<i><u>Lower in Future Years</u></i>			<i><u>May Be Higher or Lower in Future Years</u></i>
Pretax income	×	Marginal tax rate	=	Tax costs	×	Discount factor	=	Present value of tax costs		
Pretax deduction	×	Marginal tax rate	=	Tax savings	×	Discount factor	=	Present value of tax savings		

Example 2**Maximizing the Present Value of Tax Savings: Constant Rates**

Facts: Jay Corp. receives a \$10,000 bill for three months of insurance on December 20, Year 1, which is due on January 31, Year 2. Jay has a marginal tax rate of 21 percent for federal tax purposes and anticipates its marginal tax rate next year will also be 21 percent. The present value of \$1 for one year at 8 percent is a discount factor of 0.926.

Required: Should Jay Corp. pay the bill this year or next year to maximize cost savings?

Solution: Jay should pay the bill this year if the marginal tax rate will be 21 percent next year to maximize cost savings.

Because this relates to an expense item, Jay Corp. wishes to maximize the present value of tax savings associated with the deduction.

Tax savings if paid this year:

$$\begin{array}{rccccccccc} \text{Pretax} & & & & & & & & & & \\ \text{expense} & \times & \text{Marginal} & = & \text{Tax} & \times & \text{Discount} & = & \text{Present value} \\ & & \text{tax rate} & & \text{savings} & & \text{factor} & & \text{of tax savings} \\ \$10,000 & \times & 21\% & = & \$2,100 & \times & 1 & = & \$2,100 \end{array}$$

Jay Corp. will immediately receive tax savings if the bill is paid this year and does not need to discount the tax savings.

Tax savings if paid next year:

$$\begin{array}{rccccccccc} \text{Pretax} & & & & & & & & & & \\ \text{expense} & \times & \text{Marginal} & = & \text{Tax} & \times & \text{Discount} & = & \text{Present value} \\ & & \text{tax rate} & & \text{savings} & & \text{factor} & & \text{of tax savings} \\ \$10,000 & \times & 21\% & = & \$2,100 & \times & 0.926 & = & \$1,945 \end{array}$$

The above formulas show that Jay Corp. realizes greater tax savings if the bill is paid this year. The same answer could be obtained by considering the after-tax cost of the deduction as follows:

After-tax cost if paid this year: \$10,000 expense – \$2,100 PV of tax savings = \$7,900

After-tax cost if paid next year: \$10,000 expense – \$1,945 PV of tax savings = \$8,055

Tax savings \$ 155

Jay Corp. realizes tax savings of \$155 by paying the bill this year rather than next year. In either case, Jay Corp. *minimizes the after-tax cost* of the expense by *maximizing the tax savings* associated with deduction of the expense. Jay Corp. would obtain the same answer if tax rates were decreasing.

Example 3 Maximizing the Present Value of Tax Savings: Changing Rates

Facts: Jay Corp. receives a \$10,000 bill for three months of insurance on December 20, Year 1, which is due on January 31, Year 2. Jay has a current marginal tax rate of 21 percent for federal tax purposes but anticipates that its income tax rate will increase to 25 percent next year. The discount factor for one year at 8 percent is 0.926.

Required: Should Jay Corp. pay the bill this year or next year to maximize cost savings?

Solution: Jay should pay the bill next year if its marginal tax rate will increase to 25 percent next year. The mechanics of the calculation are similar.

Tax savings if paid in Year 1:

Pretax expense	×	Marginal tax rate	=	Tax savings	×	Discount factor	=	Present value of tax savings
\$10,000	×	21%	=	\$2,100	×	1	=	\$2,100

Tax savings if paid in Year 2:

Pretax expense	×	Marginal tax rate	=	Tax savings	×	Discount factor	=	Present value of tax savings
\$10,000	×	25%	=	\$2,500	×	0.926	=	\$2,315

The above formulas show that Jay Corp. realizes greater tax savings if the bill is paid next year. The same answer could be obtained by considering the after-tax cost of the deduction as follows:

After-tax cost if paid this year: \$10,000 expense – \$2,100 PV of tax savings = \$7,900

After-tax cost if paid next year: \$10,000 expense – \$2,315 PV of tax savings = \$7,685

Tax savings \$ 215

Jay Corp. realizes tax savings of \$215 by paying the bill next year. In either case, Jay Corp. *minimizes the after-tax cost* of the deduction by *maximizing the tax savings* associated with the deduction. In this situation, the increase in the marginal tax rate increases the tax savings associated with a deduction next year by enough to cause Jay Corp. to defer the expense, contrary to conventional wisdom.

If this example dealt with income, the opposite case would be true, and the corporation would seek to *maximize the after-tax income* by *minimizing the tax costs* associated with the income.



Pass Key

When tax rates are constant or decreasing, corporations should accelerate deductions into earlier years (increase tax savings sooner) and defer income into later years (increase tax costs later).

When tax rates are increasing, corporations must consider whether the increase in the tax rate is large enough that it changes the conventional wisdom above. They would typically choose not to defer income into later years.

3 Income-Shifting Strategies (Who/Where)

Income-shifting strategies work by changing where income, deduction, or loss is recognized as well as who recognizes the income, deduction, or loss. These strategies work by exploiting differences in tax rates across jurisdictions (state, local, or foreign) and entities (corporations and their owners).

3.1 Transactions Between Jurisdictions (Where)

A common form of income-shifting strategies works by advantageously choosing where income or expense is recognized. As a general rule, effective tax planning entails recognizing income in jurisdictions with lower tax rates.

Although recent tax law changes have eliminated a lot of income-shifting opportunity between countries, opportunity still exists for income-shifting between states, as many states have different tax rates. Some states have low (or no) corporate income tax rates, which provides incentive to shift more corporate activity into those states. The differences in rates can influence corporate expansion decisions into new states.

Example 4

Income-Shifting Strategies Between Jurisdictions

Facts: Godwin Corp. is headquartered and operates solely in the state of New York, where the corporate state income tax rate is 6.5 percent. With its West Coast sales increasing drastically, Godwin is considering expanding its operations to include a distribution center in either South Dakota or Colorado. South Dakota has no corporate income tax, and Colorado has a corporate income tax rate of 4.55 percent.

Upon expansion, Godwin anticipates that its taxable income will be \$10,000,000, apportioned 70 percent to New York and 30 percent to the state where the expansion occurs.

Required:

1. From a tax-planning perspective, should Godwin Corp. choose to expand in South Dakota or Colorado?
2. What other tax-planning opportunities might Godwin Corp. consider regardless of the choice of state for expansion?

(continued)

(continued)

Solution:

1. Godwin Corp. should choose to expand its operations to South Dakota.

Given the facts in the problem, the new state will be apportioned 30 percent of the \$10,000,000 in total income for the year, meaning that \$3,000,000 will be taxable in either South Dakota or Colorado.

If Godwin chooses to expand in South Dakota, there will be no income tax assessed on \$3,000,000 of income, as South Dakota has no corporate income tax. If Godwin chooses to expand to Colorado, it would incur income tax of \$136,500 ($3,000,000 \times 4.55\%$).

2. Regardless of the choice of state for expansion (South Dakota or Colorado), it is important to note that both states have a lower corporate income tax rate than New York. This situation provides incentives for Godwin to explore ways to increase the apportionment factor from New York to the new state, as additional income in either South Dakota or Colorado would be preferable to income recognized in New York. Apportionment factors are commonly based on sales, property, and payroll factors, so these components should be considered when examining items to apportion to the new state.

In addition, New York has a higher corporate tax rate relative to many other states, so it may be advisable for Godwin to consider moving its headquarters to another state with a lower tax rate. However, nontax issues such as population, and potential increase or decrease in sales, must also be considered in such a significant decision.

3.2 Transactions Between Corporations and Their Owners (Who)

Another type of income-shifting strategy occurs between corporations and their owners and pertains to who recognizes income. In general, effective tax planning involves the taxpayer with the lowest marginal tax rate recognizing income. In the context of corporations, common strategies include paying a salary to corporate shareholder-employees, as it often allows the corporation to circumvent double taxation and realize a deduction for compensation, while the shareholder must only recognize income at his or her marginal tax rate. Similarly, corporations will often rent property from shareholders or receive loans from shareholders to create a deduction at the corporate level while generating income only one time in the form of rent or interest, again thereby circumventing double taxation of these funds.

Example 5 Corporate Shareholder-Employee Salaries

Facts: Amir is a 50-percent shareholder in ABC Corp. and is actively involved in the operations of the business. The corporation paid Amir a \$100,000 salary as compensation for his services in the current year. The current corporate income tax rate is 21 percent.

Required: What are the net income tax savings or net income tax costs to Amir and ABC Corp. of Amir's \$100,000 salary if Amir's marginal tax rate is (1) 12 percent, or (2) 24 percent?

Solution:

1. Net income tax savings: \$9,000

Tax savings to ABC Corp.: \$100,000 salary expense $\times$ 21% corporate tax rate = \$21,000

Tax cost to Shareholder Amir: \$100,000 salary income $\times$ 12% individual tax rate = \$12,000

Net tax savings to Amir and ABC Corp. from Amir's \$100,000 salary = \$9,000

2. Net income tax cost: \$3,000

Tax savings to ABC Corp.: \$100,000 salary expense $\times$ 21% corporate tax rate = \$21,000

Tax cost to Shareholder Amir: \$100,000 salary income $\times$ 24% individual tax rate = \$24,000

Net tax cost to Amir and ABC Corp. from Amir's \$100,000 salary = \$3,000

Aside from simple tax-planning strategies to proactively produce tax savings, corporations must also be aware of potential risks to effective tax planning posed by the contribution or distribution of noncash property. These types of transactions can create adverse tax consequences by generating unexpected tax liability for the shareholder and corporation. In the case of contributions of appreciated noncash property, the contributing shareholder must recognize a gain if the 80 percent control requirement for Section 351 nontaxable transfers to a corporation is not met. In the case of nonliquidating distributions of appreciated noncash property to shareholders, the corporation must recognize a gain on the property distributed to the shareholder.

Illustration 3 Recognition of Gain by Shareholder (Contribution)

XYZ Corp. has been organized as a corporation for five years. Jason, a 1-percent shareholder, contributes land with a basis of \$10,000 and FMV of \$80,000 to the corporation in exchange for 5 percent of the corporation's stock valued at \$80,000.

In this situation, the Section 351 control requirement is not met because Jason has less than 80 percent control after the transaction, so the gain cannot be deferred. Jason must recognize a gain of \$70,000 (\$80,000 stock value received less basis in land contributed of \$10,000) because of this transaction.

Illustration 4 Recognition of Gain by Corporation and Income to Shareholder (Distribution)

XYZ Corp. has been organized as a corporation for five years. Jason, a 1-percent shareholder, receives a distribution of land from XYZ Corp. with an \$80,000 fair market value. The corporation's basis in the land is \$10,000.

In this situation, the corporation must recognize gain upon the distribution of land to Jason. The recognized gain is \$70,000 (\$80,000 FMV less \$10,000 basis), which is taxable to the corporation. Although Jason receives a tax basis of \$80,000 in the land, Jason must potentially recognize dividend income in the amount of \$80,000 (to the extent of E&P).

Taken together, these rules generally discourage the contribution of appreciated noncash property to a corporation when Section 351 deferral requirements are not met. They also generally discourage the distribution of appreciated noncash property from a corporation for tax purposes.

4 Estimated Tax Payment Requirements and Underpayment Penalties

Effective corporate tax planning not only includes strategies to reduce the corporation's tax liability, but it also includes strategies to minimize or eliminate any underpayment penalties for the corporation's tax. In general, corporations (other than those with tax liabilities of less than \$500) must make quarterly estimated tax payments due on the 15th day of the 4th, 6th, 9th, and 12th month of the corporation's fiscal year.

Each payment is equal to 25 percent of the corporation's annual required payment. The minimum annual required payment is the lowest of the following:

- 100 percent of tax liability in current year
- 100 percent of tax liability on prior year's tax return:
 - May only be used for first quarter payment for large corporations (over \$1,000,000 in taxable income in three prior years)
 - May not be used if corporation did not have a tax liability on prior year tax return
- 100 percent of estimated tax liability in current year by using the method of annualizing quarterly taxable income

Corporations will often use the prior year's tax liability for their first quarter payment unless the corporation had no tax liability in the prior year. For corporations where income is relatively steady across quarters, the estimated current year tax liability is often used to calculate equal quarterly estimated tax payments. When income is not expected to be earned evenly across quarters, corporations use the annualized method to calculate the amount of the remaining estimated tax payments.

The method of annualizing quarterly income essentially estimates the tax that would be due if the corporation continued earning income at the same rate for the remainder of the year. Because estimated payments are due 15 days following the end of the quarter, the annualization lags one quarter, with the exception of the first quarter. The annualization factor is obtained by dividing 12 by the number of months of income as follows:

Months of Income Considered	Annualization Factor	Payment Required
First quarter: Months 1–3	12/3	25% of annualized tax
Second quarter: Months 1–3	12/3	50% of annualized tax
Third quarter: Months 1–6	12/6	75% of annualized tax
Fourth quarter: Months 1–9	12/9	100% of annualized tax

Multiplying the income over that period by the annualization factor arrives at estimated taxable income. The corporation then compares the tax liability on that annualized income to confirm that it has paid the required percentage of annualized tax.

Example 6

Estimated Tax Payments and Avoiding Underpayment Penalties

Simon Corp. had taxable income of \$10,000,000 last year and a tax liability of \$2,100,000 (21 percent of taxable income). Simon has earned more income this year and wants to pay the minimum amount of estimated tax payments possible to avoid underpayment penalties so that it can use that cash for working capital.

This year, Simon Corp. generated the following amount of taxable income by quarter:

	Taxable Income
First quarter	\$5,000,000
Second quarter	\$1,000,000
Third quarter	\$6,000,000
Fourth quarter	\$8,000,000

First quarter estimated tax payment:

Because Simon Corp. earned significantly more taxable income this year than last, the corporation would choose to minimize its first quarter estimated tax payment by using 100 percent of its prior year tax liability. Even the annualized method would suggest that Simon is on track to earn \$20,000,000 this year, so the prior year tax liability will provide the lowest required estimated payment for the first quarter.

Simon's first quarter estimated payment is calculated as:

$$\$2,100,000 \text{ (prior year tax liability)} \times 25\% = \$525,000$$

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Second quarter estimated tax payment:

Simon can only use the prior year tax liability for the first quarter. For the second quarter payment, Simon would choose to use the annualized method because it earned a significant portion of its income late in the tax year to pay as little tax immediately. For the second quarter, the method of annualizing quarterly income results in the following estimated payment:

Income from months 1–3	×	Annualization factor (3 months)	=	Annualized taxable income	×	Tax rate	=	Annualized income tax liability
\$5,000,000	×	12/3	=	\$20,000,000	×	21%	=	\$4,200,000

The second quarter payment takes into account only the first quarter's income, as the annualized method lags one quarter of income. The tax liability generated by \$20,000,000 in income would be \$4,200,000 (21% of income), and Simon must pay in at least 50 percent of this amount (\$2,100,000). Therefore, the required quarterly payment is \$1,575,000, calculated as follows:

50% of annual required payment	\$2,100,000
Less: cumulative payments to date	<u>(525,000)</u>
Required second quarter payment	\$1,575,000

Third quarter estimated tax payment:

In the third quarter, Simon computes a similar calculation to arrive at annualized taxable income. Months 1–6 income $\times 12/6 = (\$5,000,000 + \$1,000,000) \times 12/6 = \$12,000,000$. The annualized tax associated with this income is \$2,520,000 (21% $\times 12,000,000$), and Simon must have at least 75 percent of this amount paid-in by the third quarter. This means that Simon must have paid at least \$1,890,000. Because Simon has already paid in \$2,100,000 as of the second quarter, there is no required third quarter payment.

Fourth quarter estimated tax payment:

In the fourth quarter, Simon calculates its annualized income as \$16,000,000 $[(\$5,000,000 + \$1,000,000 + \$6,000,000) \times 12/9]$. The annualized tax would be \$3,360,000 (21%), and 100 percent of this amount must be paid-in by the due date for the fourth quarter payment. This makes the required fourth quarter payment \$1,260,000, calculated as:

100% of annual required payment	\$3,360,000
Less: cumulative payments to date	<u>(2,100,000)</u>
Required fourth quarter payment	\$1,260,000

Note that the fourth quarter's income is never factored into the quarterly estimated tax payments. In this example, the fourth quarter constitutes a significant portion of the corporation's taxable income, and that outstanding tax liability would be settled upon filing of the corporation's tax return.

5 Limitations of Tax-Planning Strategies

5.1 General Limitations

When implementing tax-planning strategies, corporations must also consider the limitations to tax planning. The most common limitation occurs due to the lack of opportunity to engage in tax planning. For example, if the corporation does not have accrued loss carryovers available, or the ability to influence the timing of income/loss, or entity recognizing income/loss, tax planning would not be feasible. Similarly, corporations must also consider whether nontax incentives render tax planning a good business decision. For example, a company would not want to make a choice that would put the company under financial distress due to tying up cash in tax planning.

5.2 Judicial Doctrines

In addition to more general limitations, certain judicial doctrines limit the ability of effective tax planning.

The constructive receipt doctrine is a judicial doctrine that limits the effectiveness of timing strategies. It states that income must be recognized the earlier of when it is received or "constructively received." The notion of constructive receipt means that income must be recognized immediately when it is made available to the taxpayer. For example, a cash-basis taxpayer cannot ignore a check waiting in the mailbox to defer income to a subsequent year because those funds have been made available to the taxpayer (i.e., they are income when received in the mailbox provided the check is backed by sufficient funds and the amount on the check is accurate).

The assignment of income doctrine is a judicial doctrine that commonly limits income-shifting strategies. This doctrine says that income must be recognized by the taxpayer who earned the income or the taxpayer who owns the property that produced the income, in the case of unearned income. For a corporation, assignment of income makes it more difficult to shift income between taxpayers.

A final, more general, judicial doctrine is the substance-over-form doctrine, which includes the step transaction doctrine. These doctrines allow the IRS to redetermine the substance of a transaction regardless of whether the form to arrive at specific tax treatment was followed. They allow the IRS to expand or collapse a set of transactions to determine the true substance of the transaction.

1 Legal and Tax Characteristics of Business Entities

The choice of business entity type is an important decision when forming a business. In choosing the entity type for a business, the owners should consider both the legal and tax characteristics of different entities.

1.1 Comparison of Legal Characteristics of Business Entities

Summary of Legal Characteristics of Business Entities							
Attributes	Entity						
	Sole Proprietorship	General Partnership/ Joint Venture	Limited Liability Partnership (LLP)	Limited Partnership	Limited Liability Company (LLC)	Corporation	Subchapter S Corporation
Type and Number of Owners	Only one owner	At least two owners; no limit	At least two owners; no limit	At least two owners; no limit	At least one owner, no limit	At least one owner, no limit	At least one but no more than 100 owners; owners must be individuals who are U.S. citizens or residents, or certain trusts
Formation	No formalities Owner simply operates a business	No formalities: Can be formed by verbal or written agreement, or mere conduct	Formalities: File statement of qualification with state	Formalities: File Certificate of Limited Partnership with state	Formalities: File articles of organization with state	Formalities: File articles of incorporation or corporate charter with state	Formalities: Same as regular corporation plus file "S" election
Liability of Owners	Unlimited personal liability for all business obligations	Unlimited personal liability for all partnership obligations	Partners are generally not liable for partnership obligations, unless caused by their own negligence	General partner: unlimited personal liability Limited partner: only investment is at risk	Members generally not personally liable beyond their investment	Shareholders generally not personally liable beyond their investment	Shareholders generally not personally liable beyond their investment
Management	Sole proprietor manages directly or can appoint manager	Owners manage directly or can agree to appoint managing partner	Partners manage directly or can agree to appoint a managing partner	General partner(s) is (are) exclusive manager(s); Limited partners ordinarily do not manage	Members manage directly or can agree to appoint a manager	Managed by board of directors, which appoints officers to run day-to-day operations	Managed by board of directors, which appoints officers to run day-to-day operations

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<i>Transferability</i>	Sole proprietor can sell business at will	Partners cannot transfer ownership interest without unanimous consent	Partners cannot transfer ownership interest without unanimous consent	Partners (whether general or limited) cannot transfer ownership interest without unanimous consent	Absent agreement otherwise, members cannot transfer ownership interest without unanimous consent	Shareholders are free to transfer ownership interest unless they agree otherwise	Shareholders generally may transfer ownership interest unless they agree otherwise, but cannot transfer to foreign or entity shareholders
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1.2 Comparison of Tax Characteristics of Business Entities

1.2.1 Tax Classification of Business Entities

There are four business entity types for federal income tax purposes:

- C corporation (Form 1120)
- S corporation (Form 1120S)
- Partnership (Form 1065)
- Sole Proprietorship (Form 1040, Schedule C)

1.2.2 Limited Liability Companies (LLCs) and Other Unincorporated Entities

An LLC is not a separate business entity category for federal income tax purposes. It is treated as one of the four business entity categories recognized under the tax law. Under the check-the-box regulations, unincorporated entities, including LLCs, are classified as follows:

- Two or more owners: default treatment is partnership
- One owner:
 - If the owner is an individual, the default treatment is a Schedule C sole proprietorship
 - If the owner is not an individual, the income/loss is included in the owner's taxable income

However, any unincorporated entity can elect to be treated as a C corporation for tax purposes, and if eligible, can elect S corporation status.

1.2.3 Tax Characteristics for Different Entity Types

Some of the key tax characteristics to consider when choosing the type of business entity for tax purposes are as follows:

- Tax treatment of contributions of appreciated property by owners
- Taxation of business entity income
- Deduction of business entity losses
- Compensation of owners
- Tax treatment of operating (nonliquidating) distributions to owners
- Tax treatment of liquidating distributions
- Conversion from one entity type to another

2 Contribution of Property by Owners

The tax treatment of property contributions to the business by owners depends on the type of business entity. Generally, the requirements for nontaxable exchange treatment are more stringent for corporations than for partnerships or sole proprietorships.

2.1 C and S Corporations: Section 351 Requirements

Shareholder contributions of property to a corporation in exchange for stock is a nontaxable exchange only if the requirements of IRC Section 351 are met.

2.1.1 Section 351 Requirements

- Property (including cash) is transferred to the corporation
- Solely in exchange for stock
- The transferors have 80 percent control of the corporation immediately after the exchange

2.1.2 Tax Consequences of Transfer

If the requirements of Section 351 are met, no gain or loss is recognized by either the shareholder or the corporation.

- The shareholder's basis in the stock is the adjusted basis in the contributed property less any liabilities assumed by the corporation.
- The corporation's basis in the contributed property is the adjusted basis of the property contributed.

If the requirements of Section 351 are not met, then gain or loss is recognized by the shareholder. Both shareholder's basis in the stock and the corporation's basis in the contributed property are increased by any gain recognized by the shareholder.

2.2 Partnerships

2.2.1 Tax Consequences of Transfer

For partner contributions of property to a partnership in exchange for an ownership interest, there is no 80-percent control requirement, so even an exchange of property for a 1-percent partnership interest qualifies as a nontaxable exchange.

- The partner's basis in the partnership interest is the adjusted basis in the contributed property, adjusted for liabilities assumed by the other partners.
- The partnership's basis in the contributed property is the adjusted basis of the property contributed.

2.2.2 Special Allocation of Built-in Gains/Losses on Sale of Contributed Property

When a partnership later disposes of property contributed by a partner, any pre-contribution gains or losses (commonly referred to as built-in gains or built-in losses) are allocated to the contributing partner. Post-contribution gain/loss (when property appreciates while in the hands of the partnership) is allocated among all the partners.

2.3 Most Advantageous Entity Type for Property Contributions

This tax characteristic tends to favor the partnership or sole proprietorship type of entity because the taxpayer is not required to meet the control requirements to avoid recognizing a gain on the contribution of appreciated property to the business.

3 Taxation of Business Entity Income

Taxation of a C corporation's net income differs considerably from that of a flow-through entity (partnership, S corporation, Schedule C sole proprietorship, and most LLCs). C corporation income is subject to double taxation, which means the same corporate income is taxed twice. First, income is taxed at the entity level, then again at the shareholder level when distributed to shareholders, usually via a dividend. Flow-through entity income is only taxed once at the owner level, and is taxed when it is earned, whether or not the earnings are distributed to the owners.

3.1 C Corporations

3.1.1 Entity-Level Income Tax

A C corporation is the only business entity whose income is taxed at the entity level. C corporation taxable income is taxed at a flat corporate rate of 21 percent.

3.1.2 Owner-Level Income Tax on Dividends

A C corporation's income is taxed a second time at the owner-shareholder level when the income is distributed to the shareholders as dividends. The tax rate at the shareholder level depends on the type of shareholder.

For individual shareholders, qualified dividends are taxed at capital gain preferential rates:

- 0 percent for lower-income taxpayers
- 15 percent for most taxpayers
- 20 percent for higher-income taxpayers

3.1.3 Net Investment Income Tax on Dividends

Individual taxpayers may also be subject to the additional 3.8 percent net investment income (NII) tax on dividend income. This additional tax on investment income only applies to higher-income taxpayers whose AGI exceeds a threshold amount of \$200,000 (MFJ \$250,000).

3.1.4 Earnings Retention

If a C corporation retains most or all of the corporation's earnings in the business, then the tax on the distribution of the corporation's earnings is delayed until the earnings are later distributed as dividends to shareholders.

3.2 Flow-Through Entities

3.2.1 Owner-Level Income Tax on Entity Income

The income of a flow-through entity, including a Schedule C sole proprietorship, is taxed at the owner level, not at the entity level. The income flows through to the owners when it is earned each year and is taxed at the owner's ordinary income tax rate. The income is taxed only once, when it is earned, and not when it is distributed to the owners. The ordinary income tax rates for individuals are 10, 12, 22, 24, 32, 35, and 37 percent, which can be higher or lower than the C corporation flat 21-percent tax rate, depending on the individual's income tax bracket.

3.2.2 Allocation of Income to Owners

For flow-through entities with multiple owners, entity income, losses, and deductions are generally allocated based on ownership percentages. A partnership, however, can provide in its partnership agreement for allocations based on something other than ownership percentages such as capital contributions.

3.2.3 Self-Employment Tax

Individual owners may also be subject to self-employment (SE) tax on their share of business income, depending on the type of entity and the owner's involvement in the operations of the business. The self-employment tax is generally 15.3 percent of self-employment earnings. The SE tax is calculated on 92.35 percent of self-employment income.

- **Sole Proprietorship:** Self-employment income to sole proprietor
- **Partnership:** Self-employment income to partner if actively involved in business operations
- **S Corporation:** *Not* self-employment income to shareholder (active or inactive)

3.2.4 Net Investment Income Tax

Partners in a partnership and shareholders in an S corporation may be subject to the additional 3.8 percent net investment income (NII) tax on their share of business income if the partner or shareholder is not actively involved in the operations of the business. If a partner or shareholder is a passive owner, his or her share of business income is passive income, which is included in investment income for NIIT purposes. A sole proprietorship's income is self-employment income to the owner, not passive income.

This additional tax on investment income only applies to higher-income taxpayers whose AGI exceeds a threshold amount of \$200,000 (MFJ \$250,000).

3.2.5 Qualified Business Income (QBI) Deduction

The qualified business income (QBI) deduction is available to individual owners of flow-through entities, including partnerships, S corporations, and sole proprietorships. The deduction is generally 20 percent of the owner's share of qualified business income, subject to certain limitations. The deduction is taken on the owner's individual income tax return.

3.3 Most Advantageous Entity Type for Taxation Purposes

The best entity type for purposes of how the entity income is taxed depends on several factors. Whether to decide to form as a C corporation or a flow-through entity (partnership, S corporation, sole proprietorship) depends on:

- the owners' individual marginal tax rates relative to the C corporation tax rate; and
- the extent to which the business retains earnings or distributes earnings to the owners.

The C corporation form may be more advantageous if earnings are not distributed to shareholders as dividends because the second tax on dividend distributions at the individual level is delayed. The C corporation form may also be more advantageous if the individual marginal tax rates of the owners are higher than the C corporation flat tax rate of 21 percent. If the business does distribute earnings as dividends that are taxed at the shareholder level, and/or the individual marginal tax rates of the owners are lower than the C corporation tax rate, then a flow-through entity form may be more advantageous.

Another advantage of the flow-through entity form is the 20 percent QBI deduction available to the individual owner. The tax savings from the QBI deduction should also be considered when comparing the relative tax rates and earnings retention policy.

In choosing between the various flow-through entities, one advantage of the S corporation form over the partnership or sole proprietorship form is that the business income is not subject to self-employment tax even if the owner is actively involved in the operations of the business. The business income of a sole proprietorship and an active partner's share of partnership income are self-employment income to the owners and are subject to self-employment tax on the individual owner's individual income tax return.

One advantage of the partnership form over the S corporation form is that partnerships have greater flexibility in allocating income, losses, and deductions among the owners.

Example 1**Taxation of Business Entity Income**

Facts: Don and Mary are forming a new business together as equal owners and expect the business to start generating substantial profits as soon as they begin operations. They will both actively participate in the operations of the business. Don and Mary plan to leave the profits invested in the business and not take any distributions or compensation for the foreseeable future.

Required: Identify the entity type that would be most advantageous from a tax perspective assuming that both owners are in: (1) the lowest individual income tax brackets, or (2) the highest individual income tax brackets.

Solution:**1. Owners in lowest individual income tax brackets: S corporation.**

Because the owners will not be taking distributions, the net income of the business will only be taxed once, whether it is a C corporation or a pass-through entity. If the business is organized as a flow-through entity, the business income will be taxed at the owners' income tax rates, which are lower than the C corporation flat tax rate of 21 percent. The owners would also be eligible for the 20-percent QBI deduction if the business is a flow-through entity, but not if it is a C corporation.

However, if the business is organized as a partnership, the owners will also have to pay the 15.3 percent self-employment tax on the business income. S corporation business income is not subject to the self-employment tax, so the owners will pay less in total taxes if the business is organized as an S corporation, rather than a C corporation or partnership.

2. Owners in highest individual income tax brackets: C corporation.

If the business is organized as a C corporation, the corporation will pay tax at the 21-percent corporate income tax rate. If the business is organized as a pass-through entity, the owners will pay income tax on the business income based on their individual tax rates. Because the owners are in the highest individual tax brackets, and there are no distributions to owners that will be taxed as dividend income if it is a C corporation, the owners will pay less in total taxes if the business is organized as a C corporation.

4 Deduction of Business Entity Losses

Deduction of business entity losses may be limited by net operating loss (NOL) limitations as well as the loss limitation hurdles that individual taxpayers must clear to deduct a loss. These include the tax basis and at-risk limitations, which apply at the entity level, and the passive activity loss limitations and the excess business loss limitations, which apply at the individual owner level.

4.1 Most Advantageous Entity Type for Taxation Purposes

The ability to flow through losses to the owner-taxpayer and offset income from other sources at the individual level is one advantage of a flow-through entity form, rather than a C corporation form. This can be particularly advantageous for new businesses, where start-up losses are not uncommon. If an owner has sufficient basis in the ownership interest and is actively involved in operations of the business, the owner can receive an immediate tax benefit from the losses. Even if deduction of the losses is delayed due to basis limitations or the PAL limitation, the owner is not subject to the 80-percent limitation that applies to the use of NOL carryforwards.

An owner in a partnership may be able to flow through and deduct more in business losses than an S corporation shareholder due to basis in the ownership interest. An owner's basis in a partnership interest includes the owner's share of entity debt, but basis in S corporation stock does not. Higher basis allows for more losses to be flowed through to the individual level and deducted on the individual income tax return.

Example 2

Deduction of Business Entity Losses

Facts: Don and Mary are forming a new business together as equal owners and have contributed enough to the business to have substantial basis in their ownership interests. They will both actively participate in the operations of the business. They expect the business to generate losses for the first few years and do not plan to take any distributions or compensation until the business becomes profitable. They both have other sources of income and are in the middle individual income tax brackets.

Required: Identify the entity type that would be most advantageous from a tax perspective.

Solution: S corporation or partnership.

If the business is organized as a C corporation, the net operating losses (NOLs) in the earlier years are carried forward until future years when the business becomes profitable. Even when the business does eventually generate profits, the NOL carryforward can only offset up to 80 percent of the future year's net income, so the tax benefit of deducting the losses is delayed.

If the business is organized as an S corporation or partnership, the losses can be passed through to the owners and be used to offset against their other sources of income. Both Don and Mary have substantial basis in their ownership interests and are active participants in the business, so the deduction of the business losses will not be limited by the basis or PAL limitations.

5 Compensation of Owners

The way that owners who work for the business are compensated for services provided differs depending on the type of entity. The form of compensation also influences the Social Security and Medicare taxes paid by the owners.

5.1 C and S Corporations

5.1.1 C and S Corporation Shareholder Salaries

C and S corporation shareholders can be employees of the corporation and are paid a salary for services provided to the corporation. The salary is ordinary income to the shareholder-employee. The corporation also pays the employer portion (one-half) of Social Security and Medicare, or FICA, taxes for employee-shareholders. The corporation deducts the shareholder-employee salaries and FICA taxes paid on behalf of employee-shareholders in calculating ordinary business income.

5.1.2 Partnership Guaranteed Payments to Partners

Partners cannot be employees of a partnership, so they cannot be paid a salary. Instead, partners receive guaranteed payments for services provided to the partnership. The partnership deducts guaranteed payments to partners in calculating ordinary business income. Since the partners are not employees, the partnership does not pay the employer portion of Social Security and Medicare taxes.

The guaranteed payment is ordinary income to the partner. Guaranteed payments are also self-employment income, so the partner pays all of the Social Security and Medicare taxes (self-employment taxes) on the income.

5.1.3 Sole Proprietorships

A sole proprietorship cannot pay the owner a salary or fringe benefits.

5.2 Qualifying Fringe Benefits for Owners

5.2.1 Partnership

Fringe benefits paid by a partnership to partners, such as health insurance and life insurance, are included in guaranteed payments. These payments are deductible by the partnership in calculating ordinary business income. The amounts are ordinary income to the partner as part of guaranteed payments.

5.2.2 C Corporation

Qualifying fringe benefits paid by a C corporation to shareholder-employees are deductible by the corporation in calculating taxable income. The qualifying fringe benefits are nontaxable to the shareholder-employees.

5.2.3 S Corporation

Qualifying fringe benefits paid by an S corporation to shareholder-employees are deductible by the corporation in calculating ordinary business income. The fringe benefits are:

- Nontaxable to shareholder-employees owning 2 percent or less of the S corporation.
- Taxable to shareholder-employees owning more than 2 percent of the S corporation.

5.3 Most Advantageous Entity Type for Taxation Purposes

One tax advantage that both C and S corporations have relative to partnerships is that the corporation can deduct the employer portion (one-half) of the Social Security and Medicare taxes paid on shareholder-employee salaries. This reduces the taxable income of a C corporation, and the ordinary business income flowing through to owners for an S corporation, resulting in tax savings. Another tax advantage is that fringe benefits are nontaxable for C corporation shareholder-employees and S corporation shareholder-employees owning 2 percent or less, but not for partners or other S corporation shareholder-employees.

Example 3

Compensation of Owners

Facts: Don and Mary are forming a new business together as equal owners and expect the business to start generating profits as soon as they begin operations. They will both actively participate in business operations and want to receive reasonable compensation for their services and fringe benefits, such as health insurance, and will not take distributions from the business. They are both in the middle individual income tax brackets.

Required: Identify the entity type that would be most advantageous from a tax perspective.

Solution: C corporation.

If the business is a C corporation, the corporation can pay Don and Mary a salary. The corporation will also pay the employer portion of the Social Security and Medicare taxes paid on their salaries. The corporation can also pay for qualified employee fringe benefits for the owners, and the benefits will be nontaxable to Don and Mary. The corporation deducts those costs, reducing the corporation's taxable income. The net income of the business will be taxed at a lower rate—21 percent—if it is organized as a C corporation. If the business is organized as a pass-through entity, the business income would be taxed at the higher individual owners' tax rates, because they are in the middle individual income tax brackets.

The business could still pay the owners a salary and pay the employer portion of the related Social Security and Medicare taxes if it is an S corporation, but the fringe benefits would not be tax-free for Don and Mary because they both own more than 2 percent of the business. If the business is a partnership, Don and Mary would receive guaranteed payments, rather than salaries, and would have to pay all the related Social Security and Medicare taxes. The fringe benefits paid by the partnership would not be tax-free to Don and Mary. They are included in the owners' guaranteed payments and taxed as ordinary income.

6 Operating (Nonliquidating) Distributions to Owners

The tax treatment of operating (nonliquidating) distributions varies for both the entity and the owners for different entities. Distributions from C corporations are taxable to the shareholders, whereas distributions from other entities are generally not taxable to the owners. For property distributions, C and S corporations recognize a gain at the entity level and use the fair market value (FMV) of the property as the amount of the distribution, whereas partnerships do not.

6.1 C Corporation Operating Distributions

6.1.1 Shareholder Tax Treatment

C corporation distributions to shareholders are taxable dividends to the extent of the corporation's earnings and profits (E&P). For individual shareholders, qualified dividends are taxed at preferential rates:

- 0 percent for lower-income taxpayers
- 15 percent for most taxpayers
- 20 percent for higher-income taxpayers

The dividend income may also be subject to the net investment income (NII) tax, depending on the individual's AGI and total investment income.

6.1.2 Property Distributions

The amount of a C corporation property distribution is the fair market value (FMV) of the property at the date of distribution.

- C corporation recognizes a gain on appreciated property (but not a loss on depreciated property).
- Shareholder recognizes a taxable dividend equal to the FMV of the property. The shareholder's basis in the property distributed is equal to the FMV of the property.

6.2 S Corporation Operating Distributions

6.2.1 Shareholder Tax Treatment

- S corporation distributions are treated as coming from S corporation E&P first, which are nontaxable. The distribution decreases the shareholder's stock basis.
- Distributions are then treated as coming from C corporation E&P from prior C corporation years, if any, and are taxable dividends.
- Distributions are then nontaxable to the extent of the shareholder's remaining stock basis.
- Distributions in excess of the shareholder's stock basis are taxed as a capital gain.

6.2.2 Property Distributions

The tax treatment of S corporation property distributions is the same as C corporations. The amount of the distribution is the FMV of the property at the date of distribution.

- The S corporation recognizes a gain on appreciated property (but not a loss on depreciated property), and the gain is flowed through and allocated to the shareholders' pro rata based on ownership.
- Distributions are nontaxable to the extent of the S corporation E&P and the shareholder's stock basis. The shareholder's basis in the property distributed is equal to the FMV of the property.

6.3 Partnership Operating Distributions

6.3.1 Partner Tax Treatment

Partnership distributions to partners are nontaxable to the extent of the partner's basis in the partnership interest.

- Cash distributions in excess of the partner's basis in partnership interest are taxed as capital gain.

6.3.2 Property Distributions

The amount of a partnership property distribution is the partnership's adjusted basis in the property at the date of distribution.

- No gain or loss is recognized by the partnership or the partner.
- The distribution is nontaxable to the extent of the partner's basis in partnership interest. The partner's basis in the property distributed is equal to the partnership's adjusted basis in the property.

6.4 Sole Proprietorships

Owner withdrawals of cash or noncash property from a sole proprietorship business are not a taxable event.

6.5 Most Advantageous Entity Type for Taxation Purposes

This tax characteristic tends to favor a partnership form, especially for distribution of appreciated property to partners. No gain is recognized on the appreciated property distributed, and the amount of the distribution is the adjusted basis of the property, rather than the higher FMV. The distribution is nontaxable to the extent of the partner's basis in the partnership interest, which tends to be higher than an S corporation's basis in stock because it also includes the partner's share of partnership debt.

Both C and S corporations recognize gains on distributions of appreciated property, and the amount of the distribution is the higher FMV. C corporation distributions are taxable dividends to shareholders. S corporation distributions are more likely to exceed S corporation E&P and the shareholder's ownership interest (stock basis) and end up as taxable income to the shareholders more often than partnership distributions would.

7 Liquidating Distributions to Owners

Another important consideration in selecting an entity type for a business is the tax cost of liquidating the entity. C and S corporations recognize a gain or loss at the entity level for property distributed to shareholders in liquidation and use the fair market value (FMV) of the property as the amount of the distribution and the shareholder's basis in the distributed property. Partnerships do not recognize gain or loss, and the partner's basis in the partnership interest becomes the partner's basis in the distributed property.

7.1 C Corporation Liquidating Distributions

One way a C corporation can liquidate is to distribute all of its assets to the shareholders.

- A C corporation recognizes gain or loss on the difference between the FMV and adjusted basis of the property on the date of distribution.
- Shareholders recognize capital gain or loss for the difference between the FMV of the property received and the shareholder's basis in the stock; $\text{basis in property received} = \text{FMV}$.

7.2 S Corporation Liquidating Distributions

S corporation liquidating distributions are treated the same as C corporation liquidating distributions.

- An S corporation recognizes gain or loss on the difference between the FMV and adjusted basis of the property on the date of distribution. The gain or loss is flowed through and allocated to the shareholders pro rata based on ownership.
- Shareholders recognize capital gain or loss for the difference between the FMV of the property received and the shareholder's basis in the stock (after all other S corporation activity has been taken into account). The basis in the property received is equal to the FMV.

7.3 Partnership Liquidating Distributions

No gain or loss is recognized by the partnership for liquidating distributions to partners.

- A partner's basis in the partnership interest (after all other partnership activity has been taken into account) is assigned to the noncash property distributed to the partner.
- A partner only recognizes gain (or loss) in limited circumstances where cash distributed is more (or less) than the partner's basis in partnership interest.

7.4 Most Advantageous Entity Type for Taxation Purposes

This tax characteristic tends to favor partnerships if the entity has appreciated (gain) property, for the same reasons that operating distributions tax rules favor partnerships. It tends to favor corporations, however, if the entity has depreciated (loss) property because the losses can be recognized at the time of the distribution.

Example 4 Liquidating Distributions to Owners

Facts: Don and Mary are forming a business together as equal owners. The business is a passive activity, rental real estate. They expect the assets to substantially appreciate in value and are concerned about the tax impact when they ultimately liquidate the business.

Required: Identify the entity type that would be most advantageous from a tax perspective.

Solution: Partnership.

If the entity is organized as a partnership, the entity does not recognize any gain on the appreciation of the property distributed to the owners in liquidation of the business, and the owners would generally not recognize a gain or loss on the disposition of their partnership interest.

If the entity is organized as a C or S corporation, the corporation recognizes gain on the appreciation of the property distributed to the owners. A C corporation would pay income tax on the gain at the corporate income tax rate. An S corporation would flow the gain through to the owners, who would pay tax at the individual income tax rates. C and S corporation shareholders would recognize a capital gain for the difference between the FMV of the property received and the shareholder's basis in the stock.

8 Conversion From One Type of Entity to Another

Another important consideration in selecting the entity type for a business is the tax cost of converting from an existing type of entity to another type of entity.

8.1 Conversion From Flow-Through Entity to C Corporation

It is relatively easy to convert a flow-through entity (S corporation, partnership, or sole proprietorship) to a C corporation.

- S corporation → C corporation: revoke S election (cannot re-elect S status for five years).
- Partnership or sole proprietorship → C corporation:
 - Check-the-box election for unincorporated entities to be taxed as C corporation.
 - Form a new corporation and contribute partnership/Schedule C assets to new corporation in a nontaxable Section 351 exchange.

8.2 Conversion From C Corporation to Flow-Through Entity

Conversion from a C corporation to a flow-through entity can be more complex and have higher tax costs than conversion from a flow-through entity to a C corporation.

- C corporation → S corporation: make S election (if meet eligibility requirements).
- C corporation → Partnership or sole proprietorship: liquidate C corporation, form new entity.
 - C corporation recognizes gain or loss on the difference between the FMV and adjusted basis of property on the date of liquidating distribution to shareholders.
 - Shareholders recognize capital gain or loss for the difference between the FMV of the property received and the shareholder's basis in the stock.

9 Comparison of Tax Characteristics of Business Entities

Comparison of Tax Characteristics of Business Entities Summary Chart				
Attribute	C Corporation	S Corporation	Partnership	Sole Proprietorship
<i>Contribution of appreciated property by owners</i>	No gain/loss recognized only if Sec. 351 requirements met	No gain/loss recognized only if Sec. 351 requirements met	No gain/loss recognized	Nontaxable event
<i>Gain/loss on sale of contributed property</i>	Gain/loss recognized by corporation	Gain/loss allocated among shareholders	Special allocation of pre-contribution gain/loss to contributing partner	Gain/loss recognized by owner
<i>Taxation of business entity income</i>	Taxed at entity level when earned, taxed again at owner level when distributed as dividends	Allocated among shareholders, taxed once at individual owner level when earned	Allocated among partners, taxed once at individual owner level when earned	Taxed once at individual owner level when earned
<i>Self-employment tax</i>	No	No	Yes, if active partner	Yes
<i>Net investment income tax</i>	No	Yes, if passive shareholder	Yes, if passive partner	No
<i>QBI deduction by owner</i>	No	Yes, if qualifications met	Yes, if qualifications met	Yes, if qualifications met
<i>Deductibility of business entity losses</i>	NOL limitations	Basis, PAL, and excess business loss limitations	Basis, PAL, and excess business loss limitations	PAL and excess business loss limitations
<i>Entity debt included in basis of ownership interest</i>	No	No; separate basis in shareholder loan to S corp.	Yes; amount depends on type of owner, type of debt	N/A
<i>Owner compensation</i>	Salary	Salary	Guaranteed payment	None
<i>Owner qualifying fringe benefits</i>	Nontaxable to shareholder-employee	Nontaxable if own 2% or less; taxable if own > 2%	Taxable to partner; guaranteed payment	None
<i>Operating distributions to owners</i>	Recognize gain (not loss) on property distributed	Recognize gain (not loss) on property distributed	No gain/loss recognized on property distributed	Nontaxable event
<i>Liquidating distributions to owners</i>	Recognize gain or loss on property distributed	Recognize gain or loss on property distributed	No gain/loss recognized on property distributed	Nontaxable event

Tax Compliance and Planning for Flow-Through and Other Entities

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NOTES

1 S Corporations

Small, closely held corporations, if eligible, may elect to be taxed as an S corporation, a flow-through entity taxed in a manner similar to partnerships. In effect, all the income, gains, losses, and deductions of the corporation are passed (or flowed) through to the shareholders. The individual owners are taxed on their proportionate share of the S corporation earnings regardless of whether the earnings are distributed to them.

1.1 Formation

- When a corporation is formed, it is by default taxed as a C corporation. It is treated as an S corporation for tax purposes if a valid S corporation election is filed.
- Realized and recognized gain/loss to the corporation and shareholders upon contribution of assets in exchange for stock are computed in the same manner as for a C corporation.

1.2 Property Contributions to an S Corporation

Although setting up an S corporation affords a company many tax advantages similar to those of partnerships, some S corporation traits remain the same as for C corporations. Taxability of shareholder contributions to an S corporation are governed under Section 351, in the same manner as C corporations. That is, a contribution is nontaxable if it is:

1. a contribution of property (not services);
2. solely in exchange for stock; and
3. after the transfer, the shareholder (or group of shareholders transferring in an integrated transaction) has control of the corporation through 80 percent stock ownership.

A transfer that does not meet these requirements will be treated as a taxable sale (gain recognized for FMV received over shareholder basis in assets contributed). Note that the requirements for Section 351 are fairly easily met upon formation of the S corporation but may be harder to meet upon subsequent contributions of property by individual shareholders or new shareholders.

The S corporation's basis in any property contributed is the same as the contributing shareholder's basis. The shareholder's initial stock basis is the amount of any cash contributed, plus the adjusted basis of any property contributed (reduced by any liability assumed by the corporation), plus the fair market value (FMV) of any services contributed in exchange for stock. The shareholder's stock basis is also increased by the adjusted basis of any subsequent nontaxable contributions of property.

Example 1 Property Contributions to an S Corporation

Facts: Ray contributed property with FMV of \$20,000 and an adjusted basis to Ray of \$10,000 in exchange for stock in Falcon Corporation, an existing S corporation. Immediately after the transfer, Ray owns 20 percent of Falcon's stock.

Required: Determine Ray's realized gain or loss on the exchange and his basis in the S corporation stock, as well as Falcon Corporation's basis in the property contributed.

Solution: \$10,000 realized gain (\$20,000 FMV – \$10,000 adjusted basis of property contributed).

Ray will have a \$10,000 realized gain. Because Ray did not have 80 percent or more ownership in Falcon after the exchange, he is required to recognize the gain on the exchange of property for stock.

Ray will have a \$20,000 basis in Falcon (\$10,000 carryover basis plus \$10,000 gain recognized). Falcon's basis in the property received is also \$20,000.

Example 2 Property Contributions to an S Corporation with Assumption of Debt

Facts: Roberts contributed property with an adjusted basis of \$100,000 and FMV of \$200,000 in exchange for 100 percent of a newly formed S corporation, Falcon Corporation. Falcon Corporation also assumed a \$70,000 mortgage on the property contributed. The FMV of the Falcon Corporation stock is \$130,000.

Required: Determine Roberts' realized gain or loss on the exchange, his basis in the S corporation stock, and Falcon Corporation's basis in the property contributed.

Solution:

Gain realized:

FMV of property contributed	\$200,000
Less: debt assumed by the corporation	<u>(70,000)</u>
Amount realized (FMV of Falcon stock)	130,000
Less: adjusted basis of property contributed	(100,000)
Gain realized by Roberts	<u>\$ 30,000</u>

Gain recognized:

\$0. No gain is recognized because the exchange was a contribution of property which was solely in exchange for stock (no boot was received) and Roberts owns 80 percent or more of the stock immediately after the exchange. In addition, the debt assumed by the corporation did not exceed his adjusted basis in the property contributed.

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Stock basis:

Adjusted basis of property contributed	\$100,000
Less: debt assumed by the corporation	<u>(70,000)</u>
Roberts' basis in Falcon stock	<u>\$ 30,000</u>

Corporation's basis in property:

Transferor's adjusted basis in property	\$100,000
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1.3 Certain Corporation-Level Taxes

Although S corporations generally do not pay tax, there are three different taxes that may be imposed if the S corporation was previously taxed as a C corporation.

1.3.1 LIFO Recapture Tax

C corporations that elect S status must include in taxable income for the last C corporation year the excess of inventory computed using the FIFO method over the inventory computed using the LIFO method. The resulting tax on the C corporation may be paid in four equal annual installments, the first of which is due with the final C corporation return. The remaining installments are paid by the S corporation.

1.3.2 Built-in Gains Tax

■ Overview

A distribution or sale of an S corporation's assets may result in a corporate-level tax on any *built-in gain*. An unrealized built-in gain results when the following two conditions occur:

- A C corporation elects S corporation status; and
- The fair market value of the corporate assets exceeds the adjusted basis of corporate assets on the election date.

The net unrealized built-in gain is the excess of the fair market value of corporate assets over adjusted basis of corporate assets at the time the corporation converts from a C corporation to an S corporation. When those assets are later disposed of, the S corporation may have to pay tax on the built-in gain. The amount of built-in gain recognized in any one year is limited to the total net unrealized built-in gain less any built-in gain previously recognized.

■ Exemptions From Recognition of Built-in Gain

An S corporation is exempt from a tax on built-in gains under any of the following circumstances:

- The S corporation was never a C corporation.
- The sale or transfer does not occur within five years of the first day that the S election is effective.
- The S corporation can demonstrate that the appreciation in the asset being sold or transferred occurred after the S election.
- The S corporation can demonstrate that the distributed asset was acquired after the S election.
- The total net unrealized built-in gain has been completely recognized in prior tax years.

■ Calculation of Tax

The tax is 21 percent (the C corporation tax rate) of the lesser of the:

- recognized built-in gain for the current year;
- total net unrealized built-in gain at S election less net unrealized built-in gains recognized in previous years; or
- taxable income of the S corporation if it were a C corporation (excluding dividends received deduction).

Example 3

Built-In Gains (BIG) Tax

Facts: Hyde Corp. was originally organized as a calendar year C corporation and elected to be taxed as an S corporation effective January 1, Year 3. Hyde Corp. owned the following assets at the beginning of Year 3:

	Adjusted Basis	Fair Market Value (FMV)	Built-In Gain (Loss)
Cash	\$ 50,000	\$ 50,000	\$ 0
Inventory	100,000	125,000	25,000
Equipment	150,000	140,000	<u>(10,000)</u>
Net unrealized gain			<u>\$15,000</u>

Hyde Corp. sold the inventory in Year 4 for \$130,000. Hyde Corp. calculated its taxable income to be \$100,000 as if it was a C corporation in Year 4.

Required: Calculate the amount of Hyde Corporation's built-in gains (BIG) tax in Year 4.

Solution: \$15,000 net unrealized built-in gain × 21% C Corp tax rate = \$3,150 built-in gains tax.

Hyde Corp. had a net unrealized built-in gain of \$15,000 at the time it converted from a C corporation to an S corporation in Year 3.

The inventory had an unrealized built-in gain and was sold within five years of the S election, so Hyde Corp. must pay a built-in gains tax of 21 percent of the lesser of:

- the built-in gain recognized on the inventory sold in Year 4 of \$25,000;
- the total net unrealized built-in gain at the time of the S election of \$15,000; or
- the taxable income if the corporation had been a C corporation in Year 4 of \$100,000.

1.3.3 Tax on Passive Investment Income

An S corporation is subject to an income tax imposed at the corporate rate (21 percent) on the lesser of net income or excess passive investment income if the following two tests are met:

- The S corporation has accumulated C corporation earnings and profits (i.e., accumulated earnings attributable to prior periods in which the corporation was a C corporation); and
- Passive investment income (e.g., royalties, dividends, interest, rents, and annuities but not gains on sales of securities) exceeds 25 percent of total gross receipts.

2 S Corporation Shareholder Stock Basis and Debt Basis

2.1 Shareholder Stock Basis

The calculation of a shareholder's basis in S corporation stock is as follows:

	Initial stock basis (contributions: cash, adjusted basis of property, FMV of services)
+	Additional contributions
+	Income items (ordinary business income, separately stated income/gain items, and tax-exempt income)
–	Distributions to shareholders (cash, FMV of property)
–	Nondeductible expenses
–	Loss/deduction items (ordinary business loss, separately stated loss/deduction items)
=	Ending basis in S corporation stock

2.2 Shareholder Debt Basis

Unlike partnerships, S corporation shareholders do not include any S corporation debt in their stock basis. However, an S corporation shareholder does have separate debt basis in loans from the shareholder to the S corporation. When the S corporation repays part or all of the loan, the shareholder's basis in the debt is reduced accordingly.

Stock basis and debt basis cannot be reduced below zero. This affects both the pass-through of S corporation losses/deductions and the tax treatment of distributions to shareholders.

Example 4

S Corporation Shareholder Stock and Debt Basis

Facts: Don is a 10 percent shareholder in Cowen Corp., a calendar year S corporation. Don's stock basis at the end of Year 1 was \$60,000.

In Year 2, the S corporation had ordinary business income of \$200,000, separately stated interest income of \$5,000, and separately stated charitable contributions of \$15,000. Don received total cash distributions from the corporation in Year 2 of \$25,000.

Don also loaned Cowen Corp. \$50,000 at the beginning of Year 2. The corporation repaid \$10,000 of the loan during Year 2.

Required: Determine the amount of Don's stock basis and debt basis at the end of Year 2.

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Solution: Stock basis \$54,000; debt basis \$40,000.*Shareholder stock basis:*

Beginning Year 2 stock basis	\$ 60,000
Add: share of ordinary business income ($\$200,000 \times 10\%$)	20,000
Add: share of separately stated interest income ($\$5,000 \times 10\%$)	500
Less: cash distributions	\$(25,000)
Less: share of separately stated charitable contributions ($\$15,000 \times 10\%$)	<u>(1,500)</u>
Ending Year 2 stock basis	<u>\$ 54,000</u>

Shareholder debt basis:

Loan to corporation at beginning of Year 2	\$ 50,000
Less: loan repayments during Year 2	<u>(10,000)</u>
Ending Year 2 debt basis	<u>\$ 40,000</u>

2.3 Limitations on Pass-Through of Losses

For an S corporation shareholder to deduct a loss, the shareholder must clear four hurdles, in this order:

1. Tax basis limitation
2. At-risk limitation
3. Passive activity loss (PAL) limitation
4. Excess business loss limitation

The tax basis and at-risk limitations are applied at the entity level, and limit the ability of S corporation shareholders to flow through losses to individual income tax returns. The PAL and excess business loss limitations are applied at the individual tax return level.

2.3.1 Tax Basis Limitation

A loss can only be flowed through to an S corporation shareholder's individual income tax return to the extent of the shareholder's tax basis. This includes the shareholder's stock basis and basis in any direct loans from the shareholder to the S corporation.

A loss in excess of the shareholder's tax basis is suspended until tax basis is reinstated in future years. Tax basis can be reinstated by any of the items that increase stock basis: income, gains, and additional contributions. Any increases in future years reinstate the debt basis first, then stock basis.

A suspended loss due to insufficient tax basis can be carried forward indefinitely. However, any suspended losses due to insufficient tax basis remaining when the shareholder disposes of his or her S corporation stock are lost.

2.3.2 At-Risk Limitation

An S corporation shareholder's ability to flow through losses may be further limited by the amount of the shareholder's risk of financial loss in the business. The at-risk amount is typically the same as the shareholder's stock basis and debt basis. A shareholder's at-risk amount may be lower than his or her stock and debt basis if the taxpayer takes out a nonrecourse loan (where the shareholder is not personally liable) to make a contribution or to make a direct loan to the S corporation. The contribution or loan would be included in the shareholder's tax basis, but not in the shareholder's at-risk amount (at-risk basis).

A loss in excess of a shareholder's at-risk basis is suspended until the at-risk basis is reinstated in future years, and is carried forward indefinitely. Any suspended losses due to insufficient at-risk basis remaining when the shareholder disposes of his or her stock can be offset against any gain from selling the stock.



Pass Key

An S corporation shareholder is permitted to pass through for deduction on the shareholder's individual income tax return the pro rata share of the S corporation loss subject to the following limitation:

Stock basis (reduced by any distributions) + Debt basis (direct shareholder loans to S corporation)

Illustration 1 Stock Basis and At-Risk Amount

Gearty is a shareholder in an S corporation. He contributed \$12,000 in cash and land with a basis of \$25,000 and a fair market value of \$100,000. He also loaned the S corporation \$15,000, which Gearty borrowed from another source on a nonrecourse basis. Gearty has \$10,000 as his pro rata share of S corporation income that was not distributed. Gearty's stock basis:

\$12,000	(cash contributed)
25,000	(basis in land contributed)
<u>10,000</u>	(undistributed share of income)
<u>\$47,000</u>	stock basis

Gearty has debt basis of \$15,000 for the loan to the S corporation, so his total tax basis is \$62,000 (\$47,000 stock basis + \$15,000 debt basis). However, the loan to the S corporation is not included in his at-risk amount. Because he obtained the funds through a nonrecourse loan and is not personally liable, he is not at risk of financial loss. Gearty's at-risk amount is \$47,000, the amount of his stock basis only.

Example 5 S Corporation Tax Basis Limitation

Facts: Anna's stock basis in her S corporation stock at the end of Year 1 is \$30,000. Anna also loaned the S corporation \$10,000 from her personal savings in Year 1. In Year 2, the S corporation incurred an ordinary business loss, and Anna's share of the loss was \$75,000. The S corporation had ordinary business income in Year 3, and Anna's share was \$50,000. There were no other changes to Anna's stock basis (separately stated items, contributions, or distributions), and the S corporation did not make any payments on the loan from Anna in Years 2 and 3.

Required: Calculate the amount of ordinary income or loss that is flowed through to Anna's individual income tax return each year and her tax basis in her S corporation stock at the end of Year 2 and Year 3.

Solution:

Year 2: Anna can flow through \$40,000 of her \$75,000 share of the Year 2 S corporation loss for deduction on her individual income tax return (subject to the PAL and excess business loss limitations). The loss can be flowed through to the extent of her \$30,000 stock basis and \$10,000 debt basis, reducing the basis of both to zero at the end of Year 2. The remaining \$35,000 (\$75,000 – \$40,000) is suspended until her tax basis is reinstated.

Year 3: The \$50,000 ordinary business income is flowed through to be taxed on Anna's individual income tax return. The income reinstates her debt basis to \$10,000 first, then the remaining \$40,000 increases her stock basis. The suspended loss of \$35,000 can now be flowed through for deduction on her income tax return (subject to the PAL and excess business loss limitations). Her Year 3 ending stock basis is \$5,000 (\$40,000 – \$35,000). Her Year 3 ending tax basis is \$15,000 (\$5,000 stock basis + \$10,000 debt basis).

3 Allocation of S Corporation Income (Loss) Among Shareholders

Like partnerships, S corporations flow through ordinary business income or loss and separately stated items of income, gain, loss, and deductions to the shareholders. Allocations to shareholders are made on a per-share, per-day basis.

Example 6 Allocation on Per-Share, Per-Day Basis

Facts: The Duffy Corporation, an S corporation, is owned equally by three shareholders, Rick, Tim, and Peter. The corporation is on a calendar-year basis. On February 1, Year 5, Peter sold his one-third interest in Duffy Corporation to George. For the year ended December 31, Year 5, the corporation had ordinary business income of \$120,000 and no separately stated items.

Required: Calculate each shareholder's ordinary business income allocation for the year.

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Solution: For Year 5, the income of the corporation should be allocated as follows:

Rick ($\$120,000 \times 1/3$)	\$ 40,000
Tim ($\$120,000 \times 1/3$)	40,000
Peter (31 days / 365 days $\times$ \$40,000)	3,397
George (334 days / 365 days $\times$ \$40,000)	<u>36,603</u>
Total	<u>\$120,000</u>

3.1 Separately Stated Items

The following S corporation items flow through separately to the shareholder in a manner similar to a partnership (see Schedule K-1 for a complete list):

- Rental real estate income or loss
- Interest income
- Dividend income
- Royalties
- Net short-term capital gain or loss
- Net long-term capital gain or loss
- Net Section 1231 gain or loss
- Charitable contributions
- Section 179 expense deduction

3.2 Section 199A Qualified Business Income (QBI) Deduction

A below-the-line deduction of 20 percent of qualified business income may be available on ordinary business income flowed-through from an S corporation.

3.3 Accumulated Adjustments Account (AAA)

The accumulated adjustments account (AAA) is the accumulated earnings and profits during the years the corporation is an S corporation. Distributions may not reduce AAA below zero. However, AAA may be negative due to S corporation losses and deductions.

3.3.1 Increases to AAA

- Ordinary business income
- Separately stated income and gain items (other than tax-exempt income)

3.3.2 Decreases to AAA

- Ordinary business losses
- Separately stated losses and deductions
- Nondeductible expenses (other than expenses related to tax-exempt income)
- Distributions (may not reduce AAA below zero)

3.3.3 Other Adjustments Account

The other adjustments account (OAA) is an account that is designed to keep a cumulative record of items that affect S corporation shareholders' stock basis but do not affect AAA. These include:

- Tax-exempt interest on municipal bonds and related expenses
- Tax-exempt life insurance proceeds and related nondeductible premiums
- Federal taxes paid or accrued in an S corporation year that relate to C corporation years

The OAA does not impact the taxability of S corporation distributions.

4 Nonliquidating Distributions to Shareholders

4.1 Tax Treatment of S Corporation Distributions to Shareholders

Because S corporations are only subject to a single level of tax, distributions from an S corporation are generally not taxable to the shareholders, as the shareholder has already been taxed on the income when it passes through on the shareholder's K-1 each year. However, if an S corporation has prior C corporation earnings and profits (E&P) from before the S election was made, distributions may be taxable.

The rules for determining the taxability of distributions are presented below.

S Corporation With No C Corporation E&P			
Distribution		Tax Result	Treatment
1st	To extent of S corporation AAA	Not subject to tax, reduces basis in stock	S corporation profits (already taxed)
2nd	To extent of S corporation OAA	Not subject to tax, reduces basis in stock	Nontaxable income/related expenses
3rd	To extent of stock basis	Not subject to tax, reduces basis in stock	Return of capital
4th	In excess of stock basis	Taxed as long-term capital gain (if stock held for > one year)	Capital gain distribution

Illustration 2 Taxability of Distributions With No C Corporation E&P

Feline Corporation, a calendar year S corporation since its formation in Year 1, has two equal shareholders, Carlin and Radon. During Year 5, Carlin received distributions from Feline Corporation of \$22,000. Feline Corporation has a zero balance in AAA prior to the distribution. At December 31, Year 5, after all adjustments to stock basis had been made except for distributions, Carlin's basis in his Feline stock was \$18,000. For Year 5, Carlin will treat \$18,000 of the distributions as a nontaxable return of capital (reduction of basis of stock) and \$4,000 in excess of his stock basis as a long-term capital gain.

S Corporation With C Corporation E&P			
Distribution		Tax Result	Treatment
1st	To extent of S corporation AAA	Not subject to tax, reduces basis in stock	S corporation profits (already taxed)
2nd	To extent of C corporation E&P	Taxed as a dividend, does not reduce basis in stock	Prior C corporation taxable dividend distribution
3rd	To extent of S corporation OAA	Not subject to tax, reduces basis in stock	Nontaxable income/related expenses
4th	To extent of stock basis	Not subject to tax, reduces basis in stock	Return of capital
5th	In excess of stock basis	Taxed as long-term capital gain	Capital gain distribution

Illustration 3 Taxability of Distributions With C Corporation E&P

The New Elect Corporation was a C corporation until it elected S status on January 1, Year 2. New Elect had accumulated C corporation E&P of \$20,000 at December 31, Year 1. For the period Year 2 to Year 8, New Elect had ordinary business income of \$100,000 and had made shareholder distributions of \$60,000. New Elect's AAA balance at December 31, Year 8, was \$40,000 (\$100,000 – \$60,000). In Year 9, New Elect had ordinary business income of \$50,000 and made distributions to shareholders of \$120,000. The tax result of the Year 9 distribution is as follows:

1. To extent of S Corporation AAA
(\$40,000 + \$50,000 Year 9 income = \$90,000).....Nontaxable
2. To extent of C corporation E&P (\$20,000).....Taxable dividend
3. Excess (\$10,000)..... Nontaxable reduction in basis of stock,
any in excess of stock basis is taxable LTCG.

4.2 Election to Bypass AAA

An S corporation can elect to treat distributions to shareholders as being made first from prior C corporation accumulated earnings and profits (E&P), rather than from the accumulated adjustments account (AAA) for a particular year. One reason an S corporation may make this election is to eliminate C corporation E&P in order to potentially avoid terminating its S status due to excess passive investment income. Another reason may be that it is a good year for shareholders to receive dividend income due to a low individual tax rate.

Example 7 Election to Bypass AAA

Facts: At the end of Year 2, Martin Corp., a calendar year S corporation, had the following balances in AAA and prior C corporation E&P before any distributions:

S Corp AAA	\$100,000
C Corp E&P	20,000

Martin Corp. makes a \$50,000 cash distribution to its sole shareholder, Terry, in Year 2. Terry's ending Year 2 stock basis before the distribution is \$75,000. Martin Corp. makes an election to bypass AAA for the Year 2 distributions.

Required: Determine the tax treatment of the \$50,000 Year 2 cash distribution to Terry and calculate Terry's Year 2 ending stock basis after distribution.

Solution: Taxable dividend income of \$20,000; nontaxable reduction in stock basis of \$30,000; ending Year 2 stock basis is \$45,000.

Cash distribution	\$ 50,000
Less: C Corp E&P	<u>(20,000)</u>
Remaining distribution	<u>\$ 30,000</u>

The \$20,000, which comes from C Corp E&P, is taxable dividend income and does not reduce the shareholder's stock basis. The remaining \$30,000 comes from S Corp AAA and is a nontaxable return of basis.

Ending Year 2 stock basis before distribution	\$ 75,000
Less: distribution from AAA	<u>30,000</u>
Ending Year 2 stock basis after distribution	<u>\$ 45,000</u>

4.3 Nonliquidating Property Distributions

The amount of a property distribution is the fair market value (FMV) of the property at the date of distribution.

4.3.1 S Corporation Tax Treatment

- An S corporation recognizes a gain on distribution of appreciated property as if the property had been sold at FMV.
- The gain is flowed through to the individual shareholders in the same way as any other S corporation gains.
- An S corporation does *not* recognize a loss on the distribution of depreciated property to shareholders.
- S Corp AAA (and/or Accumulated E&P) is reduced by the FMV of the property distributed.

4.3.2 Shareholder Tax Treatment

- Shareholder recognizes share of gain flowed through from S corporation.
- Shareholder stock basis: Increased by share of gain recognized; decreased by FMV of property distributed.
- Recipient shareholder's basis in property distributed is the FMV of the property at the date of distribution.

Example 8

Nonliquidating Property Distributions

Facts: Zoe and Brody are each 50 percent shareholders in Mills Corp., a calendar year S corporation. Mills Corp. has been an S corporation since it was formed. Mills Corp.'s ending Year 4 AAA balance before distributions is \$400,000. Zoe and Brody's ending Year 4 stock basis before distributions are each \$200,000.

In Year 4, Zoe and Brody each receive a distribution of property with a FMV of \$150,000. Mills Corp.'s adjusted basis in the property distributed to Zoe is \$30,000, and the adjusted basis in the property distributed to Brody is \$180,000.

Required: Determine the amount of gain or loss recognized, the shareholders' ending stock basis, and the shareholders' basis in the property distributed.

Solution:

	S Corp. AAA	Brody Stock Basis	Zoe Stock Basis
Ending Year 4 balances before distributions	\$400,000	\$200,000	\$200,000
Add: gain on appreciated property distributed to Zoe:			
(\$150,000 FMV-\$30,000 adjusted basis)	120,000	60,000	60,000
Less: FMV of all property distributed	<u>(300,000)</u>	<u>(150,000)</u>	<u>(150,000)</u>
Ending Year 4 balances after distributions	<u>\$220,000</u>	<u>\$110,000</u>	<u>\$110,000</u>
Gain recognized and flowed through to each shareholder		\$ 60,000	\$ 60,000
Shareholder's basis in property distributed (FMV)		\$150,000	\$150,000

Mills Corp. will recognize a gain for the appreciation in value of the property distributed to Zoe and flow the gain through to the shareholders equally according to their ownership percentages. Mills Corp. is not allowed to recognize a loss for the depreciation in value of the property distributed to Brody. The shareholders' basis in the property distributed is the FMV of the property at the date of distribution, so a deduction for the \$30,000 loss (\$150,000 FMV - \$180,000 adjusted basis) would not be recognized on the corporate (or individual) tax return. For tax planning purposes, it would not be in the best interest of a corporation to distribute depreciated property to a shareholder because they would lose the ability to recognize the loss.

5 Termination of S Election

5.1 Terminating Event

S corporation status will terminate as a result of any of the following:

- Shareholders holding more than 50 percent of the stock (voting and nonvoting) consent to a voluntary revocation.
- The corporation fails to meet any of the qualifications for S status.
- Excess passive investment income: More than 25 percent of the corporation's gross receipts are from passive investment income for three consecutive years (but only if the corporation has prior C corporation E&P).

5.2 Effective Date of Termination

- When a majority of the shareholders (owning more than 50 percent of the stock) elect to terminate the S election, the S corporation can specify an effective date when the revocation is filed with the IRS. If no date is specified and the revocation is filed by March 15, the revocation is effective January 1 of the current year. If the revocation is filed after March 15, the effective date is January 1 of the following year.
- If the corporation fails to meet any of the requirements, S corporation status is terminated immediately.
- With excess passive income, S corporation status is terminated at the beginning of the fourth year.

5.3 Short Tax Years

Termination of an S corporation election can result in two short tax years, where the corporation is an S corporation for part of the year and a C corporation for part of the year. This can occur if the corporation revokes the election and specifies an effective date, or if the corporation fails to meet one of the requirements for S status. The corporation must allocate the income for the year between the S corporation and the C corporation in one of two ways:

- Allocate based on the relative number of days
- Close the books on the date of conversion

Example 9 Allocation of Income: S Corp and C Corp Short Tax Years

Facts: RAV Corp., a calendar year S corporation, had its S status involuntarily terminated effective April 1, Year 3. RAV Corp.'s Year 3 income before and after the termination was as follows:

S corporation Year 3 loss (Jan. – Mar., 90 days)	\$ (20,000)
C corporation Year 3 income (Apr. – Dec., 275 days)	<u>120,000</u>
Total Year 3 income (loss)	<u>\$100,000</u>

(continued)

(continued)

Required: Allocate the Year 3 income (loss) between the S corporation and C corporation short tax years based on (1) relative number of days, and (2) closing the books on the date of conversion.

Solution:

1. *Allocation based on relative number of days:*

S corporation short tax year: \$100,000 total income × 90 days / 365 days =	\$ 24,658
C corporation short tax year: \$100,000 total income × 275 days / 365 days =	<u>\$ 75,342</u>
Total	<u>\$100,000</u>

2. *Allocation based on closing the books on the date of conversion:*

S corporation short tax year:	\$ (20,000)
C corporation short tax year:	<u>120,000</u>
Total	<u>\$100,000</u>

5.4 Reelecting S Status

Once an S corporation election has been terminated, the corporation must wait until the beginning of the fifth year after the year of termination before it can elect S corporation status again.

6 Liquidation of an S Corporation

The liquidation of an S corporation is treated the same as the liquidation of a C corporation.

6.1 Consequences to an S Corporation

In a liquidating distribution, the corporation will recognize gain or loss on the distribution of property as if the property was sold at fair market value (FMV):

$$\begin{array}{r} \text{FMV of assets distributed} \\ < \text{Basis in assets} > \\ \hline \text{Taxable gain/loss} \\ \hline \end{array}$$

Note: Distributions to related parties (as defined in IRC Section 267) do not qualify for loss recognition.

6.2 Consequences to Shareholders

- Distributions from an S corporation in complete liquidation of the S corporation are treated as payments in exchange for stock.
- The shareholder's adjusted basis in the stock is subtracted from the amount realized (cash and FMV of property received from the corporation) to calculate the gain or loss.

- If the shareholder assumes corporate liabilities or receives property subject to a liability, the amount realized is reduced by the amount of the liabilities assumed:

$$\begin{array}{r}
 \text{Cash received} \\
 \text{FMV of property received} \\
 \text{< Liabilities assumed >} \\
 \hline
 \text{Amount realized} \\
 \text{< Basis in stock >} \\
 \hline
 \text{Taxable gain (loss)} \\
 \hline
 \hline
 \end{array}$$

- The shareholder's stock basis in this calculation is determined after all of the other activity of the S corporation for the year has been taken into account (share of taxable income, etc.).
- The character of the gain/loss recognized to the shareholder will depend on the shareholder's holding period in the S corporation stock and whether the stock is a capital asset to the shareholder.
- The shareholder's basis in the distributed property is the fair market value (FMV) of the property at the date of distribution.

Example 10 Liquidation of S Corporation

Facts: XYZ Corp., a calendar year S corporation, makes a liquidating distribution of a building with FMV of \$100,000 and a basis to XYZ of \$60,000 to its sole shareholder, W. XYZ also had ordinary business income for the year of \$10,000. W has a basis in his XYZ stock of \$30,000 at the beginning of the year.

Required: Determine the tax consequences of the liquidating distribution to XYZ Corporation and to its sole shareholder, W.

Solution: Consequences to XYZ: XYZ recognizes a gain of \$40,000 on the distribution of the building (\$100,000 FMV – \$60,000 basis), which flows through to Shareholder W.

Consequences to W: W recognizes the \$40,000 gain that flows through from the S corporation. W's basis in his XYZ stock immediately before the distribution is \$80,000:

Beginning basis	\$30,000
Ordinary business income	10,000
XYZ gain on distribution of building	<u>40,000</u>
	<u>\$80,000</u>

W's gain on the distribution is \$20,000 (\$100,000 FMV of building received as a distribution less \$80,000 stock basis).

1 Formation of Partnerships

A partnership is a flow-through entity, which means that the income is taxed only once when it "flows through" to the partner. Unincorporated business entities such as general partnerships, limited partnerships, and limited liability companies (LLCs) are generally treated as partnerships under the Subchapter K rules of the Internal Revenue Code.

1.1 Gain or Loss Recognition

When a partnership is formed, the partners contribute money, other property, or services in return for their ownership interests. A new partner may also obtain an interest by making a contribution after the partnership is formed and already operating.

Generally, no gain or loss is recognized on a contribution of property to a partnership in return for a partnership interest.

Example 1

Contribution of Property in Exchange for Partnership Interest

Facts: A taxpayer contributes land in exchange for a partnership interest. The land has an adjusted basis of \$30,000 and FMV of \$50,000 at the time of transfer.

Required: Determine the amount of gain or loss recognized by the taxpayer.

Solution: No gain is recognized by the taxpayer on the transfer.

1.1.1 Partnership Interest

A partnership interest is an equity interest in a partnership. It can consist of a capital interest, a profits interest, or both.

- Capital interest is a right to share in the net assets of the partnership when it liquidates.
- Profits interest is a right to share in the future profits or losses of the partnership.

1.1.2 Profits Interest Acquired for Services Provided

When a partner receives a profits interest in exchange for services provided, the partner does not recognize any compensation as ordinary income. A profits interest is a right to uncertain future profits, which is not measurable at the time the profits interest is received, and has no liquidation value.

Example 2**Profits Interest Acquired for Services Provided**

Facts: A taxpayer receives a 20 percent partnership profits interest in exchange for services provided. On the day he is admitted to the partnership, the partnership's assets have a basis of \$20,000 and a liquidation value of \$80,000.

Required: Determine the amount of income, gain, or loss recognized by the taxpayer.

Solution: The taxpayer will not have to recognize income at the time the profits interest is exchanged for the services provided.

1.2 Exceptions to Nonrecognition of Gain (Taxable Events for Partners)

1.2.1 Capital Interest Acquired for Services Provided

When a partner provides services to a partnership in exchange for a capital interest, the compensation he receives for the services provided is the liquidation value of the capital interest, which is the amount the contributing partner would receive if the partnership were to liquidate. The liquidation value of the capital interest is included in the partner's taxable ordinary income.

The partnership either deducts or capitalizes, depending on the nature of the services provided, the amount "paid" for the services, which is the liquidation value of the capital interest provided in exchange for the services. The deduction is allocated among the partners that existed before the new service partner.

Example 3**Capital Interest Acquired for Services Provided**

Facts: A taxpayer receives a 20 percent partnership capital interest in exchange for services provided. On the day he is admitted to the partnership, the partnership's assets have a basis of \$20,000 and a liquidation value of \$80,000.

Required: Determine the amount of income, gain, or loss recognized by the taxpayer.

Solution: He will recognize ordinary income of \$16,000 (20 percent of \$80,000).

1.2.2 Property Subject to an (Excess) Liability

When property is contributed that is subject to a liability (nonrecourse secured debt), the excess of the liabilities assumed by the other partners over the contributed basis is treated as taxable boot and is a gain to the partner.

2 Basis

2.1 Partner's Basis in Partnership Interest ("Outside Basis")

2.1.1 Partner's Initial Basis in Partnership Interest

A partner's initial basis in the partnership interest is the same as an S corporation shareholder's initial stock basis with one exception: debt. A partner includes in the basis of his or her partnership interest the partner's share of partnership liabilities.

$$\begin{array}{c}
 \text{Cash contributed} \\
 \text{Property contributed (adjusted basis)} \\
 \text{Services provided (FMV, if capital interest)} \\
 < \text{Liabilities transferred to partnership, assumed by other partners} > \\
 \text{Partner's share of partnership liabilities} \\
 \hline
 \text{Partner's initial basis in partnership interest} \\
 \hline
 \hline
 \end{array}$$

2.1.2 Allocation of Partnership / LLC Debt

A partner's share of partnership debt is included in his or her basis in the partnership interest. How partnership or LLC debt is allocated to partners or LLC members depends on two things: the type of debt and the type of owner.

- **Recourse debts:** Debts for which a partner has personal liability, which means that the creditor can go after the partner's personal assets if the debt is not satisfied by the partnership. A general partner is personally liable for the recourse debts of the partnership. A limited partner or LLC member has limited liability, so they are generally not personally liable for the debts of the partnership unless they personally guarantee the debt. Recourse debts are only allocated to partners or LLC members who have personal liability for the debt.
- **Nonrecourse debts:** Typically secured by property. The creditor only has the right to take the secured property, not the personal assets of partners or LLC members, if the partnership defaults on the debt. Nonrecourse debts are allocated to all partners or LLC members based on their relative profit-sharing ratio.

Allocation of Partnership Debt to Partners		
<i>Type of Owner</i>	<i>Recourse Debt</i>	<i>Nonrecourse Debt</i>
General partner	Yes (personal liability)	Based on profit-sharing ratio
Limited partner	Only if personal guarantee	Based on profit-sharing ratio
LLC member	Only if personal guarantee	Based on profit-sharing ratio

Illustration 1 Allocation of Partnership/LLC Debt to Partners/LLC Members

AB Partnership has two equal partners, General Partner A and Limited Partner B. If AB Partnership takes out a \$100,000 loan, how does it impact Partner A and Partner B's basis in their partnership interests?

- If the loan is a recourse loan, the entire \$100,000 loan is allocated to Partner A, and increases her basis in her partnership interest, because she is a general partner and has personal liability for the debts of the partnership. None of the recourse loan is allocated to Partner B because she is a limited partner and does not have personal liability for partnership debts.
- If the loan is a nonrecourse loan secured by property, the debt is allocated between the two partners based on their 50 percent profit-sharing ratio. Each partner increases her basis in her partnership interest by \$50,000 ($\$100,000 \times 50\%$).

Assume instead that the business is an LLC, with two equal LLC members:

- If the loan is a recourse loan, neither LLC member increases her basis in her LLC interest for the loan, unless one (or both) owners personally guarantee the LLC recourse loan. LLC members, like limited partners, do not have personal liability for partnership debts.
- If the loan is a nonrecourse loan secured by property, the debt is allocated between the two LLC members in the same manner as a partnership. Each LLC member increases her basis in her LLC interest by \$50,000 ($\$100,000 \times 50\%$).

2.1.3 Loan from Partner to Partnership

A transfer of money from a partner to a partnership could be a capital contribution or a loan. It is treated as a loan only if there is a legally enforceable obligation to pay a certain amount at a determinable date.

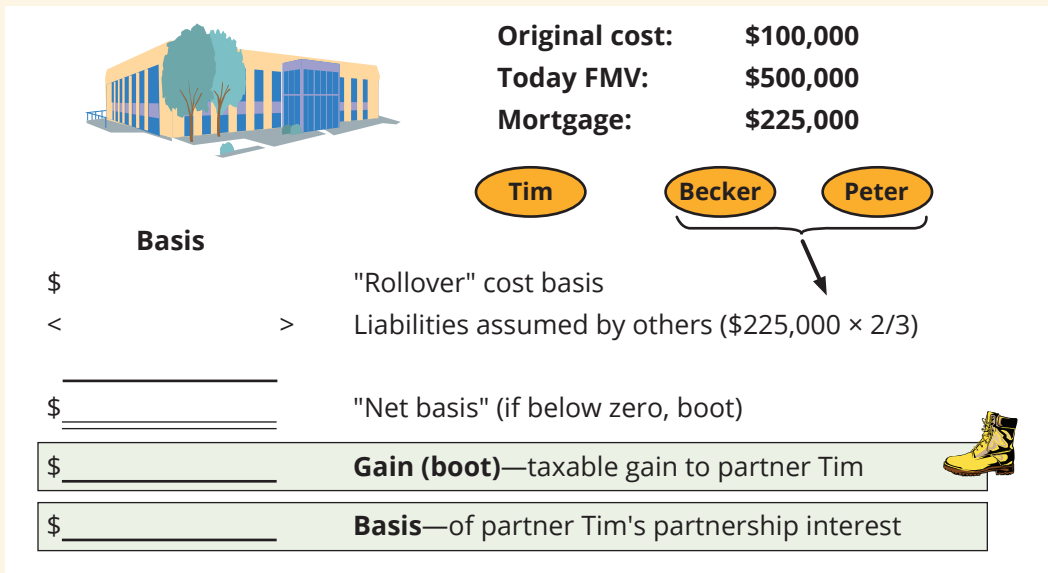
A loan from a partner to a partnership is treated as recourse debt and is allocated to the partner making the loan, increasing the partner's basis in his/her partnership interest.

**Pass Key**

In a partnership, it is important to remember to subtract only the liabilities *assumed* by the *other partners* and not the entire liability.

Illustration 2 Contributed Property With Excess Liability

Becker and Peter admit Tim to their partnership as a one-third partner. Tim contributes a building that is worth \$500,000 but has a basis of \$100,000. There is a mortgage of \$225,000 on the building, assumed by the partnership.



Pass Key

A partner's basis in a partnership interest can never begin with a negative balance (when liabilities assumed by partnership are greater than the adjusted basis (NBV) of assets contributed). The excess liability is treated as taxable boot, and the recognized gain increases the partner's basis in the partnership interest to a "zero" starting point.

2.1.4 Holding Period of Partnership Interest

If the property contributed was previously a capital asset or Section 1231 asset in the hands of the partner, the partner's holding period for his partnership interest includes the holding period of the property contributed. If the property is an ordinary income asset (i.e., inventory), the holding period begins on the date the property is contributed to the partnership.

2.1.5 Subsequent Adjustments to Basis in Partnership Interest

A partner's basis in his or her partnership interest is adjusted each year for the partner's share of the following items:

- Increase basis:
 - Additional contributions
 - Income and gain items
 - Increases in partnership debt

- Decrease basis:
 - Distributions
 - Loss and deduction items
 - Decreases in partnership debt

2.1.6 Special Allocation: Built-in Gain or Loss on Contributed Property

When a partner contributes property with an FMV that is higher or lower than the property's adjusted basis, a built-in gain (or loss) exists at the date of contribution. Upon the subsequent sale of that property, the "built-in" gain or loss that existed at the date of contribution must be specially allocated to the contributing partner. (Note that any post-contribution gains or losses are allocated among all the partners in the partnership.)

Example 4

Contribution of Property With Built-in Gain

Facts: In Year 1, Joan contributed property with an adjusted basis of \$100,000 and an FMV of \$150,000 to Morton Partnership in exchange for a 20 percent partnership interest. In Year 3, Morton Partnership sold the property to an unrelated party for \$180,000.

Required: Calculate the amount of gain recognized by Joan in Year 1 and Year 3 related to the contributed property.

Solution:

Year 1: Joan does not recognize any gain for the difference between the FMV and adjusted basis of the property contribution. However, the \$50,000 built-in gain (\$150,000 FMV – \$100,000 adjusted basis) will be specially allocated to Joan when the property is subsequently sold. The partnership's basis in the property is Joan's adjusted basis of \$100,000.

Year 3: The total gain allocated to Joan is \$56,000.

Sales price	\$ 180,000
Adjusted basis	<u>(100,000)</u>
Gain realized	80,000
Pre-contribution built-in gain	<u>(50,000)</u>
Post-contribution gain	30,000
Pre-contribution built-in gain × 100%	\$ 50,000
Post-contribution gain × 20% ownership	<u>6,000</u>
Total gain allocated to Joan	<u>\$ 56,000</u>

2.2 Partnership's Basis in Contributed Property ("Inside Basis")

The partnership's basis in the contributed property is the contributor's basis, or carryover basis (plus any gain recognized by the incoming partner, if a special election is made). The partnership's holding period for contributed property includes the time held by the partner, regardless of the character of the contributed property.



Pass Key

- "Outside basis" is the basis a partner has in the ownership interest in the partnership. This partnership interest has a tax basis similar to ownership interests in other property.
- "Inside basis" refers to the basis that the partnership itself has in the assets it owns. This inside basis can come from contributions made by the partners. As a general rule, the basis of an asset contributed by a partner would carry over and be the basis of the asset in the hands of the partnership. In addition, inside basis can come from asset purchases the partnership makes with partnership funds.

Example 5

Calculation of Inside and Outside Basis

Facts: In Year 1, Jeff contributes the following items in exchange for a one-third interest in KNC Partnership:

- \$10,000 cash.
- Building with FMV of \$300,000 and adjusted basis to Jeff of \$100,000. The building is subject to a liability of \$90,000.
- In Year 2, Jeff contributes another building with FMV of \$600,000 and an adjusted basis to Jeff of \$300,000.
- The partnership had \$150,000 of net income in Year 2.

Required: Determine Jeff's initial outside basis in his partnership interest in Year 1, and his outside basis in his partnership interest at the end of Year 2. Also determine the partnership's inside basis and holding period in Jeff's contributed assets.

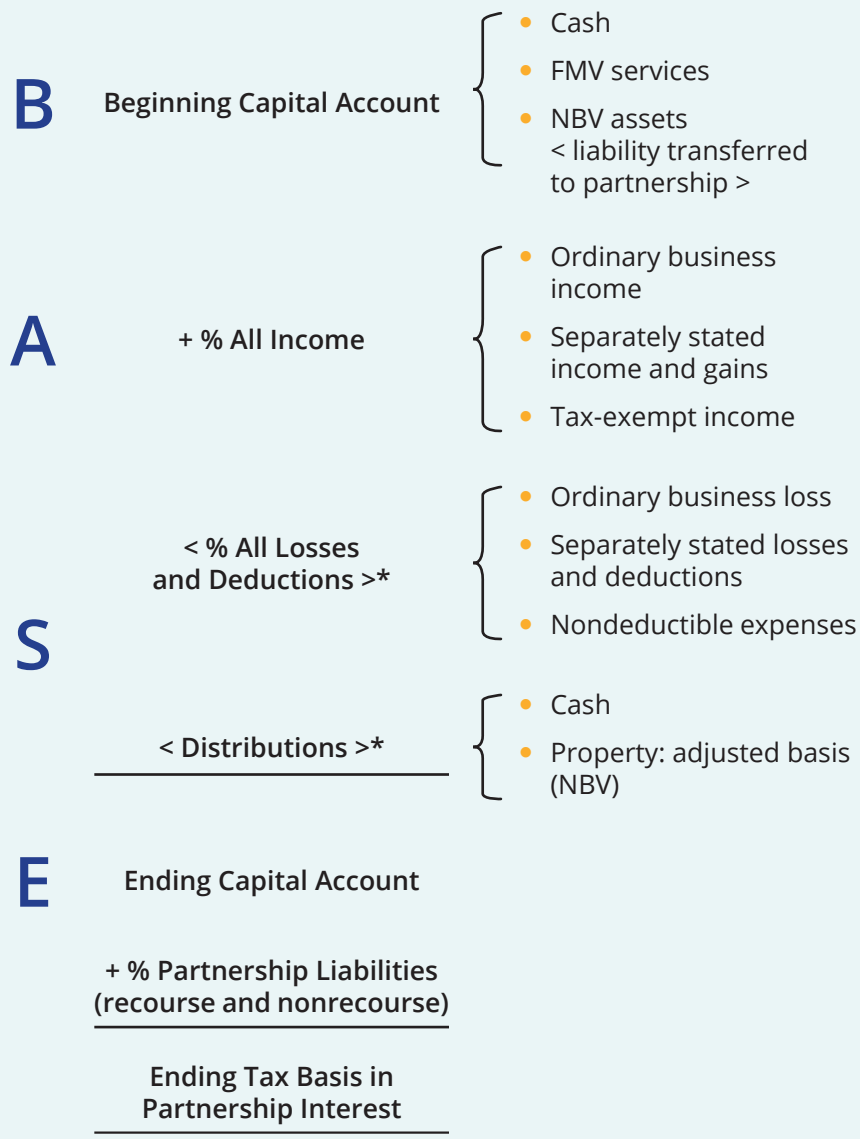
Solution: Jeff's initial outside basis in his KNC Partnership interest is \$50,000, calculated as follows:

- \$10,000 cash, plus \$100,000 adjusted basis of building, less \$60,000 liabilities assumed by other partners ($\$90,000 \times 2/3$).
- KNC's inside basis in the building contributed by Jeff in Year 1 is the adjusted basis in Jeff's hands, \$100,000. KNC's holding period in the building will start when the property was initially acquired by Jeff.

Jeff's outside basis in his partnership interest at the end of Year 2 is \$400,000, calculated as follows:

- \$50,000 beginning basis, plus \$300,000 adjusted basis of contributed building, plus \$50,000 share of partnership income in Year 2 ($\$150,000 \times 1/3$).
- The partnership will again take a carryover basis of \$300,000 and carryover holding period in the new building.

2.3 Partner's Tax Basis in Partnership Interest



* Tax basis cannot be reduced below zero



Pass Key

It is important to remember the difference between capital account and basis in partnership interest:

Basis in partnership interest = Capital account + Partner's share of partnership liabilities

2.4 Loss Limitations

As with an S corporation shareholder, a partner in a partnership must clear four hurdles in order to deduct a loss:

1. Tax basis limitation
2. At-risk limitation
3. Passive activity loss (PAL) limitation
4. Excess business loss limitation

The tax basis and at-risk limitations are applied at the entity level, and limit the ability of partners to flow through losses to their individual income tax return. The PAL and excess business loss limitations are applied at the individual tax return level.

2.4.1 Tax Basis Limitation

A loss can only be flowed through to a partner's individual income tax return to the extent of the partner's tax basis in his or her partnership interest. A loss in excess of the partner's tax basis in his or her partnership interest is suspended until basis is reinstated in future years.

Basis can be reinstated by any of the items that increase a partner's basis in a partnership interest. This includes the partner's share of:

- Ordinary business income
- Separately stated income and gains
- Additional contributions
- Increase in partnership debt

A partner's share of partnership debt that is included in the partner's basis in his or her partnership interest depends on:

- the type of partner (general partner, limited partner, or LLC member); and
- the type of debt (nonrecourse, or secured; recourse; or personally guaranteed).

A suspended loss due to insufficient tax basis can be carried forward indefinitely. However, any suspended losses due to insufficient tax basis remaining when the partner disposes of his or her partnership interest are lost.

Example 6 Tax Basis Loss Limitation

Facts: On January 1, Year 1, Becker and Conviser formed a partnership with each contributing the following property:

	Basis	FMV
Becker	\$30,000	\$30,000
Conviser	6,000	30,000

The partners have agreed to share profits and losses equally. During Year 1, each partner withdrew \$3,000; and for the year ended December 31, Year 1, the partnership's ordinary business loss was \$8,000.

(continued)

(continued)

Required: Determine how much of the ordinary business loss each partner can flow through to their individual income tax returns for deduction in Year 1.

Solution: Conviser's Year 1 loss would be limited to his basis, \$3,000, calculated as follows:

	Becker	Conviser
Original contributions (NBV)	\$30,000	\$ 6,000
Less: distributions	<u>(3,000)</u>	<u>(3,000)</u>
Basis at end of tax year before loss pass-through	27,000	3,000
Each partner's share of \$8,000 ordinary business loss	<u>\$ (4,000)</u>	(4,000)
Conviser's loss limited to basis		<u>(3,000)</u>
Basis in partnership interest at end of tax year	<u>\$23,000</u>	<u>\$ 0</u>
Suspended loss due to insufficient tax basis carried forward until basis is reinstated (4,000 – 3,000)		<u>\$(1,000)</u>

2.4.2 At-Risk Limitation

A partner's ability to flow through losses may be further limited by the amount of the partner's at-risk amount. The at-risk amount (at-risk basis) is the same as the partner's tax basis in his or her partnership interest, with the exception of certain nonrecourse debt that is included in tax basis but not in at-risk basis.

At-risk basis includes a partner's allocable share of recourse debt and nonrecourse debt that qualifies as qualified nonrecourse financing (QNF). Qualified nonrecourse financing is a real estate mortgage obtained from an unrelated commercial lender. Other nonrecourse debt is not included in at-risk basis.

Partnership Debt Included in Partner's Tax Basis and At-Risk Basis		
<i>Type of Partnership Debt</i>	<i>Tax Basis</i>	<i>At-Risk Basis</i>
Recourse debt	Yes (if general partner or personal guarantee)	Yes (if general partner or personal guarantee)
Qualified nonrecourse financing	Yes	Yes
Other nonrecourse debt	Yes	No

A loss in excess of a partner's at-risk basis is suspended until the at-risk basis is reinstated in future years, and is carried forward indefinitely. Any suspended losses due to insufficient at-risk basis remaining when the partner disposes of the partnership interest can be offset against any gain from selling the partnership interest.

Example 7**Allocation of Nonrecourse and Recourse Debt to Partners**

Facts: ABC Partnership has three equal partners. A and B are general partners, and C is a limited partner. In the current year, ABC Partnership borrowed \$60,000 in qualified nonrecourse financing (QNF) debt, \$30,000 in other nonrecourse (secured) debt, and \$20,000 in recourse (unsecured) debt.

Required: Calculate the increase in each partner's tax basis in their partnership interest and their at-risk basis for the partnership debt.

Solution: The recourse debt is allocated equally between the two general partners because they have personal liability for the partnership's recourse debts. None of the recourse debt is allocated to the limited partner because the limited partner does not have personal liability for the partnership's recourse debts. The recourse debt is included in both the tax basis and the at-risk basis for the two general partners.

The qualified nonrecourse financing (QNF) and other nonrecourse debt are allocated to all the partners based on their one-third profit-sharing ratio. Both types of nonrecourse debt are included in the partners' tax basis in their partnership interest but only the QNF debt is included in their at-risk basis.

Partner A:

Increase in tax basis: \$40,000

$(\$20,000 \text{ recourse} \times 1/2) + (\$60,000 \text{ QNF} \times 1/3) + (\$30,000 \text{ other nonrecourse} \times 1/3)$

Increase in at-risk basis: \$30,000

$(\$20,000 \text{ recourse} \times 1/2) + (\$60,000 \text{ QNF} \times 1/3)$

Partner B:

Increase in tax basis: \$40,000

$(\$20,000 \text{ recourse} \times 1/2) + (\$60,000 \text{ QNF} \times 1/3) + (\$30,000 \text{ other nonrecourse} \times 1/3)$

Increase in at-risk basis: \$30,000

$(\$20,000 \text{ recourse} \times 1/2) + (\$60,000 \text{ QNF} \times 1/3)$

Partner C:

Increase in tax basis: \$30,000

$(\$60,000 \text{ QNF} \times 1/3) + (\$30,000 \text{ other nonrecourse} \times 1/3)$

Increase in at-risk basis: \$20,000

$(\$60,000 \text{ QNF} \times 1/3)$

2.4.3 Loss Carryforward Summary

- Suspended loss due to insufficient tax basis:
 - Carryforward to offset future income when tax basis is reinstated
 - Suspended losses disappear when dispose of partnership interest
- Suspended loss due to insufficient at-risk basis:
 - Carryforward to offset future income when at-risk basis is reinstated
 - Use to reduce gain from sale when dispose of partnership interest
- Suspended passive activity loss:
 - Carryforward to offset future passive activity income
 - Use to offset other sources of income when dispose of passive activity
- Excess business loss:
 - Carryforward as an NOL to offset future income
 - Subject to 80 percent of future taxable income limitation

Example 8

Calculation of Tax Basis and At-Risk Amount

Facts: Rachel, a single taxpayer, created a limited liability company (LLC), which she elected to have taxed as a partnership, to sell her handmade necklaces. Rachel had an initial cash contribution to the business of \$20,000. Additionally, Rachel was allocated \$5,000 of recourse debt that she had personally guaranteed and \$8,000 of nonrecourse debt (not qualified nonrecourse financing). In the first year of operation, Rachel was allocated \$35,000 of ordinary business loss from the LLC.

Required: Calculate Rachel's tax basis and "at-risk" amount in the LLC.

Solution: Rachel's tax basis in the LLC is \$33,000 (\$20,000 cash contribution + \$5,000 recourse debt + \$8,000 nonrecourse debt). Rachel's at-risk amount is \$25,000 (\$20,000 cash contribution + \$5,000 recourse debt).

First, Rachel's loss is limited to her tax basis in the LLC of \$33,000. Rachel must then consider the at-risk limitation. The \$33,000 loss, which cleared the tax basis hurdle, is now limited to her at-risk amount of \$25,000. Rachel may pass through for deduction \$25,000 of the \$35,000 loss. The \$2,000 loss suspended by the tax basis limitation (\$35,000 – \$33,000) is carried forward and can only be used when her tax basis is reinstated. The \$8,000 loss limited by the at-risk criteria is carried forward until the partner generates additional at-risk amounts to utilize the loss.

3 Tax Elections

Most elections that affect the calculation of taxable income are made by the partnership. Some of these elections are:

- Organizational expenditures and start-up costs (immediate expensing election).
- Accounting methods (cash or accrual), inventory methods (FIFO, LIFO, etc.).
- Tax year (calendar year generally required, can elect fiscal year if consistent with tax year of majority of partners).
- Depreciation methods (MACRS, straight-line, etc.).
- Elections out of installment sale treatment.
- Section 754 election for optional basis adjustment of partnership assets.

4 Transactions Between Partner and Partnership

4.1 Partner Not Acting in Capacity of Partner

Generally, if a partner enters into a transaction (other than in the capacity as a partner) with his or her partnership (such as providing services to the partnership, or sales between a partner and partnership), the transaction is deemed to have occurred between the partnership and an unrelated party, subject to the following limitations:

- **Related Party Loss (WRaP) Is Disallowed**

When addressing related party transactions (WRaP), losses (directly or indirectly) between a controlling partner (over 50 percent interest in capital or profits) and his controlled partnership from the sale or exchange of property are not allowed.

- **Related Party Gain Is Ordinary Income**

Gains (directly or indirectly) between a controlling partner (over 50 percent interest in capital or profits) and his or her controlled partnership, or between two controlled partnerships, from the sale or exchange of assets shall be treated as taxable ordinary income if the property is not a capital asset in the hands of the transferee.

4.2 Guaranteed Payments to Partners

Guaranteed payments are reasonable compensation paid to a partner for services provided or use of capital without regard to the partner's profit- or loss-sharing ratio. They are allowable tax deductions to the partnership and taxable income to the partner.

4.2.1 Tax Treatment of Guaranteed Payments

- **Partnership Tax Deduction:** Guaranteed payments are allowable tax deductions to the partnership for services (guaranteed salary) or for the use of capital (guaranteed interest) without regard to partnership income or profit- and loss-sharing ratios (this includes the fair market value of capital partnership interests issued in exchange for services contributed).
- **Partner Taxable Income:** Guaranteed payments are also included on Schedule K-1, as ordinary income to the partner. Guaranteed payments for services are also included as part of net earnings from self-employment. Guaranteed payments are not included in qualified business income (QBI) for purposes of the Section 199A QBI deduction for flow-through business entities.

Example 9 Guaranteed Payments to Partners

Facts: James is an active 50-percent general partner in ABC Partnership. In Year 1, the partnership paid James \$20,000 in guaranteed payments for services provided to the partnership. The partnership's Year 1 ordinary business income before the guaranteed payments to James for his services was \$100,000.

Required: Determine the tax treatment of the guaranteed payments for services for ABC Partnership and for James.

Solution:

ABC Partnership:

ABC Partnership ordinary business income before guaranteed payments	\$100,000
Less: guaranteed payments to partners	<u>(20,000)</u>
ABC Partnership Year 1 ordinary business income	<u>\$ 80,000</u>

James:

Share of ABC Partnership ordinary business income ($\$80,000 \times 50\%$)	\$ 40,000
Guaranteed payments for services received from ABC Partnership	<u>20,000</u>
Total Year 1 income from partnership subject to income tax and S/E tax	<u>\$ 60,000</u>

4.2.2 Retirement Payments

Payments received by a retired partner that are not in liquidation of a partnership interest (but are merely retirement benefit payments) are treated as follows:

- Ordinary income to the recipient; and
- Deductions to the partnership.

5 Nonliquidating Distributions

A nonliquidating distribution to a partner (also referred to as a current distribution, or an operating distribution) is generally nontaxable, both to the partner and the partnership.

In general, distributions of cash or property to a partner reduce the partner's basis in the partnership interest by the cash or adjusted basis (NBV) of the property distributed. The basis in the partnership interest is reduced first by cash distributions, then by property distributions.

5.1 Property Distribution

A partner's basis in property distributed is generally the same as in the hands of the partnership. However, the basis of the property may be reduced if the partner does not have sufficient basis in his or her partnership interest.

5.1.1 Basis in Partnership Interest Greater Than Adjusted Basis of Property Distributed

When a partner's basis in the partnership interest (after any cash distribution) is greater than the adjusted basis of property distributed, the partner's basis in the partnership interest is reduced by the adjusted basis in the property. The partner's basis in the property distributed is the same as the partnership's basis in the property.

5.1.2 Basis in Partnership Interest Less Than Adjusted Basis of Property Distributed

When a partner's basis in the partnership interest (after any cash distribution) is less than the adjusted basis of property distributed, the partner's basis in the property distributed is reduced. A distribution cannot reduce the basis in the partnership interest below zero. The partner's basis in the property distributed is equal to the remaining basis in the partnership interest (after any cash distribution). The basis in the partnership interest after the distribution is zero.

5.2 Cash Distribution

If a partner receives a cash distribution that is greater than the partner's basis in his or her partnership interest, the partner recognizes a capital gain for the excess. A distribution cannot reduce the basis in the partnership interest below zero. For a property distribution, the partner can take a lower basis in the property distributed to prevent the partnership basis from being reduced below zero. However, the basis in cash cannot be reduced, so a gain must be recognized by the partner to prevent the partnership basis from being reduced below zero.

Example 10

Basis Determination for Nonliquidating Distribution

Facts: Olinto's basis in his partnership interest was \$30,000. He received a nonliquidating operating distribution of \$24,000 cash plus a parcel of land with a fair market value of \$12,000 and partnership basis of \$9,000.

Required: Determine Olinto's basis in the land distributed and his basis in his partnership interest immediately after the distribution.

Solution: Olinto's basis in the land is \$6,000 and his basis in his partnership interest after the distribution is zero.

The basis of property received in a distribution, other than in liquidation of a partner's interest, will typically be the same as the basis in the hands of the partnership immediately prior to distribution. However, in no case may the partner's basis in the property distributed exceed the basis in his partnership interest (after any cash distribution).

Basis in partnership interest adjusted prior to distribution	\$ 30,000
Amount of cash distributed	<u>(24,000)</u>
Remaining basis after cash distribution	6,000
Property distributed: land (partnership's basis \$9,000)	<u>(6,000)</u>
Basis in partnership interest after distribution	<u>\$ 0</u>

The basis in the partnership interest may not be reduced below zero. Therefore, the land has a basis of \$6,000 in the hands of the partner, the remaining basis in his partnership interest.

5.3 Distribution of Multiple Assets

When multiple assets are distributed to a partner and the partner's basis in his or her partnership interest is less than the adjusted basis of the assets distributed, the partner's remaining basis in his or her partnership interest must be allocated among the assets distributed. This prevents the partner's basis in the partnership interest from being reduced below zero.

Basis is assigned first to cash, then "hot assets," then other property. Hot assets are assets that result in ordinary income when sold, including inventory and unrealized receivables (for cash basis taxpayers).

Example 11 Nonliquidating Distribution of Multiple Assets

Facts: Olinto's basis in his partnership interest was \$30,000. He received a nonliquidating operating distribution consisting of the following assets:

Asset	Partnership Basis	Fair Market Value
Cash	\$24,000	\$24,000
Inventory	5,000	6,000
Land	<u>9,000</u>	<u>12,000</u>
Total	\$38,000	\$42,000

Required: Determine Olinto's basis in the property distributed and his basis in his partnership interest immediately after the distribution.

Solution: The partnership's total basis in the assets distributed of \$38,000 is more than Olinto's basis in his partnership interest of \$30,000, so Olinto's basis in the property distributed will be reduced. The distribution cannot reduce his basis in Olinto's partnership interest below zero. The \$30,000 basis in his partnership interest is allocated first to cash, then hot assets distributed (inventory), then other property distributed (land).

Partner's Basis in Partnership Interest:

Basis in partnership interest prior to distribution	\$30,000
Cash distributed	<u>(24,000)</u>
Remaining basis after cash distribution	6,000
Hot assets distributed: inventory (partnership's basis)	<u>(5,000)</u>
Remaining basis after cash and hot asset distribution	1,000
Other property distributed: land (partnership's basis \$9,000)	<u>(1,000)</u>
Basis in partnership interest after distribution	<u>\$ 0</u>

Partner's Basis in Assets Distributed:

Cash	\$24,000
Inventory	5,000
Land	<u>1,000</u>
	\$30,000

1 Liquidation of a Partnership

There are three ways in which a partner may liquidate a partnership interest:

- Complete withdrawal (liquidating distribution)
- Sale of partnership interest
- Retirement or death

1.1 Complete Withdrawal (Liquidating Distribution)

In a complete liquidation, the partner's basis for the distributed property is the same as the adjusted basis of the partner's partnership interest, reduced by any cash or cash equivalents received. The adjusted basis needs to be determined immediately before the partner's liquidation, after all other items of partnership income/loss and liabilities assumed have been taken into account for the year.

1.1.1 Nontaxable Liquidation

Beginning capital account
Partner's share of income < loss > up to withdrawal
Partner's capital account
Partner's share of partnership liabilities
Adjusted basis in partnership interest at date of withdrawal
< Cash distribution >
Remaining basis to be allocated to assets distributed

1.1.2 Gain or Loss Recognition

■ Gain Recognized

The partner recognizes gain only to the extent that money received exceeds the partner's basis in the partnership interest.

■ Loss Recognized

The partner recognizes loss if money, unrealized receivables (for cash basis taxpayers), or inventory are the only assets received and if the partner's basis in the partnership interest is more than the partnership's basis in the assets received.

■ Character of Gain or Loss

The partner recognizes a capital gain or loss because a partnership interest is a capital asset to the partner.

Illustration 1 Liquidating Distributions: Impact on a Partner

Tag's basis in his KJT partnership interest was \$24,000. Tag received a liquidating distribution of \$5,000 in cash and real estate with an FMV of \$20,000 and an adjusted basis to the partnership of \$10,000. Tag has a basis in the real estate of \$19,000 (\$24,000 basis in his partnership interest less \$5,000 cash received).

Alternative scenario: If Tag had instead received \$25,000 in cash as well as the real estate, Tag would recognize a \$1,000 gain (\$24,000 basis in his partnership interest less \$25,000 cash received). The real estate received would have zero basis to Tag.

Alternative scenario: If Tag had received \$20,000 in cash and no real estate, Tag would recognize a loss of \$4,000 (\$24,000 basis in his partnership interest less \$20,000 cash received), because there were no other assets distributed which allocate his remaining basis in his partnership interest.

Alternative scenario: If the property Tag had received was unrealized receivables or inventory instead of real estate, he would recognize a \$9,000 loss (\$24,000 basis in his property interest less \$5,000 cash received less \$10,000 basis of property received). Tag would have a basis in the unrealized receivables or inventory of \$10,000, the same as the basis in the hands of the partnership.

1.2 Distribution of Multiple Assets

When multiple assets are distributed to a partner in a liquidation, the remaining basis in the partner's partnership interest must be allocated among the assets distributed. Basis is assigned first to cash, then hot assets, then other property. If multiple assets are distributed within a property category (hot assets and/or other property), the basis is allocated among the assets using a three-step process. The three-step process used depends on whether the partner's basis in the partnership interest (outside basis) is less than, or more than, the partnership's basis in the assets distributed (inside basis).

1.2.1 Liquidating Distribution With Multiple Hot Assets Only

If the liquidating distribution includes multiple hot assets, but not any other property, the partner's basis in the partnership interest is allocated to the assets only if the basis in the partnership interest (outside basis) is *less* than the partnership's basis in the assets distributed (inside basis).

As noted earlier, if the partner's basis in the partnership interest (outside basis) is *more* than the partnership's basis in the assets distributed (inside basis), the partner recognizes a loss and the partner's basis in the assets are the same as the basis in the hands of the partnership.

1.2.2 Partner's Basis in Partnership Interest (Outside Basis) Less Than Partnership's Basis in Assets Distributed (Inside Basis)

- **Step 1:** Assign a basis to all assets equal to the partnership's basis in the assets.
- **Step 2:** Adjust the basis of any assets in the last property category (other property, or hot assets if no other property) that have depreciated in value down to fair market value.
- **Step 3:** Allocate any basis in the partnership interest remaining after Step 2 among all the assets in the last property category based on relative adjusted basis of the assets after the Step 2 adjustment.

Example 1**Distribution of Multiple Assets—Outside Basis Less Than Inside Basis**

Facts: Gearty's basis in his partnership was \$229,000. He received a liquidating distribution consisting of the following assets:

Asset	Partnership Basis	Fair Market Value
Cash	\$ 4,000	\$ 4,000
Inventory	10,000	15,000
Land—Lot A	200,000	150,000
Land—Lot B	<u>100,000</u>	<u>300,000</u>
Total	\$314,000	\$469,000

Required: Determine Gearty's basis in the property distributed and his basis in his partnership interest immediately after the distribution.

Solution: Gearty's basis in his partnership interest of \$229,000 is less than the partnership's total basis in the assets distributed of \$314,000, so his basis in the property received will be reduced. His basis in his partnership interest must be zero (0) after the liquidating distribution.

The \$229,000 basis in his partnership interest is allocated among the assets using the three-step process:

Partner's Basis in Partnership Interest:

Basis in partnership interest prior to distribution	\$ 229,000
Step 1: Assign basis to all assets equal to partnership's basis in assets	<u>(314,000)</u>
	(85,000)
Step 2: Decrease basis of Lot A land to \$150,000 FMV	<u>50,000</u>
Step 3: Allocate remaining basis in partnership interest to Lot A and Lot B land based on relative bases in the assets after adjustment in Step 2	(35,000)
Lot A: $200,000 - 50,000 = 150,000 \div 250,000 = 60\% \times 35,000$	21,000
Lot B: $100,000 \div 250,000$	<u>14,000</u>
Basis in partnership interest after liquidating distribution	<u>\$ 0</u>

Partner's Basis in Assets Distributed:

	Cash	Inventory	Land—Lot A	Land—Lot B	Total
Step 1	\$4,000	\$10,000	\$200,000	\$100,000	\$314,000
Step 2			(50,000)		(50,000)
Step 3			<u>(21,000)</u>	<u>(14,000)</u>	<u>(35,000)</u>
Total	\$4,000	\$10,000	\$129,000	\$ 86,000	\$229,000

1.2.3 Partner's Basis in Partnership Interest (Outside Basis) More Than Partnership's Basis in Assets Distributed (Inside Basis)

- **Step 1:** Assign a basis to all assets equal to the partnership's basis in the assets.
- **Step 2:** Adjust the basis of any assets in the last property category (other property, or hot assets if no other property) that have appreciated in value up to fair market value.
- **Step 3:** Allocate any basis in the partnership interest remaining after Step 2 among all the assets in the last property category based on relative fair market value.

Example 2

Distribution of Multiple Assets—Outside Basis More Than Inside Basis

Facts: Same facts as Example 1, but Gearty's basis in his partnership interest is \$529,000.

Required: Determine Gearty's basis in the property distributed and his basis in his partnership interest immediately after the distribution.

Solution: Gearty's basis in his partnership interest of \$529,000 is more than the partnership's total basis in the assets distributed of \$314,000, so his basis in the property received will be increased. His basis in his partnership interest must be zero (0) after the liquidating distribution.

The \$529,000 basis in his partnership interest is allocated among the assets using the three-step process:

Partner's Basis in Partnership Interest:

Basis in partnership interest prior to distribution	\$ 529,000
Step 1: Assign basis to all assets equal to partnership's basis in assets	<u>(314,000)</u>
	215,000
Step 2: Increase basis of Lot B land to \$300,000 FMV	<u>(200,000)</u>
Step 3: Allocate remaining basis in partnership interest to Lot A and Lot B land based on relative FMV	15,000
Lot A: $(150,000 \div 450,000) \times 15,000$	(5,000)
Lot B: $(300,000 \div 450,000) \times 15,000$	<u>(10,000)</u>
Basis in partnership interest after liquidating distribution	<u>\$ 0</u>

Partner's Basis in Assets Distributed:

	Cash	Inventory	Land—Lot A	Land—Lot B	Total
Step 1	\$4,000	\$10,000	\$200,000	\$100,000	\$314,000
Step 2				200,000	200,000
Step 3			<u>(5,000)</u>	<u>10,000</u>	<u>15,000</u>
Total	\$4,000	\$10,000	\$205,000	\$310,000	\$529,000



Pass Key

The CPA Examination will require candidates to understand the difference in basis rules for nonliquidating and liquidating distributions.

Distribution	Basis of Property Received	Reduction of Basis in Partnership Interest
Nonliquidating	Adjusted basis of property	Adjusted basis of property (stop at zero)
Liquidating	Partnership interest	Must "zero-out" account

1.3 Consequences to a Partnership

As a result of liquidation, the partnership itself does not recognize any entity level gain or loss on the distribution of assets. Any gain or loss recognition on liquidating distributions are made at the partner level. In addition, because a partnership itself is not subject to income taxes and is a "flow-through" entity, all effects of winding-up the affairs and liquidating the partnership are passed on to the partners. This includes any gain or loss on sale of any assets, expenses of liquidating the partnership, etc. All of these items will be included in the partners' adjusted basis immediately before their liquidating distributions.

2 Sale of Partnership Interest

As a general rule, the partner has a capital gain or loss when transferring a partnership interest because a partnership interest is a capital asset to the partner.

2.1 Gain or Loss on Transfer (General Rule: Capital Gain or Loss)

A partner who sells or exchanges his interest in the partnership has a recognized gain or loss. The gain or loss is measured by the difference between the amount realized for the sale and the adjusted basis of the partnership interest. If any partnership liabilities are allocated to the partnership interest and transferred to the buyer, they are considered part of the amount realized.

2.2 Capital Gain or Loss Calculation

Beginning capital account	
Share of income < loss > up to sale	
Capital account at sale date	
Share of partnership liabilities	
Adjusted basis in partnership interest	
< Amount realized >	
Gain or loss	

Cash received

FMV of property received

Relief from share of partnership liabilities

Example 3 Calculating Amount Realized on Sale of Partnership Interest

Facts: Kristi sold her interest in the KJT partnership to a new partner, John, for \$15,000 cash. John agreed to assume her \$5,000 share in partnership liabilities.

Required: Determine the amount realized on the sale of Kristi's partnership interest.

Solution: The amount realized in the transaction was \$20,000 (\$15,000 cash plus \$5,000 relief from partnership liabilities). The \$20,000 will be compared with the basis of Kristi's partnership interest in order to determine her gain or loss.

2.3 Exception (Ordinary Income, Not Capital Gain)

Any gain that represents a partner's share of "hot assets" is treated as ordinary income, rather than capital gain, since the subsequent sale of these assets by the partner will result in ordinary income.

As with partnership distributions, hot assets include inventory and unrealized receivables for cash basis taxpayers. For the sale of a partnership interest, hot assets also include potential depreciation recapture for partnership depreciable assets (as if the asset was sold at a gain based on the asset's FMV when the partnership interest is sold).

2.4 Allocation of Partnership Income or Loss

When a partner sells his or her partnership interest to a new partner during a tax year, the partners' shares of partnership income, gains, losses, and deductions must be allocated pro rata between the selling partner and the buying partner based on the number of days.

Example 4 Proration of Partnership Income

Facts: Partner A, a 20 percent partner, sells her entire partnership interest to New Partner B on March 31 of the current year. The partnership reported \$80,000 of partnership income for the entire tax year.

Required: Determine A's and B's shares of partnership income for the year.

Solution:

Partner A: $\$80,000 \times 20\% \text{ share} \times 90 \text{ days} / 365 \text{ days} = \$3,945$ (rounded)

Partner B: $\$80,000 \times 20\% \text{ share} \times 275 \text{ days} / 365 \text{ days} = \$12,055$ (rounded)

3 Retirement or Death of a Partner

Payments to a retiring partner (or to the interest successor of a deceased partner) in liquidation of his or her entire partnership interest are allocated between payment for an interest in partnership assets and other payments.

- Payments for the interest in partnership assets result in capital gain or loss.
- If payments are measured by partnership income, they are treated as partnership income regardless of the period over which they are paid. Thus, such payments are taxable as ordinary income to the retired partner as if he or she continued to be a partner.

4 Section 754 Election and Section 743(b) Basis Adjustment

Partnerships have the option to make a Section 754 election when there is a transfer of a partnership interest by sale or exchange, or upon the death of a partner. This election can be made when there is a difference between a partner's share of inside basis in the partnership assets and the partner's outside basis in his or her partnership interest.

■ Transfer of Partnership Interest

In the case of a Section 754 election being made by reason of sale or exchange, a Section 743(b) basis adjustment follows. The Section 743(b) adjustment equals the difference between the value of the outside basis to the transferee partner (e.g., purchase price) and the partner's share of the partnership's inside basis of the assets. This adjustment, which can be either positive or negative, is prorated over the partnership assets under the rules set forth in Section 755 (beyond the scope of this material). The goal of the adjustment is to make the transferee have an inside basis in the partnership assets equal to his or her outside basis. The adjustment is specially allocated only to the transferee and has no effect on the partnership's income or loss. Once the election is made, it remains in effect for all future transactions (being revoked only with permission from the IRS). Alternatively, even in the absence of a Section 754 election, the IRS mandates a 743(b) adjustment when there is a substantial built-in loss at the time of purchase (inside basis exceeds outside basis by \$250,000 or more).

Example 5 Transfer of Partnership Interest

Facts: Oscar purchased Bernice's 25 percent interest in Handly Partnership for \$500,000. At the time of sale, Handly made a 754 election to adjust the basis of the partnership asset. Immediately before the sale, the inside basis in the partnership asset (a building) was \$1,200,000 and the fair market value was \$2,000,000.

Required: Calculate the basis adjustment required under Section 743(b), and describe the consequences of a future sale of the asset.

Solution: The 743(b) basis adjustment is \$200,000 (\$500,000 purchase price of partnership interest less \$300,000, which is Oscar's 25 percent interest in the \$1,200,000 inside basis of the partnership assets), allocated entirely to Oscar. The basis adjustment is entirely a tax concept and does not impact the book value of the partnership's assets.

If the building is subsequently sold at fair market value of \$2,000,000, a tax gain would be recognized in the amount of \$600,000 (\$2,000,000 less \$1,400,000 adjusted basis with step-up). The \$600,000 gain would be allocated to the other partners besides Oscar. No gain is allocated to Oscar.

NOTES

1 Trust Overview

A trust is a separate legal entity created under state law to manage and distribute property for the benefit of one or more beneficiaries named in the trust agreement.

The trust is created by a grantor, who transfers property to the trust (trust corpus, or principal), appoints a trustee, and identifies the terms of the trust agreement. The trustee manages the trust property for the benefit of the beneficiaries and administers the trust according to the terms of the trust agreement.

On an annual basis, the trust's corpus (principal) may be used to generate taxable income, and this income passes through to either the trust's grantor or beneficiaries for recognition annually.

2 Types of Trusts

2.1 Grantor Trusts

Grantor trusts are trusts in which the grantor retains certain ownership powers or control over the property transferred to the trust. For example, this might include the power to take income or borrow from the trust or change trust beneficiaries.

A common type of grantor trust is a revocable living trust. Individuals commonly use a revocable living trust instead of a will to stipulate how their assets will be distributed when they die. The grantor of a revocable living trust maintains control over the trust assets and the provisions of the trust during the grantor's lifetime.

Grantor trusts are not required to file separate income tax returns. The trust assets are still considered to be the grantor's property, so all income and deductions of the trust are passed through to the grantor and included on the grantor's income tax return, whether the income stays in the trust or is distributed to beneficiaries.

2.2 Non-Grantor Trusts

Non-grantor trusts are separate taxpaying entities. Trust income is taxable either to the trust or to the beneficiaries, depending on the amount of distributions to beneficiaries, the type of income, and the type of trust. Non-grantor trusts are classified as either simple trusts or complex trusts.

2.2.1 Simple Trust

Three requirements for a simple trust:

- Required to distribute all of its income to beneficiaries annually;
- Cannot make distributions from trust principal (corpus); and
- Cannot make distributions (contributions) to charitable organizations.

2.2.2 Complex Trust

Non-grantor trusts that do not meet all three requirements for simple trusts are complex trusts. A trust may be a simple trust one year and a complex trust another year.

A non-grantor trust is a complex trust if the trust:

- does not distribute all of its income to beneficiaries annually;
- makes distributions from trust principal (corpus); or
- makes distributions (contributions) to charitable organizations.

3 Taxation of Non-Grantor Trust Income

Non-grantor trusts (simple and complex trusts) are required to file annual fiduciary income tax returns (Form 1041) and report taxable distributions to beneficiaries on Schedule K-1s. Trust taxable income is taxable to either the trust or the beneficiaries, but not both.

Generally, a beneficiary is taxed on trust taxable income distributed, or required to be distributed, to the beneficiary (subject to certain limitations), and the trust is taxed on trust taxable income retained by the trust. This feature highlights the pass-through nature of non-grantor trusts.

Several calculations are required to determine the amount of trust income that is taxable to the trust and the amount that is taxable to the beneficiaries.

3.1 Trust Accounting Income (TAI)

Trust accounting income (TAI) is the book income of the trust, which must be calculated in accordance with the terms of the trust agreement and state law. TAI is used to determine the amount required to be distributed to beneficiaries each year. The required distributions amount also comes into play in determining the taxable income of the beneficiary and the taxable income of the trust.

Trust income and expenses are allocated to either principal (corpus) or accounting income.

- Most income and expense items, including operating income, operating expense (including depreciation), taxable and tax-exempt interest, dividends, rents, and royalties, are allocated to accounting income.
- Capital gains and losses on the disposition of trust assets and casualty gains and losses are allocated to corpus.
- Trust administrative expenses such as trustee fees are allocated between corpus and accounting income as stipulated in the trust agreement, or according to state law if there is no stipulation.

Example 1 Trust Accounting Income

Facts: The Wells Trust, a simple trust with one beneficiary, has the following income and expenses for the current year.

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The trust principal at the beginning of the year is \$300,000. The trust agreement stipulates that trustee fees are split evenly between principal (corpus) and accounting income.

Required: Allocate the income and expense items between principal (corpus) and accounting income, then calculate the ending trust principal (corpus) balance and trust accounting income (TAI) for the year.

Solution:

Income/loss allocated to corpus:

Beginning trust principal (corpus)	\$300,000
Capital gains	10,000
Trustee fees (\$6,000 × 50%)	<u>(3,000)</u>
Ending trust principal (corpus)	<u>\$307,000</u>

Income/loss allocated to TAI:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Trustee fees (\$6,000 × 50%)	<u>(3,000)</u>
Trust accounting income (TAI)	<u>\$10,000</u>

Since the Wells trust is a simple trust, \$10,000 is required to be distributed to the beneficiary for the current year (i.e., simple trusts must distribute all trust accounting income annually to the beneficiary).

3.2 Trust Taxable Income Before Income Distribution Deduction

Trust taxable income includes all taxable income earned by the trust, including capital gains and losses on the disposition of trust assets, reduced by deductible expenses related to the taxable income. Certain expenses allocable to corpus for TAI are included in trust taxable income.

3.2.1 Tax-Exempt Interest Income

Trust taxable income does not include tax-exempt interest income, or expenses related to tax-exempt interest income. If the trust has nontaxable interest income, then a portion of the costs of administering the trust, such as trustee fees, is also not deductible. The nondeductible portion is based on the ratio of nontaxable interest income to trust accounting income.

$$\text{Nondeductible trust administration expenses} = \text{Total trust administration expenses} \times \left(\frac{\text{Nontaxable income}}{\text{Trust accounting income}} \right)$$

3.2.2 Exemption

A trust is allowed an exemption amount in calculating trust taxable income.

- Simple trust: \$300 exemption
- Complex trust: \$100 exemption

3.2.3 Taxable Income before Income Distribution Deduction

Trust taxable gross income (<i>including capital gains</i>)
< Deductible trust expenses >
Adjusted total income
< Exemption amount >
Trust taxable income before income distribution deduction

Example 2 Trust Taxable Income Before Income Distribution Deduction

Facts: The Wells Trust, a simple trust with one beneficiary, has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

Required: Calculate the trust taxable income before the income distribution deduction for the current year.

Solution:

Income/loss allocated to TAI:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Trustee fees (\$6,000 × 50%)	<u>(3,000)</u>
Trust accounting income (TAI)	<u>\$10,000</u>

Nondeductible portion of trustee fees:

\$3,000 tax-exempt income / \$10,000 trust accounting income =
30% × \$6,000 trustee fees = \$1,800

Deductible trustee fees = \$6,000 total trustee fees × 70% deductible portion = \$4,200

Taxable interest income	\$ 5,000
Dividend income	5,000
Capital gains	10,000
Deductible trustee fees (70% of \$6,000)	(4,200)
Exemption (simple trust)	<u>(300)*</u>
Trust taxable income before income distribution deduction	<u>\$15,500</u>

*If the trust was a complex trust, the exemption would be \$100, and the trust taxable income before the distribution deduction would be \$15,700.

3.3 Distributable Net Income (DNI)

Distributable net income (DNI) is a limitation on both the amount of distributions included in beneficiaries' taxable income and the amount of the trust's income distribution deduction in calculating trust income.

DNI includes both taxable and nontaxable income and expenses, including 100 percent of trust administrative expenses, but generally excludes capital gains and losses.

DNI is calculated by adjusting trust taxable income (before the income distribution deduction) for the items that are included in DNI but not in taxable income:

Trust taxable income (before income distribution deduction)
Exemption
< Capital gains allocated to corpus >
Capital losses allocated to corpus
Tax-exempt interest
< Expenses allocated to tax-exempt interest >
Distributable net income (DNI)

Example 3

Distributable Net Income (DNI)

Facts: The Wells Trust, a simple trust with one beneficiary, has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The simple trust exemption amount is \$300 and the trust taxable income before the income distribution deduction was previously calculated as \$15,500.

Required: Calculate the trust's distributable net income (DNI) for the current year.

Solution:

Trust taxable income before income distribution deduction	\$15,500
Exemption	300
Capital gains	(10,000)
Tax-exempt interest income	3,000
Trustee fees allocated to tax-exempt interest	<u>(1,800)*</u>
Distributable net income (DNI)	<u>\$ 7,000</u>

*\$3,000 tax-exempt income / \$10,000 trust accounting income = 30% × \$6,000 trustee fees = \$1,800

If the trust were a complex trust, the only difference in this example would be the exemption amount, which is \$100 for a complex trust, rather than \$300 for a simple trust.

3.4 Beneficiary Taxable Income

3.4.1 Simple Trust Beneficiary

A beneficiary of a simple trust must include in income the amount of trust income that is required to be distributed for the current year, even if it is not actually distributed, but only to the extent of the trust's DNI.

If a trust has both taxable and nontaxable income, distributions are part taxable income and part nontaxable income to beneficiaries. The character of each type of income distributed to the beneficiary stays the same (i.e., taxable interest, nontaxable interest, dividends, interest, rents, royalties, etc.). If the total amount included in the beneficiary's income is limited by trust DNI, the amount allocated to the different types of income is based on the relative amount of each type of income, net of related expenses, included in trust DNI.

Example 4 Simple Trust Beneficiary

Facts: Daniel Wells is the sole beneficiary of the Wells trust, a simple trust. The Wells trust has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The simple trust exemption amount is \$300 and the trust taxable income before the distribution deduction was previously calculated as \$15,500. The deductible portion of the trustee fees are \$4,200 (as previously calculated) and the trust DNI for the current year is \$7,000 (as previously calculated).

The Wells trust distributed \$10,000 to Daniel in the current year, which is the required distribution amount based on trust accounting income (TAI) for the year.

Required: Determine the amount and character of Daniel's taxable income from the trust for the current year.

Solution: Daniel's taxable income from the trust is \$5,800, which consists of \$2,900 dividend income and \$2,900 interest income.

The beneficiary's income from the trust is \$7,000, which is the lesser of the \$10,000 required distribution or the \$7,000 DNI.

Daniel's \$7,000 income from the trust consists of \$2,900 taxable dividend income, \$2,900 taxable interest income, and \$1,200 tax-exempt interest income. The \$4,200 deductible trustee fees are allocated equally between the dividend income and taxable interest income. The remaining \$1,800 of the trustee fees (\$6,000 trustee fees less the \$4,200 deductible trustee fees) is allocated to the tax-exempt interest income.

Dividend income (\$5,000 – \$2,100 trustee fees)	\$2,900
Taxable interest income (\$5,000 – \$2,100 trustee fees)	<u>2,900</u>
Total taxable income to beneficiary	\$5,800
Tax-exempt interest income (\$3,000 – \$1,800 trustee fees)	<u>1,200</u>
Total trust income to beneficiary (taxable and nontaxable)	\$7,000

3.4.2 Complex Trust Beneficiary

A beneficiary of a complex trust must include in income the taxable amount of distributions received, but only to the extent of the trust's DNI.

As with a simple trust, if a complex trust has both taxable and nontaxable income, distributions are part taxable income and part nontaxable income to beneficiaries. The character of each type of trust income distributed to the beneficiary stays the same.

The amount included in a beneficiary's income from the trust is the lesser of total distributions or trust DNI. The total amount is allocated to the different types of taxable and nontaxable income based on the relative amount of each type of income, net of related expenses, included in trust DNI.

Example 5 Complex Trust Beneficiary

Facts: Daniel Wells is the sole beneficiary of the Wells trust, a complex trust. The Wells trust has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The complex trust exemption amount is \$100 and the trust taxable income before the distribution deduction is \$15,700 (as previously calculated for a complex trust). The trust DNI for the current year is \$7,000 (as previously calculated).

The Wells trust made a \$5,000 discretionary distribution to Daniel in the current year.

Required: Determine the amount and character of Daniel's taxable income from the trust for the current year.

Solution: Daniel's taxable income from the trust is \$4,140, which consists of \$2,070 dividend income and \$2,070 interest income.

The beneficiary's income from the trust is the lesser of the \$5,000 distribution or the \$7,000 DNI, which is \$5,000. This amount is allocated between taxable and nontaxable sources of income based on the relative amounts of income sources included in DNI, net of related expenses (in this case, trustee fees).

Thirty percent of the \$6,000 trustee fees, \$1,800, is allocated to tax-exempt interest income (see example 2). The remaining \$4,200 deductible trustee fees are allocated equally between the taxable interest income and dividends.

Dividends (\$5,000 – \$2,100 trustee fees)	$\$2,900 / \$7,000 = 41.4\% \times \$5,000 = \$2,070$
Taxable interest (\$5,000 – \$2,100 trustee fees)	$\$2,900 / \$7,000 = 41.4\% \times \$5,000 = \underline{\$2,070}$
Total taxable income to beneficiary	\$4,140
Tax-exempt interest (\$3,000 – \$1,800 trustee fees)	$\$1,200 / \$7,000 = 17.2\% \times \$5,000 = \underline{\$860}$
Total trust DNI	<u>\$7,000</u>
Total trust income to beneficiary (actual distribution amount)	<u>\$5,000</u>

3.5 Income Distribution Deduction and Trust Taxable Income

A trust is allowed to take a deduction for taxable distributions to beneficiaries in calculating trust taxable income. The amount of the income distribution deduction is the same as the taxable amount of trust income to beneficiaries. Trusts are allowed a deduction for the trust income distributed to beneficiaries so that all taxable trust income is only taxed once, either to the beneficiary or the trust.

3.5.1 Trust Taxable Income Formula

Trust taxable gross income (including capital gains)
< Deductible trust expenses >
Adjusted total income
< Exemption amount >
Trust taxable income before income distribution deduction
< Income distribution deduction >
Trust taxable income

Example 6

Simple Trust Income Distribution Deduction and Taxable Income

Facts: The Wells Trust, a simple trust with one beneficiary, has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The trust distributed \$10,000 to the beneficiary for the current year, which is the required distribution amount (as previously calculated). The trust exemption amount is \$300 and the trust taxable income before the income distribution deduction is \$15,500 (as previously calculated). The beneficiary's taxable income from the trust is \$5,800 (as previously calculated).

Required: Calculate the trust's income distribution deduction and taxable income for the current year.

Solution:

Trust taxable income before income distribution deduction	\$15,500
Income distribution deduction	<u>(5,800)</u>
Trust taxable income	<u>\$ 9,700</u>

*Note that the \$9,700 trust taxable income amount is the same as the \$10,000 capital gain reduced by the \$300 simple trust exemption.

Example 7**Complex Trust Income Distribution Deduction and Taxable Income**

Facts: The Wells Trust, a complex trust with one beneficiary, has the following income and expenses for the current year:

Tax-exempt interest income	\$ 3,000
Taxable interest income	5,000
Dividend income	5,000
Capital gains	10,000
Trustee fees	(6,000)

The Wells trust made a \$5,000 discretionary distribution to Daniel in the current year.

The complex trust exemption amount is \$100 and the trust taxable income before the distribution deduction is \$15,700 (as previously calculated for a complex trust). The beneficiary's taxable income from the trust is \$4,140 (as previously calculated).

Required: Calculate the trust's income distribution deduction and taxable income for the current year.

Solution:

Trust taxable income before income distribution deduction	\$15,700
Income distribution deduction	<u>(4,140)</u>
Trust taxable income	<u>\$11,560</u>

1 Overview

Tax-exempt organizations are not-for-profit organizations that qualify for exemption from federal income tax. The most common types of tax-exempt organizations are Section 501(c)(3) charitable organizations.

2 Qualification as a Section 501(c)(3) Organization

To qualify as a tax-exempt organization under Section 501(c)(3), an organization must meet the following requirements:

- The organization must be a corporation, unincorporated association, or trust.
- There must be an exempt purpose.
- No private benefit is allowed.
- There must be no political or legislative activity associated with the organization.

2.1 Corporation, Unincorporated Association, or Trust

A Section 501(c)(3) organization must be organized as a corporation (including a limited liability company), unincorporated association, or trust. An unincorporated association is an unincorporated group of two or more persons joined by mutual consent for a common lawful purpose, whether organized for profit or not. An example of an unincorporated not-for-profit association is a group of neighbors who work together to raise funds to keep a local library open. Sole proprietorships, partnerships, and individuals do not qualify.

2.2 Exempt Purpose

A tax-exempt Section 501(c)(3) organization must be organized and operated exclusively for one or more of the following purposes:

- Charitable
- Religious
- Scientific
- Testing for public safety
- Literary
- Educational
- Fostering national or international amateur sports competition (but only if none of its activities involve providing athletic facilities or equipment)
- Prevention of cruelty to children or animals

2.3 No Private Benefit Allowed

A Section 501(c)(3) organization must not be organized or operated for the benefit of private interests, such as the creator's family or shareholders of the organization. No part of the organization's net earnings may benefit any person having a personal and private interest in the activities of the organization.

2.4 Restrictions on Political Activities and Legislative Activities

2.4.1 Political Activities

Section 501(c)(3) organizations are prohibited from directly or indirectly participating in any political campaign for or against any candidate for elective public office. This includes contributions to political campaign funds or public statements of position made on behalf of the organization for or against any candidate for public office.

However, certain voter education or registration activities are not prohibited political campaign activities if they are conducted in an unbiased, nonpartisan manner.

2.4.2 Legislative Activities (Lobbying)

An organization does not qualify for Section 501(c)(3) status if a substantial part of its activities is attempting to influence legislation (lobbying). Legislation includes actions of Congress, state legislatures, or local councils with respect to acts, bills, resolutions, and similar items. It does not include actions by executive, judicial, or administrative bodies.

Attempting to influence legislation includes contacting, or urging the public to contact, members or employees of a legislative body for the purpose of proposing, supporting, or opposing legislation, or advocating the adoption or rejection of certain legislation.

3 Loss of Tax-Exempt Status

The following events may cause a Section 501(c)(3) organization to lose its tax-exempt status:

- The organization engages in activities that are not related to its stated tax-exempt purpose (unless unrelated activities are an insubstantial part of its total activities).
- The organization operates for the primary purpose of conducting a trade or business that is not related to the organization's tax-exempt purpose.
- The activities or earnings of the organization benefit any private interests.
- The organization participates in political campaigns for or against a candidate for elective public office.
- The organization engages in lobbying activities attempting to influence legislation (unless the lobbying activities are an insubstantial part of its total activities).
- The organization fails to satisfy its annual filing requirements (Form 990 returns).

4 Unrelated Business Income (UBI)

Although an organization may have tax-exempt status, it may be subject to regular corporate income tax on income from a business enterprise that is not related to its tax-exempt purpose (UBI).

4.1 Definition

Unrelated business income (UBI) of a tax-exempt organization is income that is:

- derived from an activity that constitutes a trade or business;
- regularly carried on; and
- not substantially related to the organization's tax-exempt purpose.

4.2 Excluded Trade or Business Activities

The following activities are excluded from the definition of unrelated trade or business:

- Bingo games (if legal, and limited to not-for-profit organizations, in the jurisdiction where game is played)
- Activity conducted for the convenience of an organization's members, students, patients, or employees
- Convention or trade show activity
- Exchange or rental of membership lists
- Sale of merchandise received as gifts or contributions (e.g., thrift shop)
- Sale of articles made by disabled persons as part of their rehabilitation
- Activity where substantially all the work is performed by unpaid volunteer workers

4.3 Excluded Types of Income

- Dividends, interest, annuities, and other investment income
- Royalties
- Rents from real property (unless personal services also provided, or the lease includes both real property and personal property, and the rents attributable to the personal property are more than 50 percent of the total rents)
- Income from research by a college, university, or hospital
- Gains and losses from disposition of property not held primarily for sale to customers in the ordinary course of business

4.4 Membership Organizations

Certain *membership organizations* (e.g., social clubs and homeowners' associations) are usually taxed on all gross income, less deductions directly connected with producing that income, but not including exempt function income. Exempt function income is gross income from dues, fees, charges, or similar items paid by members for the goods, facilities, or services provided to members and their families and guests.

NOTES

Property Transactions

Module

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NOTES

1 Calculation of Gain or Loss on Disposition

Generally, gain or loss realized on the sale of an asset is calculated by comparing the amount realized on the disposition to the adjusted basis of the asset being relinquished in the transaction. For certain types of transactions, the gain is realized but not recognized.

Illustration 1 Calculating Gain or Loss at Disposition

Amount realized	- Money received - Cancellation of debt (COD) - FMV property - Less: selling expenses
< Adjusted basis of asset sold >	- Purchase = Cost - Gift = Rollover cost or possibly FMV - Inherited = Step-up to FMV

Gain or Loss	
=====	

2 Gains (Excluded or Deferred)

Even though a taxpayer has a realized gain, the gain is not recognized (taxed) if the taxpayer can "**HIDE IT**." The following realized gains are either deferred or excluded from taxable income:

- **H**omeowner's exclusion
- **I**nvuntary conversion
- **D**ivorce property settlement
- **E**xchange of like-kind property
- **I**nstallment sale
- **T**reasury capital and stock

$$\frac{\text{Amount realized}}{\text{< Adjusted basis of asset sold >}} = \text{Gain Or Loss}$$

- **Basis in New Property:** These deferral or exclusion provisions are based on the idea that the taxpayer's investment has not substantially changed and, therefore, recognition of the gain or loss on the transaction should be deferred. This is done by *substituting* the taxpayer's basis in the property given up for the basis of the property acquired.
- **Holding Period:** If a substituted, or carryover, basis is used for property, the holding period also carries over. The holding period for the new property begins with the date the holding period of the old property began.



Pass Key

Realized gain or loss = Recognized gain or loss

Unless an exclusion or deferral provision applies.

These provisions mean that the gain is:

- never recognized (exclusion); or
- recognized later (deferral).

In order to track the amount of gain deferral, basis in the assets is a critical component in any deferral strategy.

2.1 Homeowner's Exclusion

The gain on the sale of a taxpayer's personal principal residence may be eligible for an exclusion from gross income. Losses from the sale of a personal principal residence (a personal use asset) are not deductible.

2.1.1 Amount of Exclusion

- \$500,000 is available to married couples filing a joint return and certain surviving spouses.
- \$250,000 is available for single, married filing separately, and head of household.

2.1.2 Qualifying for the Exclusion

To qualify for the full exclusion (up to the applicable dollar limit):

- A taxpayer must have owned and used the property as a principal residence for two years or more during the five-year period ending on the date of the sale or exchange by a taxpayer.
- The periods of ownership and use do not have to be continuous nor do they have to cover the same two-year period. However, the gain eligible for exclusion may be reduced because of nonqualified use.

Example 1

Homeowner's Exclusion

Facts: A taxpayer with a single filing status purchased a home and lived in the home as her personal residence for one year. After one year, she was transferred by her employer to work in a new city for the next two years. During this two-year period, she continued to own the house but rented it to a tenant. After two years in the new city, she returned to live in the house for one year prior to selling it.

Required: Determine whether the taxpayer qualifies for the homeowner's exclusion.

Solution: The taxpayer meets both the ownership and use tests because she owned and used the house for two or more years during the five-year period prior to the sale, even though the use of the property was not in consecutive years. The taxpayer is eligible for the exclusion; however, gain eligible for exclusion may be limited because of nonqualified use by the taxpayer.

- Either spouse for a joint return must meet the ownership requirement, but both spouses must meet the use requirement with respect to the property. If both spouses do not meet the use requirement, one spouse may still be eligible to take the single \$250,000 exclusion.

Example 2 Use Requirement for Married Taxpayers

Facts: After owning and using his home as a principal residence for three years, a taxpayer marries and his spouse moves into the home. After one year of marriage, the taxpayer and his spouse decide that they need more space and sell the home.

Required: Determine the allowable homeowner's exclusion amount.

Solution: The taxpayer meets both the ownership and use test because he has owned and used the home for at least two years prior to the sale. The spouse, however, does not meet the ownership and use test for at least two of the five years prior to the sale. On the jointly filed tax return, the maximum gain exclusion that may be claimed is \$250,000.

- If a widow or widower sells a home that the surviving spouse owned and occupied with the decedent spouse, the surviving spouse is entitled to the full \$500,000 exclusion provided that the surviving spouse sells the home within two years after the date of the decedent spouse's death.
- There is no age requirement to receive the exclusion.
- There is no requirement that the taxpayer purchase another personal residence.
- The exclusion is renewable.
- A taxpayer may use the homeowner exclusion as often as available over his or her lifetime provided he or she meets the other requirements, but the exclusion may not be used more than once every two years.

2.1.3 Hardship Provision

Taxpayers may be eligible for a reduced exclusion (not a reduced amount of gain eligible for the exclusion) if the sale is due to a change in place of employment, health, or other unforeseen circumstances, and either the exclusion has been claimed within the previous two years or the taxpayer fails to meet the ownership and use requirements. Under the hardship provision, the maximum exclusion is calculated as the number of months of qualifying ownership divided by 24 months (the minimum time period the taxpayer must own and use the home to qualify for the exclusion) multiplied by the maximum exclusion available to the taxpayer based on filing status.

To meet the hardship provision requirement for change in employment, the taxpayer's new place of employment must be at least 50 miles farther from the residence that is sold than was the distance between the taxpayer's previous place of employment and the home that is sold.

Example 3 Hardship Provision (Reduced Exclusion)

Facts: One year after purchasing her home and living in it as her principal residence, a single taxpayer was diagnosed with nontreatable cancer. The taxpayer sold her home to move in with her daughter, who would be caring for her. The taxpayer sold the home for a gain of \$150,000.

Required: Determine the amount, if any, of the homeowner's exclusion available to the taxpayer.

Solution: The taxpayer is not eligible for the maximum exclusion of \$250,000 because she did not meet the ownership test. The exclusion available to the taxpayer under the hardship provision is calculated as \$125,000, which is 12 months (the number of months of qualifying ownership) divided by 24 months (the time period the taxpayer must own the home to qualify for the maximum exclusion) multiplied by the maximum exclusion of \$250,000 available to single filing taxpayers.

2.1.4 Nonqualified Use Provision

- There is a nonqualified use provision that applies if a taxpayer has nonqualified use of the home on or after January 1, 2010.
- A nonqualified use is any use of the home other than use as a principal residence.
- If a taxpayer has a nonqualified use of the home, the exclusion amount is not adjusted, but the portion of the gain attributable to the nonqualified use is not eligible for the exclusion.
- The portion of the gain not eligible for the exclusion is the ratio of the period of nonqualified use divided by the total period of time the taxpayer owned the property.

Example 4 Reduced Homeowner's Exclusion

Facts: A taxpayer with a single filing status purchased a home and lived in the home as her personal residence for one year. After one year, she was transferred by her employer to work in a new city for the next two years. During this two-year period, she continued to own the house but rented it to a tenant. After two years in the new city, she returned to live in the house for one year prior to selling it for a gain of \$50,000. The taxpayer meets both the ownership and use tests because she owned and used the house for two or more years during the five-year period prior to the sale and qualifies for the maximum \$250,000 exclusion.

Required: Determine any amount of the gain that is not eligible for the homeowner's exclusion.

Solution: Because there was a period of two years of nonqualified use when the home was rented and not used by the taxpayer as her principal residence, the gain eligible for exclusion will be reduced. The gain not eligible for exclusion is \$25,000, which is calculated as: $2 \text{ years of nonqualified use} / 4 \text{ years of ownership} = 50\% \times \$50,000 \text{ total gain}$. Therefore, the taxpayer will be able to take an exclusion on the sale of her home for \$25,000 ($\$50,000 - \$25,000$). The remaining \$25,000 gain on the sale of the home will be recognized as a capital gain by the taxpayer.

The period of nonqualified use does not include any portion of the five-year period ending on the date of the sale that is after the last date that the home was used as the principal residence of the taxpayer. This provision allows a taxpayer time to sell or rent the home without having to count the period the home is empty or rented as a nonqualified period.

Example 5

Empty House Available for Sale

Facts: A taxpayer purchased a home seven years ago and lived in it for four years. The taxpayer then moved to a new city and placed the home for sale. The home sold after being empty for three years.

Required: Determine if any of the gain on the sale is excluded.

Solution: Gain should be available for exclusion up to the maximum amount as the taxpayer owned and used the home for two years in the five years prior to the sale. The time in which the home was empty and available for sale does not disqualify the gain from exclusion treatment.

2.2 Involuntary Conversions

Nonrecognition treatment is given to gains realized on involuntary conversions of property (e.g., destruction, theft, condemnation) on the rationale that the taxpayer's reinvestment of the insurance or condemnation proceeds restores him to the position he held prior to the conversion. To tax him under such circumstances would produce undue hardship.

2.2.1 Gain Recognition

No gain is recognized when:

- other similar property is received to replace the involuntarily converted property; or
- all insurance or condemnation proceeds are reinvested in similar property.

If the taxpayer does not reinvest all the insurance or condemnation proceeds in similar property, gain will be recognized to the extent of the amount not reinvested.

2.2.2 Reinvestment in Similar Property

The reinvestment must occur within two years after the close of the taxable year in which any part of the gain was realized and be in property "similar or related in service or use" (i.e., the replacement property must serve the same function in the taxpayer's business as did the old property, which is a narrower standard than the "like-kind" test).

- For principal residences destroyed in a federally declared disaster area, the replacement period is four years instead of two years.
- For real property held for use in trade or business or for investment that is converted by seizure, requisition, or condemnation, but not theft or destruction, the replacement period is three years, rather than two years.

2.2.3 Basis in Replacement Property

The basis of similar property received to replace involuntarily converted property is the same as the involuntarily converted property (substituted basis).

The basis of similar property acquired by reinvestment of insurance or condemnation proceeds is the cost of such property decreased by the amount of any gain not recognized (deferred) on the involuntary conversion.

The holding period of the replacement property includes the holding period of the involuntarily converted property.

Example 6 Condemnation

Facts: Land owned by McIntyre had an adjusted basis of \$30,000. It was condemned by the state and McIntyre received similar property from the state to replace the condemned land.

Required: Determine the basis of the new property.

Solution: The basis of the new land is \$30,000.

2.2.4 Gain Recognized (Boot)

When gain is recognized because the amount received exceeds the cost of replacement, the basis of the replacement property is its cost less the gain not recognized (deferred).

Example 7 Basis Calculated When Gain Is Deferred

Facts: Crudd owned a building with an adjusted basis of \$400,000. The state condemned it and awarded him \$450,000. Crudd bought a new building for \$440,000.

Required: Determine the gain realized, gain recognized, and the basis of the new building.

Solution: Although he realized a \$50,000 gain, only \$10,000 of the gain is recognized as follows:

Amount realized (proceeds)	\$ 450,000
Adjusted basis	<u>(400,000)</u>
Realized gain	50,000
Recognized gain (\$450,000 – \$440,000)	<u>(10,000)</u>
Gain not recognized (deferred)	<u>\$ 40,000</u>
Cost of new building	\$ 440,000
Less: gain not recognized (deferred)	<u>(40,000)</u>
Basis of new building	<u>\$ 400,000</u>

When the gain exceeds \$100,000, property acquired from related parties and certain close relatives do not qualify as replacement property.

2.2.5 Loss Recognized

Involuntary conversion rules apply to gains only. Losses would be recognized. When the loss is recognized, the basis of the new property is its replacement cost.

Example 8 Loss Recognition

Facts: Rigoli had a factory, with a cost basis of \$340,000 that was destroyed by a fire. The insurance company paid Rigoli \$330,000. Rigoli used the money to buy a new plant for \$500,000.

Required: Determine any loss recognized on the involuntary conversion and the basis of the new property.

Solution: The \$10,000 loss is recognized, and the basis of the new factory is \$500,000.

2.3 Divorce Property Settlement

When a divorce settlement provides for a lump-sum payment or property settlement, it is a nontaxable event. The basis of the property to the recipient spouse will be the carryover basis (basis in the hands of the transferor). The transferor's holding period also carries over. This rule applies regardless of whether the transfer is of property separately owned by the transferor or is a division (equal or unequal) of community property. Nonrecognition rules apply even if the transferred property is subject to liabilities that exceed the adjusted basis of the property (with the exception of property held in trust).

2.4 Exchange of Like-Kind Business/Investment Real Property

Nonrecognition treatment is given to gains realized on "like-kind" exchange of real property used in the trade or business or held for investment (except real property in different countries).

2.4.1 Qualifying Property

Real property used in a trade or business or held for investment that is exchanged for other real property used in a trade or business or held for investment qualifies as like-kind. Like-kind exchanges of personal property do not qualify for like-kind exchange nonrecognition treatment.

Example 9 Property Qualifying for Nonrecognition Treatment

Facts: A taxpayer owned the building in which she ran her clothing boutique. When she retired, she sold the building and purchased an apartment building, which she held as an investment.

Required: Determine whether the taxpayer's transaction qualifies as a like-kind exchange.

Solution: Because the taxpayer exchanged real property used in a trade or business for other real property held for investment, the exchange *should qualify* for the nonrecognition treatment available to like-kind exchanges.

Example 10 Property Not Qualifying for Nonrecognition Treatment

Facts: In his business, a taxpayer owned several laptop computers and decided to exchange them with another business owner for a new desk and filing cabinet.

Required: Determine whether the taxpayer's transaction qualifies as a like-kind exchange.

Solution: Laptop computers and office furniture are both personal property. The like-kind exchange rules no longer apply to personal property, only to real property. Therefore, the exchange *would not* qualify for the nonrecognition treatment available to like-kind exchanges.

2.4.2 Timing Requirements

Additionally, there are timing requirements that must be met for a like-kind exchange to receive deferral treatment. First, the taxpayers must identify like-kind replacement property within 45 days of giving up their property. Second, like-kind property must be received by the earlier of (1) 180 days after the taxpayer transfers property in a like-kind exchange; or (2) the due date of the taxpayer's income tax return (including extensions) for the year in which the transfer occurs.

2.4.3 Gain When Boot Received

If property other than property qualifying for like-kind exchange treatment is received (cash, relief from liabilities, or nonqualifying property), the gain recognized is the lesser of the realized gain or the boot received. Note that only boot received, not boot paid, triggers gain recognition.

If the exchange includes both debt assumed and debt relief, the debt is netted together ("net the debt"). Net debt assumed is boot paid and net debt relief is boot received.

Example 11 Gain When Boot Received

Facts: A taxpayer owns real estate held for investment that is worth \$40,000 and has an adjusted basis of \$25,000. The taxpayer exchanges this property for other real estate held for investment worth \$35,000 and \$5,000 in cash.

Required: Determine the realized gain and recognized gain from the like-kind exchange.

Solution: The taxpayer's realized gain of \$15,000 (\$40,000 proceeds minus \$25,000 basis) will be recognized only to the extent of the \$5,000 cash received. The amount of gain deferred is \$10,000 (\$15,000 realized gain less the \$5,000 gain recognized).

2.4.4 Basis Rules

The basis of the property received in a like-kind exchange in which gain is deferred is ordinarily the same as the basis of the property given up. In an exchange in which boot is received, the basis is equal to the fair market value of the property received less any deferred gain (or plus any deferred loss).

$$\text{Basis in like-kind property received when boot is received} = \text{Fair market value of like-kind property received} - \text{Deferred gain} + \text{Deferred loss}$$

The holding period of the new property received includes the holding period of the old property given up.

Example 12 Basis Calculation

Facts: A taxpayer owns real estate held for investment that is worth \$40,000 and has an adjusted basis of \$25,000. The taxpayer exchanges this property for other real estate held for investment worth \$35,000 and \$5,000 in cash.

Required: Determine the taxpayer's basis in the new property.

Solution: The taxpayer's basis in the new property equals \$25,000.

$$\begin{aligned} \text{FMV of property received} - \text{Deferred gain} + \text{Deferred loss} &= \text{New basis} \\ \$35,000 - \$10,000 + \$0 &= \$25,000 \end{aligned}$$

2.4.5 Losses

Realized losses are not recognized in a like-kind exchange. All of the loss is deferred, and increases the basis in the new property.

Example 13 Like-Kind Exchange: Realized Gain/No Boot

Facts: A taxpayer exchanges a warehouse used solely for business purposes for another warehouse to be used in the business. The warehouse originally cost \$35,000 and is currently worth \$20,000. The taxpayer has taken \$18,000 of depreciation on the old warehouse. Assume that the warehouse the taxpayer wants in exchange is worth \$20,000.

1. Required: What is the gain or loss realized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}
 \text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} \\
 &= \$20,000 \text{ FMV of new warehouse} - (\$35,000 \text{ cost} - \$18,000 \text{ depreciation}) \\
 &= \$20,000 \text{ FMV of new warehouse} - \$17,000 \text{ adjusted basis of old warehouse} \\
 &= \$3,000 \text{ realized gain}
 \end{aligned}$$

- Adjusted basis = Original cost – Accumulated depreciation
- Amount realized = FMV of new property received + FMV of boot received – FMV of boot paid

2. Required: What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}
 \text{Gain/loss recognized} &= \text{Lesser of realized gain or boot received [realized loss never recognized]} \\
 &= \$0 \text{ [lesser of gain realized of \$3,000 or boot received of \$0]}
 \end{aligned}$$

- Boot received = Cash received + FMV of non-like-kind property received + Net relief from liability
- Boot paid = Cash paid + FMV of non-like-kind property paid + Net liability assumed

3. Required: What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$3,000 \text{ [\$3,000 gain realized} - \$0 \text{ gain recognized]}$$

4. Required: What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}
 \text{Basis of new property} &= \text{Fair market value of property received} - \text{Deferred gain} + \text{Deferred loss} \\
 &= \$20,000 - \$3,000 + \$0 \\
 &= \$17,000 \text{ basis}
 \end{aligned}$$

Example 14 Like-Kind Exchange: Realized Loss

Facts: A taxpayer exchanges a warehouse used solely for business for another warehouse to be used for business. The warehouse originally cost \$35,000 and is currently worth \$20,000. Assume that the warehouse the taxpayer wants in exchange is worth \$20,000, and that the taxpayer has taken \$12,000 of depreciation on the old warehouse:

- 1. Required:** What is the gain or loss realized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}\text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} \\ &= \$20,000 \text{ FMV of new warehouse} - (\$35,000 \text{ cost} - \$12,000 \text{ depreciation}) \\ &= \$20,000 \text{ FMV of new warehouse} - \$23,000 \text{ adjusted basis of old warehouse} \\ &= \$ (3,000) \text{ realized loss}\end{aligned}$$

- 2. Required:** What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\text{Gain/loss recognized} = \$0 \text{ [realized loss is never recognized in like-kind exchange]}$$

- 3. Required:** What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$3,000 \text{ loss deferred } [\$3,000 \text{ loss realized} - \$0 \text{ loss recognized}]$$

- 4. Required:** What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}\text{Basis of new property} &= \text{Fair market value of property received} - \text{Deferred gain} \\ &\quad + \text{Deferred loss} \\ &= \$20,000 - \$0 + \$3,000 \\ &= \$23,000 \text{ basis}\end{aligned}$$

Example 15**Like-Kind Exchange: Boot Received Greater Than Gain Realized**

Facts: A taxpayer exchanges a warehouse used solely for business for another warehouse to be used for business. The warehouse originally cost \$35,000 and the taxpayer has taken \$18,000 in depreciation. The old warehouse is currently worth \$20,000. Assume that the new warehouse the taxpayer wants in exchange is only worth \$16,500, so the other party agrees to give the taxpayer \$3,500 in cash in addition to the new warehouse:

- Required:** What is the gain or loss realized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}
 \text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} \\
 &= \$20,000 \text{ amount realized} \\
 &\quad [\$16,500 \text{ FMV new warehouse} + \$3,500 \text{ cash boot received}] \\
 &\quad - \$17,000 \text{ adjusted basis old warehouse} \\
 &\quad [\$35,000 \text{ cost} - \$18,000 \text{ depreciation}] \\
 &= \$3,000 \text{ realized gain}
 \end{aligned}$$

- Required:** What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\text{Gain/loss recognized} = \$3,000 \text{ [lesser of realized gain of \$3,000 or boot received of \$3,500]}$$

- Required:** What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$0 \text{ gain deferred } [\$3,000 \text{ gain realized} - \$3,000 \text{ gain recognized}]$$

- Required:** What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}
 \text{Basis of new property} &= \text{Fair market value of property received} - \text{Deferred gain} \\
 &\quad + \text{Deferred loss} \\
 &= \$16,500 - \$0 + \$0 \\
 &= \$16,500 \text{ basis}
 \end{aligned}$$

Example 16**Like-Kind Exchange: Boot Received Less Than Gain Realized**

Facts: A taxpayer exchanges a warehouse used solely for business for another warehouse to be used for business. The warehouse originally cost \$35,000 and the taxpayer has taken \$18,000 in depreciation. The old warehouse is currently worth \$20,000. Assume that the new warehouse the taxpayer wants in exchange is only worth \$17,500, so the other party agrees to give the taxpayer \$2,500 in cash in addition to the new warehouse:

- 1. Required:** What is the gain or loss realized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}\text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} \\ &= \$20,000 \text{ amount realized} \\ &\quad [\$17,500 \text{ FMV of new warehouse} + \$2,500 \text{ cash boot received}] \\ &\quad - \$17,000 \text{ adjusted basis of old warehouse} \\ &\quad [\$35,000 \text{ cost} - \$18,000 \text{ depreciation}] \\ &= \$3,000 \text{ realized gain}\end{aligned}$$

- 2. Required:** What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\text{Gain/loss recognized} = \$2,500 \text{ [lesser of realized gain of \$3,000 or boot received of \$2,500]}$$

- 3. Required:** What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$500 \text{ gain deferred } [\$3,000 \text{ gain realized} - \$2,500 \text{ gain recognized}]$$

- 4. Required:** What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}\text{Basis of new property} &= \text{Fair market value of property received} - \text{Deferred gain} \\ &\quad + \text{Deferred loss} \\ &= \$17,500 - \$500 + \$0 \\ &= \$17,000 \text{ basis}\end{aligned}$$

Example 17**Like-Kind Exchange: Realized Gain, Boot Paid**

Facts: A taxpayer exchanges a warehouse used solely for business for another warehouse to be used for business. The old warehouse originally cost \$35,000 and the taxpayer has taken \$18,000 in depreciation. The old warehouse is currently worth \$20,000. Assume that the new warehouse the taxpayer wants in exchange is worth \$22,000, so the taxpayer agrees to give the other party \$2,000 in cash in addition to the old warehouse:

- 1. Required:** What is the gain or loss realized by the taxpayer on the exchange?

Solution:

$$\begin{aligned}\text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} - \text{Cash paid} \\ &= \$22,000 \text{ amount realized [FMV of new warehouse]} \\ &\quad - \$17,000 \text{ adjusted basis of old warehouse} \\ &\quad \quad [\$35,000 \text{ cost} - \$18,000 \text{ depreciation}] \\ &\quad - \$2,000 \text{ cash boot paid (not received)} \\ &= \$3,000 \text{ realized gain}\end{aligned}$$

- 2. Required:** What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\text{Gain/loss recognized} = \$0 \text{ [lesser of realized gain of \$3,000 or boot received of \$0]}$$

- 3. Required:** What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$3,000 \text{ [\$3,000 gain realized} - \$0 \text{ gain recognized]}$$

- 4. Required:** What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}\text{Basis of new property} &= \text{Fair market value of property received} - \text{Deferred gain} \\ &\quad + \text{Deferred loss} \\ &= \$22,000 - \$3,000 + \$0 \\ &= \$19,000 \text{ basis of new property}\end{aligned}$$

Example 18**Like-Kind Exchange: Realized Gain, Debt Assumed and Debt Relief**

Facts: A taxpayer exchanged a warehouse used solely for business for another warehouse to be used for business. The old warehouse originally cost \$35,000 and the taxpayer has taken \$18,000 of depreciation. The old warehouse is currently worth \$20,000 and has \$5,000 of remaining secured debt attached, which the other party will assume. The new warehouse that the taxpayer wants in exchange is worth \$18,000 and has \$3,000 of remaining secured debt attached, which the taxpayer agrees to assume from the other party.

- 1. Required:** What is the gain or loss realized by the taxpayer on the exchange?

Solution:

Net the debt: \$5,000 debt relief – \$3,000 debt assumed = \$2,000 net debt relief (boot received)

$$\begin{aligned}
 \text{Gain/loss realized} &= \text{Amount realized} - \text{Adjusted basis of property given up} \\
 &= \$20,000 \text{ amount realized} \\
 &\quad [\$18,000 \text{ FMV of new warehouse} + \$2,000 \text{ net debt relief (boot received)}] \\
 &\quad - \$17,000 \text{ adjusted basis of old warehouse} \\
 &\quad [\$35,000 \text{ cost} - \$18,000 \text{ depreciation}] \\
 &= \$3,000 \text{ realized gain}
 \end{aligned}$$

- 2. Required:** What is the gain or loss recognized by the taxpayer on the exchange?

Solution:

$$\text{Gain/loss recognized} = \$2,000 \text{ [lesser of realized gain of \$3,000 or boot received (net debt relief) of \$2,000]}$$

- 3. Required:** What is the gain or loss deferred?

Solution:

$$\text{Gain/loss deferred} = \$1,000 \text{ gain deferred } [\$3,000 \text{ gain realized} - \$2,000 \text{ gain recognized}]$$

- 4. Required:** What is the taxpayer's basis in the new property received?

Solution:

$$\begin{aligned}
 \text{Basis of new property} &= \text{Fair market value of new property received} - \text{Deferred gain} \\
 &\quad + \text{Deferred loss} \\
 &= \$18,000 - \$1,000 + \$0 \\
 &= \$17,000 \text{ basis}
 \end{aligned}$$

2.5 Installment Sales

The installment method is the tax method of reporting gains (not losses) for sales made by a "nonmerchant" in personal property and "nondealer" in real estate when part of the payments are received in a tax year after the year of the sale. Immediate recognition can be elected by reporting all of the gain on the sale on the seller's return for the year of disposition.

2.5.1 Recognize When Cash Is Received

Under the installment method, revenue is reported over the period in which the cash payments are received. This method does not alter the type of gain to be reported (capital gain, ordinary income). Taxable income is calculated by multiplying the annual cash collections by the gross profit percentage.

2.5.2 Reportable Installment Sale Gain/Income

- Gross profit = Sales price – Adjusted basis
- Gross profit percentage = Gross profit / sales price
- Gain recognized (taxable income) = Cash collections (excluding interest) × Gross profit percentage

Example 19 Installment Sale

Facts: Assume that a taxpayer had \$400,000 in installment sales in Year 1 and a December 31, Year 1, balance in installment notes receivable of \$150,000. The taxpayer had \$300,000 as its adjusted basis.

Required: Calculate gross profit, the gross profit percentage, and gain recognized in Year 1 under the installment method.

Solution: The taxpayer would calculate realized profit in Year 1 as follows:

Step 1: Gross profit

	Year 1
Sales on installment	\$ 400,000
Adjusted basis	<u>(300,000)</u>
Total gross profit	<u>\$ 100,000</u>

Step 2: Gross profit percentage

Gross profit	\$100,000
Sales on installment	\$400,000
	$\frac{\$100,000}{\$400,000} = \underline{25\%}$

Step 3: Gain recognized

Sales on installment	\$ 400,000
Ending installment notes receivable	<u>(150,000)</u>
Collections in Year 1 (excluding interest income)	250,000
Gross profit percentage	<u>25%</u>
Gain recognized in Year 1	<u>\$ 62,500</u>

2.5.3 Interest

The seller is required to charge interest on an installment sale. The interest is reported separately from each installment payment as ordinary income. If no interest or inadequate interest is reported by the seller, a portion of each installment payment will be treated as imputed interest and taxed at ordinary rates.

2.5.4 Miscellaneous

- All Section 1245 and Section 1250 depreciation recapture must be included in income in the year of sale.
- Net proceeds from loans that are secured by the installment obligation shall be reported as amounts received/collected.
- Gain from the sale of depreciable property to a related person is generally ineligible for installment sale reporting.
- The installment method is not available for sales of stocks or securities traded on an established market.

2.6 Treasury and Capital Stock Transactions (by Corporation)

The following corporate transactions are exempt from gain (and any losses are disallowed—essentially corporations are precluded from tax benefits or income taxes resulting from dealing in their own stock):

- Sales of stock by corporation
- Repurchase of stock by corporation
- Reissue of stock

Dispositions of Trade or Business-Use Property

1 Character of Gain or Loss

When a taxpayer disposes of property, the gain or loss recognized is classified as either capital or ordinary. The character of the gain or loss is determined by the nature of the asset and how the asset was used by the taxpayer.

1.1 Capital Assets (Capital Treatment)

Capital assets include property (real and personal) held by the taxpayer for investment or personal use, such as:

- Personal automobile of individual taxpayer
- Furniture and fixtures in the home of the individual taxpayer
- Stocks and securities of all types (except those held by dealers)
- Personal property of a taxpayer not used in a trade or business
- Real property not used in a trade or business
- Interest in a partnership
- Goodwill of a corporation
- Copyrights, literary, musical, or artistic compositions that have been purchased
- Other assets held for investment

1.2 Noncapital Assets (Ordinary Treatment Except Where Noted)

- Property normally included in inventory or held for sale to customers in the ordinary course of business.
- Depreciable personal property and real estate used in a trade or business (e.g., Section 1231, Section 1245, and Section 1250 property). May be capital or ordinary.
- Accounts and notes receivable arising from sales or services in the taxpayer's business.
- Copyrights, literary, musical, or artistic compositions *held by the original artist*. (Exception: Sales of musical compositions held by the original artist receive capital gains treatment.)
- Treasury stock (not an ordinary asset and not subject to capital gains treatment).

Illustration 1**Automated Diagnostic and Validation Check:
Character of Gain**

Maya, a CPA, is preparing the Year 1 federal income tax return for her client, Kenya Jones. Kenya's sources of income include her self-employed business, rental property, and investment property. She also had a \$100,000 gain in Year 1 for the sale of land, which was used in her self-employed business and was held for 2 years.

Maya received the following message in a software diagnostic report when she was preparing Kenya's Year 1 federal income tax return:

Issue 1: Gain on Sale of Land

An amount of \$100,000 was entered to override the calculation of gain or loss on the sale of land. No dates were entered in the date acquired Box 77 or date sold Box 78. These dates must be provided to determine the character of the gain and how the gain is to be taxed.

Issue 2: No entry was made to select the type of property in Box 84. The type of property needs to be selected from the options provided:

- Personal use
- Business use
- Investment
- Inventory

The type of property must be provided to determine the character of the gain and how the gain is to be taxed.

For issue 1, Maya should enter the date acquired and date sold so that the holding period can be determined. Once the dates are entered, the software application will recognize the land was held for more than one year, and therefore, the gain is a long-term gain.

For issue 2, Maya should also select the appropriate type of property for the land sold. Because the land is being used in her self-employed business, she should select business use so that the software application can correctly calculate the gain as a Section 1231 gain and be included in the Section 1231 netting process.

2 Section 1231 Gains and Losses

Section 1231 assets are defined as assets that are used in a taxpayer's trade or business and are held for more than 12 months. The tax treatment of Section 1231 gains and losses depends on whether the taxpayer has a net 1231 gain or a net 1231 loss for the tax year.

2.1 Net 1231 Loss—Ordinary Loss Treatment

If the taxpayer's combined 1231 gains and losses for the tax year result in a net 1231 loss, the net 1231 loss is treated as an ordinary loss. The advantages of an ordinary loss over a capital loss are as follows:

- The deduction of capital losses is limited. For C corporations, capital losses can only be offset against capital gains. For individuals, estates, and trusts, the deduction of net capital losses is limited to \$3,000 per year.
- The deduction of ordinary losses are not limited.

2.2 Net 1231 Gain—Capital Gain Treatment

If the taxpayer's combined 1231 gains and losses for the tax year result in a net 1231 gain, the net 1231 gain is treated as a long-term capital gain and netted with other long-term capital gains and losses. The advantages of a capital gain over an ordinary gain are as follows:

- For C corporations, capital gains can be offset by capital losses.
- For individuals, net capital gains are taxed at preferential tax rates of 0, 15, or 20 percent.

However, part or all of a net 1231 gain may be treated as ordinary income under the Section 1231 five-year look-back rule.

2.3 Section 1231 Five-Year Look-Back Rule

When a taxpayer has a net Section 1231 gain for the year, the taxpayer must first "look back" to see if there were any net Section 1231 losses deducted as ordinary losses during the previous five years. If so, the taxpayer must "pay back," or recapture, this ordinary treatment by treating the current year net Section 1231 gain as ordinary income to the extent of those prior net Section 1231 losses.

Once the ordinary benefit for a prior net Section 1231 loss has been paid back, or recaptured, the prior net Section 1231 loss will no longer cause a future net Section 1231 gain to be treated as ordinary. When doing the five-year look back, you only look at any nonrecaptured net Section 1231 losses, starting with the oldest year in the five-year look-back period first.

Example 1 Section 1231 Five-Year Look Back

Facts: Lancaster Inc., a C corporation, purchased land that it used in its business for \$100,000 in Year 1. Lancaster sold the land in Year 7 for \$150,000. Lancaster had a prior unrecaptured net Section 1231 loss in Year 3 of \$30,000. Lancaster had no other 1231 gains or losses in Year 7 and no other prior net 1231 gains or losses.

Required: Calculate the amount and character of the gain recognized on the sale of the land.

Solution: Recognized gain on the sale of the land is \$50,000 (\$150,000 sales price – \$100,000 tax basis). Lancaster has no other Section 1231 gains or losses in Year 7 so it has a net 1231 gain of \$50,000. Because it has a net 1231 gain for Year 7, Lancaster must look back at the prior five years (Year 2, then Year 3, Year 4, Year 5, and Year 6). In Year 3, it had a net 1231 loss of \$30,000 that was deducted as an ordinary loss. There were no 1231 gains or losses in the other years in the look-back period. Lancaster took an ordinary loss deduction in Year 3, so \$30,000 of the Year 7 net 1231 gain must be treated as ordinary income. The remaining gain of \$20,000 is treated as a long-term capital gain.

3 Section 1245 (Personal Property): Gains Only

3.1 Business-Use Personal Property

Section 1245 assets are generally depreciable personal property used in a trade or business for more than 12 months (e.g., vehicles, computers, machinery, and equipment).

3.2 Recapture Accumulated Depreciation as Ordinary Income

Upon the sale of a Section 1245 asset:

- the lesser of gain recognized or accumulated depreciation taken on the asset is recaptured as ordinary income under Section 1245; and
- any remaining gain is a Section 1231 gain.

Example 2 Section 1245 Depreciation Recapture

Facts: Lancaster Inc., a C corporation, owned equipment used in its business with an original cost basis of \$100,000 and accumulated depreciation of \$30,000. Lancaster sold the equipment after two years for \$95,000.

Required: Calculate the amount and character of the gain recognized on the sale of the equipment.

Solution: Adjusted basis of the equipment is \$70,000 (\$100,000 cost – \$30,000 accumulated depreciation). Recognized gain on the sale of the equipment is \$25,000 (\$95,000 sales price – \$70,000 adjusted basis). The amount of the gain that is treated as ordinary income due to depreciation recapture is \$25,000, which is the lesser of the \$25,000 gain recognized or the \$30,000 accumulated depreciation on the equipment. None of the gain is treated as Section 1231 gain.

Example 3 Application of Sections 1231 and 1245

Facts: Roberts Printing Inc. sold the following assets during the year:

Description	Selling Price	Cost	Accumulated Depreciation	Adjusted Basis	Recognized Gain/Loss
Printing press	\$4,000	\$ 6,800	\$ 3,200	\$3,600	\$ 400 gain
Photocopier	2,600	2,500	500	2,000	600 gain
Delivery van	500	15,000	13,000	2,000	1,500 loss

(continued)

(continued)

1. Required:

Step 1: Calculate gain or loss recognized.

Solution: Gain or loss is calculated by the following formula:

Cost – Accumulated depreciation = Adjusted basis

Selling price – Adjusted basis = Gain or loss

2. Required:

Step 2: Calculate depreciation recapture.

Solution: Both the printing press and photocopier are Section 1245 personal property sold at a gain; thus, for each asset, the lesser of gain recognized or accumulated depreciation must be recaptured as ordinary income:

Ordinary Income (Depreciation Recapture)	
Printing press	\$400
Photocopier	<u>500*</u>
Total	<u>\$900</u>

*Only \$500 of the \$600 gain is ordinary income because the ordinary income recapture is the lesser of the accumulated depreciation (\$500) or gain recognized (\$600).

3. Required:

Step 3: Determine character of any remaining gain or loss

Solution: Any remaining gain, after calculating the ordinary income recapture, is then netted with all Section 1231 net losses:

Sec. 1231 Gain (Loss)	
Photocopier	\$ 100
Delivery van	<u>(1,500)</u>
Net loss	\$ (1,400)

The net 1231 loss of \$1,400 is deducted as an ordinary loss.

4 Section 1250 (Real Property): Gains Only

4.1 Business-Use Real Property

Section 1250 assets are depreciable real property used in a trade or business for more than 12 months (e.g., a warehouse or office building, but not land).

4.2 Section 1250 and Section 291 Depreciation Recapture for C Corporations

Section 1250 rules differ slightly from Section 1245 in that generally Section 1250 recaptures only that portion of depreciation taken on real property that is in excess of straight line. (Note: Generally Section 1250 only applies to assets placed into service under the pre-1987 accelerated methods of depreciation for real property. The current law requires real property to be depreciated under the straight-line method, so Section 1250 recapture rules no longer apply to real property acquired after 1987.)

For C corporations, Section 291 applies to Section 1250 assets (depreciable real property) sold at a gain. Under Section 291, the amount of recapture as ordinary income is equal to 20 percent of the lesser of the recognized gain or the accumulated straight-line depreciation taken on the asset. Any remaining gain is a Section 1231 gain.

Note that Section 291 depreciation recapture only applies to C corporations, not other types of businesses.

Example 4

Section 291 Depreciation Recapture (C Corporation)

Facts: Lancaster Inc., a C corporation, owned a building used in its business with an original cost basis of \$100,000 and straight-line accumulated depreciation of \$15,000. Lancaster sold the building for \$95,000.

Required: Calculate the amount and character of the gain recognized on the sale of the building.

Solution: Recognized gain on the sale of the building is \$10,000 (\$95,000 sales price – \$85,000 tax basis). Of the \$10,000 gain, the amount recognized as ordinary income is 20 percent of the lesser of \$10,000 (gain recognized) or \$15,000 (accumulated depreciation on the building). Ordinary income will be: $20\% \times \$10,000 = \$2,000$. The remaining gain of \$8,000 will be recognized as Section 1231 gain.

4.3 Section 1250 Recapture for Individuals

For individual taxpayers selling Section 1250 property at a gain, the gain is characterized as a Section 1231 gain and netted with other Section 1231 gains and losses to determine if the individual taxpayer has an overall net Section 1231 gain or a net Section 1231 loss for the tax year. If the individual taxpayer has an overall net Section 1231 gain for the year (before the five-year look back), the gain is classified as "unrecaptured Section 1250 gain" to the extent of the lesser of: (1) the recognized gain on the sale of each Section 1250 asset sold at a gain, or (2) accumulated depreciation taken on that asset.

The five-year look-back converts unrecaptured Section 1250 gain to ordinary income first, then regular net Section 1231 gain. Any Section 1250 gain remaining after the five-year look-back is taxed at the 25 percent (maximum) Section 1250 gain rate, rather than the preferential 0/15/20 percent LTCG rates that apply to the regular net Section 1231 gain.

Example 5 Section 1250 Gain (Individuals)

Facts: Lancaster Company is a sole proprietorship and is reported on Schedule C of the taxpayer's individual tax return. Lancaster owned a building with an original cost basis of \$100,000 and straight-line accumulated depreciation of \$15,000, resulting in a tax basis of \$85,000. Lancaster sold the building for \$95,000. There were no other sales of property during the tax year and no prior Section 1231 losses.

Required: Calculate the amount of gain or loss recognized on the sale along with the rate at which it is taxed.

Solution: Recognized gain on the sale of the building was \$10,000 (\$95,000 sales price – \$85,000 adjusted basis). The gain is a Section 1231 gain, and because there are no other property sales during the tax year, the overall net Section 1231 gain is \$10,000. The amount taxed at the 25 percent Section 1250 gain rate will be \$10,000, which is the lesser of the recognized gain of \$10,000 or the straight-line accumulated depreciation of \$15,000. No portion of the gain will be taxed at a preferential LTCG rate of 0, 15, or 20 percent.

Example 6 Application of Sections 1231 and 1250 (Individuals)

Facts: Chandra Co., a Schedule C sole proprietorship, sold the following business-use assets during the current year:

	Sales Price	Cost	Accumulated Depreciation	Adjusted Basis	Gain (Loss) Recognized
Warehouse	\$110,000	\$95,000	\$20,000	\$75,000	\$35,000
Land	50,000	40,000	N/A	40,000	<u>10,000</u>
Net Section 1231 gain					\$45,000

The company had a Section 1231 loss in the previous year of \$15,000.

Required: Calculate the amount of gain recognized on the sale along with the rate(s) at which the gain is taxed.

Solution:

Net Section 1231 gain	\$45,000
Section 1250 gain (lesser of):	
Gain recognized on warehouse	\$35,000
Depreciation taken on warehouse	20,000
Regular net Section 1231 gain	<u>25,000</u>
Section 1250 gain	20,000
Unrecaptured prior Section 1231 loss taxed at ordinary rates	<u>(15,000)</u>
Remaining Section 1250 gain taxed at 25 percent capital gain rate	\$ 5,000

Regular net Section 1231 gain taxed at 0/15/20 percent LTCG rate \$25,000

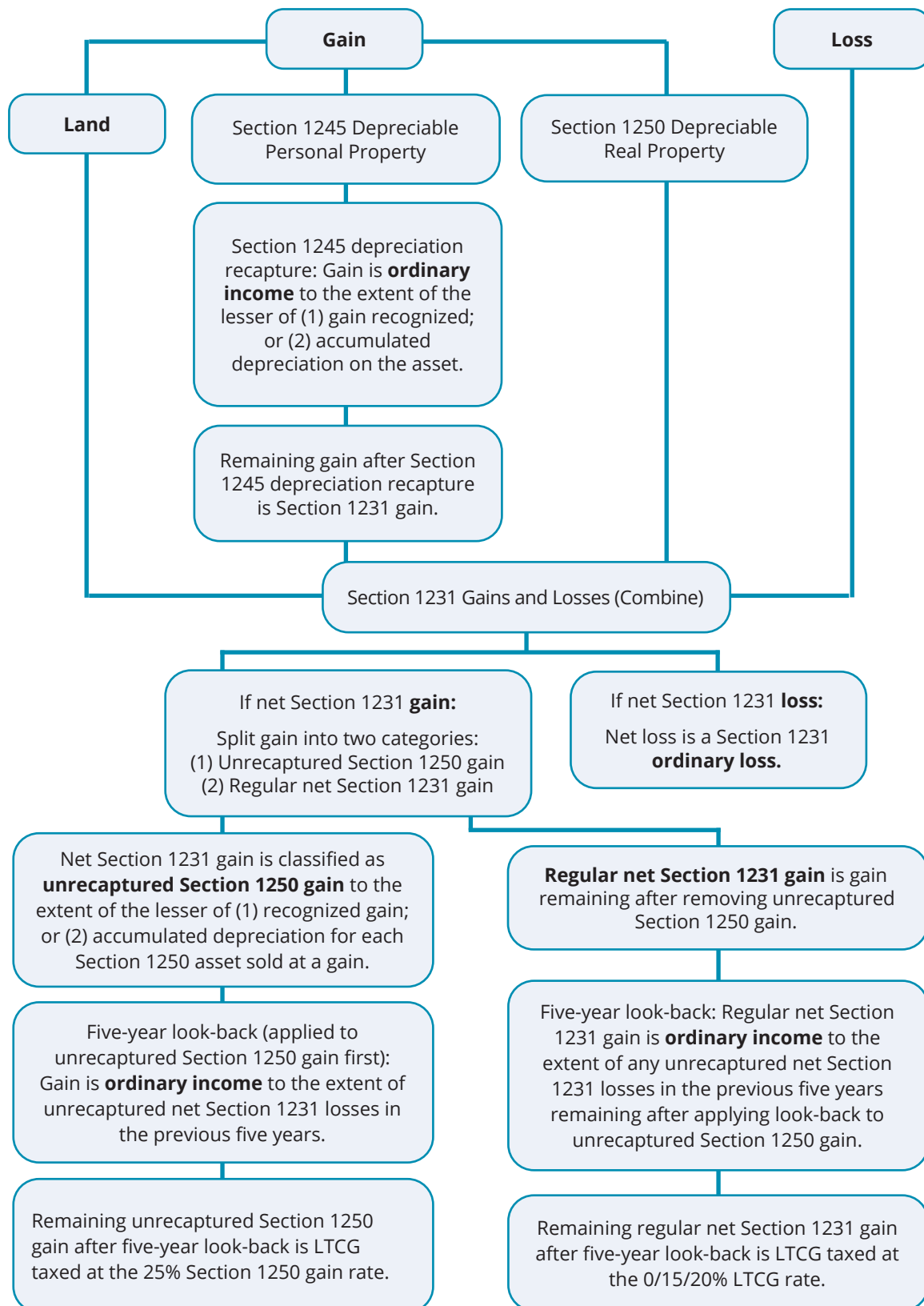
Of the total \$45,000 recognized gain, \$15,000 is taxed at ordinary tax rates, \$5,000 is taxed at the 25 percent Section 1250 capital gain rate, and \$25,000 is taxed at the 0/15/20 percent LTCG rate.

4.4 Summary of Gains and Losses on Disposition of Long-Term Trade or Business-Use Property

4.4.1 Individual Taxpayers

- Calculate the gain (loss) on the sale of each long-term trade or business-use asset:
 - If it is a loss, it joins the Section 1231 pool.
 - If it is a gain, the tax treatment depends on the type of asset (land, depreciable personal property, depreciable real property).
- *Land* sold at a gain joins the Section 1231 pool.
- *Personal property* sold at a gain:
 - Section 1245 depreciation recapture: lesser of (1) gain, or (2) accumulated depreciation is treated as ordinary income.
 - The remaining gain (if any) joins the Section 1231 pool.
- *Real property* sold at a gain joins the Section 1231 pool.
- Combine all gains and losses in the Section 1231 pool:
 - If it is a net Section 1231 loss, then it is an ordinary loss.
 - If it is a net Section 1231 gain, then it splits into two components:
 - Unrecaptured Section 1250 gain
 - Regular net Section 1231 gain (remainder)
- The net 1231 gain is classified as unrecaptured Section 1250 gain to the extent of the lesser of:
 - gain recognized for each depreciable real property asset sold at a gain; or
 - accumulated depreciation for that depreciable real property asset.
- Five-year look-back:
 - Net Section 1231 gain is ordinary income to the extent of unrecaptured 1231 losses in the previous five years.
 - The order in which gains are characterized as ordinary:
 - Unrecaptured Section 1250 gain component; then
 - Regular net Section 1231 gain component.
- The remaining net Section 1231 gain is taxed at capital gain rates:
 - The remaining unrecaptured Section 1250 gain component is taxed at a 25 percent gain rate.
 - The remaining regular net Section 1231 gain is taxed at a 0/15/20 percent LTCG rate, netted with other LTCG/Ls.

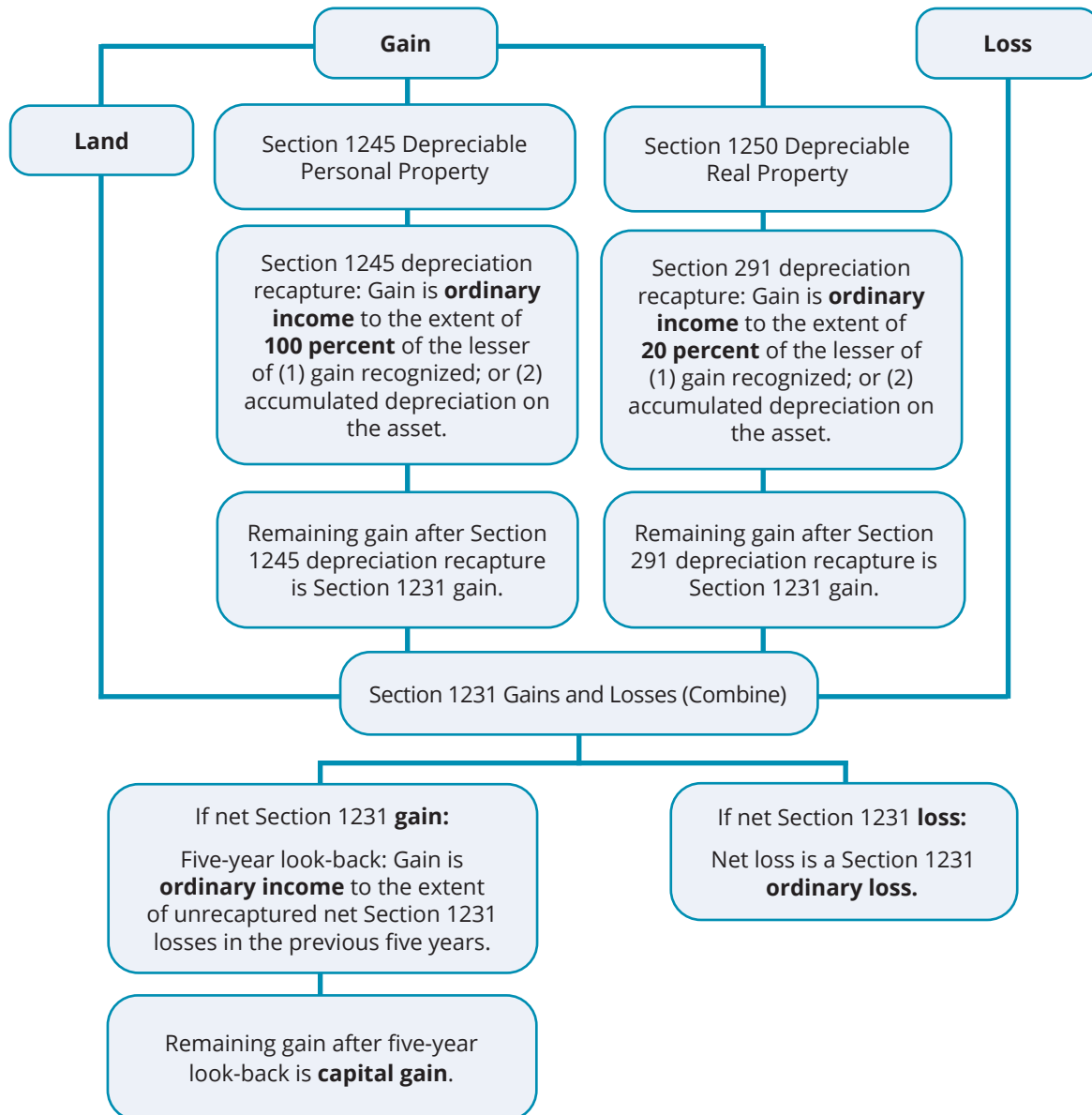
Individual Taxpayer Flowchart of Gain or Loss From Section 1231, Section 1245, and Section 1250 Assets



4.4.2 C Corporation Taxpayers

- Calculate the gain (loss) on the sale of each long-term trade or business-use asset:
 - If it is a loss, it goes into the Section 1231 pool.
 - If it is a gain, the tax treatment depends on the type of asset (land, depreciable personal property, depreciable real property).
- *Land* sold at a gain joins the Section 1231 pool.
- *Personal property* sold at a gain:
 - Section 1245 depreciation recapture: lesser of (1) gain, or (2) accumulated depreciation is treated as ordinary income.
 - The remaining gain (if any) joins the Section 1231 pool.
- *Real property* sold at a gain:
 - Section 291 depreciation recapture: 20 percent of the lesser of (1) gain, or (2) accumulated depreciation is treated as ordinary income.
 - The remaining gain (if any) joins the Section 1231 pool.
- Combine all gains and losses in the Section 1231 pool:
 - If it is a net Section 1231 loss, then it is an ordinary loss.
 - If it is a net Section 1231 gain:
 - It is ordinary income to the extent of unrecaptured 1231 losses in the previous five years.
 - The remaining gain is capital gain (net with other capital gains and losses).

Corporate Taxpayer Flowchart of Gain or Loss From Section 1231, Section 1245, and Section 1250 Assets





Pass Key

A net loss on the sale of trade or business-use property is an ordinary loss, but whether a gain is ordinary or capital depends on the type of property (personal property vs. real property) and/or the type of taxpayer (individual vs. corporate).

Ordinary Income

- Section 1245 depreciation recapture on personal property: 100 percent of lesser of gain or accumulated depreciation
- Section 291 depreciation recapture on real property: 20 percent of lesser of gain or accumulated depreciation (corporate taxpayers only)
- Net Section 1231 gain: ordinary to extent of unrecaptured net Section 1231 losses in previous five years (applied to unrecaptured Section 1250 gain first, then regular net Section 1231 gain, for individual taxpayers)

Capital Gain

- Remaining net Section 1231 gain after five-year look-back taxed at applicable capital gain tax rate
- Individual taxpayers:
 - Unrecaptured Section 1250 gain: lesser of gain or accumulated depreciation for each Section 1250 asset sold at a gain is taxed at 25 percent capital gain rate.
 - Regular net Section 1231 gain: remaining net Section 1231 gain after five-year look-back and unrecaptured Section 1250 gain is taxed at 0/15/20 percent LTCG rates.
- Corporate taxpayers: capital gain is taxed at 21 percent regular corporate tax rate

1 Related Party Provisions

The provisions of Section 267 of the Internal Revenue Code prevent taxpayers from shifting ownership of stock or property to a related person or entity in an effort to take advantage of beneficial provisions of the Internal Revenue Code when essentially still controlling their original interest through their related party. In order to accomplish this, Section 267 lays out several "constructive ownership" rules, in which stock held by certain parties related to the taxpayer is treated as though it is actually held by the taxpayer. Note that any transaction between a personal services corporation and an employee owner are automatically classified as related parties (regardless of the ownership percentage of the employee owner).

1.1 Definition of Related Parties

Section 267 of the IRC defines related parties as:

- Brothers and sisters.
- Spouses.
- Ancestors and lineal descendants (e.g., father, son, grandfather).
- Entities that are more than 50 percent owned, directly or indirectly, by individuals, corporations, trusts and/or partnerships. Note that constructive ownership rules apply.
- Controlled groups (any two corporations, partnerships, S corporations, or a combination of those, both more than 50 percent owned by the same party).
- Various relationships between trusts, grantors, fiduciaries, executors, and beneficiaries.
- Tax-exempt organizations (within definition of Section 501) and person controlling, directly or indirectly, such organizations.

Note: In-laws and step relationships are not related parties.

1.2 Constructive Ownership

The Section 267 attribution rules are as follows:

- **Rule 1:** Stock owned directly or indirectly by a corporation, partnership, estate, or trust is treated as owned proportionately by its shareholders, partners, or beneficiaries.

Example 1

Rule 1

Facts: Kathy owns 80 percent of Handlebars Company, which in turn owns 30 percent of ABC Company.

Required: Determine Kathy's ownership percentage in ABC Company.

Solution: Kathy is treated as owning 24 percent of ABC ($80\% \times 30\%$) through her holdings of Handlebars stock.

- **Rule 2:** An individual shall be considered as owning stock owned by those family members related in accordance with Section 267.

Example 2**Rule 2**

Facts: Chad owns a 30 percent interest in Wick Corp.; his wife, Kathy, owns a 20 percent interest; his grandson owns a 5 percent interest; and his nephew owns a 15 percent interest.

Required: Determine Chad's ownership in Wick Corp.

Solution: Chad is treated as owning 55 percent of Wick Corp. (30% + 20% + 5%); his nephew is not a related party under Section 267.

- **Rule 3:** Stock constructively owned by a person under Rule 1 above (proportionate attribution) shall be treated as actually owned by that person for the purposes of applying either Rule 1 or Rule 2 in other situations. However, Rule 2 (family members) cannot be applied in this manner.

Example 3**Rule 3**

Facts: In Example 1 above, Kathy was treated as constructively owning 24 percent of ABC Company (80% × 30%).

Required: Determine any ownership of ABC by Kathy's husband, Chad, under constructive ownership rules.

Solution: Kathy's husband, Chad, would have to include Kathy's 24 percent of ABC with any stock in ABC he actually owns when testing Chad for loss disallowance, because Kathy's constructive holdings are treated as actual holdings for these purposes.

Example 4**Non-attribution to Other Family Members**

Facts: In Example 2 above, Chad was treated as constructively owning his wife's 20 percent interest in Wick Corp.

Required: Determine whether Chad's 20 percent ownership in Wick Corp. through his wife may be attributed to other family members.

Solution: Chad's 20 percent in Wick Corp. could not also be attributed to Chad's sister, Shirley, because this would involve double attribution with family members—from Chad's wife, Kathy, to Chad, and then to Chad's sister, Shirley.

Example 5**Related Parties**

Facts: Arnold Corp. owns 40 percent of Cooper Corp. and 30 percent of Diggins Corp. Diggins Corp. owns 40 percent of Cooper Corp.

Required: Determine whether Arnold and Cooper are related parties.

Solution: Under constructive ownership rules, Arnold and Cooper are related parties, as Arnold owns 52 percent of Cooper ($30\% \times 40\% = 12\%$ constructively, plus Arnold's 40 percent direct ownership in Cooper).

1.3 Capital Gains and Related Parties

1.3.1 General Rule

Capital gains taxes are imposed on all sales of non-depreciable property (e.g., land) between all related parties, with the exception below.

1.3.2 Exception

Sales between the following related parties do not receive capital gains treatment:

- Two spouses (where basis is merely transferred).
- An individual and a 50-percent-plus controlled corporation or partnership (where the gain is taxed as ordinary income).

1.4 Capital Losses and Related Parties

Losses are disallowed on (most) related party sales transactions, even if they were made at an "arm's-length" FMV price.

1.5 Basis Rules and Related Parties

The basis (and related gain or loss) of the (second) buying relative depends on whether the second relative's resale price is higher, lower, or between the first relative's basis and the lower selling price to the second relative.

1.6 Gain and Loss Rules for Related Parties

1.6.1 Gain Rules

Gain is recognized only to the extent that the future sale price exceeds the previous relative's cost basis.

Example 6 Basis in Related Party Transaction

Facts: Ned bought stock for \$20,000 that he sold to his brother, Ray, for \$16,000. The \$4,000 loss is disallowed. Ray then sells the stock to Bobby, an unrelated party, for \$21,000.

Required: Determine Ray's basis in the stock and his recognized gain or loss on the sale to Bobby.

Solution: Ray's recognized gain from the sale is \$1,000, calculated as follows:

Ray's selling price		\$ 21,000
Less: Ray's cost	\$16,000	
Disallowed loss	<u>4,000</u>	
Ray's basis		<u>(20,000)</u>
Ray's gain		<u>\$ 1,000</u>

1.6.2 Loss Rules

Loss is recognized only to the extent that the sales price to the unrelated party is lower than the acquiring relative's original purchase price in the asset (FMV).

1.6.3 No Gain or Loss Rules

No gain or loss is recognized when the sales price to the unrelated party is between the original cost basis and related party purchase price.

1.7 Holding Period and Related Parties

The holding period starts with the new owner's period of ownership.



Pass Key

The purchasing relative's basis rules are the same as the gift tax rules:

- | | | | |
|----------------------------------|----------------|---|---|
| Relative's Basis | • Sell higher | → | Use "Relative's Basis" to determine gain. |
| | • Sell between | → | No gain or loss. |
| Lower Purchase Price by Relative | • Sell lower | → | Use "Purchase Price" to determine loss. |

1.8 Matching of Deduction and Income Between Related Parties

An accrual-basis taxpayer is not allowed to deduct an expense for a liability owed to a cash-basis related party until the related party recognizes the income. Examples include compensation, rent, and interest payments to a related party.

2 Below-Market Loans and Imputed Interest

Section 7872 of the IRC seeks to prevent parties from offering below-market interest rates on loans that could be particularly appealing to related parties. If Section 7872 applies, the loan is re-characterized as an arm's-length transaction in which the lender made a loan to the borrower in exchange for a note requiring payment of interest at the applicable federal rate (AFR; these are published regularly by the IRS).

Individuals who make a below-market loan generally must report any foregone interest as interest income. The borrower may be able to deduct the foregone interest, unless it is personal interest.

2.1 Loans Affected by Imputed Interest Rules

The below-market loan provisions apply to the following loans:

- **Gifts:** Any below-market loan which is a gift loan.
- **Compensation-Related Loans:** Any below-market loan directly or indirectly between:
 - an employer and an employee; or
 - an independent contractor and a person for whom the independent contractor provides services.
- **Corporation-Shareholder Loans:** Any below-market loan directly or indirectly between a corporation and any shareholder of such corporation.
- **Tax-Avoidance Loans:** Any below-market loan for which a principal purpose of the interest arrangement is the avoidance of any federal tax.
- **Other Below-Market Loans:** To the extent provided in regulations, any below-market loan that is not otherwise described, if the interest arrangements of the loan have a significant effect on any federal tax liability of the lender or the borrower.
- **Loans to Qualified Continuing Care Facilities:** Any loan to any qualified continuing care facility, pursuant to a continuing care contract.

2.2 De Minimis Exception

- **Gift Loans Between Individuals:** In the case of any gift loan directly between individuals, the imputed interest rules shall not apply to any day on which the aggregate outstanding amount of loans between individuals does not exceed \$10,000.
- **Compensation-Related and Corporate-Shareholder Loans:** The imputed interest rules shall not apply to any day on which the aggregate outstanding amount of loans between the borrower and lender does not exceed \$10,000 for loans that are compensation-related or corporate-shareholder loans.

2.3 Special Rules for Gift Loans Not in Excess of \$100,000

For gift loans between individuals, if the outstanding loans between the lender and borrower total \$100,000 or less, the foregone interest to be included in income by the lender and deducted by the borrower is limited to the amount of the borrower's net investment income for the year. If the borrower's net investment income is \$1,000 or less, the foregone interest is treated as zero.

2.4 Calculation of Foregone Interest

Foregone interest is calculated by the following:

The amount of interest that would be payable for that period if the loan's interest accrued at the applicable federal rate (AFR) and was payable annually on December 31, minus any interest actually payable on the loan for the period.

Example 7

Imputed Interest

Facts: Mike loans \$200,000 to his sister, Angie, payable in 10 years at an annual interest rate of 1 percent. The AFR issued by the IRS for long-term loans is 2.24 percent.

Required: Determine whether Mike's loan to Angie qualifies as a below-market loan and, if so, calculate the imputed interest income to Mike.

Solution: The loan appears to be a gift loan between individuals because interest is charged at below-market rates. This is a loan to which Section 7872 applies and imputed interest will be charged.

Imputed interest is \$2,480, calculated as follows:

- Interest required under AFR: $\$4,480$ ($2.24\% \times \$200,000$), less
- Interest payable under the loan: $\$2,000$ ($1\% \times \$200,000$) = $\$2,480$

Becker Professional Education

Tax Compliance and Planning Course Updates—June 2026

The purpose of this document is to provide you with a list of items that have been updated in the June 2026 Tax Compliance and Planning textbook version (V1.4). Additions, changes, and clarifications in the text have been indicated with **yellow highlight**. All other text is unchanged from V1.3.

Becker students who have a version 1.3 Tax Compliance and Planning textbook may purchase the new version 1.4 textbook for a nominal cost. Please see the Becker website for more details.

CPA Exam Review Replacement Textbook Pages

Details on the replacement textbook pages are provided below.

V1.4 Location	V1.3 Location	Description of Update	Course Update Document Page Number
Tax Compliance and Planning Units T1 – T2	Same	Cost-of-living and other inflation adjustments have been made to tax rates, phase-out thresholds, mileage rates, etc., to reflect the latest information released by the IRS and other government and regulatory agencies.	N/A
T1 Module 1 Pages 3 – 9	T1 Module 1 Pages 3 – 8	Topic 1 Equity Compensation Awards was updated and expanded for clarity.	3 – 9
T1 Module 1 Page 23	T1 Module 1 Page 21	Topic 8.1.2 Charitable Contributions Deduction if Standard Deduction Taken was added to reflect changes introduced by the One Big Beautiful Bill Act (OBBBA)	10
T1 Module 1 Page 23	T1 Module 1 Page 21	Topic 8.2 Itemized Deductions has been updated to reflect changes introduced by the OBBBA.	10
T1 Module 1 Pages 24 – 25	T1 Module 1 Pages 22 – 23	Example 12 within topic 8.3 Bunching Itemized Deductions was updated to reflect changes introduced by the OBBBA.	11 – 12
T1 Module 3 Page 46 – 50	T1 Module 3 Page 44 – 47	Topic 3 Charitable Donations of Noncash Property was updated to reflect changes introduced by the OBBBA and a new pass key was added for clarity.	13 – 17

V1.4 Location	V1.3 Location	Description of Update	Course Update Document Page Number
T1 Module 4 Pages 51 – 61	T1 Module 4 Pages 49 – 59	Topic 1 Advantages and Disadvantages of Different Qualified Retirement Plans was updated for new tax law introduced by the OBBBA, including a new topic 1.7 Trump Accounts.	18 – 28
T1 Module 4 Page 65	T1 Module 4 Page 62	Topic 2.1.2 Systematic Risk has been updated for clarity.	29
T1 Module 4 Page 67	T1 Module 4 Page 64	Topic 3.2.4 Qualified Higher Education Expenses was updated to reflect changes introduced by the OBBBA.	30
T2 Module 2 Page 4	T2 Module 2 Pages 4 – 5	Example 1 in topic 1.1 Calculation of Corporate NOL was updated for greater clarity.	31
T2 Module 2 Page 14	Same	Illustration 1 Illustration of Liabilities in Excess of Basis was expanded and updated for clarity and technical accuracy.	32
T2 Module 2 Pages 23 – 26	T2 Module 2 Page 24	Two topics (3.4 Losses from Section 1244 Small Business Stock and 3.5 Section 1202 Qualified Small Business Stock: Gain Exclusion) were expanded and updated for clarity and technical accuracy.	33 – 36
T2 Module 3 Page 29	Same	Topic 1.7 Consolidated Taxable Income Calculation was updated to reflect changes introduced by the OBBBA.	37

1 Equity Compensation Awards

Employees may receive compensation from their employers in the form of equity awards such as stock options, restricted stock, or stock appreciation rights (SARs). How and when employee equity compensation is taxed to the employee depends on the type of equity award.

Key dates for equity compensation awards include:

- **Grant date:** when the employee receives the award
- **Vesting date:** when the employee has the right to exercise the equity award (restrictions lapse)
- **Exercise date:** when the employee purchases stock using stock options or cashes out SARs
- **Sale date:** when the employee sells restricted stock or stock acquired using stock options
- **Expiration date:** when the rights under the equity award lapse, or expire, unused

1.1 Nonstatutory Stock Options

Corporations may grant their employees the option to purchase stock in the corporation. There are two types of employee stock options: nonstatutory and statutory. A nonstatutory option (also known as a nonqualified option) is taxed when granted if the option has a readily determinable value at the time of the grant. Because nonstatutory options often do not have a determinable value at the time of grant, the option is generally taxed when exercised.

1.1.1 Definition of Readily Determinable Value

If the option is traded on an established market, it will have a readily determinable value. Otherwise, it will only have a readily determinable value if *all* of the following conditions are met:

- The option is transferable.
- The option is exercisable immediately in full when it is granted.
- There are no conditions or restrictions that would have a significant effect on the value.
- The fair value of the option privilege can be readily determined.

1.1.2 Employee Taxation: Readily Determinable Value

- If there is a readily determinable value for the stock option, the employee recognizes ordinary compensation income in that amount in the year granted. If there is a cost to the employee, then the ordinary income is the value of the option minus the cost.
- There is no taxation on the date of exercise.
- The basis of the stock is the exercise price plus any amount previously taxed on the date of grant. Any future sale of the stock could result in a capital gain or loss.
- The holding period of the stock begins on the grant date.
- If the employee allows the options to lapse (not exercised), there is a capital loss based on the value of the options previously taxed.

1.1.3 Employee Taxation: No Readily Determinable Value

- If no readily determinable value exists, the taxable event is the exercise date, not the grant date.
- On the exercise date, the employee recognizes ordinary compensation income equal to the "bargain element"—the difference between the fair market value of the stock and the stock option price exercised.
- The basis of the stock is the fair market value of the stock when stock option was exercised. Any future sale of the stock could result in a capital gain or loss.
- The holding period of the stock acquired by exercising the option begins with the exercise date.
- If the options lapse, the employee can deduct a capital loss equal to the price, if any, that the employee paid for the options. There are no other income tax consequences.

Example 1

Nonstatutory Stock Option

Facts: On July 1, Year 10, Bob was granted a nonstatutory stock option to purchase 200 shares of his employer's stock for \$12 per share, at a time when the stock was selling at \$16 per share. This option was selling for \$4 per share on an established exchange, so it had a readily determinable value of \$4 per share. Bob exercised these options on August 7, Year 11. The stock was selling for \$18 per share on the exercise date. On June 1, Year 12, Bob sold all of the shares for \$21 per share.

Required:

1. Determine the amount and type of income that Bob must recognize and when the income should be recognized.
2. Assume instead that the stock option did not have a readily determinable value at the date of grant.

Solution:

1. Bob must report ordinary compensation income in the amount of \$800 ($\4×200 shares) on the date of the grant in Year 10 because the option has a readily determinable market value on the date of the grant of \$4 per share.

Bob's adjusted basis in the stock is \$3,200 (\$2,400 exercise price + \$800 recognized ordinary income). The \$2,400 exercise price is $200 \text{ shares} \times \12 .

Bob has a long-term capital gain in Year 12 in the amount of \$1,000, which is the selling price of \$4,200 ($\21×200 shares) less the adjusted basis of \$3,200. The holding period begins from the grant date (July 1, Year 10), which is more than one year, therefore the gain is long-term.

(continued)

(continued)

2. Bob would recognize ordinary compensation income on the exercise date, rather than the grant date, for the amount of the bargain element of \$1,200 ($\18 FMV of stock when option is exercised – $\$12$ exercise price = $\$6 \times 200$ shares = $\$1,200$).

Bob's adjusted basis in the stock acquired is the FMV of the stock, or $\$3,600$ ($\$18 \times 200$ shares).

Bob has a short-term capital gain in Year 12 of $\$600$, which is the selling price of $\$4,200$ ($\$21 \times 200$ shares) less the adjusted basis of $\$3,600$. The holding period begins from the exercise date (August 7, Year 11), which is less than one year before the sale date of June 1, Year 12, therefore the gain is short-term.

1.2 Statutory Stock Options

There are two types of statutory stock options, incentive stock options (ISO) and stock options granted under employee stock purchase plans (ESPP). Both types of options are eligible to receive favorable tax treatment under the internal revenue code.

1.2.1 Incentive Stock Options

An ISO is a right that's given to an employee to buy stock in the company.

The following are some key points related to an ISO:

- The ISO must be granted under a written plan document, approved by the shareholders, that indicates the total number of shares that may be issued and the employees that are eligible to participate.
- The employee may not own more than 10 percent of the combined voting power of the corporation, parent, or subsidiary as of the date of the grant.
- The employee must remain an employee of the corporation from the date the option is granted until three months (one year if due to permanent and total disability) before the option is exercised.
- The options must be exercisable within 10 years of the grant date.
- The exercise price may not be less than the FMV of the stock at the date of the grant.
- Once exercised, the stock must be held at least two years after the grant date *and* at least one year after the exercise date.
- An employee may exercise up to $\$100,000$ of ISOs in a year. Any amount exercised that exceeds this amount will be treated as a nonstatutory option.

1.2.2 Employee Stock Purchase Plans

An ESPP is a type of plan that allows employees to purchase company stock at a discounted price. With an ESPP, participating employees contribute to the plan through payroll deductions.

The following are some key points related to an ESPP:

- The plan must be written and approved by the shareholders.
- An ESPP cannot grant options to any employee who has 5 percent or more combined voting power of the corporation, parent, or subsidiary. Generally, the plan must be available to all full-time employees other than highly compensated employees and those with less than two years of employment.
- The option exercise price may not be less than the *lesser* of 85 percent of the FMV of the stock when granted or exercised.
- The option cannot be exercised more than 27 months after the grant date.
- No employee can acquire the right to purchase more than \$25,000 of stock per year.
- Once exercised, the stock must be held at least two years after the grant date *and* at least one year after the exercise date.
- The employee must remain an employee of the corporation from the date the option is granted until three months before the option is exercised.



Pass Key

People often confuse the holding period with a vesting period, which is not the same. This is a common exam trap.

- **Vesting Period:** When you earn the right to exercise the stock option.
- **Holding Period:** How long you hold the stock, which determines whether you receive favorable tax treatment.

ISOs and ESPPs have a holding period requirement (two and one period, respectively), but not a vesting requirement.

1.2.3 Similarities Between ISOs and ESPPs

There are five similarities between ISOs and ESPPs to be aware of, which can be remembered with the mnemonic **SWEET**:

- S** ■ Both are **statutory** (qualified) stock options offered only to employees.
- W** ■ Both must be **written** and approved by the shareholders.
- E** ■ Both provide **enhanced tax advantages** compared to nonstatutory (nonqualified) stock options.
- E** ■ Both require the **employee** to remain an employee from the date the option is granted until three months before the option is exercised.
- T** ■ Both have the same **timing** requirement for the holding period to receive preferential tax treatment; once exercised, both require that the stock must be held for at least two years after the grant date and one year after the exercise date.

1.2.4 Differences Between ISOs and ESPPs

The following chart summarizes the six key differences between ISOs and ESPPs:

Feature	ISO (Incentive Stock Option)	ESPP (Employee Stock Purchase Plan)
Purpose	Incentivize/reward select employees	Allow most employees to purchase stock via payroll
Eligibility	Select or discretionary, often executives/key employees	• Broad-based, nondiscriminatory • Must be offered to all employees if ≥ 2 years employed
Limitations	Must have $\leq 10\%$ ownership and voting power	Must have $< 5\%$ voting power
Price limit	No discount. Exercise price $\geq$ FMV at grant date	15% max discount: Option price must be $\geq 85\%$ of the lesser of FMV on grant or exercise date
Transaction limit	Must be $\leq \$100,000$ exercisable per year (based on FMV at grant)	Must be $\leq \$25,000$ purchased per year (based on FMV at grant)
Time limit	Must be exercised ≤ 10 years from the grant date	Must be exercised ≤ 27 months from the grant date



Pass Key

Two/One: Stock acquired by exercising statutory stock options must be held at least *two* years after the grant date and at least *one* year after the exercise date to receive long-term capital gain treatment.

1.2.5 Taxation of Statutory Stock Options

- Generally, there is no taxation of the option as compensation.
- The basis of the stock acquired is the exercise price plus any amount paid for the option (if any).
- Gain or loss on a subsequent sale of the stock is capital if the stock is held for at least two years after the grant date and at least one year after the exercise date.
- If the two-year/one-year holding period requirements are not satisfied, any gain is ordinary up to the amount that the stock's FMV on the exercise date exceeds the option price. Any excess gain is capital gain. Any loss is a capital loss.
- Generally, if the options lapse, no deduction is available as the option was not taxed in the first place. There may be a loss if any amount was paid for the option itself.
- An employee may exercise up to \$100,000 of ISOs in a year. Any amount exercised that exceeds this amount will be treated as a nonstatutory option.

- For an ESPP, if the option exercise price is less than the FMV of the stock on the grant date, then ordinary income is recognized when the stock is sold. The ordinary income recognized is the lesser of:
 - the difference of the FMV of the stock when sold and the exercise price; or
 - the difference between the exercise price and the FMV of the stock on the grant date.
 - This only applies to ESPPs because, for ISOs, the exercise price may not be less than the FMV of stock on the grant date.
- The excess of the FMV of the stock on the exercise date over the purchase price is a preference item for alternative minimum tax.

Tax Treatment by Employees			
Key Dates	Nonstatutory Stock Options With Readily Determinable Value	Nonstatutory Stock Options Without Readily Determinable Value	Statutory (Qualified) Stock Options (ISOs and ESPPs)
Grant date	Ordinary income = FMV of stock options on date of grant	No tax consequences	No tax consequences
Vesting date	Same as grant date	Same as grant date	Same as grant date
Exercise date	• No taxable income • Basis in stock = exercise price + income recognized at grant date	• Bargain element (FMV of stock – exercise price) = ordinary income • Basis in stock = FMV of stock when stock option is exercised	• No taxable income • Basis in stock = exercise price
Holding Period	• Begins on grant date	• Begins on exercise date	• Two years after grant date + one year after exercise date
Date stock is sold	Capital gain (loss); short-term or long-term depending on holding period	Capital gain (loss); short-term or long-term depending on holding period	• Two-year/one-year holding period met: Long-term capital gain (loss) • Two-year/one-year holding period not met: <i>Gain:</i> bargain element (FMV of stock when exercised – exercise price) = ordinary income; any excess gain is capital gain <i>Loss:</i> capital loss
Date options expire if not exercised	Capital loss = FMV of options previously taxed at date of grant; short-term or long-term depends on holding period	Capital loss = price paid for options (if any); short-term or long-term depends on holding period	Capital loss = price paid for options (if any); short-term or long-term depends on holding period

Example 2 Incentive Stock Option

Facts: On July 1, Year 10, Mary was granted an Incentive Stock Option (ISO) to purchase 200 shares of her employer's stock for \$120 per share. The FMV of the stock on the date of grant was \$120. Mary exercised these options on August 7, Year 11. The stock was selling for \$150 per share on the exercise date. On November 1, Year 12, Mary sold all of the shares for \$200 per share.

Required: Determine the amount and type of income that Mary must recognize and when the income should be recognized.

Solution: Mary does not recognize any ordinary income **at the grant date** because this qualifies as an ISO.

Mary's adjusted basis in the stock is the exercise price of \$24,000 (200 shares × \$120).

Mary has a long-term capital gain in Year 12 in the amount of \$16,000, which is the selling price of \$40,000 (200 shares × \$200) less the adjusted basis of \$24,000. The long-term holding period requirement of more than one year has been met.

Mary also has an AMT preference item in Year 11 of \$6,000. The FMV of stock on the **exercise date** was \$150, and the purchase price was \$120, so the excess of the FMV over the purchase price is \$30. \$30 excess × 200 shares = \$6,000.

1.3 Restricted Stock

With a restricted stock award, an employee receives actual shares of the employer's stock, rather than an option to purchase the employer's stock. For restricted stock shares, the employee is restricted from selling the stock until the vesting date when the restrictions lapse.

1.3.1 Employee Taxation on Restricted Stock Awards

The employee recognizes ordinary compensation income for the FMV of the stock on the day it vests and the restrictions lapse. The employee's basis in the stock is the FMV on the vesting date, and the employee's holding period for the stock begins on the vesting date.

An employee may elect to recognize ordinary compensation income for the FMV of the stock on the grant date. The election must be made within 30 days of the date the restricted stock award is granted and is irrevocable.

1.3.2 Restricted Stock Units (RSUs)

RSUs are not actual shares of employer stock; they are a promise to give an employee a specified number of unrestricted shares of employer stock on the vesting date. As with restricted stock awards, employees recognize ordinary compensation income for the FMV of the stock on the vesting date. However, there is no election allowed to recognize income on the grant date rather than the vesting date like there is **for restricted stock awards**.

8 Itemized Deductions or Standard Deduction

8.1 Standard Deduction

Taxpayers who do not have enough qualified expenses to itemize their deductions will take a standard deduction. The standard deduction amounts for the current year are:

2026	
Single	\$16,100
Head of household	\$24,150
Married filing jointly or surviving spouse	\$32,200
Married filing separately*	\$16,100
*Available only if both taxpayer and spouse do not itemize.	

8.1.1 Additional Standard Deduction for Age 65 or Older and/or Blindness

The standard deduction for a taxpayer who is age 65 or over or blind is increased by an additional amount.

2026		
	<i>Unmarried</i>	<i>Married</i>
One Qualified Taxpayer		
65 or blind	\$2,050	\$1,650
Both 65 and blind	\$4,100	\$3,300
Two Qualified Taxpayers		
Each 65 or blind		\$3,300
Both 65 and blind		\$6,600

8.1.2 Charitable Contributions Deduction if Standard Deduction Taken

Individual taxpayers who do not itemize deductions are allowed to take a deduction of up to \$1,000 (\$2,000 MFJ) for cash contributions to public charities.

8.2 Itemized Deductions

A taxpayer will choose to itemize deductions when the total of their allowable deductions is higher than the standard deduction. Itemized deductions include the following:

- Medical expenses (in excess of 7.5 percent of AGI floor)
- Taxes—state/local (limited to \$40,400 in 2026)
- Interest expense (home mortgage and investment)
- Charitable contributions (in excess of 0.5 percent of AGI floor)
- Casualty/theft loss attributable to federal or state-declared disaster (in excess of \$100 per casualty and aggregate of the losses exceeds 10 percent of AGI)

Indications that a taxpayer may benefit by itemizing deductions would be, but are not limited to, any of the following:

- Large contributions to qualified charities
- Large uninsured medical and dental expenses
- Mortgage interest and property taxes on a home
- Significant uninsured casualty or theft losses

8.3 Bunching Itemized Deductions

One tax planning strategy that individual taxpayers can use is bunching itemized deductions into a single year. This can be advantageous for taxpayers with itemized deductions that are close to, but not quite as much as, the standard deduction amount. Without bunching, the taxpayer would use the standard deduction amount. By bunching itemized deductions such as charitable contributions or medical expenses into a single year, the taxpayer can take the higher itemized deduction in the bunching year, then take the standard deduction the next year when their itemized deductions are much lower.

This strategy could also be used with the payment of property taxes. Depending on the amount of the taxpayer's total state and local property taxes, bunching may also be a way to avoid the \$40,400 (2026) limitation in one of the two years.

Example 12 Bunching Itemized Deductions

Facts: Elizabeth Roberts is a 64-year-old single taxpayer. She is not claimed as a dependent on another taxpayer's return. She has the following potential itemized deductions this year and expects these to be approximately the same next year:

State and local taxes	\$ 7,500
Interest expense (on home mortgage)	5,000
Charitable contribution (church)	<u>2,500</u>
Total	<u>\$15,000</u>

Elizabeth is trying to decide when she should make the charitable contributions to her church for this year and next year (for purposes of this example, ignore the AGI limitations for itemizing charitable contributions). (Although the standard deduction amounts are indexed for inflation annually, assume for the purposes of this example that the amounts are the same for Year 1 and Year 2.)

Required: Determine when Elizabeth should make the two \$2,500 charitable contributions to her church to achieve the greatest tax benefits:

- *Option 1:* \$2,500 in Year 1 and \$2,500 in Year 2
- *Option 2:* \$5,000 in Year 1
- *Option 3:* \$5,000 in Year 2

(continued)

(continued)

Solution: Elizabeth would be better off with option 2, making both charitable contributions, all \$5,000, in Year 1.

The standard deduction amount for single taxpayers is \$16,100 (2026). Because Elizabeth turns age 65 next year, she will receive an additional standard deduction in Year 2 of \$2,050 (2026), so her total Year 2 standard deduction amount is \$18,150 (\$16,100 + \$2,050). Additionally, if Elizabeth claims the standard deduction, she is allowed to take a deduction of up to \$1,000 for charitable contributions when calculating her taxable income.

If Elizabeth contributes \$2,500 to her church in Year 1 and \$2,500 in Year 2 (option 1), her total qualified deductions of \$15,000 (\$7,500 state and local taxes + \$5,000 mortgage interest + \$2,500 charitable contribution) are less than her standard deduction amount each year, so she will just get the standard deduction in both years.

If Elizabeth contributes all \$5,000 to her church in Year 2 (option 3), her total qualified deductions in Year 1 are \$12,500 (\$7,500 state and local taxes + \$5,000 mortgage interest) and \$17,500 (\$7,500 state and local taxes + \$5,000 mortgage interest + \$5,000 charitable contribution) in Year 2. Both of these amounts are less than her standard deduction amount for the year (\$16,100 in Year 1, \$18,150 in Year 2) plus the \$1,000 charitable deduction in each year for taxpayers who claim the standard deduction, so again she will just get the standard deduction both years.

If Elizabeth contributes all \$5,000 to her church in Year 1 (option 2), she will be able to itemize deductions in Year 1 and take the standard deduction in Year 2 when she gets the additional amount for age 65. Her total Year 1 qualified deductions are \$17,500 (\$7,500 state and local taxes + \$5,000 mortgage interest + \$5,000 charitable contribution), which is \$400 more than her Year 1 standard deduction of \$16,100 plus the \$1,000 deduction for charitable contributions when a taxpayer takes the standard deduction. Her total Year 2 qualified deductions are \$12,500 (\$7,500 state and local taxes + \$5,000 mortgage interest), which is much lower than her Year 2 standard deduction of \$18,150 plus the \$1,000 deduction for charitable contributions. With the additional standard deduction for age 65, she is better off with the standard deduction next year anyway. By paying both charitable contributions in Year 1, Elizabeth is able to itemize deductions in one year and reduce her taxable income by an additional \$400.

9 Estimated Tax Payments and Underpayment Penalties

9.1 General

Taxpayers who expect to owe tax of \$1,000 or more must pay estimated taxes in a timely manner as income is earned or received throughout the year. There is an exception for taxpayers who had no tax liability for the full 12-month preceding tax year. In addition to income tax, estimated tax is required for other taxes such as self-employment tax. The IRS imposes penalties for failure to pay sufficient estimated tax, as well as failure to make tax payments when due throughout the course of the year. These penalties will be assessed even if the taxpayer is due a refund.

3 Charitable Donations of Noncash Property

3.1 Qualified Charity

To receive a deduction for a donation of noncash property to a charitable organization, the organization must be recognized by the IRS as a Section 501(c)(3) organization. Section 501(c)(3) organizations include public charities and private foundations.

3.2 Contribution of Ordinary Income Property

The amount of the deduction for ordinary income property is the lesser of the property's adjusted basis or its fair market value (FMV) at the time it is contributed. Ordinary income property includes:

- Inventory
- Short-term assets (held for one year or less)
- Investment or personal-use assets that have depreciated in value
- Depreciation recapture on long-term, business-use assets

3.3 Contribution of Long-Term Capital Gain (LTCG) Property

The amount of the deduction for LTCG property is its FMV at the time of the contribution. LTCG property is appreciated capital gain property that has been held for more than one year and includes:

- Investment assets
- Personal-use assets
- Gain in excess of ordinary income depreciation recapture for long-term, business-use assets

3.4 Tangible Personal Property Put to Unrelated Use

The donor's deduction for a contribution of LTCG property to a charitable organization is limited to the adjusted basis of the property if:

- the property is tangible personal property; and
- the organization uses the property for some purpose that is not related to its charitable purpose (such as selling or auctioning off the property).

3.5 Donation of Qualified Vehicle Sold by Charitable Organization

A personal-use vehicle has typically depreciated in value (FMV < adjusted basis) by the time it is contributed to a charitable organization, therefore the donor's deduction will fall under the ordinary income property rules. For a qualified vehicle, which includes a car, truck, boat, or airplane, that is subsequently sold by the charitable organization, the donor's deduction is further limited.

If the FMV at the date of the contribution is more than \$500, the deduction is limited to the lesser of:

- the gross proceeds from the sale of the vehicle; or
- the FMV on the date of contribution (assuming the FMV is less than the adjusted basis of the vehicle).

If the charitable organization sells the vehicle for \$500 or less, the deduction is limited to the lesser of:

- \$500; or
- the FMV on the date of contribution (assuming the FMV is less than the adjusted basis of the vehicle).

Example 6

Donations of Noncash Property

Facts: Bill Sanders purchased an oil painting depicting the first settlement of the town he lives in. The purchase price of the painting was \$25,000. Five years later, the museum in the town where Bill lives has expressed an interest in obtaining the painting for display in its main lobby. Bill has secured a qualified appraisal of the painting to determine its current fair market value (FMV).

Required: If Bill donates the painting to the museum, determine the amount of Bill's charitable contribution deduction, ignoring any charitable contribution limitation and assuming the current FMV is: (1) \$20,000, or (2) \$30,000.

Solution:

1. If the current FMV is \$20,000, the charitable contribution deduction will be \$20,000.

The painting is a capital asset that has been held for more than one year, but it has depreciated in value (\$20,000 FMV – \$25,000 purchase price), so it is considered ordinary income property. The amount of the deduction is the lesser of the property's adjusted basis (\$25,000) or its FMV at the time it is contributed (\$20,000).

2. If the current FMV is \$30,000, the charitable contribution deduction will be \$30,000.

The painting is a capital asset that has been held for more than one year and has appreciated in value (\$30,000 FMV – \$25,000 purchase price), so it is considered appreciated LTCG property. The deduction will be the \$30,000 FMV at the time of the contribution.

Note: If the museum instead sold the painting, rather than displaying it in the front lobby of the museum, Bill's deduction would be limited to his \$25,000 adjusted basis in the painting.

3.6 AGI Limitations (Ceiling) on Amount of Deduction

The maximum allowable deduction for charitable contributions depends on the type of property contributed and the type of charity to which the contribution was made.

	Public Charities	Private Operating Foundations	Private Nonoperating Foundations
Cash	60% of AGI	60% of AGI	30% of AGI
Ordinary income property	50% of AGI	50% of AGI	30% of AGI
Long-term capital gain property	30% of AGI	30% of AGI	20% of AGI

A private operating foundation actively conducts charitable activities and distributes funds to its own charitable programs. A private nonoperating foundation distributes funds to other charitable organizations.

When a taxpayer has charitable contributions that are subject to different AGI limitations, the AGI limitations are applied first to cash (60 percent AGI limit), then ordinary income property (50 percent AGI limit), then LTCG property (30 percent AGI limit).

- When applying the 50 percent limit, any contributions subject to the 60 percent limit already considered must be subtracted.
- When applying the 30 percent limit, the limit is calculated as the lesser of 1) 30 percent of AGI or 2) 50 percent of AGI minus any 60 percent limit and 50 percent limit property already considered.

3.7 Percentage of AGI Floor

Only charitable contributions in excess of 0.5 percent of the AGI floor are deductible. The AGI floor is applied to aggregate charitable contributions after the percentage of AGI limitations.

3.8 Carryover of Excess Charitable Contributions (Five Years)

Charitable contributions in excess of AGI ceiling limitations can be carried forward for five years. All charitable contribution carryovers are applied on a first-in, first-out basis, after current year contributions are deducted, subject to the percentage of income limitations.

The amount disallowed by the 0.5 percent floor may only be carried forward if there is a carryover from the current year of contributions in excess of the AGI ceiling limitations. If there is no carryover due to the AGI ceiling limitations, then the amount disallowed by the 0.5 percent floor may not be carried forward.



Pass Key

Charitable contributions deduction summary—the order of steps to take when determining a taxpayer's charitable contribution deduction for the year are:

1. Determine the amount of the deduction.
2. Apply the AGI ceiling limitation.
3. Apply the AGI floor.
4. Determine carryovers by category.

Example 7**Charitable Contribution Deduction**

Facts: Joe Kelly itemizes deductions and made the following charitable contributions during the year:

- **United Way:** Cash \$15,000
- **Goodwill:** Personal furniture (cost \$25,000 three years ago, FMV at date of contribution \$10,000)
- **Art Museum:** Sculpture (cost \$20,000 five years ago, FMV at date of contribution \$30,000)

Kelly's adjusted gross income (AGI) for the year is \$100,000.

Required: Calculate the taxpayer's charitable contributions deduction for the year.

Solution:

Cash: The \$15,000 cash contribution to United Way, a public charity, is subject to the 60 percent of AGI limitation.

1.	Limitation for contributions subject to 60% limit (AGI \$100,000 × 60%)	\$60,000
2.	Cash contribution to United Way	15,000
3.	Allowable deduction for cash contribution (<i>lesser of 1 or 2</i>)	15,000

Ordinary Income Property: The personal furniture contributed to Goodwill, a public charity, has depreciated in value, so it is ordinary income property and is subject to the 50 percent of AGI limitation. The amount of the contribution is the lesser of the cost basis or the FMV at the date of contribution, which is \$10,000.

4.	Limitation for contributions subject to 50% limit: AGI \$100,000 × 50%	\$50,000
	Less: cash contribution allowed (<i>line 3</i>)	<u>(15,000)</u>
		\$35,000
5.	Contribution of ordinary income property to Goodwill (FMV)	10,000
6.	Allowable deduction for ordinary income property contribution (<i>lesser of 4 or 5</i>)	10,000

(continued)

(continued)

LTCG Property: The sculpture contributed to the Art Museum, a public charity, is a long-term investment or personal-use asset that has appreciated in value, so it is long-term capital gain (LTCG) property and is subject to the 30 percent of AGI limitation. The amount of the contribution is the FMV at the date of contribution, which is \$30,000.

7. Limitation for contributions subject to 30% limit:			
Lesser of:			
•	AGI $\$100,000 \times 30\%$		\$30,000 (a)
•	AGI $\$100,000 \times 50\%$	\$50,000	
	Less: cash contribution allowed (line 3)	(15,000)	
	Less: ordinary income property contribution allowed (line 6)	(10,000)	25,000 (b)
8.	Limitation of deduction (lesser of a or b)		\$25,000
9.	Contribution of LTCG property to Art Museum (FMV)		30,000
10.	Allowable deduction for LTCG property contribution (lesser of 7 or 8)		\$25,000
11. Total allowable charitable contributions:			
	Cash		\$15,000
	Ordinary income property		10,000
	LTCG property		<u>25,000</u>
	Total allowable charitable contributions		<u>\$50,000</u>
12. Apply the 0.5 percent of AGI floor:			
	$\$100,000 \times 0.5\% =$		<u>(\$500)</u>
	Total allowable charitable contributions		<u>\$49,500</u>
13. Charitable contribution carryforward:			
	LTCG property contribution (FMV)	\$30,000	
	Less: amount deducted in current year (\$25,000 – \$500 floor)	<u>(24,500)</u>	
	LTCG property contribution carryforward	<u>\$ 5,500</u>	

3.9 Substantiation Requirements

For contributions of more than \$500 of noncash property, the taxpayer must file Form 8283, giving certain information. In addition, taxpayers claiming more than \$5,000 for any one item or group of similar items, such as a stamp collection, need a written appraisal for each such item or group donated, except that no appraisal is needed for publicly traded securities.

1 Advantages and Disadvantages of Different Qualified Retirement Plans

1.1 Overview

Depending on the type of plan, tax qualified retirement plans offer many advantages to taxpayers, including:

- Pretax contributions
- Tax-deductible contributions
- Tax-deferred accumulation of earnings
- Asset protection from the claims of a taxpayer's creditors
- Avoidance of probate when the retirement plan is part of a trust arrangement or insurance contract. Probate is a formal legal process to administer an estate and distribute assets to the intended beneficiaries.

In exchange for these advantages, the taxpayer must be willing to accept the disadvantages that accompany these plans. For example, income from retirement plans is taxed as ordinary income and not long-term capital gain. Additionally, assets are not liquid and are subject to penalties for premature distributions prior to a specified age (however, there are a few exceptions).

There are more than two dozen types of qualified retirement plans in the United States. Four of the most commonly known plans are:

- Employer-sponsored Section 401(k) plans
- Traditional IRAs
- Roth IRAs
- Annuity contracts

1.2 Employer-Sponsored Retirement Plans

Employer-sponsored retirement plans fall into two broad groups: defined benefit and defined contribution. Employer-sponsored retirement plans can be funded solely with employer contributions, solely with employee contributions, or with a combination of employer and employee contributions.

1.2.1 Defined Benefit Plans

A defined benefit plan, or pension plan, promises employees a specified monthly benefit at normal retirement age. The promised retirement benefit may be a fixed dollar amount or may depend on a defined formula that considers factors such as age, salary, and years of service. The employer sponsors the defined benefit plan and typically will engage investment managers to manage the defined benefit plan's investments.

Because the benefit is defined by contract (plan trust agreement), the employer bears the investment risk associated with the performance of the plan. This risk increases the complexity of the plan and, therefore, causes these plans to be more costly to establish and maintain than other types of plans. If sufficient funds are not available to meet the promised retirement benefit, the employer will have to utilize company earnings to fulfill the promised benefits.

1.2.2 Defined Contribution Plan

A defined contribution plan does not promise a specific benefit payment to an employee upon retirement. Instead, these plans have individual accounts to which the employee and/or the employer contribute. The amount that can be contributed to an employee's account is defined, rather than the amount of the benefit. The employee is responsible for making contributions and choosing investments offered by the plan. Typically, there are a limited number of investments available for the employee to select from. Unlike the defined benefit plan, the employee bears the investment risk in a defined contribution plan, and the value of the account fluctuates due to changes in the capital markets (investments). Because the employer does not have the risk associated with the performance of these plans they require little work, are less complex to manage, and cost less to administer. The retirement benefit is solely the balance in the employee's account. The balance of the account is comprised of contributions plus (or minus) investment gains (or losses).

The most common type of employer-sponsored defined contribution plan is a Section 401(k) plan, which is used by for-profit companies. Section 403(b) and Section 457(b) plans are very similar to Section 401(k) plans. Section 403(b) plans are used by not-for-profit organizations and Section 457(b) plans are used by government agencies. Some employers, such as state universities, can have both a 403(b) and a 457(b) plan.

1.3 Section 401(k) and Similar Defined Contribution Plans

With an employer-sponsored Section 401(k) retirement plan, employees can contribute part of their salary or wages to the plan. Employers often match employee contributions at different rates, based on the terms of the plan. The tax treatment of the contributions and distributions depend on whether the 401(k) plan is a traditional 401(k) or a Roth 401(k).

1.3.1 401(k) Contribution Limits

The maximum amount that an employee can elect to contribute to a 401(k) account is \$24,500 in 2026. An additional catch-up contribution is available for older taxpayers: \$8,000 if the employee is 50–59 or age 64 or older, and \$11,250 if the employee is 60–63 (2026). The employee's contribution is limited to the employee's compensation for the year. Any age 50 and older additional catch-up contributions must be made to a Roth account if the employee's prior year wages from the employer sponsoring the plan exceeded \$150,000 (2026).

The maximum amount that the employee and employer combined can contribute to an employee's 401(k) account is \$72,000 in 2026 (\$80,000 for taxpayers age 50–59 and age 64 or older, \$83,250 for taxpayers age 60–63).

A taxpayer may be eligible for more than one employer-sponsored defined contribution plan. The annual contribution limits are aggregated for 401(k) and 403(b) plans. However, 457(b) plans have a separate limit for employer and employee contributions.

1.3.2 Traditional vs. Roth 401(k) Contributions

Employees do not pay income tax on wages they elect to contribute to a traditional 401(k), although the wages are still subject to FICA and FUTA taxes. Wages that an employee elects to contribute to a Roth 401(k) are still fully taxable.

If an employer-sponsored 401(k) plan allows, an employee can elect to designate certain employer contributions as Roth, rather than traditional contributions. Employer contributions to an employee's traditional 401(k) account are not taxable income to the employee. However, employer contributions to Roth 401(k) accounts are taxable income to the employee at the time of contribution.

1.3.3 Traditional vs. Roth 401(k) Distributions

Distributions from a traditional 401(k) plan are fully taxable as ordinary income. For Roth 401(k) plans, distributions of principal (contributions) are never taxable, and distributions of earnings are only taxable if it is a nonqualified Roth distribution.

Requirements for a qualified Roth distribution include:

- Taxpayer is age 59 ½ or older; and
- Roth 401(k) has been open for at least five years (from first day of the year of initial contribution).

A nonqualified Roth 401(k) distribution is allocated pro rata between principal (contributions) and earnings based on relative amounts in the account at the time of the distribution.

1.3.4 Penalty for Premature Distributions

There is a 10 percent additional penalty tax on taxable distributions an employee receives before age 59 ½ (or age 55 if he or she is no longer an employee of the 401(k) plan sponsor).

There is no penalty if the premature distribution is for one of the following purposes:

- Medical expenses in excess of percentage of AGI floor
- Adoption or birth of a child within the first year after birth or adoption (\$5,000 maximum)
- Disability (total and permanent disability)
- Divorce: division of account assets under a qualified domestic relations order (QDRO)
- Disaster: federally declared natural disaster (\$22,000 maximum)
- Terminal illness or death of account owner
- Emergency expenses (for personal or family emergency, up to \$1,000 per year)
- Domestic abuse victims (lesser of \$10,500 (2026) or 50 percent of retirement account)
- Long-term care insurance premiums: lesser of actual premiums paid, 10 percent of the present value of nonforfeitable accrued benefit, or \$2,600 (2026).

Note that the penalty exceptions for premature distributions from an employer-sponsored retirement plan differ somewhat from those for premature distributions from IRAs.

1.3.5 Rollover of Lump-Sum Distributions

An employee may receive a lump-sum distribution from a 401(k) account when they terminate employment with that employer. If the distribution is rolled over into another qualified retirement plan within 60 days, the employee can avoid paying income tax on the distribution, as well as the 10 percent penalty tax if they are under age 55.

1.3.6 Required Minimum Distributions (RMDs) From Traditional 401(k)s

Taxpayers are required to start taking required minimum distributions (RMDs) from traditional 401(k) plans by April 1 of the year after the later of:

- The year the employee reaches age 73 (if born between 1951 and 1959) or age 75 (if born in 1960 or later).
- The year the employee terminates employment with the plan sponsor

The RMD requirements for traditional 401(k) plans do not apply to Roth 401(k) plans.

The penalty for failure to take RMDs is 25 percent. The penalty amount is reduced to 10 percent if the failure to take the RMD is corrected in a timely manner.

1.4 Individual Retirement Accounts (IRAs)

An Individual Retirement Account (IRA) is a long-term tax advantaged savings account that individual taxpayers (not businesses) fund with earned income. Accumulations in an IRA grow tax deferred, and contributions may be deductible.

1.4.1 IRA Contribution Limits

The annual maximum contribution to IRAs is limited to the lesser of:

2026	Under Age 50	Age 50 and Over
Unmarried	\$7,500 <i>Or</i> Earned income	\$8,600 <i>Or</i> Earned income
Married	\$15,000 (\$7,500 each) <i>Or</i> Earned income of married couple	\$17,200 (\$8,600 each) <i>Or</i> Earned income of married couple

The annual limits apply to the sum of a taxpayer's contributions to traditional and Roth IRAs.

■ **Earned Income Includes:**

- Salary and wages
- Commissions
- Bonuses
- Alimony (for divorce or separation agreements executed before December 31, 2018)
- Net earnings from self-employment
- Non-tuition fellowship and stipend payments treated as taxable compensation

■ **Earned Income Does Not Include:**

- Interest and dividends
- Annuity income
- Pensions
- Alimony (for divorce agreements executed after December 31, 2018)

1.4.2 Deduction of Traditional IRA Contributions

Contributions to traditional IRAs may or may not be deductible. Traditional IRA deductions are deductible from gross income to arrive at adjusted gross income. The adjustment is allowed for a year only if the contribution is made by the due date of the tax return for individuals, which is April 15 (filing extensions are not considered).

A taxpayer's deduction for a traditional IRA contribution is limited if the taxpayer or spouse participates in an employer-sponsored retirement plan.

- **Participation in Employer-Sponsored Retirement Plans:** If a taxpayer participates in an employer-sponsored retirement plan, AGI limitations apply to the deduction allowed for the contribution made to the traditional IRA. The allowed deductible contribution phases out proportionately within the following ranges:

Filing Status	2026 AGI Phase-out
Unmarried	\$81,000–\$91,000
Married filing jointly	\$129,000–\$149,000

- **Special Rule:** If a married taxpayer is not an active participant in an employer's retirement plan, but the spouse is, the deduction for the spouse who is not an active participant is phased out based on the following AGI limitations:

Filing Status	2026 AGI Phase-out
Married filing jointly	\$242,000–\$252,000 (couple's AGI)
Married filing separately	\$0–\$10,000 (each spouse is subject to this limitation—both the participant and the nonparticipant)

Traditional IRA Income Phase-Out Ranges for Married Individuals			
2026 Modified AGI Phase-out	Spouse 1 has earned income		If Spouse 2 has no earned income
	In ESRP?	Can IRA be deducted?	Can IRA be deducted?
N/A	No	Yes	Yes
< \$129,000	Yes	Yes	Yes
\$129,000–\$149,000	Yes	Yes*	Yes
\$149,001–\$241,999	Yes	No	Yes
\$242,000–\$252,000	Yes	No	Yes**
> \$252,000***	Yes	No	No

Note: If Spouse 2 has earned income, follow the same rules as Spouse 1.

ESRP = Employer Sponsored Retirement Plan

*The IRA deduction for the *working* spouse is phased out.

**The IRA deduction for the *nonworking* spouse is phased out.

***At modified AGI of more than \$252,000, neither the working spouse nor the nonworking spouse can deduct their traditional IRA.

Example 1**Phase-out of Traditional IRA Deduction**

Facts: Kristi, a 40-year-old single taxpayer, is an active participant in her employer's retirement plan. Kristi's 2026 AGI is \$83,000.

Required: Calculate Kristi's maximum IRA deduction.

Solution: Kristi's maximum 2026 IRA deduction is \$6,000, calculated as follows:

2026 AGI	\$ 83,000
Less phase-out threshold	<u>(81,000)</u>
Excess over phase-out threshold	2,000
Divided by \$10,000 phase-out range	<u>÷ 10,000</u>
Phase-out percentage	20%
× maximum IRA deduction allowed	<u>7,500</u>
Phase-out amount	<u>1,500</u>
2026 allowable IRA deduction	<u>\$ 6,000</u>

Question: What is Kristi's maximum IRA deduction if she does not participate in an employer-sponsored retirement plan?

Answer: \$7,500 (2026). She would not be subject to the AGI limitations if she did not participate in an employer-sponsored retirement plan.

1.4.3 Roth IRA Contributions

Contributions to a Roth IRA are not deductible when made. The tax benefits of a Roth IRA occur later, when amounts are distributed.

The ability to contribute to a Roth IRA is limited by modified AGI.

Filing Status	2026 MAGI Phase-out
Unmarried	\$153,000–\$168,000
Married filing jointly	\$242,000–\$252,000
Married filing separately	\$0–\$10,000

1.4.4 IRA Distributions

Distributions for IRAs consist of principal (contributions) and earnings. The tax treatment of a distribution depends on whether the distribution is from a traditional IRA or a Roth IRA.

Any taxable distributions from IRAs are taxed as ordinary income regardless of the type of income, such as capital gain, that was earned while the funds were invested.

1.4.5 Distributions From Traditional IRAs

- Distributions of principal (contributions) are taxable if the taxpayer took a deduction for the contribution when made.
- Distributions of earnings are always taxable, whether or not the taxpayer deducted the contribution when made.
- A distribution from a nondeductible, traditional IRA is allocated between principal (contributions) and earnings pro rata based on relative amounts in the IRA account at the time of the distribution.
- Taxpayers are required to start taking required minimum distributions (RMDs) by April 1 of the year following the year in which the taxpayer reaches age 73 (if born between 1951–1959) or age 75 (if born in 1960 or later).

1.4.6 Distributions From Roth IRAs

- Distributions of principal (contributions) from a Roth IRA are never taxable because taxpayers are not allowed to deduct contributions to a Roth IRA.
- Distributions of earnings from a Roth IRA are only taxable if the distribution is a nonqualified Roth distribution.
- A *qualified distribution* is a distribution from a Roth IRA that:
 1. Is made at least five years after the first day of the year in which the taxpayer made his or her first contribution to the Roth IRA, and
 2. Meets one of the following requirements:
 - taxpayer is age 59½ or older;
 - taxpayer is disabled;
 - taxpayer is a *first-time* homebuyer (has not owned a home for two years) and uses the distribution to purchase a home (maximum \$10,000); or
 - distribution is made to a beneficiary after the taxpayer's death.
- Distributions from Roth IRAs are considered to first come from principal (contributions), then earnings.

Type of Distribution	Principal (Contributions)	Earnings
Nondeductible traditional IRA distribution	Nontaxable	Taxable
Deductible traditional IRA distribution	Taxable	Taxable
Qualified Roth IRA distribution	Nontaxable	Nontaxable
Nonqualified Roth IRA distribution	Nontaxable	Taxable

Example 2 IRA Distribution

Facts: Sally opened an IRA when she was 55 years old and contributed \$5,000. Several years later, when the account had grown to \$8,000, she withdrew \$6,000 to pay for a three-week European vacation.

Required: Determine the amount of Sally's taxable ordinary income from the IRA distribution under four different assumptions:

1. Traditional IRA, deduction was taken for the contribution
2. Traditional IRA, deduction was not taken for the contribution
3. Roth IRA, amount was withdrawn four years after the contribution
4. Roth IRA, amount was withdrawn six years after the contribution

Solution:

1. \$6,000 taxable ordinary income

Traditional IRA and Sally deducted the contribution, so both distribution of principal (contribution) and earnings are taxable. A distribution of any amount is 100 percent taxable.

2. \$2,250 taxable ordinary income

Traditional IRA and Sally did not deduct the contribution, so the distribution of principal (contribution) is not taxable. Distribution of earnings for a traditional IRA are always taxable. The \$8,000 account balance consists of 62.5 percent principal (5,000 contribution / 8,000 total) and 37.5 percent earnings (3,000 earnings / 8,000 total), so 37.5 percent of the distribution is taxable. $\$6,000 \text{ distribution} \times 37.5\% \text{ taxable portion} = \$2,250$.

3. \$1,000 taxable ordinary income

The Roth IRA distribution was made before the account had been open for five years, so it is a nonqualified distribution. Distribution of principal (contribution) is not taxable but the earnings are taxable. A distribution from a Roth IRA is considered to come first from principal (contribution), then earnings, so the \$6,000 distribution consists of \$5,000 nontaxable principal and \$1,000 taxable earnings.

4. \$0 taxable ordinary income

The Roth IRA has been open for at least five years and Sally is at least age 59½ (55 years old at contribution + Withdrawal six years later = 61 years old at time of distribution). The distribution is a qualified Roth distribution and neither the principal (contribution) nor the earnings are taxed.

1.4.7 Penalty for Premature Distributions

Generally, a premature distribution before age 59½ is subject to a 10 percent penalty tax (in addition to regular income tax) if the individual has not met an exception.

There is no penalty if the premature distribution was used to pay:

- **Homebuyer** (first time): Distribution used toward the purchase of a first home within 120 days of distribution (\$10,000 maximum exclusion)
- **Insurance**
 - **Medical**: if unemployed with 12 consecutive weeks of unemployment compensation
 - **Long-term care**: lesser of the actual insurance premiums paid, 10% of the present value of nonforfeitable accrued benefit, or \$2,600 (2026)
- **Medical** expenses in excess of percentage of AGI floor
- **Disability** (permanent or indefinite disability, but not temporary disability)
- **Education**: College tuition, books, fees, etc.
- **Adoption** or birth of child made within one year from the date of birth or adoption (\$5,000 maximum exclusion)
- **Disaster**: federally declared natural disaster (\$22,000 maximum exclusion)
- **Terminal** illness or death of account owner
- **Emergency** expenses (for personal or family emergency, up to \$1,000 per year)
- **Domestic** abuse victims (lesser of \$10,500 [2026] or 50 percent of retirement account)

1.4.8 Required Minimum Distributions (RMDs)

The RMD requirements for traditional IRAs do not apply to Roth IRAs. Therefore, taxpayers are not required to take RMDs from a Roth IRA during their lifetime.

1.5 Self-Employed Retirement Plans

Self-employed taxpayers are allowed to deduct contributions made to qualified self-employed retirement plans as an above-the-line deduction (adjustment) for AGI. As with employer-sponsored plans, the earnings are not taxed until they are distributed. Distributions from the plan are fully taxable as ordinary income and are subject to the same early and late distribution penalties as other retirement plans. Qualified self-employed retirement plans can be designated as Roth plans, and like Roth IRAs, contributions are not deductible and qualified distributions are nontaxable.

The maximum amount that a self-employed taxpayer can contribute to a self-employed retirement plan each year depends on the type of plan. The most common self-employed retirement plans are simplified employee pension (SEP) IRAs, savings incentive match plan for employees (SIMPLE) IRAs, and Solo 401(k)s.

1.5.1 Simplified Employee Pension (SEP) IRA

A self-employed taxpayer with a SEP IRA plan can make contributions to the plan for the owner and for qualified employees. Employee contributions to a SEP IRA can only be made by the employer and not by the employee.

- The maximum employer contribution to an employee's SEP IRA in 2026 is the lesser of:
 - 25 percent of the employee's compensation; or
 - \$72,000.
- The maximum contribution to a self-employed taxpayer's own SEP IRA in 2026 is the lesser of:
 - 25 percent of net income from self-employment reduced by the SEP IRA contribution itself, which effectively equals 20 percent of net income from self-employment after the deduction for self-employment tax; or
 - \$72,000.
- No additional catch-up contributions for taxpayers age 50 or older are allowed for SEP IRAs.

1.5.2 Savings Incentive Match Plan for Employees (SIMPLE) IRA

With a SIMPLE IRA plan, contributions can be made for the self-employed owner and for qualified employees. The plan can provide for contributions for employees to be made by the employer or by both the employee and the employer.

- The maximum contribution to an employee's SIMPLE IRA in 2026 is the lesser of:
 - 100 percent of the employee's compensation; or
 - \$17,000.
- The maximum contribution to a self-employed taxpayer's own SIMPLE IRA in 2026 is the lesser of:
 - 100 percent of net income from self-employment reduced by the deduction for one-half of self-employment tax; or
 - \$17,000.
- An additional catch-up contribution is allowed in 2026 for taxpayers age 50 or older:
 - Age 50–59, and greater than age 63: \$4,000
 - Age 60–63: \$5,250

1.5.3 Solo 401(k)

A solo or one-participant 401(k) is available only for self-employed taxpayers with no full-time employees.

- The maximum contribution to a self-employed taxpayer's solo 401(k) in 2026 is:
 - 20 percent of net income from self-employment reduced by the deduction for one-half of self-employment tax; or
 - \$72,000.
- An additional catch-up contribution is allowed in 2026 for taxpayers age 50 or older:
 - Age 50–59, and greater than age 63: \$8,000
 - Age 60–63: \$11,250

1.6 Roth Conversions

Taxpayers are allowed to convert funds from a traditional 401(k) or IRA to a Roth 401(k) or IRA, either by a direct transfer or a rollover. With a rollover, the taxpayer receives a distribution from a traditional account and must contribute it into a Roth account within 60 days. The 60-day requirement does not apply to direct transfers by a plan administrator from a traditional to a Roth account.

The total amount transferred from the traditional account is taxed as ordinary income. A direct transfer is not subject to the 10 percent premature distribution penalty, but a rollover may be subject to the penalty if the amount is not contributed to a Roth account within 60 days.

The ability to directly contribute to a Roth IRA is limited by modified AGI phase-out thresholds. However, Roth 401(k) and Roth IRA conversions are not subject to an annual cap or AGI restrictions.

1.7 Trump Accounts

A Trump account is a tax-deferred investment account for children under age 18 with a valid Social Security number. It is treated as a traditional IRA but has separate limitations and restrictions for contributions until the year the child turns 18.

1.7.1 Contributions to Trump Accounts

- Starting July 4, 2026, all eligible children under 18 may open and contribute to a Trump account. As part of a pilot program, any U.S. citizen child born between January 1, 2025, and December 31, 2028, with a Social Security number, will receive a one-time \$1,000 federal contribution into their Trump account.
- Employers can contribute up to \$2,500 per year to the Trump account of an employee and/or the employee's dependent(s).
- The maximum total contribution to a Trump account is \$5,000 per year.
- No deduction is allowed for contributions to a Trump account.
- Employer contributions and federal government pilot program contributions are excluded from income.

1.7.2 Distributions from Trump Accounts

- No distributions are allowed before the calendar year in which the beneficiary turns 18.
- At age 18 or older, regular traditional IRA distribution rules apply, including penalty rules for premature distributions before age 59½.
 - Earnings are taxed at ordinary tax rates when distributed.
 - Contributions without "basis" (employer contributions and federal government pilot program contributions that are excluded from income) are taxed at ordinary tax rates when distributed.
 - Other contributions to a Trump account are nontaxable when distributed, because no deduction was allowed at the time of the contribution.

1.8 Annuities

An annuity, like an IRA, is a long-term tax-advantaged account. The earnings in the annuity contract accumulate on a tax-deferred basis. The parties to the contract are the taxpayer and an insurance company. There are two types of annuity contracts: immediate and deferred.

2 Risks Associated With Investment Options

2.1 Risk

All investments have risk. The level of risk inherent in any given investment dictates the potential return an investor may realize from the investment. The greater the risk, the greater the potential return. Conversely, the lower the risk, the lower the potential return. Quantifying risk for any given investment is essential to the investment planning process. Investment professionals identify two primary types of investment risk:

2.1.1 Nonsystematic Risk

Nonsystematic risk is risk that is unique to a certain industry or company. It is also referred to as business risk. Nonsystematic is risk that does not affect an entire "system"; therefore, an investor can protect against nonsystematic risk by diversifying investments.

Examples of this type of risk include:

- Default risk is the risk that the issuer of a bond will fail to make interest payments or to repay principal when your bond matures.
- Management risk is the risk inherent in any company's day-to-day operations such as discontinuation of sales of a major product or the loss of a key executive.

2.1.2 Systematic Risk

Systematic risk is risk that affects the entire system such as the capital markets or the economy as a whole. Some of the more familiar examples of systematic risk would be:

- **Currency Risk:** the risk that a change in the exchange rate between two relevant currencies can increase or reduce investment return. A large U.S. company with significant foreign sales is exposed to currency risk.
- **Inflation Risk:** also referred to as purchasing power risk, inflation risk is the risk that the general increase in the prices of goods and services will reduce the purchasing power of money and negatively affect the value of investments.
- **Sociopolitical Risk:** the risk that political and social events could negatively affect financial markets and investor attitudes, resulting in system-wide impact on stock prices.

Systematic risk cannot be mitigated through diversification. One way to control systematic risk is to invest in derivatives (such as options, futures contracts, forward contracts, or swaps) that provide gains to the investor when the market declines. Short selling (selling an investment in the hopes of buying it back at a lower price later) is another strategy that provides returns when the market declines.

2.2 Equity Securities

Equity securities generally refer to stocks. When investors purchase shares of stock in a corporation, they are purchasing an ownership interest in the issuing corporation. Ownership of stock entitles the shareholder to a portion of the corporation's assets and profits (dividends) equal to the percentage of stock owned. An investor has the potential to lose their entire investment in a company if it should fail. Conversely, an investor has the potential to participate in the growth of a company should it be successful.

3.2.1 Prepaid Tuition Plan

A prepaid tuition plan is guaranteed to increase in value at the same rate as college tuition increases. What is being purchased is a semester, a quarter, or some other unit of measure of college tuition. From an investment perspective, the plan is a low-risk, tax-advantaged investment vehicle, with earnings matching the average increase in tuition. The hypothetical earning potential is greater than the interest earned from a savings account or a certificate of deposit because inflation rates for education tend to exceed historical earnings for bank deposits.

Prepaid tuition plans are exempt from federal income tax and may be exempt from state and local income taxes. Typically, the plan is guaranteed by the full faith and credit of the state. The risk to the owner of a prepaid tuition plan is the potential that the beneficiary may choose a school in a state other than the one from which the plan was purchased. The plan may still be used; however, the full cost of tuition in an out-of-state school may not be covered.

3.2.2 Educational Savings Plan

An educational savings plan, unlike a prepaid tuition plan, has no guaranteed benefit. The plan is invested in the stock market and is subject to market conditions. As a result, the amount of savings may not be sufficient to cover all the education costs; however, the funds accumulated may exceed the cost of education, depending on the investment returns.

The assets in an educational savings plan are controlled by the account owner and not the beneficiary (child). Regardless of whether the beneficiary chooses to attend college or is unable to attend, the beneficiary does not have access to the funds.

3.2.3 Funding

A Section 529 QTP is funded by making gifts, and the amount that can be gifted without being subject to gift tax is generally limited to the annual gift tax exclusion amount. Presently, the annual exclusion amount is \$19,000 (2026). However, Section 529 plans allow for an individual to gift up to five years of the annual exclusion amount at one time when contributing to a QTP, which is \$95,000 per child ($\$19,000 \times 5$ years), without being subject to gift tax. With the use of split gifts, a married couple can defer up to \$190,000 per child ($\$19,000 \times 2 = \$38,000 \times 5$ years). The IRS considers the lump-sum gift the equivalent of five years of \$19,000 (or \$38,000) gifts, which uses up the taxpayer(s)' gift tax exclusion for that child for the five-year period following the lump-sum gift.

3.2.4 Qualified Higher Education Expenses

- Section 529 educational savings plan: Tuition, fees, books, supplies, and equipment required for enrollment or attendance at an eligible postsecondary educational institution, and room and board for students enrolled at least half-time.
- Qualified postsecondary credentialing expenses also qualify (tuition, fees, books, supplies required to attend a recognized postsecondary credential program, fees for testing to obtain the credential, and fees for continuing education to maintain the credential).
- Section 529 prepaid tuition plan: Typically only covers tuition and fees at participating colleges and universities (including tuition and fees for qualified postsecondary credential programs).

3.2.5 Taxable Portion of Distributions

Distribution of amounts contributed are a nontaxable return of investment in the plan. Distribution of earnings may be taxable if the total distribution for the year is more than the qualified education expenses reduced by tax-free educational assistance (e.g., scholarships, fellowships, grants).



Pass Key

	Carryforward Period	Offset Future Taxable Income
NOLs generated in tax years ending on or before December 31, 2017	20 years	100%
NOLs generated in tax years ending after December 31, 2017, and on or before December 31, 2020	Indefinitely	100% through 2020, 80% after 2020
NOLs generated in tax years ending after December 31, 2020	Indefinitely	Up to 80%

Example 1

NOL Carryforward

Facts: Johnson Corp. is a calendar year C corporation that began doing business in 2019. Johnson Corp. had a \$45,000 net operating loss (NOL) in 2019. The company's taxable income was \$20,000 per year for each year after 2019.

Required:

Calculate the amount of Johnson Corp.'s NOL deduction and carryforward in all future years.

Solution:

	Income (Loss)
2019 NOL	\$45,000
NOL deduction in 2020	<u>(20,000) [a]</u>
NOL carryforward to 2021	\$25,000
NOL deduction in 2021	<u>(16,000) [b]</u>
NOL carryforward to 2022	9,000
NOL deduction in 2022	<u>(9,000) [c]</u>
NOL carryforward to remaining future years	<u>\$ 0</u>

[a] Because the NOL was generated in 2019, it can offset 100% of taxable income in 2020.

[b] Starting in 2021, the NOL can only offset up to 80% of taxable income in the carryforward year ($\$20,000 \times 80\% = \$16,000$).

[c] Because the remaining NOL carryforward of \$9,000 is less than the maximum allowable deduction of \$16,000 ($\$20,000 \text{ taxable income} \times 80\%$), the entire remaining NOL can be deducted in 2022, with \$0 carryforward available for deduction in future years.

Illustration 1 Illustration of Liabilities in Excess of Basis

The ABC Company admits Mike as a two-thirds shareholder and Tim as a one-third shareholder. Mike contributes \$550,000 cash. Tim contributes a building that is worth \$500,000 but has a basis of \$100,000. There is a mortgage of \$225,000 on the building, assumed by the corporation.

Mike and Tim own 100 percent of the stock immediately after the transfer, so the 80 percent control test for Section 351 nonrecognition is met. However, the liabilities assumed by the corporation exceeds Tim's basis in the building contributed, so Tim must recognize a gain for the excess.

		Original cost:	\$100,000
		FMV today:	\$500,000
		Mortgage:	\$225,000
Basis			
\$100,000		"Rollover" cost basis	
<225,000		> Liabilities assumed by corporation	
<u>\$ (125,000)</u>		"Net basis" (if below zero, gain)	
<u>\$125,000</u>		Gain—taxable to shareholder Tim	
<u>\$0</u>		Basis—of shareholder Tim's common stock	
<u>\$225,000</u>		Basis—corporation has in asset*	
*Greater of adjusted basis or liability assumed			

Illustration 2 Shareholder and Corporate Consequences at Formation

Bailey forms a corporation and contributes the following property:

	Adjusted Basis	Fair Market Value
Equipment	\$ 40,000	\$120,000
Building	20,000	40,000
Inventory	<u>80,000</u>	<u>100,000</u>
	<u>\$140,000</u>	<u>\$260,000</u>

Bailey receives 100 shares of stock:

1. Gain realized by Bailey	
Amount realized	\$260,000
Adjusted basis	<u>(140,000)</u>
Gain realized	<u>\$120,000</u>
2. Gain recognized by Bailey	
	<u>0</u>

(continued)



Pass Key

The general rule for taxable events and basis applies to reorganizations:

Taxpayer	Event	Income	Basis	Tax Attributes
Corporation	Nontaxable	None	NBV	No Change
Shareholder	Nontaxable	None	NBV	No Change

3.3.4 Continuity of Business

A reorganization is treated as a nontaxable transaction because it results in the continuation of a business in a modified form. In order to meet the "continuity requirement," the acquiring corporation must continue the business of the old entity (or entities) or use a significant portion of the old corporation's assets.

3.3.5 Control Requirement

In addition to the continuity requirement, there is a control test. Control is defined as at least 80 percent of the total voting power of all classes of stock and at least 80 percent of all other classes of stock. This is the same requirement as that of a tax-free incorporation.

3.3.6 Tax Status of Reorganizations

Reorganizations are nontaxable (except to the extent of boot received) because the shareholders have not liquidated their investment but have continued operations in a modified form.



Pass Key

To distinguish the liquidation and reorganization rules, review the following:

	Business Activity	Corporate Consequence	Shareholder Consequence
Liquidation	Completely ceases	Taxable	Taxable
Reorganization	Continues	Nontaxable	Nontaxable

3.4 Losses From Section 1244 Small Business Stock

Section 1244 permits individual investors to treat losses from the sale of small business stock as an ordinary loss rather than a capital loss in order to receive a greater tax benefit. There is a maximum allowable ordinary loss deduction, and any losses exceeding these annual limits are treated as capital losses.

■ **Maximum Ordinary Loss Deduction**

- Married filing jointly: \$100,000
- All other individual filers: \$50,000

■ **Eligibility**

- Only individual investors and specific partnership members can claim the deduction.

■ **Requirements**

- The stock must be issued directly from the small business corporation to the taxpayer (or to a partnership in which the taxpayer is a partner).
- The corporation must be a domestic corporation, and its capital cannot exceed \$1 million at the time of issuance.

3.5 Section 1202 Qualified Small Business Stock: Gain Exclusion

A noncorporate shareholder who holds qualified small business stock (QSBS) for a certain period is allowed to exclude a portion of the gain on the sale or exchange of the stock from taxable income.

3.5.1 Qualifications for QSBS Corporate Stock

- Stock is issued after August 10, 1993.
- Stock acquired by shareholder at original issuance.
- Domestic C corporation (not an S corporation).
- 80 percent or more of the value of the corporation's assets are used in the active conduct of one or more qualified trades/businesses.
- Aggregate gross assets limitation:
 - For stock issued on or before July 4, 2025, the corporation's aggregate gross assets could not exceed \$50 million at any time before and immediately after the issuance of the stock.
 - For stock issued after July 4, 2025, the aggregate gross assets amount is \$75 million.

3.5.2 Holding Period and Exclusion Percentage

- For stock acquired on or before July 4, 2025, the stock must be held for more than five years to qualify for gain exclusion. The exclusion percentage depends on when the stock was acquired.
 - August 10, 1993–February 17, 2009: 50 percent exclusion of gain
 - February 18, 2009–September 27, 2010: 75 percent exclusion of gain
 - September 28, 2010–July 4, 2025: 100 percent exclusion of gain
- For stock acquired after July 4, 2025, the exclusion percentage depends on the holding period of the stock.
 - Three years: 50 percent exclusion of gain
 - Four years: 75 percent exclusion of gain
 - Five or more years: 100 percent exclusion of gain

3.5.3 Maximum Exclusion Per Shareholder

- For stock acquired on or before July 4, 2025, the maximum exclusion per shareholder is the greater of:
 - 10 times the taxpayer's basis in the stock; or
 - \$10 million (\$5 million if MFS).
- For stock acquired after July 4, 2025, the maximum exclusion per shareholder is the greater of:
 - 10 times the taxpayer's basis in the stock; or
 - \$15 million (\$7.5 million if MFS) for 2026.

3.5.4 Taxation of Gain in Excess of Exclusion

- If the exclusion percentage is less than 100 percent, the 28 percent capital gain rate applies to the nonexcluded portion of the QSBS gain.
- The regular 0/15/20 percent capital gain rate only applies to gain that exceeds the per-shareholder maximum exclusion.

Example 3

Qualified Small Business Stock Gain Exclusion

Facts: Jim, a single taxpayer in the 37 percent tax bracket, purchased \$150,000 of qualified small business stock on September 30, 2025. Four years later, Jim sells the stock for \$20,150,000.

Required: Calculate Jim's tax on the capital gains related to the sale of his qualified small business stock.

Solution:

Step 1—Calculate Jim's maximum exclusion on the gain:

Because the stock was purchased after July 4, 2025, Jim's maximum exclusion on the sale of his stock is the greater of:

10 times his basis in the stock ($10 \times \$150,000 = \$1,500,000$); or
\$15 million (2026).

Therefore, Jim's maximum exclusion on the gain is \$15 million.

Step 2—Calculate the gain in excess of the exclusion:

Sales price	\$20,150,000
Less: basis	<u>(150,000)</u>
Total gain	20,000,000
Less: maximum exclusion amount	<u>(15,000,000)</u>
Gain in excess of exclusion	<u>\$ 5,000,000</u>

(continued)

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Step 3—Determine the holding period and related exclusion percentage:

Jim purchased the stock after July 4, 2025, and held the stock for four years, so he is entitled to a 75 percent exclusion.

Step 4—Calculate the taxable amounts:

Jim is allowed to exclude 75 percent of the maximum exclusion amount, which equals \$11,250,000 (\$15,000,000 maximum exclusion $\times$ 75%). The remaining portion of the maximum exclusion is taxed at the 28 percent capital gain rate and is equal to \$3,750,000 (\$15,000,000 – \$11,250,000). His tax on his QSBS gain is \$1,050,000 (\$3,750,000 $\times$ 28% capital gain rate).

Jim will also have to pay the regular long-term capital gains (LTCG) tax on his gain in excess of the exclusion amount. Jim is in the 37 percent tax bracket, so his regular LTCG rate is 20 percent. This amounts to \$1,000,000 (\$20,000,000 total gain – \$15,000,000 maximum exclusion = \$5,000,000 gain in excess of the exclusion $\times$ 20% regular LTCG rate).

Jim's total tax on his capital gain from the sale of qualified small business stock is \$2,050,000 (\$1,050,000 + \$1,000,000).

4 Loans Between C Corporation and Shareholders

4.1 Overview

While the most common forms of shareholder-corporation transactions occur in the form of equity transactions (either contributions to the corporation or distributions from the corporation), corporations also commonly engage in debt-based transactions with shareholders. In these types of transactions, the key issues are that the transactions are well-documented and that the interest rates owed from the shareholder to the corporation, or the corporation to the shareholder, are at or above the market interest rate, which is the applicable federal rate (AFR). If the loan is made at any interest rate lower than the AFR, imputed interest rules may apply.

4.2 Imputed Interest

The most important issue that must be considered when loans between C corporations and shareholders are made at interest rates below the AFR is imputed interest. Imputed interest is the difference between the market interest rate (AFR) and the actual rate charged on the below-market loan. For example, assuming an AFR of 3 percent on a loan of \$100,000, a zero-percent interest loan between a C corporation and a shareholder would generate \$3,000 of imputed interest income to the lender and imputed interest expense to the borrower annually $(3\% - 0\%) \times \$100,000$.

4.3 Imputed Income to Shareholder-Borrower

For below-market loans from a corporation to a shareholder, the imputed interest is often treated as a dividend if the shareholder is not also an employee. To the extent of corporate earnings and profits, the imputed interest would also constitute taxable dividend income for the shareholder. If the shareholder is also an employee, the imputed interest is normally treated as a dividend if the employee owns more than a "de minimis" amount of stock. However, if the loan was made solely in connection with the performance of services, it may be treated as compensation even when the employee owns a substantial amount of stock.

1.7 Consolidated Taxable Income Calculation

Consolidated taxable income is determined using the following steps:

1. Calculate the stand-alone taxable income of each member of the group, as if the member were filing its own separate tax return.
2. Adjustments are made to each member's taxable income to remove the effects of transactions between members of the consolidated group. These include adjustments for the following:
 - Gains and losses that are deferred on intercompany sales between group members. In the year the asset is sold outside the group, a subsequent adjustment will need to be made.
 - Inventory adjustments may be required for intercompany sales.
 - Dividends received by one member from another member are excluded.
3. Gains, losses, and deductions that are required to be determined at the consolidated level are removed from each member's taxable income. This includes the following:
 - Capital gains and losses
 - Section 1231 gains and losses
 - Net operating loss (NOL)
 - Charitable contribution deduction (limitations: 1 percent of adjusted taxable income (ATI) floor, 10 percent of ATI ceiling; ATI = taxable income before charitable contributions and DRD)
 - Dividends-received deduction, or DRD (ownership: < 20% = 50% deduction; 20–80% = 65% deduction; > 80% = 100% deduction; 50%/65% DRD subject to taxable income limitation)
4. Each member's resulting taxable income from the previous steps is combined to create the group's combined taxable income.
5. The group's combined taxable income is then adjusted for the items that are required to be determined at the consolidated level (see items from step 3).

Illustration 2 Calculation of Consolidated Taxable Income

A, B, and C corporations file a consolidated tax return for Year 6. (B and C Corporations are wholly owned subsidiaries of A Corporation). Consolidated taxable income is determined as follows (see chart below):

Step 1: Calculate each member's taxable income.

Step 2: Make adjustments to eliminate intercompany transactions.

During the year, the group had the following intercompany activity that requires adjustments:

- B and C paid dividends to A of \$60,000 and \$30,000, respectively.
- B sold inventory to A and recorded a \$50,000 intercompany profit, which needs to be excluded from B's gross receipts and deferred (until the inventory is sold to an outside party).
- C sold a piece of equipment to B and recorded a \$10,000 Section 1231 gain on sale.

(continued)